THE LEGAL SERIES

LAW CRUX



LAW OF CONTRACT

GENERAL PRINCIPLES & E-CONTRACTS

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LAW CRUX NAVIGATION MATRIX // DU LL.B. PAPER LB-102

Master Table of Contents

Complete Indian Contract Act, 1872 (Sections 1–75) & IT Act, 2000 · 42 Prescribed Case Dossiers · 73 DU Exam PYQs

01 TOPIC 01 · SS. 1-2 & 10 ICA
General Introduction: History & Nature of Contractual Obligations — p.3
Foundational Principles · 5 PYQs

02 TOPIC 02 · SS. 2-9 ICA
Formation of an Agreement — Offer, Acceptance, Communication & Revocation — p.11
DU Cases 1-7 · 8 PYQs

03 TOPIC 03 · SPECIAL FORMATION
Making of an Agreement — Special Situations: Tenders, Auctions & Standard Forms — p.24
DU Cases 8-12 · 6 PYQs

04 TOPIC 04 · SS. 2(d), 23 & 25 ICA
Consideration — Meaning, Essentials, Privity & Statutory Exceptions — p.34
DU Cases 13-17 · 8 PYQs

05 TOPIC 05 · SS. 10-12, 64, 65 & 68
Capacity to Contract — Minority, Unsoundness of Mind, Necessaries & Restitution — p.42
DU Cases 18-20 · 6 PYQs

06 TOPIC 06 · SS. 13-22 ICA
Free Consent — Coercion, Undue Influence, Fraud, Misrepresentation & Mistake — p.54
DU Cases 21-24 · 8 PYQs

07 TOPIC 07 · SS. 23-30 ICA
Limitations on Freedom of Contract — Unlawful Objects, Public Policy, Restraints & Wager — p.62
DU Cases 25-28 · 8 PYQs

08 TOPIC 08 · SS. 37-67 ICA
Discharge of a Contract — Performance, Supervening Impossibility (S. 56) & Novation — p.78
DU Cases 29-32 · 8 PYQs

09 TOPIC 09 · SS. 73-75 ICA
Remedies for Breach of Contract — Remoteness, Measure, Liquidated Damages & Penalty — p.93
DU Cases 33-39 · 8 PYQs

10 TOPICS 10 & 11 · SS. 68-72 & IT ACT
Quasi-Contracts (Ss. 68–72 ICA) & Electronic Contracts (IT Act, 2000 Ss. 3–17) — p.109
DU Cases 40-42 · 8 PYQs

by Ankur R. Upadhyay

MODULE 01 // DU LL.B. PAPER LB-102 Foundational Principles · 5 Exam PYQs

General Introduction: History & Nature of Contractual Obligations

1 The Nature of Contractual Obligation

What law of contract is about — promises, obligations and why the law enforces them.

1.1 What is the "law of contract"?

As the DU course-material frames it, the law of contracts is **one of the basic laws every law student studies** — it touches equally the lives of ordinary persons and the activities of business. In substance it is the branch of law that deals with **promises**, their **formation**, **performance** and **enforceability**. The DU course captures this in a single sentence — it is the study of:

> DU COURSE-OBJECTIVE FORMULATION
>
> "This branch of law deals with law relating to **promises**, their **formation**, **performance** and **enforceability**. … this paper will include a study of general principles of contracts spelt out in **Sections 1–75 of the Indian Contract Act, 1872.**"

The field creates and regulates **voluntarily-created civil obligations** — a hallmark emphasized in the DU "Course Outcomes" ("the concept of voluntarily created civil obligations"). Because most commercial relations rest on contract, a sound grasp of its underlying principles is indispensable for every lawyer.

1.2 "Obligation" — the idea at the core

A **legal obligation** is a tie of law binding one person (the *obligor / promisor*) to do or forbear from doing something for another (the *obligee / promisee*). Every obligation is a **jural relationship of right and duty**: the promisee holds a **right**; correspondingly the promisor is under a **duty**. Salmond taught that a **contract** is precisely *"an agreement creating and defining obligations between the parties."* A contractual obligation is thus a **right in personam** (available against a specific person) — unlike a right in rem which avails against the world.

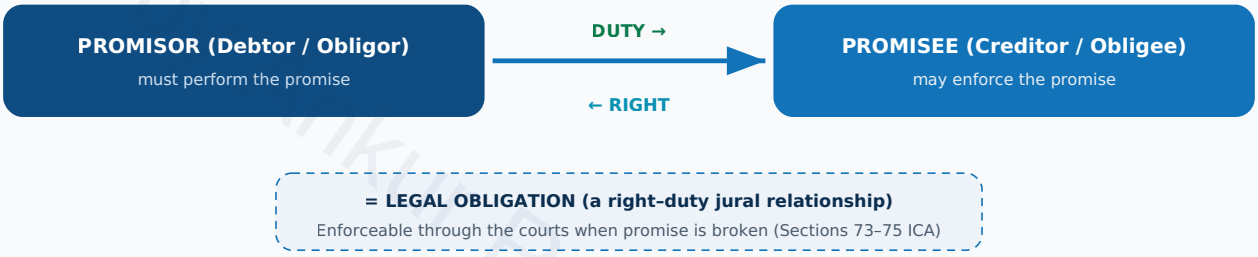


Fig 1.1 — Every contract creates a legal obligation: correlative right (promisee) and duty (promisor).

1.3 Kinds of obligation — where contract sits

Not all obligations arise from agreement. Classically, obligations are divided by their **source** into four kinds. The law of contract governs only **one** of them — but the boundaries matter for a precise answer.

(1) Contractual (voluntary)
Created by the **agreement** of the parties. The promisor is bound because he freely chose to bind himself. — ICA 1872 governs.

(2) Quasi-contractual / Restitution
Imposed by law to prevent unjust enrichment — "obligations resembling those created by contract." ICA **§§ 68–72** (Ch. V). Not based on agreement.

(3) Tortious (delictual)
Imposed by law for breach of a **duty fixed by law** (e.g., negligence, defamation) — not by promise.

(4) Criminal / status obligations
Imposed on citizens generally by the State (offences, and duties arising from status such as parent–child).

Basis	Contractual obligation	Tortious obligation
Source	Created by the **agreement/consent** of the parties.	Imposed by **law** independently of any agreement.
Duties	Fixed by the parties themselves (self-imposed).	Fixed by law — a duty to all (e.g., to take reasonable care).

Basis	Contractual obligation	Tortious obligation
Breach remedy	Generally damages for **loss of the bargain** (S.73).	Damages to compensate for injury caused by the wrong (not loss of expectations).
Illegality/ fault	Strict — a promise is kept or compensation paid even without fault.	Generally requires **fault / negligence / wrongful act**.
Example	A promises to deliver 50 maunds of saltpetre; on default he compensates B (S.73 illus. (a)).	A negligently runs over B; A compensates B though no promise existed.

1.4 Why does the law enforce promises? (theories)

Several theories explain *why* a bare promise should be binding. No single one is exhaustive; the Indian statute is a blend. Be able to name them:

1. **Will / Autonomy theory:** A contract is enforced because it expresses the **free will** of the parties; the law gives effect to self-imposed obligation. (Links to ICA emphasis on **free consent**, S.14.)
2. **Promise / "Promise principle" theory:** A promise binds because making a serious promise to another raises an expectation the other relies on; the promisor has voluntarily undertaken the duty.
3. **Bargain / consideration theory:** Only promises given in exchange for something (**consideration**) are enforced; gratuitous promises are not generally enforced (S.25: agreement without consideration is void).
4. **Reliance / injurious-reliance (equity) theory:** Promises are enforced where the other party has *reasonably relied* to his detriment (doctrine of **promissory estoppel** — an equitable supplement).
5. **Economic / utilitarian theory:** Enforcing promises facilitates exchange, credit and planning, serving social and commercial welfare — which is why contract law is called the foundation of modern commerce.

Exam tip: Indian law gives primacy to the **bargain** theory (consideration, Ss. 2(d), 25) but qualifies the will theory through the doctrine of **free consent** (Ss. 13–22) and public policy (S.23). Always mention that "all agreements are not contracts" because **enforceability by law** is the deciding test (S.2(h), S.10).

2 From Proposal → Promise → Agreement → Contract

The conceptual "ladder" that links every definitional clause in Section 2.

The entire architecture of Section 2 is a **staircase of concepts**. Learn this sequence — it answers the classic DU question "*All contracts are agreements, but all agreements are not contracts — comment.*"

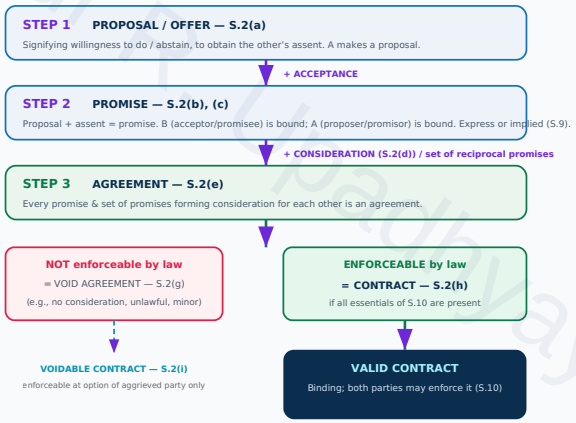


Fig 2.1 — Proposal + Acceptance = Promise; Promise(s) + Consideration = Agreement; enforceable Agreement = Contract. Not every agreement is enforceable → hence "all contracts are agreements, but not all agreements are contracts."

2.1 The key "closed" statements to memorise

- **Every promise and set of promises** forming consideration for each other = **agreement** [S.2(e)].
- An agreement **not enforceable** by law is **void** [S.2(g)].
- An agreement **enforceable** by law is a **contract** [S.2(h)].
- An agreement enforceable at the option of **one party only** is a **voidable contract** [S.2(i)].
- A contract which **ceases** to be enforceable becomes **void** when it so ceases [S.2(j)].

Classic result: *Proposal + Acceptance = Promise; Promise + Consideration = Agreement; Agreement + Enforceability by law = Contract.* Therefore a contract is an enforceable agreement; every contract is an agreement but the converse is not

true. A social arrangement (e.g., a dinner invitation) is an agreement in common parlance but not a contract because the parties never intended legal consequences.

3 Essential Elements of a Valid Contract — Section 10

The statutory heart of "enforceability." Section 10 lists the conditions that turn an agreement into a contract.

SECTION 10, INDIAN CONTRACT ACT, 1872

"All agreements are contracts if they are made by the **free consent** of parties **competent to contract**, for a **lawful consideration** and with a **lawful object**, and are not hereby expressly declared to be void.

Proviso: Nothing herein shall affect any law requiring a contract to be made in **writing**, in the presence of **witnesses**, or any law relating to **registration** of documents."

Section 10 itself names only the core conditions (free consent, capacity, lawful consideration & object, not expressly void). But a complete 20-mark answer should integrate the **non-express essentials** read into S.10 from the other provisions — two parties, offer & acceptance, intention to create legal relations, certainty, and possibility of performance.



Fig 3.1 — Ten essentials of a valid contract read from Ss. 2, 7, 10–14, 23, 25–30, 56.

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3.1 The essentials explained one-by-one (with authority)

(1) Parties / Offer & Acceptance
There must be at least two parties — one making a **proposal** (S.2(a)) and another **accepting** it (S.2(b)). A man cannot contract with himself. Acceptance must be **absolute & unqualified** (S.7) and communicated.

(2) Intention to create legal relations
Parties must intend that their agreement create a **legal obligation**. Purely **social/domestic** agreements (husband–wife allowances) are not contracts — *Balfour v. Balfour* (see §8).

(3) Consideration
At the desire of the promisor the promisee (or another) has done/abstains/promises something — S.2(d). S.25: an agreement **without consideration is void** (subject to 3 exceptions).

(4) Capacity
S.11: competent = **age of majority** (Indian Majority Act, 1875), of **sound mind** (S.12), and not disqualified by law. Minors' agreements are void — *Mohori Bibee v. Dhurmodas* (Topic 5).

(5) Free consent
S.13 consent = agreeing on the same thing in the same sense; S.14 it is **free** unless caused by coercion (S.15), undue influence (S.16), fraud (S.17), misrepresentation (S.18) or mistake (Ss.20–22).

(6) Lawful object & consideration
S.23: consideration/object is lawful unless forbidden by law, defeats a law, is fraudulent, involves injury, or is **immoral / opposed to public policy** — then the agreement is void.

(7) Not expressly void
The agreement must not be one the Act expressly declares void — e.g., S.24 (partly unlawful), S.26 (restraint of marriage), S.27 (restraint of trade), S.28 (restraint of legal proceedings), S.29 (uncertainty), S.30 (wager).

(8) Certainty & possibility
S.29: meaning must be **certain or capable of being made certain**; S.56: an agreement to do an **impossible act is void**.

(9) Legal formalities (Proviso to S.10)
Where a special law requires writing, registration or attestation, these formalities must be complied with — e.g., S.25 contracts in writing & registered, transfer of immovable property, negotiable instruments.

Examiner's favourite formula (S.10): "All agreements are contracts if made by (i) the **free consent** of (ii) parties **competent to contract**, (iii) for a **lawful consideration** and (iv) with a **lawful object**, and (v) are not hereby expressly declared to be void." Quote it verbatim, then expand each limb.

4 History & Evolution of the Law of Contract

From Roman stipulation and the English action of assumpsit to the Indian Contract Act, 1872.

4.1 Why study the history?

Understanding history explains **why** modern Indian contract law looks the way it does: why consideration is central (England), why some promises were enforced without it (the sealed deed/covenant), why equitable remedies and "justice, equity and good conscience" matter, and why we have one unified Indian statute rather than many community laws.

4.2 The ancient foundations

No single civilization invented "the contract." Each legal system recognised certain **categories of binding promises** long before a general law of contract existed.

- **Roman law:** Early Roman law enforced only specific, formalised transactions. Later, the **stipulatio** — a formal question-and-answer promise — became enforceable. Roman jurists developed the idea of obligations (*obligatio*) and classified them by their source (contract, quasi-contract, delict, quasi-delict) — a scheme that later shaped common-law and Indian thought.
- **Hindu (ancient Indian) law:** Before the Act, Indian contractual relations were governed largely by **personal/community laws** — Hindus by Dharmaśāstra-derived rules (the *Vyavahāramayukha* and other *smṛti* texts dealing with loans, deposits, sales, pledges), Muslims by Muslim law, merchants by **trade custom and usage** (protected even today by the saving clause in S.1). Ancient Indian texts emphasised **free consent and consensus** on terms; certain formalities were laid down.
- **Medieval English law:** For a long time the common law enforced few promises. A promise under **seal** (covenant/deed) was enforceable simply because of its form. But **simple or parol promises** — today's everyday contracts — were not enforceable until the writ of ***assumpsit*** developed.

4.3 The rise of the enforceable simple contract in England

1. **The old actions (debt & covenant):** An action of **covenant** lay for breach of a promise *under seal*; the action of **debt** lay for a fixed sum owed, but required the actual giving of value, not merely a promise to pay in future.

2. **Slade's Case (1602):** The decisive turning point. A **mere promise to pay for goods** (an "executory" contract) became actionable in ***indebitatus assumpsit***. Henceforth, reciprocal promises — even where nothing had yet been performed — were enforceable. This is the birth of the modern simple contract.
3. **The doctrine of consideration:** As assumpsit grew, the courts required that a promise be **bought** — supported by **consideration** (something given, done or promised in exchange). Gratuitous promises came to be generally unenforceable, except deeds under seal.
4. **Form & evidence legislation:** The **Statute of Frauds, 1677** required certain contracts (e.g., guarantees, land, marriage) to be in writing — the origin of the "writing / registration" proviso in S.10.
5. **Equity:** The Chancellor's courts supplied equitable remedies (**specific performance, injunction, rescission**) where common-law damages were inadequate, and doctrines of good conscience (fraud, undue influence, restitution) which later reached India through English law.
6. **19th-century rationalisation:** English judges and legal historians systematised contract law around agreement, consideration and breach — the model India codified.

> *Sir William Holdsworth, History of English Law, Vol. III (p. 55), on how the common law & equity* ***evolved through changing principle****: a body of law that grows with the nation necessarily acquires fixed principles, yet must remain able to suppress practices that, "under ever new disguises, seek to weaken or negative them."* (Quoted in the DU casebook in the context of the expansion of doctrine.)

4.4 The road to the Indian Contract Act, 1872

- **Pre-1872 India:** In the **Presidency towns** (Calcutta, Madras, Bombay) English common law applied; in the **mofussil** (interior), courts applied personal laws and, in gaps, **"justice, equity and good conscience"** (largely meaning English rules of equity & good conscience adapted to Indian conditions). There was **no single, uniform law of contract** — different communities were governed by different rules, and trade depended on local **usage and custom**.
- **Charter Act 1833 & the Law Commissions:** The Charter Act 1833 set up the first Indian Law Commission to consolidate and codify the law. The **First Law Commission (1834–35)** and later Commissions worked toward codification.
- **The 1866 Commissioners' draft:** The Bill was based on **"a report of Her Majesty's Commissioners appointed to prepare a body of substantive law for India, dated 6 July 1866."** (See the footnote to the Act's title.) The draft was discussed in Council (1867–1872) and vetted by a Select Committee (report dated 28 March 1872).
- **Enactment:** The Indian Contract Act was enacted as **Act IX of 1872 on 25 April 1872** and came into force on **1 September 1872** across the whole of British India. It was a codification of the English common law of contract, suitably Indianised.

> PREAMBLE, INDIAN CONTRACT ACT, 1872 (ACT NO. 9 OF 1872)
>
> "Whereas it is expedient to **define and amend certain parts of the law relating to contracts**; It is hereby enacted as follows...."

> SECTION 1 — SHORT TITLE, EXTENT & COMMENCEMENT; SAVING
>
> "...It extends to the whole of India and it shall come into force on the **first day of September, 1872**.
>
> *Saving* — Nothing herein shall affect the provisions of any Statute, Act or Regulation not hereby expressly repealed, **nor any usage or custom of trade**, nor any incident of any contract, not inconsistent with this Act."

4.5 Original structure of the 1872 Act & later amendments

The original Act also contained chapters later hived off into separate statutes as commerce grew more specialised:

- **Chs. I–VI (retained in the parent Act):** Communication/acceptance/revocation (Ss.3–9); Contracts, voidable contracts & void agreements (Ss.10–30); Contingent contracts (Ss.31–36); Performance (Ss.37–67); Relations resembling those created by contract / quasi-contracts (Ss.68–72); Consequences of breach (Ss.73–75).
- **Ch. VII (Sale of Goods)** — repealed & replaced by the **Indian Sale of Goods Act, 1930** (from 1 July 1930).
- **Ch. XI (Partnership)** — repealed & replaced by the **Indian Partnership Act, 1932** (from 1 October 1932).
- Chapters on **Indemnity & Guarantee** (Ch. VIII, Ss.124–147), **Bailment & Pledge** (Ch. IX, Ss.148–181) and **Agency** (Ch. X, Ss.182–238) remain within the Act.

> **Post-1872 supplementation (the statutes the DU syllabus lists as "Prescribed"):** the **Specific Relief Act, 1963** (equitable remedies — specific performance & injunction); the **Indian Majority Act, 1875** (fixes the age of majority for capacity, S.11); and the **Information Technology Act, 2000** (legal recognition of **e-contracts** and electronic records) — reflecting how the law of contract has evolved into the digital age (studied as E-Contracts, Topic 11).

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4B Visual Timeline of the Law of Contract

From antiquity to the modern Indian statute — a condensed roadmap.

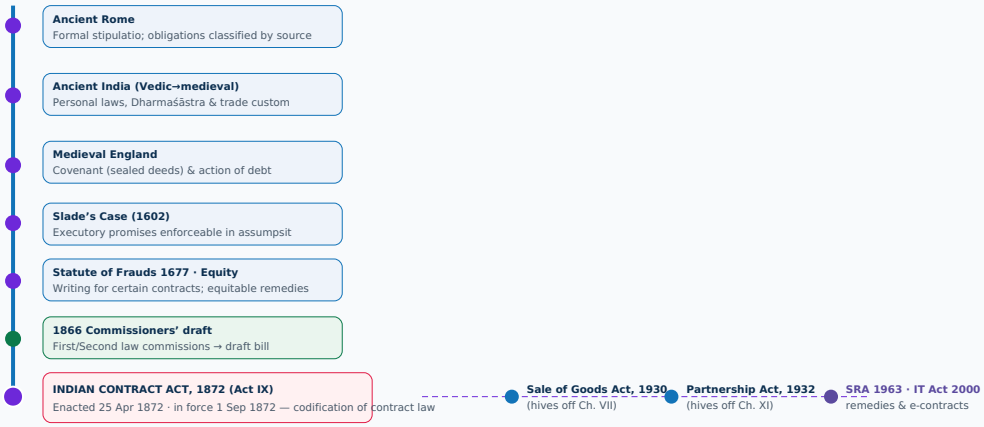


Fig 4.1 — Historical timeline: the enforceable promise travels from Roman & ancient-Indian formal transactions through English assumpsit to a single Indian codified Act, then breaks out into specialised statutes.

5 Classification / Kinds of Contracts

Classify a contract by validity, formation, and performance — a guaranteed DU question.



Fig 5.1 — Three ways to classify any contract. A single contract may be, e.g., a valid, express, bilateral contract.

5.1 On the basis of validity

Type	Meaning	Section	Example / note
Valid contract	Satisfies all essentials of S.10; enforceable by both parties.	S.10	A agrees to sell a house for ₹10,000 (S.23 illus. (a)).
Void agreement	Not enforceable from the very start (*ab initio*); no legal effect.	S.2(g)	Agreement with a minor; agreement without consideration; wagering agreements (S.30).
Void contract	Valid when made, later ceases to be enforceable and becomes void.	S.2(j)	Supervening impossibility (S.56); e.g., a contract to marry becomes void when one party goes mad (S.56 illus. (b)).
Voidable contract	Enforceable at the option of **one** party only (the aggrieved party); valid until rescinded.	S.2(i)	Consent caused by coercion, fraud, misrepresentation (S.19) or undue influence (S.19A).
Illegal agreement	Object/consideration forbidden or immoral; **void** and the parties may even be punished.	Ss.23–24	Every illegal agreement is void, but not every void agreement is illegal (e.g., a wager is void but not illegal).

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Type	Meaning	Section	Example / note
Unenforceable contract	Good in substance but defective in form/ evidence (e.g., not registered/not in writing) — enforceable once the defect is cured.	Proviso to S.10; S.25	An agreement required to be registered but unregistered.

5.2 Void v. Voidable — the comparison examiners demand

Basis	Void agreement / contract	Voidable contract
Section	S.2(g) (void agreement) & S.2(j) (void contract)	S.2(i)
Nature	Void *ab initio* or becomes void; has **no legal effect**.	Valid & binding until the aggrieved party rescinds.
Option	Void for both parties; no one can enforce it.	Only the party whose consent was not free may enforce or rescind.
Cause	Minority, no consideration, unlawful object, impossibility, mistake of both parties (S.20).	Coercion, undue influence, fraud, misrepresentation (Ss.19, 19A).
Remedy	Generally no damages; restitution of advantage may be ordered under S.65.	Aggrieved party may claim damages or rescind (Ss.64–66, 75).
Illustration	A horse is dead at the time of sale but neither party knows → void (S.20 illus. (b)).	A forces B by threat to sell a scooter at ₹50 → voidable at B's option.

6 Sources of Indian Contract Law & the Scheme of the Act

Where the rules come from, and how the statute is organised.

6.1 Sources

1. **The Indian Contract Act, 1872** — the primary, codified source for general principles (Ss.1–75 of present structure).
2. **Special statutes** governing particular contracts — e.g., **Sale of Goods Act, 1930**; **Indian Partnership Act, 1932**; **Negotiable Instruments Act, 1881**; **Transfer of Property Act, 1882** (contracts relating to immovable property are to be read as part of the Act in places where that Act is in force, per the note to the ICA title).
3. **Statutes supplementing capacity & remedies** — **Indian Majority Act, 1875** (S.11 capacity); **Specific Relief Act, 1963** (equitable remedies); **Limitation Act, 1963**; **Evidence Act, 1872**.
4. **E-contracts law** — **Information Technology Act, 2000** (Ss.3–5, 10–17 etc.), which legally recognises electronic records & signatures.
5. **English common law & equity** — the ICA is drafted on English lines; courts may look to English authorities **"so far as they are applicable to Indian conditions"** where the statute is silent (a principle echoed throughout the DU casebook).
6. **Usage & custom of trade** — expressly saved by S.1 (e.g., the *damdupat* custom limiting interest, long recognised in Calcutta & Bombay).
7. **Judicial precedent** — case-law (including the DU case-material cases) interprets and develops the statute.

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6.2 Scheme of the Indian Contract Act, 1872 (as it stands)

Preliminary — Ss.1–2
Short title, extent, commencement, saving (S.1); the master **interpretation-clause** defining proposal, promise, agreement, void, contract, voidable (S.2).

Ch. I — Ss.3–9
Communication, acceptance & revocation of proposals; when communication is complete; modes of revocation; acceptance must be absolute; express & implied promises.

Ch. II — Ss.10–30
Contracts, voidable contracts & void agreements: capacity, free consent, coercion, undue influence, fraud, misrepresentation, mistake; what consideration/object is unlawful; void agreements (no consideration, restraint of marriage/trade/legal proceedings, uncertainty, wager).

Ch. III — Ss.31–36
Contingent contracts.

Ch. IV — Ss.37–67
Performance of contracts (obligation, by whom performed, time & place, reciprocal promises, frustration S.56, novation S.62, restitution S.65).

Ch. V — Ss.68–72
Certain relations resembling those created by contract (quasi-contracts): necessaries, reimbursement, non-gratuitous acts, finder of goods, money paid by mistake/coercion.

Ch. VI — Ss.73–75
Consequences of breach — compensation for loss/damage (S.73), penalty/liquidated damages (S.74), party rightfully rescinding entitled to compensation (S.75).

Chs. VIII–X
Indemnity & guarantee (Ss.124–147); bailment & pledge (Ss.148–181); agency (Ss.182–238).

7 Master Definitions — Section 2, Interpretation Clause

"Unless a contrary intention appears from the context, the following words are used in the following senses."

S.2(a) Proposal
One person **signifies to another his willingness** to do/abstain from doing anything **with a view to obtaining that other's assent**. (≈ an "offer".)

S.2(b) Acceptance
When the offeree **signifies assent** to the proposal. A proposal when accepted becomes a **promise**.

S.2(c) Promisor / Promisee
The person making the proposal = **promisor**; the person accepting it = **promisee**.

S.2(d) Consideration
When, at the **desire of the promisor**, the promisee or any other person **has done/abstained, or does/abstains, or promises to do/abstain** from something — that act/abstinence/promise is consideration.

S.2(e) Agreement
Every **promise and every set of promises** forming consideration for each other.

S.2(f) Reciprocal promises
Promises which form the consideration or part of the consideration **for each other**.

S.2(g) Void agreement
An agreement **not enforceable by law** — it is void from the start.

S.2(h) Contract
An agreement **enforceable by law**.

S.2(i) Voidable contract
Enforceable by law **at the option of one or more parties**, but not at the option of the other(s).

S.2(j) Void contract
A contract which **ceases to be enforceable by law** becomes void when it so ceases.

Memory hook for S.2(d) consideration: it must be at the *desire of the promisor*, may move from the promisee **or any other person**, may be past / present / future, and may be an act, abstinence or a promise. Every limb is examinable — e.g., "consideration must move at the desire of the promisor" (see *Abdul Aziz*, Topic 4) and "may move from a stranger" (*Chinnaya v. Ramayya*, Topic 4).

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EXAMINATION QUESTION BANK // DU LL.B.

Previous Year Examination Questions (PYQs)

Q.01 20 MARKS State briefly the purpose, evolution and nature of the law of contract (or: describe the history and nature of contractual obligation).

◈ Refer website for detailed notes — makelaweasy.in ↗

Q.02 20 MARKS "An agreement enforceable by law is a contract." Define contract and explain the essential elements of a valid contract under the Indian Contract Act, 1872.

Q.03 20 MARKS "All contracts are agreements, but all agreements are not contracts." Explain with reference to the Indian Contract Act, 1872.

Q.04 20 MARKS Distinguish between (a) an agreement and a contract; and (b) a void agreement, a void contract and a voidable contract, with illustrations.

Q.05 20 MARKS Explain the historical background and development of the Indian Contract Act, 1872, and state why it is described as a codification of the law of contracts. What has been the contribution of common law and equity to it?

MODULE 02 // DU LL.B. PAPER LB-102 DU Cases 1–7 · 8 Exam PYQs

Formation of an Agreement — Offer, Acceptance, Communication & Revocation

1 Conceptual Map — How an Agreement is Formed

The skeleton of Ss. 2–10, from first offer to concluded contract.

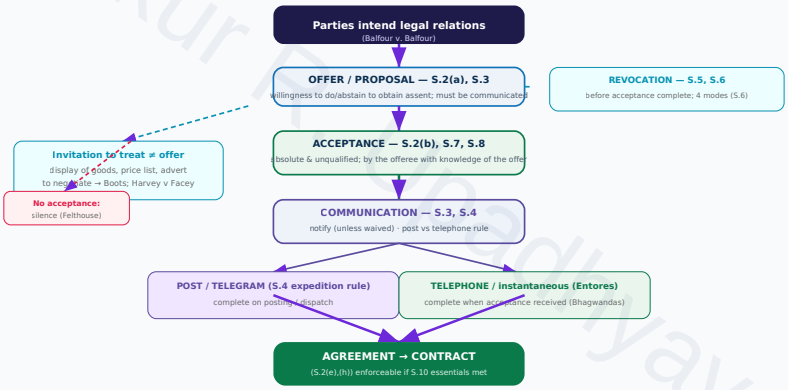


Fig 1.1 — The journey of formation. Master each box and the case attached to it.

2 Intention to Create Legal Relations

A pre-condition of enforceability — not written in S.10 but read into it from English law.

For an agreement to be a contract, the parties must **intend that their agreement be attended by legal consequences**. If there is no such intention, the arrangement is a mere **social, domestic or moral** agreement which the law will not enforce — even if it has all the other marks of a contract (offer, acceptance and even consideration). This requirement is not expressly stated in S.10 of the ICA; it is supplied by the **common-law** element of the statute and is best illustrated by **Balfour v. Balfour** (full digest in Case 3).

> *Atkin LJ, Balfour v. Balfour: such arrangements are "not contracts because **the parties did not intend that they should be attended by legal consequences**... each house is a domain into which the King's writ does not seek to run."*

Commercial / business agreements
Presumption that parties **intend to be legally bound**. Clear and strong evidence is needed to rebut it. Example: a business agreement to supply goods is enforceable.

Domestic / social agreements
Presumption of **no intention** to create legal relations. Rebuttable by clear evidence. Example: a husband–wife allowance arrangement (*Balfour*) is not a contract.

Rationale
To keep the courts free from trivial disputes and to respect the parties' own choice to keep an arrangement outside the law — honour, not the King's writ, governs the family dinner-table.

Rebutting the presumption
Express words (e.g., "this agreement is legally binding"), formal documents, or surrounding circumstances indicating legal intention rebut the domestic presumption; a clear "honour clause" rebuts the commercial one.

How Balfour is examined: the question "*X promises his wife £2,000/month; on divorce he refuses; can she sue?*" — answer with *Balfour*: a domestic arrangement while spouses live in amity is **not** intended to be legally binding and is **not a contract**. If they are separated/divorcing and intend a binding agreement, the result may differ.

3 Offer (Proposal) & Invitation to Treat

What is an offer, what is merely an invitation, and the cases that draw the line.

S.2(A) – "PROPOSAL"

"When one person **signifies to another his willingness to do or to abstain from doing anything, with a view to obtaining the assent** of that other to such act or abstinence, he is said to make a proposal."

3.1 Essentials of a valid offer

- **It must be capable of creating legal relations** (see §2).
- **It must be certain/definite** in its terms (not vague) — terms must be capable of being accepted as they are.
- **It must be communicated** to the offeree (S.3; also *Lalman Shukla* — no acceptance without knowledge of the offer).
- **It must be made with a view to obtaining the assent** of the other party — i.e., a promise that the proposer is willing to be bound by on acceptance.
- **It may be made to a specific person or to the world at large** (general offer — *Carlill*).
- **It may be express or implied** (S.9) — from words or from conduct.

3.2 Offer v. Invitation to treat — the conceptual line

An **offer** is a definite willingness to be bound on acceptance. An **invitation to treat** (or "offer to receive offers") is merely an inducement or invitation to the other side to **make an offer**; it is **not** itself an offer, so it cannot be "accepted" to form a contract. Everyday situations that are only invitations:

Situation	Nature	Authority / example
Goods displayed on a shop shelf with a price	**Invitation to treat**	*Pharmaceutical Society v. Boots* — the customer makes the offer at the cash point; the shop-keeper accepts.
Goods in a shop window / catalogue / advertisement	**Invitation to treat** (general)	Fisher v. Bell; Grainger v. Gough; *Harvey v. Facey* (a price quotation is not an offer).
Auction "notice of sale" & lots put up	**Invitation to treat**; each bid is an offer	Auctioneer may refuse a bid; the fall of the hammer is the acceptance.
Invitation to submit tenders	**Invitation to treat**; the tender is an offer	Studied under Topic 3 (tenders).
Reward advertisement promising payment for an act	**Offer to the world** (a true offer)	*Carlill v. Carbolic Smoke Ball Co.* — performance = acceptance.
Price list sent on enquiry	**Invitation to treat** / answer to enquiry	*Harvey v. Facey* ("lowest price £900" = not an offer).

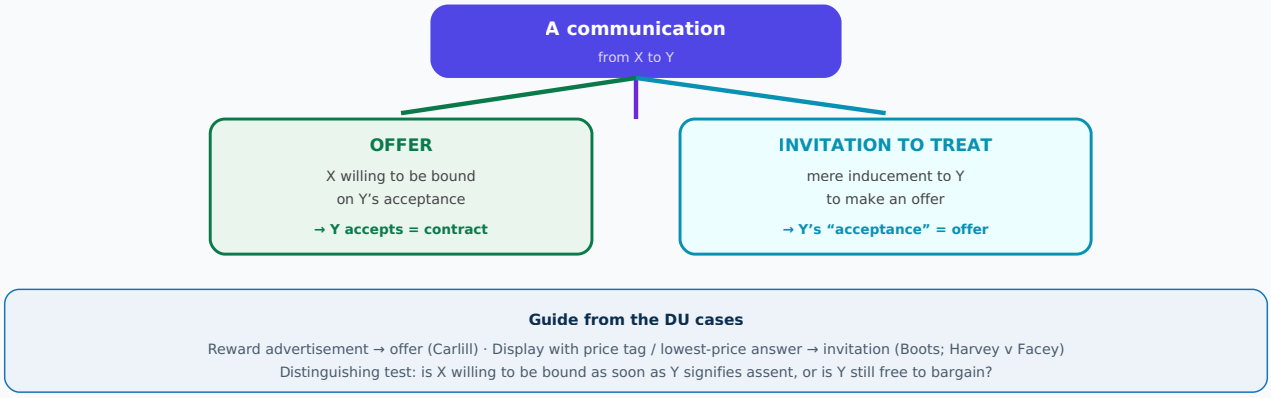


Fig 3.1 — Offer v. invitation to treat decision tree with the two controlling DU cases.

Do not confuse: the **shopkeeper** displaying goods does not make an offer (*Boots*); but a person who issues a **reward advertisement** promising money for an act **does** make an offer to the whole world (*Carlill*). The difference is the nature of the promise: a specific reward promise invites acceptance by an act; a display invites negotiation.

4 Kinds of Offer

Classify offers — a favourite short-note / concept question.

Express offer
Made in **words** — spoken or written (S.9). Example: a written quotation letter.

Implied offer
Inferred from **conduct or circumstances** (S.9). Example: a bus plying on a route is an implied offer to carry passengers for the fare.

Specific offer
Made to a **particular person**; only that person may accept.

General offer
Made **to the world at large**; anyone performing the condition accepts (*Carlill*).

Standing / continuing offer
Remains open for acceptance over a period (e.g., an open tender). Each requisition/order operates as a separate acceptance.

Counter-offer
A reply which **varies or adds to** the terms of the offer. It **rejects the original offer** and amounts to a fresh offer (S.7 — acceptance must be absolute & unqualified). Example: "I'll pay £30, not 30 guineas."

Cross-offers
Two identical offers crossing in the post, each made in ignorance of the other. Generally **no contract** — neither is an acceptance of the other (no communication of acceptance).

Conditional offer
An offer subject to a condition (e.g., reward payable only if the act is done). The condition must be fulfilled to accept.

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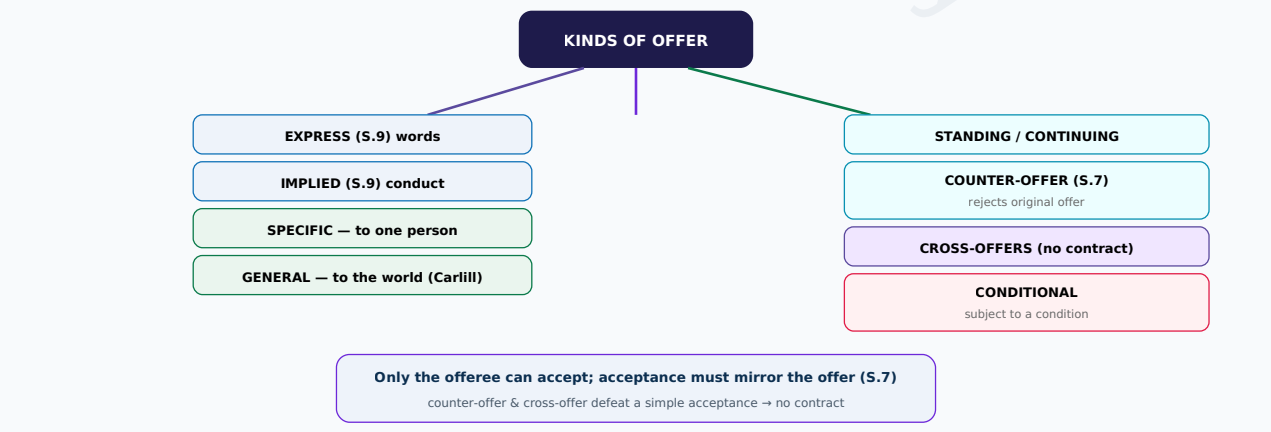


Fig 4.1 — A ready classification. Cite Carlill (general), S.7 (counter-offer), Felthouse (offeree's option).

5 Acceptance & its Communication

S.2(b), S.7, S.8, S.9 + S.3–4 rules of communication — the cases of Carlill, Lalman, Bhagwandas & Felthouse.

S.2(B)

"When the person to whom the proposal is made **signifies his assent** thereto, the proposal is said to be accepted. A proposal, when accepted, becomes a promise."

S.7 — ACCEPTANCE MUST BE ABSOLUTE

In order to convert a proposal into a promise, the acceptance must — (1) be **absolute and unqualified**; (2) be expressed in some **usual and reasonable manner**, unless the proposal prescribes the manner of acceptance.

S.8 — ACCEPTANCE BY PERFORMING CONDITIONS

"Performance of the conditions of a proposal, or the acceptance of any consideration for a reciprocal promise… is an acceptance of the proposal."

5.1 Rules of a valid acceptance

- **Acceptance must be absolute & unqualified (S.7):** a conditional or variant acceptance is really a **counter-offer** and destroys the original offer.
- **Acceptance must be by the offeree (and, for a general offer, by anyone with knowledge who performs):** only the person to whom the offer is made can accept it.
- **Acceptance must be given with knowledge of the offer:** no contract where the act was done in ignorance of the offer — *Lalman Shukla v. Gauri Datt*.
- **Acceptance must be communicated, unless the offer dispenses with it (S.3):** the offeror may waive communication, as in a reward advertisement (*Carlill* — performance is enough).
- **Acceptance must be within a reasonable time** (or within the time prescribed); otherwise the offer lapses (S.6(2)).
- **Acceptance must be in the mode prescribed, or a usual & reasonable mode (S.7(2))**.
- **Silence is not acceptance** unless the offeree does something — an offeror cannot impose a contract by saying "if I hear nothing, you have accepted" — *Felthouse v. Bindley*.
- **Acceptance may be express or implied from conduct (S.9)**.
- **Mental assent alone is insufficient:** there must be an external manifestation of assent (per Bhagwandas — "a mere state of mind does not create a contract").

5.2 Communication of proposal & acceptance — S.3 & S.4

S.3 — COMMUNICATION BY ACT OR OMISSION

Communication of proposals, acceptances and revocations "are deemed to be made by any act or omission of the party… by which he intends to communicate… or which has the effect of communicating it."

S.4 — WHEN COMMUNICATION IS COMPLETE

- Communication of a **proposal** is complete when it **comes to the knowledge** of the offeree.
- Communication of an **acceptance** is complete — **as against the proposer**, when it is **put in a course of transmission** to him (out of the acceptor's power); **as against the acceptor**, when it **comes to the knowledge** of the proposer.
- Communication of a **revocation** is complete — **as against the maker**, when put into course of transmission; **as against the other party**, when it comes to his knowledge.

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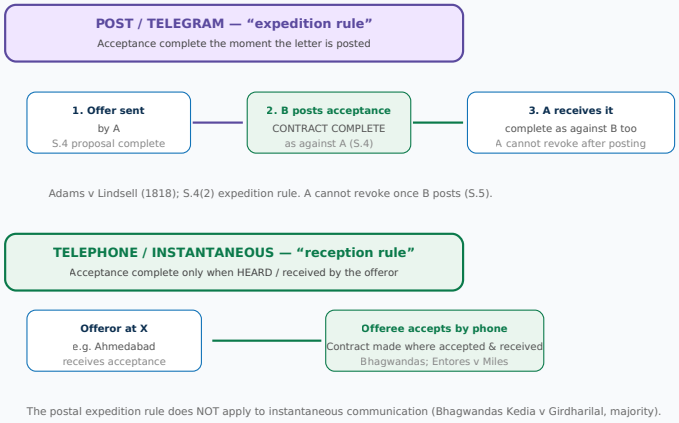


Fig 5.1 — Two regimes of acceptance by S.4. Both are essential to answer Bhagwandas and short-notes on "communication of acceptance."

When is acceptance complete? • **Post/telegram:** complete as against the offeror on **posting/dispatch**; as against the acceptor on **receipt**. • **Telephone/instantaneous:** complete when **heard/received** by the offeror (place of contract = where acceptance is received). • **Face to face / by conduct:** instantaneous — completes when communicated.

6 Revocation of Offer & Acceptance

S.5 & S.6 — when a proposal/acceptance may be revoked and how.

S.5 — REVOCATION OF PROPOSALS AND ACCEPTANCES

"A proposal may be revoked **at any time before the communication of its acceptance is complete as against the proposer**, but not afterwards.

An acceptance may be revoked **at any time before the communication of the acceptance is complete as against the acceptor**, but not afterwards."

S.6 — REVOCATION HOW MADE

A proposal is revoked — (1) by the **communication of notice of revocation** by the proposer to the other party; (2) by the **lapse of the time** prescribed for acceptance, or (if no time) by the lapse of a **reasonable time** without acceptance; (3) by the **failure of the acceptor to fulfil a condition precedent** to acceptance; or (4) by the **death or insanity of the proposer**, if the fact comes to the acceptor's knowledge before acceptance.

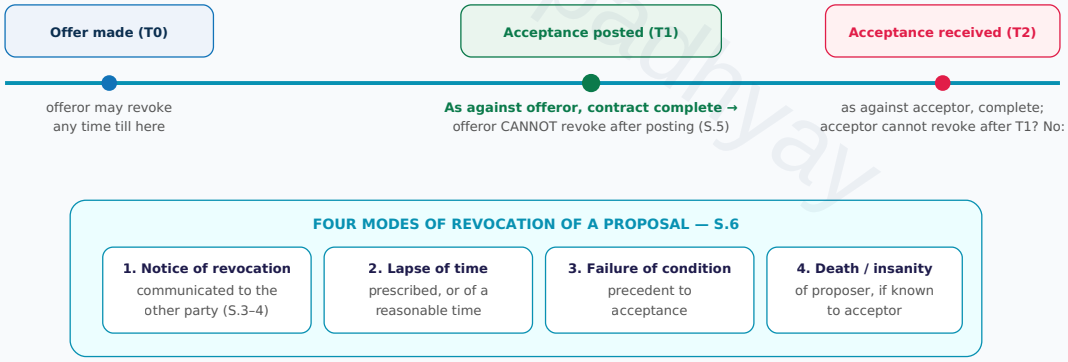


Fig 6.1 — Revocation timeline & S.6 modes. Note: an acceptance can be revoked only before its communication is complete as against the acceptor.

Key examination rule (post): B posts acceptance on Monday; A posts revocation on Tuesday which reaches B on Wednesday. Since acceptance was **complete as against A on Monday** (posting), A's revocation is **ineffective** and a contract exists. But A may revoke his **offer** any time **before** the acceptance is posted (S.5 first para).

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The Seven DU Case-Digests

Each given in the DU format — Facts · Issue(s) · Arguments (both sides) · Decision · Principle. A "hypothetical scene" visual accompanies each case.

CASE 1 · Carlill v. Carbolic Smoke Ball Co.

[1891–94] All ER 127; (1893) 1 Q.B. 256 (Court of Appeal, England)

General offer to the world | Unilateral contract | Acceptance by performance | Consideration

HYPOTHETICAL SCENE — THE ADVERTISEMENT

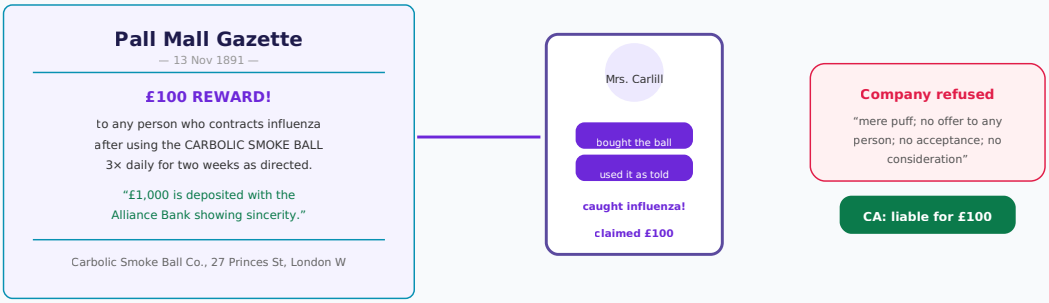


Fig C1 — An advertisement promising a reward is an offer to the world; performing its conditions is the acceptance.

FACTS

On 13 Nov 1891 the defendants (Carbolic Smoke Ball Co.) advertised in the *Pall Mall Gazette* that they would pay **£100 reward** to any person who contracted influenza (or a cold etc.) after using the Carbolic Smoke Ball three times daily for two weeks according to the printed directions, and stated that **£1,000 had been deposited with the Alliance Bank** to show their sincerity. The plaintiff, Mrs. Carlill, read the advertisement, bought a smoke ball from a chemist, and used it three times daily for several weeks as directed. She nevertheless contracted influenza on/about 17 Jan 1892 and claimed the £100. The company refused. She sued. Hawkins J. found for the plaintiff; the company appealed.

ISSUE(S)

- Whether the advertisement was a **binding offer** or a mere "puff" with no contractual intent.
- Whether an offer "to all the world" can be accepted to form a contract with anyone who performs.
- Whether **communication of acceptance** was required.
- Whether there was any **consideration** for the promise.

ARGUMENTS FOR THE COMPANY (DEFENDANT/APPELLANT)

- It was only a **puff / advertising proclamation**, not intended to create legal relations; no sane advertiser could intend to bind himself.
- An **offer cannot be made to the world** — no "contract with all mankind."
- There was **no notification of acceptance** by Mrs. Carlill.
- The promise was **too vague** (no time-limit for catching influenza).
- There was **no consideration** — using the ball conferred no benefit on the company (a *nudum pactum*).

ARGUMENTS FOR MRS. CARLILL (PLAINTIFF/RESPONDENT)

- The deposit of £1,000 negatives a mere puff and shows genuine intention.
- It was a **reward offer to the world**; whoever performs the condition accepts (Williams v. Carwardine).
- Notification of acceptance is **dispensed with** — performance itself is the acceptance.
- She **used the ball and suffered the inconvenience/ detriment** at the company's request.

DECISION

Appeal dismissed — for the plaintiff (Lindley, Bowen and A.L. Smith LJJ).

REASONING & PRINCIPLE EVOLVED

- **A true offer:** the deposit of £1,000 and the clear language of reward show it was an **offer intended to be acted upon**, not a puff.
- **Offer to the world:** "It is an offer made to all the world… which is to ripen into a contract with anybody who comes forward and performs the conditions" (Bowen LJ). A unilateral offer — the offeror is bound once the condition is performed.

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- **Acceptance by performance, no notification needed:** where the offer expressly/impliedly indicates performance is a sufficient acceptance, notification is dispensed with (S.8 ICA reflects this: performance of the conditions is acceptance). The offeror gets notice of acceptance contemporaneously with performance.
- **Consideration:** the plaintiff's act of buying and using the ball as directed was a **detriment/inconvenience** suffered at the defendants' request; and the company derived a **benefit** — the public's increased confidence and sales. Ample consideration.
- **Vagueness resolved by reasonable/business construction** — protection during use or within a reasonable time.

> *Bowen LJ: "It is not a contract made with all the world... the contract is made with that **limited portion of the public who come forward and perform the conditions** on the faith of the advertisement."*

CASE 2 · Pharmaceutical Society of Great Britain v. Boots Cash Chemists (Southern) Ltd.

[1952] 2 All ER 456 (QBD, Lord Goddard CJ)

Display of goods = invitation to treat | Customer makes the offer | Self-service shop

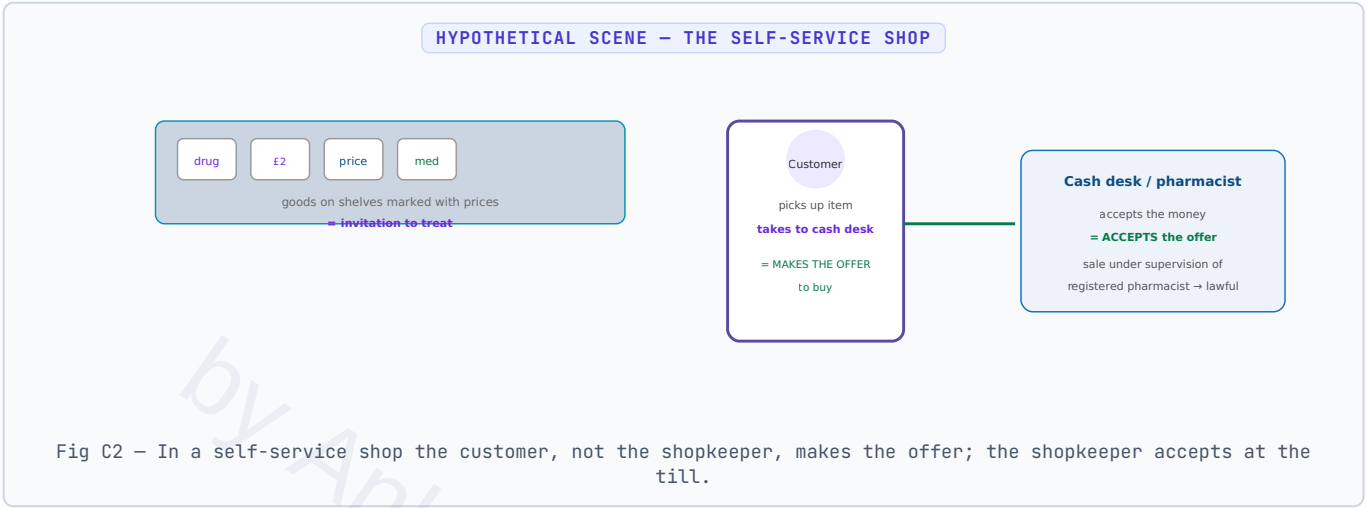


Fig C2 — In a self-service shop the customer, not the shopkeeper, makes the offer; the shopkeeper accepts at the till.

FACTS

Boots ran a "self-service" shop. In the chemist's department, goods containing poisons (within Part I of the Poisons List under s.18(1) of the **Pharmacy and Poisons Act, 1933**) were displayed on shelves, priced, for customers to pick up and take to a cash desk. The statute made it unlawful to **sell** such poisons except by or under the supervision of a registered pharmacist. A pharmacist was stationed at the cash desk. The question, by way of a stated case, was whether a **sale** occurred when a customer picked up the goods (in which case the unsupervised moment would be unlawful) or only when the money was taken at the cash desk under the pharmacist's supervision.

ISSUE

Whether the display of goods on shelves is an **offer** by the shopkeeper (accepted when the customer picks up the goods), or merely an **invitation to treat** so that the **customer makes the offer**, completed only when the shopkeeper accepts at the till.

ARGUMENTS FOR THE PHARMACEUTICAL SOCIETY (PLAINTIFF)

- Self-service is a new mode of trading: exposing priced goods and inviting customers to "help yourself" is an **offer to sell**; picking up the item is the acceptance → a sale occurs on the shelf (hence not under supervision).

ARGUMENTS FOR BOOTS (DEFENDANT)

- There is nothing revolutionary; exposure of goods is only an **invitation to treat**; the customer's act is an **offer to buy**; the sale is complete only when the shopkeeper accepts — at the cash desk under a pharmacist.

DECISION

Judgment for the defendants (Boots) — no unlawful sale on the shelf.

REASONING & PRINCIPLE EVOLVED

- **Exposure of goods with price tags is only an invitation to treat, not an offer to sell.** The customer, by selecting the goods, **makes an offer to buy**; the shopkeeper is free to accept or decline.
- Lord Goddard CJ: holding otherwise would produce absurd consequences — property would pass the instant an article is picked up, and a customer could neither change his mind nor be refused, nor could the shopkeeper reserve an article for another.
- A self-service transaction is thus no different from an ordinary shop sale: acceptance occurs at the cash desk, under the pharmacist's supervision, making the sale lawful.

by Ankur R. Upadhyay

> *Lord Goddard CJ: "The mere fact that a customer picks up a bottle of medicine from a shelf does not amount to an acceptance of an offer to sell, but is an **offer by the customer to buy**."*

CASE 3 · Balfour v. Balfour

(1918-19) All ER 860 (Court of Appeal)

Intention to create legal relations | Domestic agreement | Husband & wife

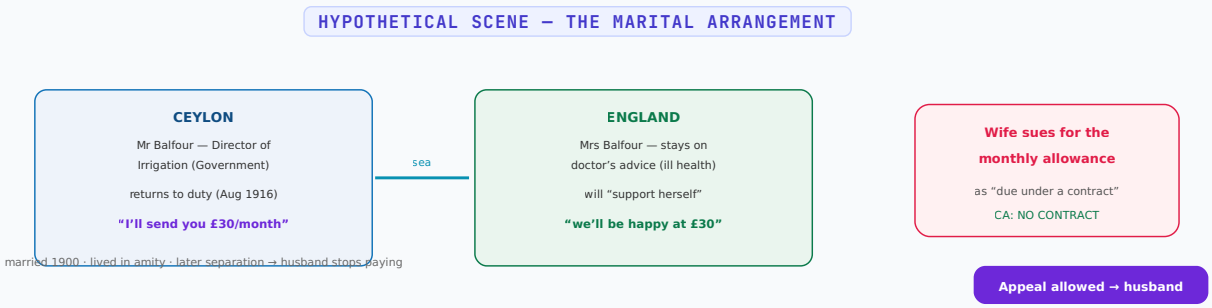


Fig C3 — A domestic allowance promise between spouses in amity is not intended to create legal relations → not a contract.

FACTS

The Balfours married in 1900 and lived in Ceylon, where the husband was Director of Irrigation under the Government. In Nov 1915 the couple returned together to England on leave. In Aug 1916, when his leave expired, the husband had to return to Ceylon, but on medical advice the wife remained in England. Just before he sailed (8 Aug 1916) the husband orally agreed to pay her **£30 a month** as an allowance while she stayed in England, and she agreed to support herself without claiming maintenance. Their relationship later broke down; the husband stopped the payments; the wife sued for the allowance. Sargant J. at first instance held there was a binding contract supported by consideration and found for the wife. The husband appealed.

ISSUE

Whether an arrangement between a husband and wife living in amity — an allowance for the wife during temporary separation — constitutes a **contract enforceable in law**.

ARGUMENTS FOR THE WIFE (RESPONDENT)

- A definite bargain existed (parol evidence + letters re-affirming the £30).
- She promised to support herself — there was **consideration** for the husband's promise.
- Contracts between spouses are capable of existing in modern law.

ARGUMENTS FOR THE HUSBAND (APPELLANT)

- It was only a **domestic arrangement** between spouses in amity — no intention to create legal relations.
- No real bargain by the wife; she never agreed to accept £30 in full satisfaction of his duty to maintain her in all circumstances.
- To imply such permanent mutual obligations would be absurd.

DECISION

Appeal allowed — no contract; judgment for the husband (Warrington, Atkin and Duke LJJ).

REASONING & PRINCIPLE EVOLVED

- **Intention to create legal relations is an essential element** of a contract.
- Agreements between husband and wife while living in amity, and other purely domestic/social arrangements, are **not intended to be attended by legal consequences**, and are therefore **not contracts** — even though consideration in form may exist.
- Atkin LJ: such promises are governed by the "domestic code" of love and honour, not by the courts — "each house is a domain into which the King's writ does not seek to run."
- Had the parties been separated and intended a binding agreement, the result might differ; here there was no such intention.

> *Atkin LJ: "They are not contracts because the parties did not intend that they should be attended by legal consequences... The*

> *consideration that really obtains for them is that natural love and affection which counts for so little in these cold courts."*

CASE 4 · Lalman Shukla v. Gauri Datt

(1913) XL ALJR 489 (Allahabad High Court, Banerji J.)

Knowledge of offer is essential | Reward + pre-existing duty | No contract

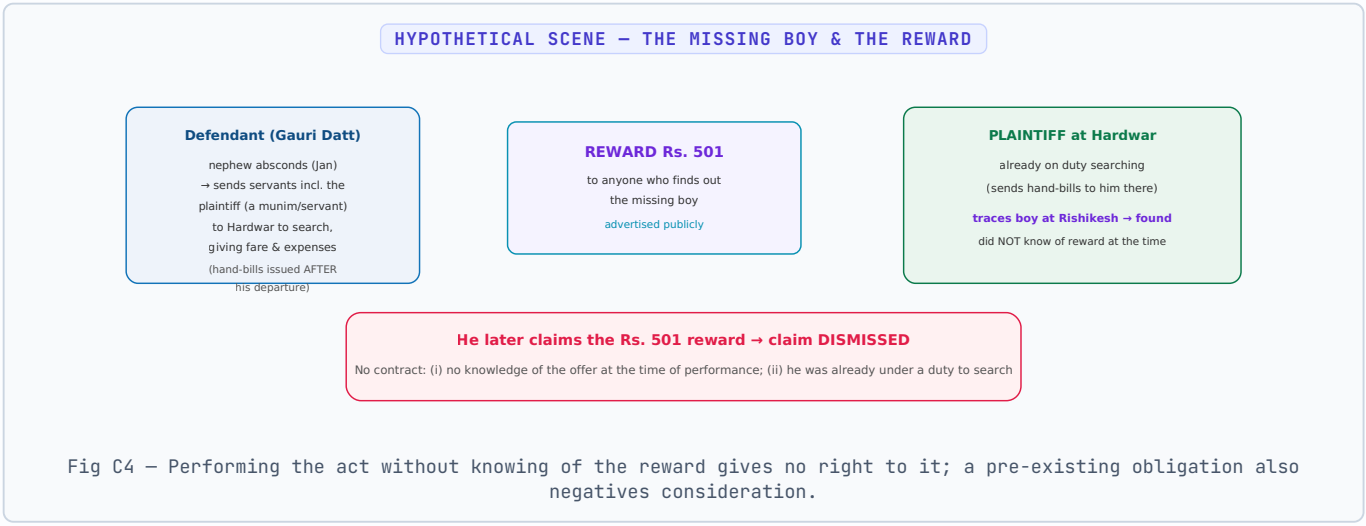


Fig C4 — Performing the act without knowing of the reward gives no right to it; a pre-existing obligation also negatives consideration.

FACTS

In January, the defendant's nephew absconded. The defendant sent his servants in search, including the plaintiff, who was the **munim** (manager/servant) of his firm; the plaintiff was sent to Hardwar with money for fare and expenses. **After** the plaintiff had left, the defendant issued hand-bills offering a **reward of Rs. 501** to anyone who found the boy (some hand-bills were later sent to the plaintiff at Hardwar). The plaintiff traced the boy at Rishikesh and informed the defendant, who brought the boy back. The defendant gave the plaintiff two sovereigns and later twenty rupees. On the plaintiff's claim for the balance of Rs. 499, he alleged the defendant had promised the reward when sending him, but that allegation was found untrue — the hand-bills were issued after his departure. The lower court dismissed the claim; the plaintiff applied in revision.

ISSUE

Whether the plaintiff, who found the boy **without knowledge** of the reward offered by advertisement, is entitled to claim the reward on the basis of a contract.

ARGUMENTS FOR THE PLAINTIFF

- Merely tracing the boy entitled him to the advertised reward; **privity and even knowledge/motive were not essential**.
- Relied on Williams v. Carwardine and Gibbons v. Proctor — performance of the act alone suffices.

ARGUMENTS FOR THE DEFENDANT

- His claim can rest only on a **contract**, which needs an **acceptance** and an **assent**; there was none.
- The plaintiff was **already under an obligation** (as servant sent to search) to do what he did, so his act was not consideration.

DECISION

Claim dismissed; revision rejected — no contract.

REASONING & PRINCIPLE EVOLVED

- An action like this can be founded **only on a contract**.
- **Knowledge of the offer is essential for acceptance.** "There can be no acceptance unless there is a knowledge of the offer. Motive is not essential but **knowledge and intention are**."
- Where a reward advertisement is published and the act performed **with knowledge of the offer**, performance raises an inference of acceptance (S.8) and a claim arises — but **not** where the act preceded knowledge.
- Additionally, the plaintiff was **already under a subsisting obligation** to search as the defendant's servant; the performance of the act therefore could not be fresh consideration for the defendant's promise.

> *Banerji J.: "In order to constitute a contract, there must be an acceptance of offer and there can be no acceptance unless there is a **knowledge of the offer**."*

CASE 5 · Bhagwandas Goverdhandas Kedia v. Girdharilal Parshottamdas & Co.

AIR 1966 SC 543 (Supreme Court of India)

Contract by telephone | Instantaneous communication rule | Place of contract | S.3-S.4

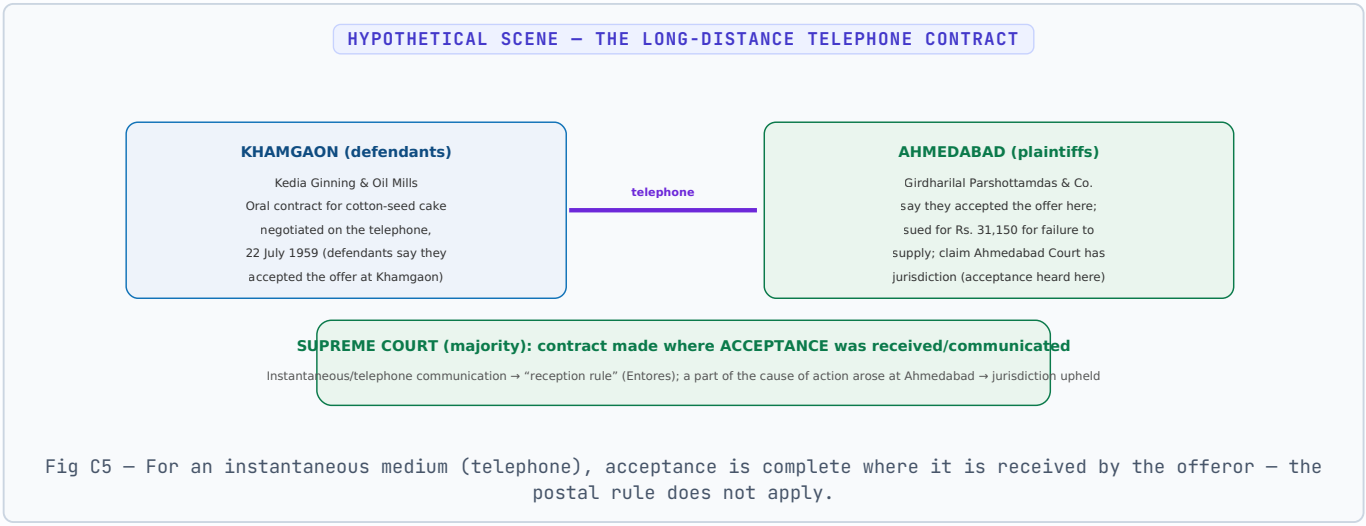


Fig C5 — For an instantaneous medium (telephone), acceptance is complete where it is received by the offeror — the postal rule does not apply.

FACTS

The plaintiffs (Girdharilal Parshottamdas & Co., Ahmedabad) sued the defendants (Kedia Ginning Factory & Oil Mills, Khamgaon) in the City Civil Court, Ahmedabad for **Rs. 31,150**, alleging the defendants had failed to supply cotton-seed cake agreed under an **oral contract of 22 July 1959 negotiated by long-distance telephone**. The plaintiffs claimed part of the cause of action arose at Ahmedabad because they had **accepted** the defendants' offer there (the offer to sell having been accepted over the phone at Ahmedabad), and delivery/payment were tied to Ahmedabad. The defendants contended that the **plaintiffs had offered to purchase** and they (the defendants) had accepted at **Khamgaon**, so no part of the cause arose within the Ahmedabad court's jurisdiction. The trial court held part of the cause of action arose at Ahmedabad. The matter reached the Supreme Court.

ISSUE

Where is a contract made when it is concluded **by conversation over the telephone** — at the place where the acceptance is **spoken** (Khamgaon, per the postal rule) or where it is **received/heard** (Ahmedabad)? This determines territorial jurisdiction.

ARGUMENTS FOR THE DEFENDANTS (APPELLANTS)

- Ss. 3 & 4 apply uniformly to any mode of transmission; under S.4 the acceptance is complete as against the proposer once "put into a course of transmission," so the contract is made where the acceptance was spoken — Khamgaon.
- The English rules are inapplicable to our statutory scheme.

ARGUMENTS FOR THE PLAINTIFFS (RESPONDENTS)

- An offer (or a part of the cause of action) made at Ahmedabad gives jurisdiction.
- A contract requires **intimation of acceptance to the offeror**, so the contract is made where that intimation is **received** — Ahmedabad.

DECISION

Majority (per Shah J.): for the respondents — a part of the cause of action arose at Ahmedabad, where acceptance was communicated; jurisdiction of the Ahmedabad court upheld. Hidayatullah J. delivered a separate opinion.

REASONING & PRINCIPLE EVOLVED (MAJORITY — SHAH J.)

- An agreement needs a real "meeting of minds"; there must be an external manifestation of assent, and **acceptance must be communicated to the offeror** unless waived or dispensed with by the course of dealing.
- S.4 deals with the **completion of communication**, not the place; but it supports that a contract is complete when and where the acceptance is communicated.
- The **postal/expedition rule** is an exception based on commercial convenience; it applies to **post and telegrams** where a third agency intervenes.
- By telephone the parties are, in a real sense, **in the presence of each other**; communication is **instantaneous**, with no independent intervening agency. Hence the ordinary rule applies: **acceptance is complete only when received by the offeror, and the contract is made where the acceptance is received.**
- Following **Entores Ltd. v. Miles Far East Corpn. [1955] 2 QB 327**, the place of contract for instantaneous communication is where acceptance is received.

> *Shah J. (adopting Entores): a contract made by telephone is complete only when the acceptance is* ***received/heard by the***

> *offeror, and is made at the place where the acceptance is received.*

NOTE — HIDAYATULLAH J.'S SEPARATE VIEW

Hidayatullah J. agreed in the result but reasoned differently: he read **S.4** literally and felt that, once spoken into the telephone, the acceptance is "put into a course of transmission" as against the proposer, so the contract would be complete at Khamgaon. He enumerated four telephonic scenarios (fully heard; failure known to acceptor; failure not known and no repeat asked; failure notified) and treated only genuine effective communication as binding. However, the **ratio laid down by the majority is the "reception rule"** — accepted by later Indian and common-law authority as the law for instantaneous modes such as telephone and telex/fax/email.

CASE 6 · Harvey v. Facey

[1893] AC 552 (Privy Council)

Mere statement of price ≠ offer | Invitation to treat / answer to enquiry | No contract

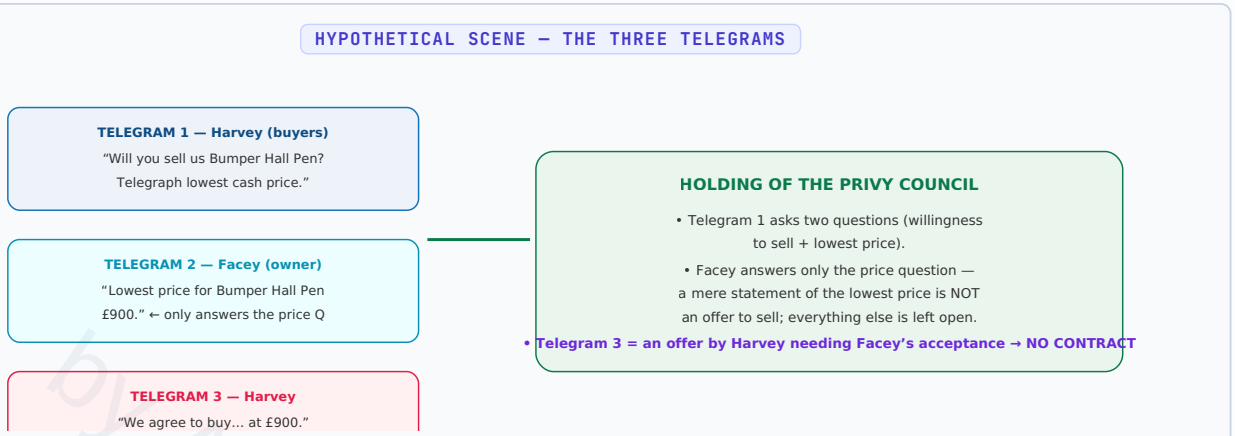


Fig C6 — Merely quoting a price in answer to an enquiry is not an offer; it leaves the negotiation open.

FACTS

The appellants (Harvey & others, solicitors at Kingston) had been negotiating with the respondent, L. M. Facey, for the purchase of his property, Bumper Hall Pen. On 7 Oct 1891 they telegraphed Facey (travelling on a train): **"Will you sell us Bumper Hall Pen? Telegraph lowest cash price — answer paid."** Facey replied: **"Lowest price for Bumper Hall Pen £900."** Harvey then telegraphed: **"We agree to buy Bumper Hall Pen for the sum of nine hundred pounds asked by you. Please send us your title deed…"** Facey did not complete the sale, and Harvey sued for specific performance. Their Lordships had to decide whether these telegrams constituted a concluded contract.

ISSUE

Whether Facey's telegram stating the **"lowest price"** (£900) was an **offer** capable of acceptance by Harvey's third telegram, or merely an **answer to an enquiry / information** (an invitation to treat), so that Harvey's third telegram was itself an offer not yet accepted.

ARGUMENTS FOR HARVEY (APPELLANTS)

- Facey's telegram should be read as answering "yes" to the first question (willingness to sell) and stating the price — i.e., an offer to sell at £900, which Harvey accepted.

ARGUMENTS FOR FACEY (RESPONDENT)

- He had only answered the enquiry as to price; he never offered to sell; no acceptance by him occurred.

DECISION

No contract — for the respondent (Facey).

REASONING & PRINCIPLE EVOLVED

- The first telegram asked two questions: willingness to sell, and the lowest price. Facey answered **only the price question**.
- A statement of the lowest price at which a person is willing to sell, in answer to an enquiry, **does not amount to an offer** — it does not bind the speaker to sell at that price to the enquirer; everything else is left open.
- Therefore Harvey's third telegram was itself an **offer** which required Facey's acceptance to complete a contract. Since Facey never accepted, there was no contract.
- **Principle:** a mere statement of price or of intention, or an answer to a request for information, is an **invitation to treat**, not a contractual offer.

by Ankur R. Upadhyay

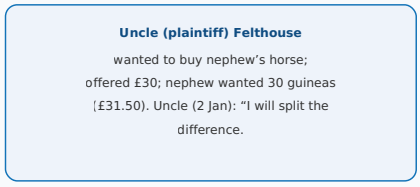
> *Their Lordships: "The mere statement of the lowest price at which the vendor would sell contains* ***no implied contract*** *to sell at that price to the persons making the inquiry."*

CASE 7 · Felthouse v. Bindley

(1862) 11 CB (NS) 869 (Common Pleas)

Silence is not acceptance | No communication of acceptance | Offeror cannot impose contract

HYPOTHETICAL SCENE — "IF I HEAR NOTHING, THE HORSE IS MINE"



If I hear no more about him, I consider the horse mine at £30/15s." Nephew intended uncle to have it, but never told him 25 Feb — auction Nephew sells farming stock by auction; told auctioneer (Bindley) the horse was "already sold" to his uncle, so auctioneer left it out & later sold it by mistake to another Uncle sues the auctioneer in conversion for the horse He must first show the horse was HIS property → fails No acceptance communicated → property never passed to uncle → NO CONTRACT

Fig C7 — An offeror cannot bind the offeree merely by saying "if I hear nothing I shall treat the offer as accepted"; silence is not acceptance.

FACTS

The plaintiff (an uncle) had a nephew, John Felthouse, who owned a horse. In December 1860 they discussed its purchase — the uncle thought he had bought it for £30, the nephew that he had sold it for 30 guineas (£31.50). No complete bargain resulted. On 1 Jan 1861 the nephew wrote, clarifying that his price was 30 guineas. On 2 Jan the uncle replied offering to "split the difference" and said: **"If I hear no more about him, I consider the horse mine at £30/15s."** The nephew did not reply. On 25 Feb, when the nephew's farming stock was being sold by auction, the nephew told the auctioneer (the defendant, Bindley) that the horse was already sold to his uncle, so Bindley left it out of the sale — but later mistakenly sold it to a third person. The uncle sued Bindley (the auctioneer) for the horse/conversion, which required the uncle first to establish that the horse had become his property under a concluded contract with the nephew.

ISSUE

Whether there was a concluded contract between the uncle and the nephew so that **property in the horse passed to the uncle** before 25 Feb — in particular, whether the nephew's **silence** after the uncle's "if I hear nothing, I consider the horse mine" letter amounted to **acceptance**.

ARGUMENTS FOR THE UNCLE (PLAINTIFF)

- The nephew, by telling the auctioneer the horse was "already sold" to his uncle, evidenced that he had accepted and intended the uncle to have it.

ARGUMENTS FOR THE AUCTIONEER (DEFENDANT)

- No acceptance of the uncle's offer was ever **communicated** by the nephew; the uncle had no right to impose a sale by treating silence as acceptance.

DECISION

For the defendant — no contract; the horse never became the uncle's property.

REASONING & PRINCIPLE EVOLVED

- The uncle had **no right to impose upon the nephew a sale of the horse** merely by saying that, unless he wrote to repudiate, the uncle would consider the horse his.
- The nephew's mere intention in his own mind (even telling the auctioneer the horse was sold) was **not communicated to the uncle** and could not bind him.
- **Acceptance of an offer must be communicated to the offeror; silence by the offeree is not acceptance** (unless the offeree does something, or the offer contemplates acceptance by conduct).
- Property in the horse therefore never passed to the uncle, so he had no title to sue the auctioneer.

by Ankur R. Upadhyay

> *Willes J.: "the uncle had no right to impose upon the nephew a sale of his horse for £30/15s. unless he chose to comply with the condition of writing to repudiate the offer."*

7 Comparison Corner — one-glance tables

The distinctions this unit keeps asking you to make.

7.1 Offer v. Invitation to treat

Basis	Offer (Proposal)	Invitation to treat
Meaning	Definite willingness to be bound upon acceptance (S.2(a)).	Inducement to the other party to make an offer.
Effect of "acceptance"	Acceptance concludes the contract.	No contract — the reply is itself an offer.
Certainty	Terms definite & complete.	Terms left open for negotiation.
Examples	Reward advertisement (Carlill); tender made in response to an invitation.	Display of priced goods (Boots); price list/quotation (Harvey v. Facey); auction notices; catalogues.

7.2 Postal (expedition) rule v. Instantaneous-communication (reception) rule

Basis	Post / Telegram	Telephone / Telex / instant
When acceptance complete	When the acceptance is posted/dispatched (S.4(2), as against proposer).	When the acceptance is received/heard by the offeror.
Place of contract	Where the acceptance is posted.	Where the acceptance is received (Bhagwandas; Entores).
Rationale	Commercial convenience; third agency intervenes.	Parties effectively in each other's presence; no independent agency.
Authority	Adams v. Lindsell; Ss. 3–5 ICA.	Entores v. Miles; Bhagwandas Kedia v. Girdharilal.

7.3 Which case fixes which principle

Intention to create legal relations
Balfour v. Balfour — domestic agreement, no legal intention → not a contract.

Offer to the world; unilateral offer
Carlill — reward advert = offer; performance = acceptance; notification waived; consideration present.

Display = invitation; customer offers
Boots — self-service display is an invitation to treat.

Knowledge of offer essential
Lalman Shukla — act done without knowledge of reward → no contract; pre-existing duty too.

Instantaneous communication
Bhagwandas — telephone contract complete where acceptance received.

Price quotation ≠ offer
Harvey v. Facey — answer to an enquiry about price is not an offer.

Silence ≠ acceptance
Felthouse v. Bindley — acceptance must be communicated; cannot be imposed by "unless I hear otherwise."

by Ankur R. Upadhyay

EXAMINATION QUESTION BANK // DU LL.B.

Previous Year Examination Questions (PYQs)

Q.01 20 MARKS "Where a person in an offer made by him expressly or impliedly intimates that the performance of a particular condition is a sufficient acceptance, performance is enough without communicating acceptance." Explain with reference to the facts and decision in Carlill v. Carbolic Smoke Ball Co.

◈ Refer website for detailed notes — makelaweasy.in ↗

Q.02 20 MARKS Explain the difference between an offer and an invitation to offer. Is display of goods with price tags in a self-service store an offer? Discuss with the help of the Indian Contract Act and case law.

Q.03 20 MARKS "A contract by telephone is complete when and where the acceptance is received by the offeror." Discuss with reference to Bhagwandas Goverdhandas Kedia v. Girdharilal Parshottamdas & Co. and the relevant provisions of the Indian Contract Act, 1872.

Q.04 20 MARKS Explain the concept of "intention to create legal relations" and discuss the circumstances in which an agreement is not enforceable for want of such intention. Support your answer with Balfour v. Balfour.

Q.05 20 MARKS "An acceptance, to be valid, must be communicated to the offeror, and silence does not amount to acceptance." Examine the statement and illustrate with Felthouse v. Bindley and Lalman Shukla v. Gauri Datt.

Q.06 20 MARKS Distinguish between an offer and a mere statement of intention/price. In what circumstances is a "general offer" made to the world capable of creating a binding contract? Support with Harvey v. Facey and Carlill.

Q.07 15 marks Define proposal. Distinguish between offer and invitation to treat with illustrations.

Q.08 10 marks "An offer to all the world ripens into a contract with anybody who performs its conditions." Discuss with Carlill.

by Ankur R. Upadhyay

MODULE 03 // DU LL.B. PAPER LB-102 DU Cases 8–12 · 6 Exam PYQs

Making of an Agreement — Special Situations: Tenders, Auctions & Standard Forms

1 Conceptual Map — how the ordinary rules apply to tenders & auctions

The same Ss. 2–10 machinery, applied to special contracting processes.

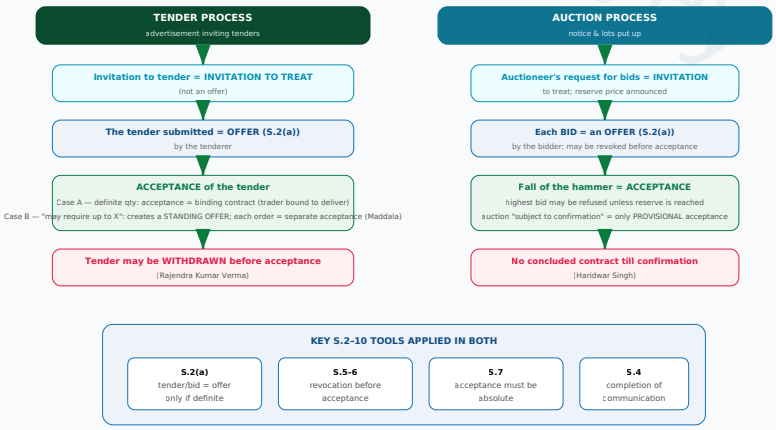


Fig 1.1 — Tenders & auctions apply ordinary offer–acceptance principles. Master each stage and the controlling case.

2 The Law of Tenders — invitation, offer, acceptance & the standing offer

The classic DU framework: a tender is an offer; its "acceptance" may or may not create an immediate contract.

2.1 The four-stage structure of a tender

- **Stage 1 — Invitation to tender:** the advertisement/notice inviting tenders is only an **invitation to treat** (it invites offers), not an offer. A person cannot be bound merely because he "accepts" an invitation.
- **Stage 2 — Submission of the tender:** each **tender is an offer** (S.2(a)) made by the tenderer, capable of acceptance and revocable before acceptance (S.5).
- **Stage 3 — Acceptance of the tender:** the effect depends on the invitation's terms — this is the crux of *Union of India v. Maddala Thathiah* (see the two cases below).
- **Stage 4 — Formal order / contract:** where a formal order is contemplated (as in Government contracts), the real contract may arise only when an order is placed; the "acceptance" of a tender for a maximum quantity creates only a **standing offer**.

2.2 Tender accepted for a definite quantity — immediate contract

Authoritative Contract Precedent, Law of Contract (5th ed., p. 36), quoted in Maddala Thathiah:
Case 1: *"the corporation may have stated that it will definitely require a specific quantity... here the 'acceptance' of the tender is an acceptance in the legal sense, and it creates an obligation. The trader is bound to deliver, the corporation is bound to accept [the full quantity], and the fact that delivery is to be by instalments as and when demanded does not disturb the existence of the obligation."*

2.3 Tender for a maximum quantity ("if and when required") — the standing offer

Authoritative Contract Precedent, ibid., in Maddala Thathiah:
Case 2: *"the corporation advertises that it may require articles... up to a maximum amount... The trader has made what is called a **standing offer**. Until revocation he stands ready and willing to deliver... The 'acceptance' of the tender, however, does not convert the offer into a binding contract... the corporation has not agreed to take... any quantity... It has merely stated that it may require supplies up to a maximum limit."*
*"In this latter case the standing offer may be revoked at any time provided that it has not been accepted in the legal sense, and acceptance... is complete as soon as a **requisition for a definite quantity** of goods is made. Each requisition... is an individual act of acceptance which creates a separate contract."*

Standing offer — the examination point. A "standing offer" (a tender to supply up to a maximum if and when required) is not a binding contract in itself. It is an offer that the offeree (the buyer) may **accept from time to time** by placing orders; **each order creates a separate contract**. Until an order is placed, the tenderer may **revoke** the standing offer (subject to contractual terms to keep it open, which require consideration). This doctrine explains *Maddala Thathiah*.

2.4 Government tenders & the right to cancel

Government and statutory bodies frequently reserve, in the tender, a right to cancel an outstanding contract or to reject any tender. The validity and effect of such a clause must be construed in the light of the whole tender and the stage reached. If a **formal order** for a definite quantity has been placed, the administration is generally bound to accept the goods ordered; the cancellation clause covers only such contemplated supplies for which no order has yet been placed (*Maddala Thathiah*). Courts are normally reluctant to interfere in the **award of Government contracts** but will set aside an award that is **unreasonable, arbitrary, mala fide, or in disregard of mandatory procedure** (*Kanhaiya Lal Aggarwal*; also *Tata Cellular v. Union of India*, AIR 1996 SC 11).

2.5 Essentials of a valid tender (per the note in the DU material)

REQUISITES OF A VALID TENDER — AS NOTED AFTER MADDALA THATHIAH (FROM TATA CELLULAR V. UNION OF INDIA)

1. It must be **unconditional**. · 2. Made at the **proper place**. · 3. Must **conform to the terms** of the obligation. · 4. Made at the **proper time**. · 5. Made in the **proper form**. · 6. The tenderer must be **able and willing to perform**. · 7. There must be a reasonable **opportunity for inspection**. · 8. Made to the **proper person**. · 9. It must be of the **full amount**.

2.6 Essential v. collateral conditions & withdrawal of tender

- **Essential vs collateral conditions:** whether a tender condition is essential or collateral is judged by the **consequence of non-compliance** — if non-fulfilment leads to rejection, it is essential; otherwise it is only collateral (*G.J. Fernandez v. State of Karnataka*, AIR 1990 SC 958, applied in *Kanhaiya Lal*).
- **Withdrawal of a tender before opening/acceptance:** a tenderer may withdraw his tender **before it is accepted**, and no term in the tender notice can take away that legal right; once withdrawn there is no offer and hence no contract (*Rajendra Kumar Verma v. State of M.P.*).

by Ankur R. Upadhyay

3 The Law of Auctions

When do bids and the fall of the hammer create a binding contract?

3.1 The ordinary (English & Indian) rules of auction sale

- **Notice of auction / putting up lots:** only an **invitation to treat**, not an offer.
- **Each bid** by a bidder is an **offer** (S.2(a)); it may be withdrawn before acceptance.
- **Fall of the hammer** is the **acceptance**, ordinarily creating a concluded contract at once.
- **With a reserve price:** the auctioneer may **refuse** the highest (or any) bid below the reserve; the sale is not complete until the hammer falls on an acceptable bid.
- **By the highest bidder:** if the auction is expressly "without reserve" or "to the highest bidder," special rules may apply, but generally the auctioneer is not bound to accept any bid.

3.2 Auction "subject to confirmation / approval" — provisional acceptance

In Government and forest auctions the acceptance of a bid is frequently **subject to confirmation by a higher authority**. The legal effect is crucial (this is the heart of *Haridwar Singh v. Bagun Sumbrui*):

- A bid accepted **"subject to confirmation"** is only a **conditional/provisional acceptance** — it does **not**, by itself, conclude a contract.
- Whether a binding contract arises on later confirmation depends on whether the confirmation was given and **communicated**; and on whether the **offer was actually accepted on the same terms**.
- A person who makes an offer may **withdraw it before acceptance** (in the absence of a supported condition to keep it open); a provisional/conditional acceptance cannot itself create a binding bargain (*Somasundaram Pillai v. Provincial Govt. of Madras*).
- Following **Williston on Contracts** (as quoted in the DU material), distinguish: (1) an "acceptance" that introduces a new condition — this is a **counter-offer**; from (2) an acceptance that unequivocally adopts the offer but states it will only become effective on a future contingency — an **"acceptance in escrow"** — neither party is bound, and each may withdraw until the contingency occurs.

3.3 When is the contract concluded in a confirmation-auction?

A concluded contract requires (i) a definite **offer**, (ii) an **acceptance** of that same offer by the competent authority, and (iii) **communication** (or dispatch in course of transmission) of that acceptance to the offeror. If the "confirmation" merely accepts a *different, later* offer (e.g., an offer to take the property at the reserve price rather than the original bid), and that acceptance is **never communicated**, then no contract is concluded — and the bidder may also have **revoked** his later offer (*Haridwar Singh*).

> **Key takeaway:** an auction "subject to confirmation" gives the bidder **no enforceable contract merely by being the highest bidder**; the Government must confirm **and communicate** the acceptance of a subsisting offer. This protects the public authority but means the bidder is not locked in until then.

by Ankur R. Upadhyay

The Five DU Case-Digests

Each in the DU format — Facts · Issue(s) · Arguments (both sides) · Decision · Principle. A "hypothetical scene" visual accompanies each case.

CASE 8 · Union of India v. Maddala Thathiah

AIR 1966 SC 1724 (Supreme Court of India)

Tender = offer | Standing offer | Right to cancel clause | Each order = separate contract

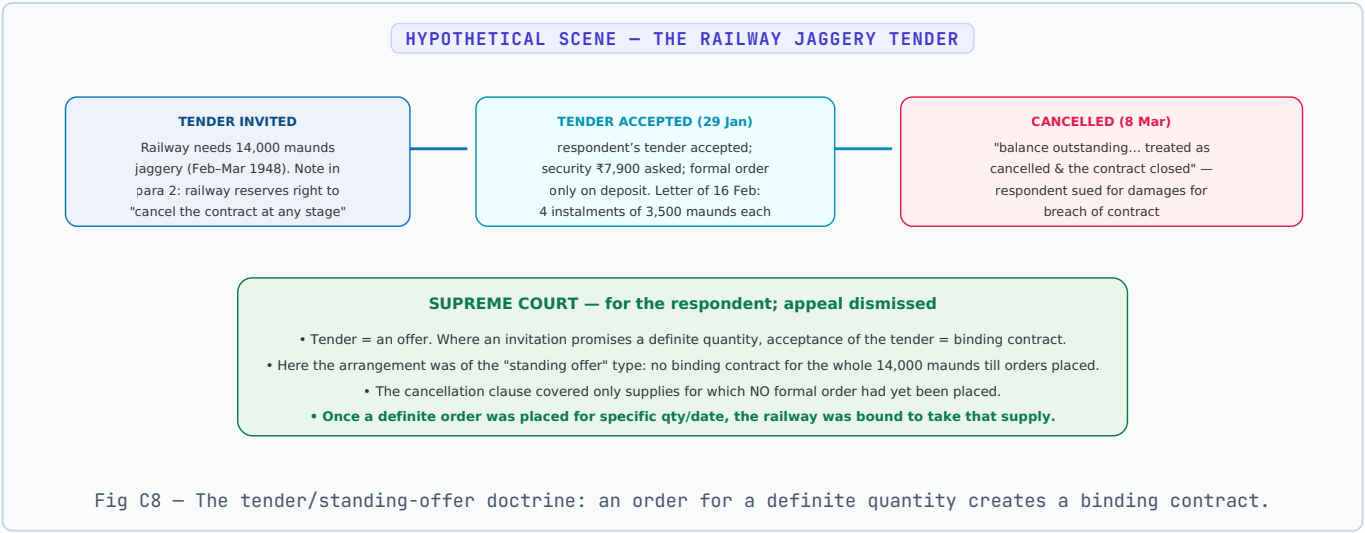


Fig C8 — The tender/standing-offer doctrine: an order for a definite quantity creates a binding contract.

FACTS

The Dominion of India, as owner of the Madras & Southern Mahratta Railway (acting through the General Manager), invited tenders for the supply of jaggery to railway grain shops. The respondent (Thathiah) tendered to supply **14,000 imperial maunds of cane jaggery** for February–March 1948. The tender form's para 2 contained a note reserving to the administration the right **"to cancel the contract at any stage during the tenure of the contract without calling up the outstandings on the unexpired portion."** By a letter of 29 Jan 1948 the Deputy General Manager "accepted" the tender and asked for a security deposit of ₹7,900, adding that on receipt of the remittance a formal order would be placed. By a letter of 16 Feb 1948 the DGM reiterated acceptance, **subject to** the respondent's acceptance of terms printed on the reverse — the supply was divided into **four instalments of 3,500 maunds** on stated dates (later slightly changed by a letter of 28 Feb). On 8 Mar 1948 the DGM wrote that the balance of jaggery outstanding under the order of 16 Feb was **"treated as cancelled and the contract closed."** Despite protests, the railway relied on the reserved right to cancel. The respondent sued for damages for breach. The trial court dismissed the suit; the High Court held the cancellation clause void and remanded on damages. The Union appealed to the Supreme Court.

ISSUE(S)

- Whether the arrangement was a binding contract for the supply of the whole **14,000 maunds**, or merely an agreement to supply such quantity as the railway might order (a **standing offer**).
- Whether the reserved right to cancel allowed the railway to escape liability for instalments already the subject of a **formal order**.

ARGUMENTS FOR THE UNION (APPELLANT)

- The railway agreed to buy only such jaggery as it required, up to 14,000 maunds — hence no enforceable obligation to take the whole.
- The respondent had expressly agreed to the cancellation clause, which was a valid stipulation providing for discharge/determination of the contract.

ARGUMENTS FOR THE RESPONDENT (THATHIAH)

- The contract was a complete one for a definite 14,000 maunds deliverable on the dates in the order of 16 Feb / 28 Feb.

DECISION

Appeal dismissed — for the respondent (Raghubar Dayal J.). The High Court's order stood.

REASONING & PRINCIPLE EVOLVED

- **A tender is an offer.** But its "acceptance" creates a binding contract only if it relates to a **definite quantity** the buyer is bound to take; where the buyer merely states it **may require up to a maximum**, the "acceptance" creates only a **standing offer**, not a contract of sale.
- Applying the Authoritative Contract Precedent two-case test: the instant arrangement was of the **second (standing-offer) type** — a formal order was contemplated (paras 8–9 of the tender).
- The cancellation clause governed only contemplated supplies for which **no formal order** had yet been placed; once a formal order for a definite quantity on definite dates was placed, it constituted a **binding contract** — the supplier must deliver and the railway must accept that supply.
- Hence the railway could not arbitrarily cancel the deliveries covered by the placed orders.

- The cancellation clause was repugnant to the contract; even if valid, the railway could rescind only for good and reasonable grounds, not arbitrarily.

> *Per the Court (adopting Authoritative Contract Precedent): "each requisition by the offeree is an individual act of acceptance which creates a separate contract." The standing offer may be revoked only until so accepted.*

CASE 9 · Rajendra Kumar Verma v. State of Madhya Pradesh

AIR 1972 MP 131 (Madhya Pradesh High Court, Bishambhar Dayal CJ)

Tender revocable before acceptance | Withdrawal of tender | S.5 ICA

HYPOTHETICAL SCENE — WITHDRAWING THE TENDU-LEAF TENDER

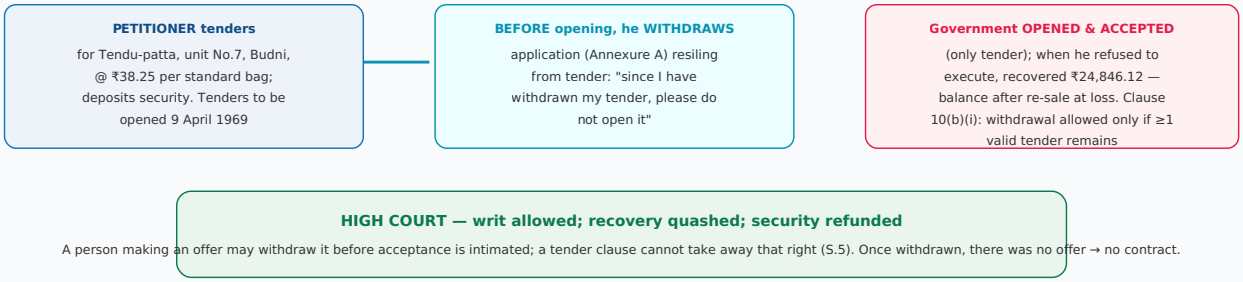


Fig C9 — A tender (offer) may be withdrawn before acceptance; a tender-notice clause cannot deprive the tenderer of this right.

FACTS

The State of M.P. advertised for tenders for the sale of **Tendu-patta (leaves)** from unit No. 7, Budni. The petitioner gave a tender at ₹38.25 per standard bag and deposited security. The tenders were to be opened on **9 April 1969**, but before they were opened the petitioner applied to **withdraw/ resile** from his tender, asking that it not be opened at all. The tender was nevertheless opened — it was the **only** tender for that unit — and the Government accepted it. When the petitioner refused to execute the purchaser's agreement, recovery proceedings were taken for **₹24,846.12** on the ground that the leaves had later been sold to someone else at a loss and the balance was recoverable from him. He filed a writ petition under Art. 226 challenging the recovery.

ISSUE

Whether the petitioner could validly **withdraw his tender before it was opened/ accepted**, and whether the tender condition restricting withdrawal took away that right, so that the recovery was unsustainable.

ARGUMENTS FOR THE PETITIONER

- He withdrew his tender before it was opened and accepted — hence there was no subsisting offer by him and no contract.

ARGUMENTS FOR THE STATE (RESPONDENT)

- Under tender condition 10(b)(i) a tenderer may withdraw only if, after withdrawal, at least **one valid tender** remains for the unit; since his was the only tender, withdrawal was not permitted.

DECISION

Writ allowed — recovery quashed; security refunded.

REASONING & PRINCIPLE EVOLVED

- A person who makes an offer (a tender is an offer) is entitled to **withdraw it before its acceptance is intimated to him** (S.5 ICA).
- The Government, by merely providing a clause in the tender notice, **could not take away that legal right** of the tenderer.
- Since the petitioner had validly withdrawn, when the tenders were opened there was in truth **no offer** by him; accordingly there could be **no contract**, express or implied, between the parties, and no liability for the alleged loss.

> *Bishambhar Dayal CJ: "A person who makes an offer is entitled to withdraw his offer or tender before its acceptance is intimated to him. The Government, by merely providing such a clause in [the] tender notice, could not take away that legal right."*

CASE 10 · Kanhaiya Lal Aggarwal v. Union of India

AIR 2002 SC 2766 (Supreme Court of India, S. Rajendra Babu J.)

Government contracts | Rebate/conditional offer in tender | Essential vs collateral conditions

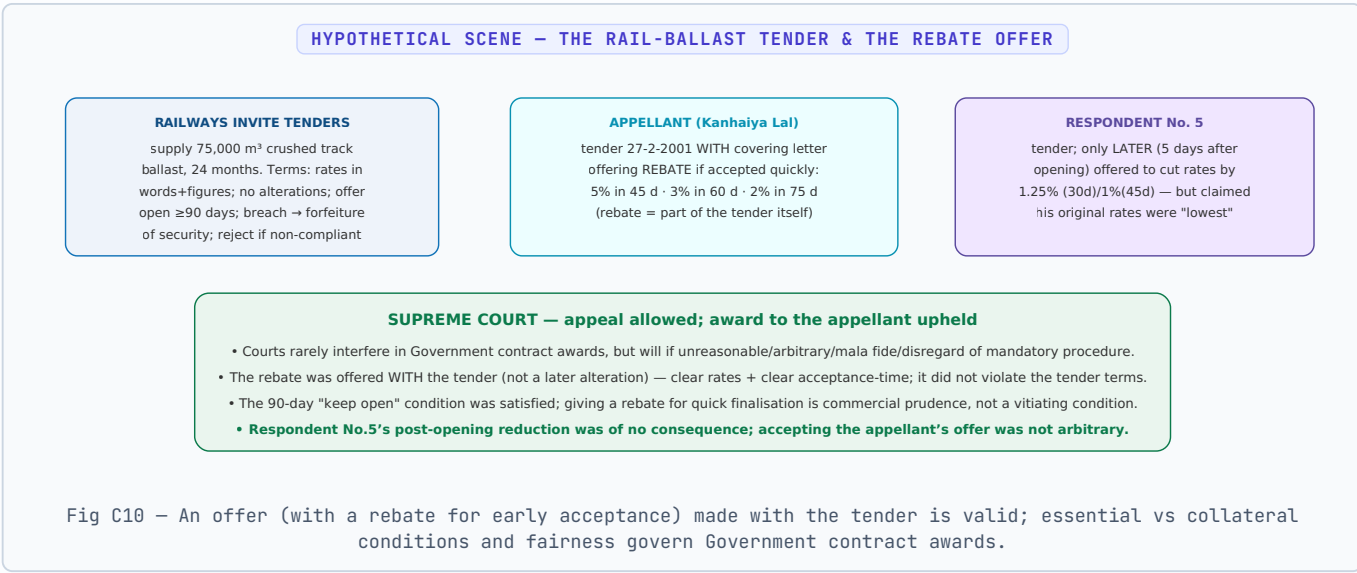


Fig C10 — An offer (with a rebate for early acceptance) made with the tender is valid; essential vs collateral conditions and fairness govern Government contract awards.

FACTS

The Railway invited tenders for five items of work, including supply, delivery and stacking of **75,000 m³ of machine-crushed track ballast** at its Naurozabad depot over 24 months. The tender notice required rates to be stated in words and figures, rejected tenders with alterations, permitted only signed corrections, required the offer to remain open for a **minimum 90 days** from opening, and provided for forfeiture of security and rejection for non-compliance. The appellant (Kanhaiya Lal Aggarwal) submitted his tender on **27-2-2001** with a covering letter offering a **rebate** if his offer was accepted quickly — 5% within 45 days, 3% within 60 days, 2% within 75 days. Respondent No. 5 also offered a rebate but only **after** the tenders had been opened (1.25% if accepted in 30 days, 1% in 45 days). The Railway **accepted the appellant's tender** subject to the rebate and an agreement was executed on 19-4-2001. Respondent No. 5 filed a writ claiming his tender should have been accepted as his base rates were the lowest. The single judge and the Division Bench of the High Court, holding that the rebate amounted to an impermissible alteration of the tender and that all tenderers must be treated equally, preferred respondent No. 5 and ordered fresh/alternative sourcing. The appellant appealed to the Supreme Court.

ISSUE(S)

- Whether the Railway could accept the appellant's tender accompanied by a **rebate offer**, consistent with the tender conditions.
- Whether the essential-v-collateral test and the duty to treat tenderers fairly and equally governed the award.

ARGUMENTS FOR THE APPELLANT

- The rebate was part of the tender submitted on time; rates were clear and the acceptance time clear; it did not militate against the tender terms.
- Respondent No. 5's reduction came after opening — an offer of no consequence.

ARGUMENTS FOR RESPONDENT NO. 5

- His rates were the lowest; the appellant's rebate was a condition altering the tender documents (impermissible); all tenderers must be treated equally.

DECISION

Appeals allowed — order of the High Court set aside; the writ petition dismissed.

REASONING & PRINCIPLE EVOLVED

- Courts are normally reluctant to interfere in the award of Government contracts, but will set aside awards that are **unreasonable, arbitrary, mala fide or in disregard of mandatory procedure**.
- **Essential v. collateral condition:** when a tender condition is not complied with, the inviter may reject; whether the condition is essential or collateral depends on the **consequence of non-compliance** — if it leads to rejection it is essential, else collateral (*G.J. Fernandez*).
- The rebate was **offered with the tender itself**, gave clear reduced rates for clear early-acceptance windows, and did not militate against the (90-day keep-open) tender terms; it was merely commercial prudence and an inducement to accept expeditiously. It was therefore within scope.
- The appellant complied with the 90-day condition. Respondent No. 5's rebate, made only **after opening**, was of no consequence. Accepting the appellant's offer was neither illegal nor arbitrary.

> *S. Rajendra Babu J.: an offer of concessional rates for quick finalisation is "part of commercial prudence"; as long as it does not militate against the terms of inviting the tender, "it cannot be said that such offer is not within its scope."*

CASE 11 · Haridwar Singh v. Bagun Sumbrui

(1973) 3 SCC 889 (Supreme Court of India, K.K. Mathew J.)

Auction subject to confirmation | Provisional acceptance ≠ contract | Communication of acceptance | Withdrawal of offer

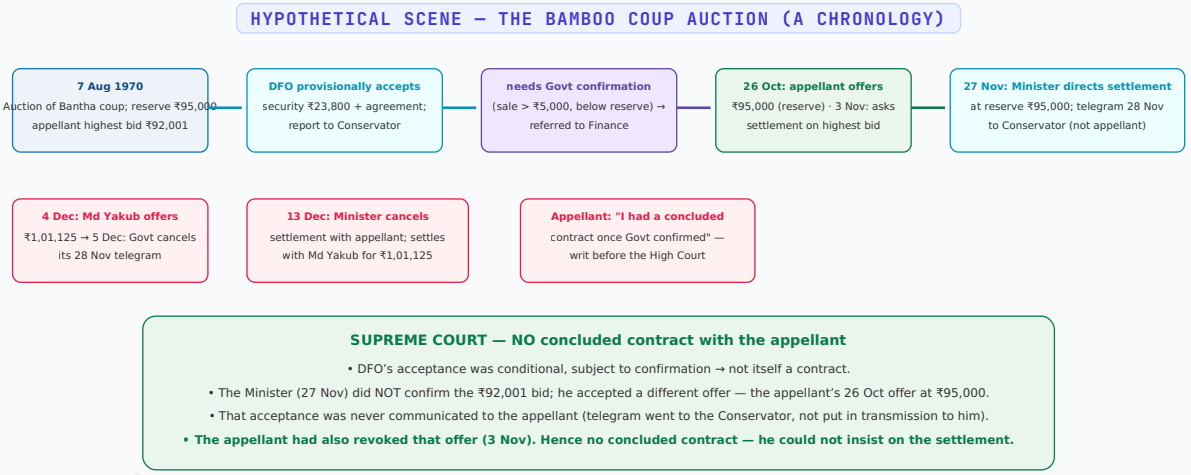


Fig C11 — An auction subject to confirmation gives no binding contract until the competent authority accepts a subsisting offer AND communicates that acceptance.

FACTS

The Bihar Forest Department advertised for settlement of the right to exploit the "Bantha Bamboo coup" (Chatra North Division, Hazaribagh) by public auction held on **7 August 1970**. Five persons, including the appellant, bid. Though the reserve price was **₹95,000**, the appellant's bid of **₹92,001** (the highest) was accepted by the Divisional Forest Officer (DFO). The appellant deposited ₹23,800 security and executed an agreement. Because the provisional settlement exceeded ₹5,000, the papers were forwarded for Government confirmation; and because it was below the reserve, the matter also went to the Finance Department. The DFO explained the lower settlement. On **26 October 1970** the appellant expressed willingness to take the settlement at the reserve price of ₹95,000; on **3 November 1970** he applied for settlement on his highest bid. On **27 November** the Minister of Forests directed settlement with the highest bidder at the reserve price; a telegram was sent on 28 November to the Conservator confirming the sale — but the DFO did not receive/communicate it to the appellant. Meanwhile Md. Yakub (respondent No. 6) on **4 December** offered ₹1,01,125. The Government cancelled its earlier telegram and, by proceedings of **13 December 1970**, cancelled the settlement with the appellant and settled with Md. Yakub. The appellant filed a writ.

ISSUE

Whether there was a **concluded contract** between the appellant and the Government (so that the later settlement with Md. Yakub was illegal), given that the DFO's acceptance was subject to confirmation by the Government.

ARGUMENTS FOR THE APPELLANT

- The DFO's acceptance was a conditional acceptance, which became unconditional on Government confirmation (27 Nov) — so a concluded contract arose even though confirmation was not communicated to him.
- Alternatively, the settlement with Md. Yakub violated statutory rules and was invalid.

ARGUMENTS FOR THE GOVERNMENT/RESPONDENTS

- No concluded contract: the DFO's acceptance was only provisional/subject to confirmation; the Minister's 27 Nov

DECISION

No concluded contract between the appellant and the Government; the appeal was disposed of without disturbing the settlement with Md. Yakub (no order as to costs).

REASONING & PRINCIPLE EVOLVED

- A **conditional/provisional acceptance** (subject to a higher authority's confirmation) does not by itself create a binding contract; there must be an unconditional acceptance of the offer.
- The Court considered *Rajanagaram Village Co-op. Society v. Veerasami Mudaly* and *Somasundaram Pillai*: a person who makes an offer may withdraw it before acceptance in the absence of a supported contrary condition; a provisional acceptance cannot make a binding bargain.

proceedings did not confirm the ₹92,001 bid but accepted a different (26 Oct) offer at ₹95,000; that acceptance was never communicated to the appellant; and the appellant himself revoked that offer on 3 Nov.

- Following **Williston**, where an acceptance is not to take effect until a future contingency, neither party is bound and either may withdraw; if the contingency occurs, a contract arises.
- Here the impediment was **want of confirmation by the Government**, not merely want of communication: the Minister accepted the **different** offer of 26 Oct (₹95,000), not the bid of ₹92,001; and that acceptance was **not communicated to the appellant** (the telegram went to the Conservator, and was not even put into course of transmission to the appellant). Further, the appellant **revoked** his offer on 3 Nov.
- **Principle:** an auction "subject to confirmation" yields no concluded contract until the competent authority confirms a subsisting offer and that acceptance is communicated (or at least put in course of transmission) to the bidder.

> *The Court: the want of confirmation by the Government — not the want of communication — was decisive; and "the appellant cannot contend that there was a concluded contract... as the acceptance of that offer was not put in the course of transmission [to him]."*

CASE 12 · Indian Airlines Corporation v. Sm. Madhuri Chowdhuri

AIR 1965 Cal. 252 (Calcutta High Court, P.B. Mukharji J.)

Standard-form / ticket contract | Exemption clause | Common carrier | S.23 ICA does not apply to carriers

HYPOTHETICAL SCENE — THE ILL-FATED FLIGHT & THE TICKET'S FINE PRINT

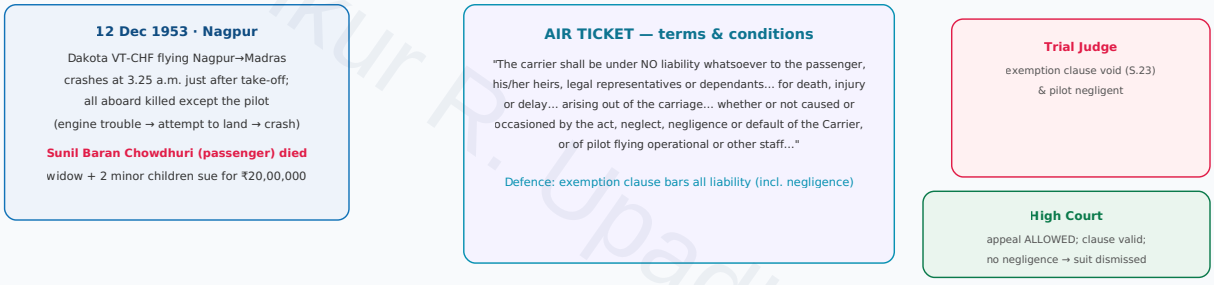


Fig C12 — A standard-form ticket is a contract on the carrier's printed terms; its exemption clause (if duly brought to notice and not barred by statute) is valid.

FACTS

On **12 December 1953** a Dakota aircraft (VT-CHF) of the Indian Airlines Corporation crashed at Nagpur shortly after taking off for Madras; all aboard were killed except the pilot, Captain Cartner. One passenger, **Sunil Baran Chowdhuri**, a young Calcutta businessman, died. His widow and two minor children sued the Corporation for damages, relying both on **breach of contract** (failure safely to carry) and on **negligence** (defective supervision/check-up; the pilots' handling of the engine failure), claiming roughly **₹20,00,000** for loss of dependency plus ₹5,000 lost in cash/kind. The Corporation relied on the **exemption clause** in the passenger's air ticket, which purported to exclude **all liability** — even for the carrier's or its servants' negligence — for death, injury or delay. The trial judge held the exemption clause **illegal, invalid and void** (inter alia under S.23 ICA) and found the pilot negligent, so the Corporation was liable. The Corporation appealed.

DECISION

Appeal allowed — for the Corporation; the suit dismissed.

ISSUE(S)

- Whether the **exemption clause** in the air ticket (excluding liability even for negligence) is valid, or void as being opposed to S.23 ICA / public policy.
- Whether the **Indian Contract Act** applies at all to a common carrier's contract of carriage.
- Whether the Corporation or the pilot was **negligent** on the facts.

ARGUMENTS FOR THE PLAINTIFFS (RESPONDENTS)

- The clause is void under **S.23 ICA** (opposed to public policy / unjust).
- It cannot bind the heirs/legal representatives, who were not parties to the contract (action under the Fatal Accidents Act).
- The broad principles of the Warsaw Convention (applied as justice, equity and good conscience) should strike it down.
- Even if goods could be so exempted, a clause excluding liability for **loss of life** is bad.

ARGUMENTS FOR THE CORPORATION (APPELLANT)

- The ICA does not govern common carriers at all (Privy Council in *Irrawaddy Flotilla Co.*); hence S.23 does not apply.
- Under the common law a carrier may contract out of liability, even for negligence, if the clause is clear and duly brought to the passenger's notice.
- There was no negligence; the pilots exercised reasonable judgment in an emergency.

REASONING & PRINCIPLE EVOLVED

- **The ICA does not govern common carriers.** Relying on the Privy Council in *Irrawaddy Flotilla Co. v. Bugwandas* (18 IA 121), the liability of a common carrier arises from public employment, not contract, and is outside the Indian Contract Act — so **S.23 cannot be invoked** to strike down the clause.
- Following *Indian Airlines v. Keshavlal F. Gandhi* (Cal.), the Corporation is a common carrier; its relationship with passengers is governed by the **common law**, which permits carriers to contract out of liability — including for negligence — through a clear, duly-notified clause.
- No distinction in law between carriage of goods and carriage of passengers: a carrier of passengers "is neither an insurer nor precluded from making a special contract" (*Ludditt v. Ginger Coote Airways*; *Grand Trunk Ry. v. Robinson*).
- **Notice/consent:** a condition printed on the ticket binds the passenger if the carrier did what was reasonably sufficient to bring it to his notice (Parker v. S.E. Ry.; Hood v. Anchor Line). Here the conditions were duly brought to the passenger's notice and he had every opportunity to know them.
- The clause clearly covered negligence and was not barred by any statute (the Carriage by Air Act / Warsaw Convention did not apply to internal carriage; no Indian statute prohibited such exemption). On the merits, there was **no negligence** by the Corporation or the pilot.

> *Per the Court: "On this overwhelming mass of authority we are bound to hold that both in respect of Contract Act and Tort the present exemption clause is good and valid and it legally excludes all liability for negligence. We also hold that it cannot be held to be bad under Section 23 of the Contract Act."*

MODERN SIGNIFICANCE & THE TWO-PRONGED RULE ON EXEMPTION CLAUSES

The case is authority for two things that recur in later consumer/aviation law: (i) a **standard-form ticket contract** is binding on the terms printed on it, **provided the terms were reasonably brought to the passenger's notice** and he accepted the ticket; and (ii) such exemption clauses are construed strictly — following Denning LJ in *White v. John Warwick & Co.* (quoted in the case), a clause is construed, so far as possible, as excluding only **strict liability** and **not** negligence, unless the words clearly exclude negligence. In India today, statutes (e.g., the Carriage by Air Act amendments, consumer-protection law) may restrict such clauses; the common-law freedom to contract out is subject to those statutory interventions.

4 Comparison Corner

The distinctions this unit keeps asking you to make.

4.1 Tender for a definite quantity v. tender for a maximum quantity (standing offer)

Basis	Definite-quantity tender	Maximum-quantity tender (standing offer)
Buyer's obligation	Buyer is bound to take the stated quantity.	Buyer is not bound to order anything.
Effect of "acceptance"	Creates a binding contract at once.	Creates only a standing offer; each order = a separate acceptance & contract.
Revocability	Not revocable once contract formed.	Standing offer may be revoked until accepted by an order.
Illustration	Railway needs a definite 1,000 tons by a date.	Railway "may require up to X if and when needed" (Maddala Thathiah).

4.2 Offer v. Invitation to treat in special settings

Situation	Nature	Authority
Advertisement inviting tenders	**Invitation to treat**	general law (Maddala framework)
The tender submitted	**Offer** (revocable pre-acceptance)	S.2(a), S.5; Rajendra Kumar Verma
Auctioneer calling for bids / lots	**Invitation to treat**	general law
Each bid at auction	**Offer**	S.2(a)
Fall of the hammer	**Acceptance** (subject to reserve / confirmation)	Haridwar Singh (confirmation auctions)
Air/rail ticket with printed terms	Formation on carrier's standard terms (if notice given)	Indian Airlines v. Madhuri

4.3 Which case fixes which principle

Tender & standing offer

Maddala Thathiah — tender = offer; a maximum-quantity tender creates a standing offer; each order = a separate contract; cancellation clause covers only un-ordered supplies.

Withdrawal of tender

Rajendra Kumar Verma — a tender may be withdrawn before acceptance; a tender clause cannot take away that right (S.5).

Government contract awards

Kanhaiya Lal Aggarwal — courts rarely interfere; but set aside arbitrary/ mala fide awards; essential vs collateral conditions; rebate offered with the tender is valid.

Auction subject to confirmation

Haridwar Singh — provisional acceptance ≠ contract; needs confirmation of a subsisting offer + communication to the bidder.

Ticket / exemption clause

Indian Airlines v. Madhuri — standard-form ticket binding if terms noticed; ICA S.23 does not govern common carriers; exemption (even for negligence) can be valid.

EXAMINATION QUESTION BANK // DU LL.B.

Previous Year Examination Questions (PYQs)

Q.01 20 MARKS Whether acceptance of A's tender by a Government Department for supply of coal up to 10,000 tons during the calendar year 2012 creates contractual obligations? Discuss with the help of the Indian Contract Act and case law. (DU, Dec 2011)

◈ Refer website for detailed notes — makelaweasy.in ↗

Q.02 20 MARKS "An advertisement inviting tenders is not an offer; the tender is the offer and a person making it may withdraw it before acceptance." Examine with reference to the Indian Contract Act and the relevant case law.

Q.03 20 MARKS Critically examine the law relating to Government contracts with special reference to the concept of "provisional acceptance" and its consequences. (DU, Topic 3)

Q.04 20 MARKS Explain how far a "bid" at an auction and the "fall of the hammer" are governed by the rules of offer and acceptance under the Indian Contract Act. What is the effect when the auction is held "subject to confirmation"?

Q.05 20 MARKS Write a short note on "Standard form contracts" / "Exemption clauses," with special reference to Indian Airlines Corporation v. Sm. Madhuri Chowdhuri.

Q.06 20 MARKS "Every agreement, the meaning of which is not certain, or capable of being made certain, is void" — with reference to S.29 ICA. Explain how certainty/definiteness is ensured in tenders and reward-style offers, citing the DU cases on this unit.

Law Crux · Ankur R. Upadhyay

MODULE 04 // DU LL.B. PAPER LB-102 DU Cases 13–17 · 8 Exam PYQs

Consideration — Meaning, Essentials, Privity & Statutory Exceptions

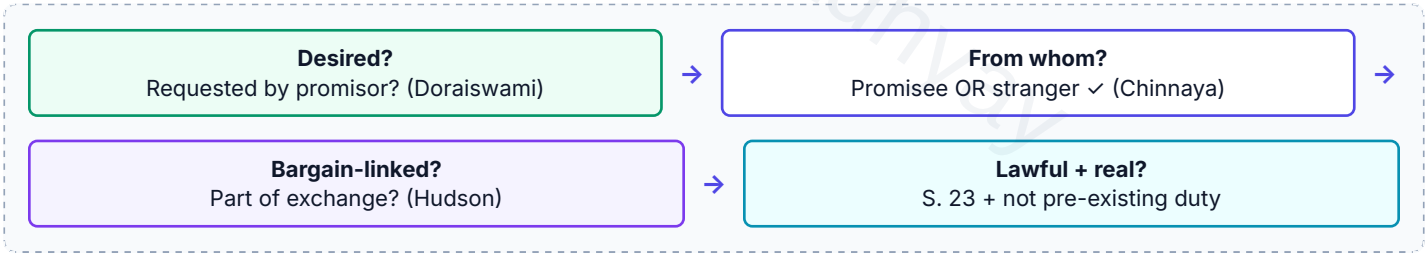
PART A — THE PRICE OF A PROMISE

S. 2(d) — meaning, nature & essentials of consideration

S. 2(d) (memorise verbatim): "When, **at the desire of the promisor**, the **promisee or any other person** has done or abstained from doing, or does or abstains from doing, or promises to do or to abstain from doing, **something**, such act or abstinence or promise is called a **consideration for the promise**."
S. 2(f): "Promises which form the consideration or part of the consideration for each other are called **reciprocal promises.**" (See S. 23 ills. (a)–(d): each party's promise = consideration for the other's.)

Essentials distilled (7 tests — run them in every answer)

Essential	Content + DU authority
1. At the desire of the promisor	Act must be **requested** by the promisor — voluntary/officious acts don't count. **Doraiswami** (Cornish J.): "There must have been some **request by the promisor** to the promisee to do something" — repairs contracted **before** subscription + no request = bare promise. **Kedarnath** contrast: subscribers knew "on the faith of their subscription an obligation was to be incurred" = implied request.
2. By promisee OR any other person	India abolishes **privity of consideration** — a stranger's act can be consideration. **Chinnaya** (Kindersley J.): "very wide definition ... promisee, **or any other person**" — donor-sister's gift = consideration for donee's annuity promise to plaintiffs. Contrast English *Tweddle v Atkinson*.
3. Past, present or future	"Has done ... does ... promises to do" — **executed** (act done), **executory** (promise for promise — S. 2(f)), and **past** (already done at desire — linked to S. 25(2)).
4. Something of value in law	Need not be money — act, abstinence, forbearance, detriment. **Kedarnath**: incurring contractor liability = consideration. Must be **real, not illusory**; need not be adequate (S. 25 Expl. 2).
5. Must be lawful	S. 23's six bars (Part B): forbidden by law, defeating law, fraudulent, injurious, immoral, opposed to public policy.
6. Must be real, not pre-existing duty	Doing what one is **already bound** to do (public duty, contractual duty to same promisor) = no consideration. **Lalman** (Topic 2): munim's pre-undertaken search duty.
7. Must move as part of the bargain	**Doraiswami** + *In re Hudson* (Pearson J.): liabilities undertaken **not as part of the bargain** with the promisor ("no binding obligation between themselves and Mr. Hudson") = no consideration, however real the expenditure.



S. 2(d) vs English law: England needs consideration to **move from the promisee** (*Tweddle*); India expressly allows **"any other person"** — the statutory basis of **Chinnaya**. But note: India still requires **privity of contract** to *sue* (plaintiff must be a party/promisee) — subject to exceptions like **Khusaini Begam** (Part D).

PART B — LAWFULNESS FILTER

S. 23 — lawful consideration and objects

S. 23: "The consideration or object of an agreement is lawful, **unless** — it is **forbidden by law**; or is of such a nature that if permitted, it would **defeat the provisions of any law**; or is **fraudulent**; or **involves or implies injury to the person or property of another**; or

the Court regards it as **immoral, or opposed to public policy**. In each of these cases ... **Every agreement of which the object or consideration is unlawful is void."**

The six bars with illustrations (memorise pairs)

Bar	Illustration(s) + meaning
1. Forbidden by law	**(f)** buying public employment (Rs 1,000 for a post) → void. "Law" = enacted law + rules with force of law.
2. Defeating provisions of law	**(i)** defaulter's benami re-purchase of revenue-sold estate → void (renders transaction "in effect a purchase by the defaulter").
3. Fraudulent	**(e)** dividing fraud gains → void; **(g)** agent's secret deal for a lease behind principal's back → void (fraud by concealment).
4. Injury to person/property	**(h)** dropping a robbery prosecution for restoration → void (compounding non-compoundable offence harms justice + person). Principle extends to assault, libel, property damage bargains.
5. Immoral	**(j)** mukhtar's paid influence → void; **(k)** letting daughter for concubinage → void "though ... not punishable under IPC" — court's moral lens, not criminality, decides.
6. Opposed to public policy	Open-ended: trading with enemy, stifling prosecution, champerty/maintenance excesses, ousting courts' jurisdiction, restraining marriage/trade (Ss. 26–28 specifics), wagering (S. 30). Courts expand cautiously.

Lawful pairs (ills. a–d): house-for-Rs 10,000 (a); surety/time-grant (b); ship insurance (c); child maintenance for annual payment (d) — each party's promise lawful consideration for the other's (S. 2(f) reciprocal promises). **Adjunct — S. 24** (just beyond syllabus, one line): if any part of a **single** consideration/object is unlawful → **whole agreement void** (indigo + illegal traffic, one salary).

S. 23 answer skeleton: (1) Quote S. 23 + identify which of the six bars is alleged. (2) Match an illustration. (3) Apply to facts — "forbidden" needs a prohibiting law; "immoral" needs court's view (ill. k: IPC irrelevant); "public policy" needs a recognised head. (4) Conclude void (wholly; S. 24 if part-unlawful single consideration).

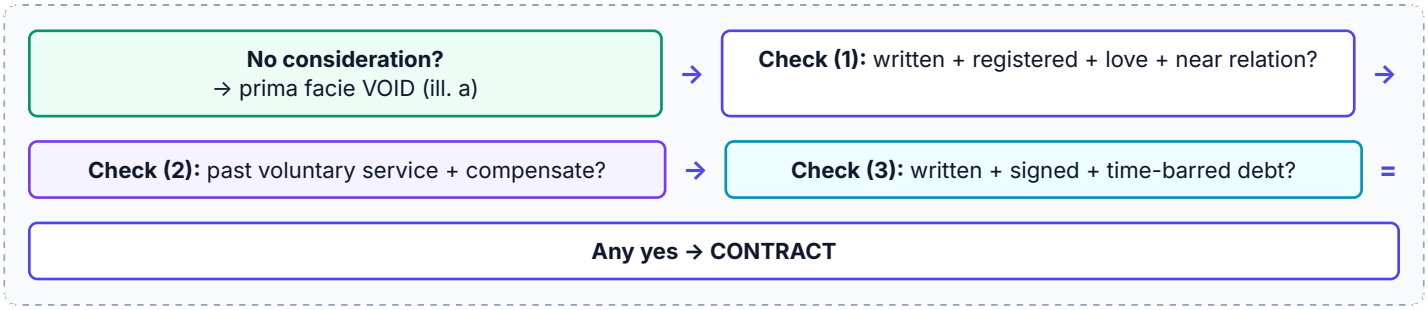
PART C — S. 25

S. 25 — agreement without consideration + exceptions

Rule: "An agreement made **without consideration is void**, unless — **(1)** it is **expressed in writing and registered** ... and made on account of **natural love and affection between parties standing in a near relation**; or **(2)** it is a promise to **compensate**, wholly or in part, a person who has **already voluntarily done something for the promisor, or something which the promisor was legally compellable to do**; or **(3)** it is a promise, **in writing and signed** by the person to be charged (or authorised agent), to pay wholly or in part **a debt barred by limitation.**" — "In any of these cases, such an agreement is a contract."
Explanation 1: completed **gifts** (donor–donee) unaffected. **Explanation 2: inadequacy ≠ no consideration** — but relevant to free consent.
Illustrations: (a) Rs 1,000 gift promise → void; (b) registered father→son Rs 1,000 for love → contract; (c) purse found, Rs 50 promised → contract; (d) supporting promisor's infant son, expenses promised → contract; (e) written promise to pay Rs 500 of time-barred Rs 1,000 → contract; (f) Rs 1,000 horse for Rs 10, free consent → contract; (g) same facts, consent disputed → inadequacy evidences coercion/pressure.

Exception	Ingredients (all needed)	Traps
(1) Love & affection	(i) **writing + registration**; (ii) **natural** love and affection (proved, subsisting — not past quarrel); (iii) **near relation** parties.	Unregistered family arrangement fails (1) (may survive as family settlement on other grounds); stranger's love letter fails (iii); "natural" is fact-tested.
(2) Past voluntary service	(i) service **already done voluntarily** for promisor (or what he was **legally compellable** to do); (ii) promise to **compensate** for it. No writing needed.	Must be **voluntary** — done under pre-existing duty or at promisor's desire with payment terms = different analysis (S. 2(d)/quantum). Ills. (c)–(d). **Contrast Doraiswami:** trustees' repairs weren't at subscriber's desire at all.

Exception	Ingredients (all needed)	Traps
(3) Time-barred debt	(i) **written + signed** (no registration needed); (ii) **existing debt** enforceable but for limitation; (iii) promise to pay **wholly/ partly**.	Must be a **debt** (liquidated money due) — not damages/ claims; must have been enforceable (not void ab initio); part-payment promise valid (ill. e).
Expl. 1 — Gifts	**Actually made** (delivered/registered) gifts valid without consideration.	Mere promise to gift = void (ill. a). Gift needs Transfer of Property Act compliance.
Expl. 2 — Inadequacy	Courts don't weigh equivalence; **gross inadequacy evidences** coercion/fraud/ misrepresentation/undue influence.	Horse ills. (f)/(g) — same facts, opposite consent findings.



PART D — WHO CAN SUE?

Privity of contract & of consideration + exceptions

Two distinct doctrines — DU's favourite confusion trap:

Doctrine	Rule in India	Authority
Privity of CONSIDERATION (must consideration move from plaintiff?)	[NO] **ABOLISHED** — S. 2(d) "promisee **or any other person**" — a stranger's act suffices.	**Chinnaya**: donor-sister's gift = consideration for annuity promise; Kindersley J. relies on S. 2(d)'s "very wide definition". (English *Tweddle* rejected on this point.)
Privity of CONTRACT (must plaintiff be a party?)	[YES] **RETAINED as general rule** — only a party/promisee can sue; a **mere beneficiary** generally cannot. **But subject to exceptions.**	*Tweddle v Atkinson* (general rule); **Khusaini Begam** (equitable exception — charge on property); **Chinnaya** (plaintiffs *were* parties via Kararnama A — so no privity-of-contract breach at all).

Chinnaya's English-law tour (Innes J.) — know the triad

Case	Facts in brief	Holding on stranger's suit
Dutton v Poole (2 Lev 210)	Son promised father (refraining from felling £1,000 timber) to pay daughter Grisel £1,000 marriage portion.	[YES] Daughter **could sue** — son got timber benefit; daughter lost portion through promise ("consideration indirectly moved").
Rockwood's case	Eldest son promised father (refraining from charging lands) annuities to younger sons.	[YES] Younger sons **could sue** — same indirect-consideration logic.
Tweddle v Atkinson (30 LJQB 265)	Two fathers agreed each to pay the husband; husband given "full power to sue".	[NO] Husband **could not sue** — lost nothing, no benefit/detriment shift; "not a party to the consideration".

Innes J.'s application: present case = **Dutton, not Tweddle** — defendant gained "a large estate", plaintiffs "lost the yearly sum the donor would otherwise have paid" → consideration **indirectly moved from plaintiffs** → decree. **Kindersley J.'s shorter route:** gift deed B + Kararnama A = **one transaction**; S. 2(d) satisfied anyway.

Exceptions to privity of CONTRACT (beneficiary CAN sue)

Exception	Content + authority
1. Charge/trust for beneficiary	Where contract charges property / creates trust for a third person, beneficiary sues in equity. **Khusaini Begam**: Rs 500/month **charged on specified properties**; plaintiff "the only person beneficially entitled" → "clearly entitled to proceed in equity". (Tweddle = assumpsit, inapplicable.)
2. Marriage/family arrangements	Settlements for minors' benefit (parents contracting). **Khusaini Begam** policy: minors' marriages "contracted by parents and guardians" — applying Tweddle "might occasion serious injustice".
3. Acknowledgement / estoppel	Party, by separate conduct/agreement, acknowledges liability to third person (creates privity with him).
4. Assignment	Contractual benefits assigned → assignee sues (subject to equities; burdens need novation).
5. Agency (undisclosed principal)	Principal sues on agent's contract (Ss. 231–232).
6. Covenants running with land	Burden/benefit annexed to property binds/sues successors.

▸ **Precision point for toppers: Chinnaya is NOT a privity-of-contract exception** — the plaintiffs held a direct promise (Kararnama A) and were promisees; the case kills only **privity of consideration**. **Khusaini Begam IS the privity-of-contract exception** — plaintiff was "no party to the document" yet enforced it via charge + equity. Examiners test exactly this distinction.

DU CASE 13 SUBSCRIPTION + FAITH-LIABILITY = ENFORCEABLE CONTRACT

Kedarnath Bhattacharji v Gorie Mahomed, (1886) 7 ID 64 (Cal. — Petheram CJ, Reference)

S. 2(d) ICA | Questions: **(1) Maintainable representative suit? (2) Was the Rs 100 subscription enforceable?** | Answer: **Yes to both — subscription given knowing contractor-liability would follow = promise for good consideration. (Small Cause Court to decree + costs.)**

Ankur R. Upadhyay

Facts (detailed)

- **Scheme:** Howrah Municipality Commissioners promoted a **Town Hall, conditional on sufficient subscriptions**; constituted themselves **trustees of the Town Hall Fund by deed**.
- **Contract on faith:** once subscriptions sufficed, Commissioners (incl. plaintiff, Vice-Chairman) **contracted with a builder** (Rs 26,000 estimate); as subscriptions grew, plans enlarged → **Rs 40,000**; Commissioners **personally liable** throughout.
- **Defendant:** subscribed **Rs 100** in the book; refused to pay → sued in **Howrah Small Cause Court** by plaintiff (as Vice-Chairman/trustee, one of the contractor-liable persons).
- **Small Cause Judge:** Registrar couldn't grant leave; trust property → S. 437 CPC; suit bad ab initio; and (citing *Kedar Nath Mittra v Alisar Rahoman*) defendant "uneducated", couldn't know Town Hall's object/utility → **no legal obligation** → dismissed, **contingent reference** to HC on (1) maintainability, (2) trustees' entitlement.

Issues

1. Was the representative suit maintainable (CPC + trust)?
2. Did the subscription promise have consideration?

Plaintiff-trustee: all contractor-liable persons could jointly sue (CPC representative action cures form); subscription invited **knowing liability would be incurred on its faith** = consideration.

Defendant: plaintiff had no right to sue (trust/CPC bars); mere charity subscription = **no consideration**; uneducated subscriber, no understanding of object.

Decision & reasoning (Petheram CJ)

- **(1) Maintainable:** plaintiff may sue **on behalf of himself and all jointly interested** under CPC, trustee or not — representative form "cure[s] any technical defect".
- **(2) Consideration — the classic passage:** "great many subscriptions … cannot be recovered … because there is no consideration." **But here** subscribers knew "the purpose … and … on the faith of their subscription an obligation was to be incurred to pay the contractor." The subscriber "says, in effect — **In consideration of your agreeing to enter into a contract to erect … I undertake to supply the money** up to my subscription." = "perfectly valid contract … for good consideration … enforced … by the persons to whom the liability is incurred."

- **Orders:** both questions affirmative; Small Cause Court to **decree the Rs 100 + costs** (incl. HC hearing).

Ratio: A charity **subscription is enforceable** where the subscriber knows the fund-seekers will **incur liability on its faith** and they do — the incurred/planned liability is **S. 2(d) consideration** (implied bargain: money for undertaking).

Exam use: lead subscription-consideration authority; quote the "In consideration of your agreeing..." passage; pair with Doraiswami (no request → fails) and Abdul Aziz (nothing done → fails).

DU CASE 14 NO REQUEST + NO BARGAIN = BARE PROMISE (KEDARNATH DISTINGUISHED)

Doraiswami Iyer v Arunachala Ayyar, (1935) 43 LW 259 (Mad. — Cornish J., Civil Revision)

S. 2(d) ICA; *In re Hudson* | Question: **Can temple trustees recover Rs 125 subscribed AFTER repair liability was incurred, with no request/bargain?** | Answer: **No — "bare promise unsupported by consideration". (Revision allowed; suit dismissed with costs throughout.)**

Facts (detailed)

- **Feb 1928:** temple trustees **already contracted** for repairs; maistry paid from **village common fund**.
- **Oct 1928:** more money needed → subscriptions invited; petitioner subscribed **Rs 125**.
- **Plaint's pleaded consideration:** "relying on the promise ... [trustees] incurred liabilities in repairing the temple." **Lower court decreed** → revision.

Issue

Does trustees' repair expenditure, incurred substantially **before and independent of** the subscription, constitute S. 2(d) consideration?

Trustees: Kedarnath applies — liabilities incurred on strength of subscription = consideration.

Subscriber: no request ever made to him; no undertaking by trustees as part of any bargain with him — bare promise.

Decision & reasoning (Cornish J.)

- **S. 2(d) test:** promisee must have acted on "more than a bare promise" — "some **bargain** between them in respect of which the consideration has been given." Kedarnath's passage presupposes the subscriber's **request/implied bargain** ("In consideration of your agreeing...").
- **Rule:** "mere promise to subscribe ... or entry in a subscription list" ≠ consideration; "There must have been **some request by the promisor** to the promisee to do something in consideration of the promised subscription."
- ***In re Hudson* (54 LJ Ch 811; Pearson J.):** chapel-debt contribution; committee's liabilities ≠ consideration — "no binding obligation between themselves and Mr. Hudson" — adopted.
- **Application:** "not pleaded, nor is there evidence, that there was any request ... or any undertaking by them to do anything" → **bare promise** → suit "ought to have been dismissed."
- **Order: revision allowed with costs throughout.**

Ratio: Subscription expenditure is consideration **only if undertaken at the subscriber's desire as part of the bargain** (S. 2(d) "at the desire of the promisor") — prior/independent liabilities don't qualify.

Exam use: the "at the desire" authority; use to defeat after-the-fact reliance claims; Kedarnath–Doraiswami–Abdul Aziz form the subscription trilogy (bargain ✓ / no bargain × / nothing done ×).

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DU CASE 15 GRATUITOUS MOSQUE PROMISE + DEAD CHEQUE — NOTHING ENFORCEABLE

Abdul Aziz v Masum Ali, AIR 1914 All 22 (Richards CJ)

S. 25 ICA (no consideration) | Question: **Are a treasurer's own Rs 500 mosque subscription and a stale Rs 500 cheque recoverable from his heirs?** | Answer: **No — gratuitous promise; gratuitous treasurership; no lifetime liability → none vs heirs. (Appeal allowed; both Rs 500 claims dismissed.)**

Facts (detailed)

- **1907 fund** for **Masjid Hamman Alawardi Khan** repairs: committee sanctioned **Rs 3,000**; Hakim Shafi Ullah paid **Rs 100** cash; **Munshi Abdul Karim promised Rs 500** (and became **treasurer**, receiving the Rs 3,100); **Munshi Jan Mohammad promised Rs 500** via cheque (12 Sept 1907).
- **Cheque saga:** presented 29 Sept 1907 → returned ("endorsement not regular"); re-presented **12 Jan 1909** → "out of date".
- **Deaths + suit:** Karim died **20 Apr 1909**; suit vs heirs **14 Apr 1910**; Jan Mohammad died May 1910. Rs 3,100 admitted; contested: Karim's Rs 500 + Jan's Rs 500. **Admitted: "nothing has been done"** on repairs. Trial court: Karim's Rs 500 decreed, Jan's dismissed; first appeal: whole claim decreed → second appeal.

Issues

1. Was Karim's promised subscription enforceable (does treasurership change it)?
2. Was Karim liable (as agent?) for the stale cheque?
3. Do liabilities survive against heirs?

Committee: treasurer's promise + office imply enforceability; as **agent**, Karim's **gross negligence** on the cheque caused Rs 500 loss → liable; heirs inherit liability.

Heirs: mere gratuitous promise (outsider's admittedly unenforceable; treasurership adds nothing); no agency, no gross negligence (natural endorsement error; delay explained by stalled works); no lifetime liability → no heir liability.

Decision & reasoning (Richards CJ)

- **Karim's Rs 500:** "mere gratuitous promise" — concededly unenforceable from an outsider; **treasurership makes no difference**; no sum ever set aside. → dismissed.
- **Jan's cheque:** treasurership "purely gratuitous" — Karim "might at any time have refused to go on"; **not an agent**; even if agent, no gross negligence (natural mistake + work-delay explanation). → no lifetime liability.
- **Heirs:** "if no suit lay ... in his lifetime, no suit could be brought after his death against his heirs."
- **Order: appeal allowed; decree varied; both Rs 500 claims dismissed** (costs: appellants in appeal; proportionate below).

Ratio: (1) A **gratuitous subscription** with no Kedarnath-type faith-liability is **void for want of consideration (S. 25)** — office-holding doesn't supply it. (2) **Gratuitous agency** attracts no negligence liability for mere non-feasance short of gross fault. (3) No lifetime cause → no heir liability.

Exam use: classic S. 25 application; completes the subscription trilogy; also use for gratuitous-agent + heir-liability side points.

DU CASE 16 STRANGER TO CONSIDERATION CAN SUE (S. 2(D))

Venkata Chinnaya Rau v Venkataramaya Garu, (1881) 1 ID 137 (Mad. — Innes + Kindersley JJ.)

S. 2(d) ICA | Question: **Can annuity plaintiffs, strangers to the gift-consideration, enforce the donee's Kararnama promise?** | Answer: **Yes — consideration indirectly moved from them (Dutton v Poole); S. 2(d) "any other person". (Second appeal dismissed with costs.)**

Facts (detailed)

- **9 Apr 1877:** plaintiffs' sister gifted landed property to defendant (her daughter) by **registered deed B**, stipulating **Rs 653/ year annuity** to plaintiffs (as donor had paid) until a village given them.
- **Same date:** defendant executed **Kararnama A** to plaintiffs: "According to ... paragraph 12 of the deed of gift ... I hereby agree to continue to carry out in your favour, perpetually and hereditarily ... the terms stated."
- **Default + pleas:** annuity unpaid → suit. Pleas: **coercion** (concurrent finding: voluntary + registered — rejected) and **strangers to consideration** can't sue. Courts below decreed → second appeal. (Stamp objection: admitted as duly stamped; properly an agreement under 1869 Act, not a bond.)

Issue

Whether plaintiffs, strangers to the consideration (the gift), can enforce Kararnama A.

Plaintiffs: direct promise in A; donor ceased paying only because the source passed to defendant — consideration indirectly moved (Dutton v Poole); S. 2(d) covers "any other person".

Defendant: Tweddle v Atkinson — strangers to consideration cannot sue; coercion; stamp defect.

Decision & reasoning

- **Innes J.:** English rule: plaintiff sues only if consideration moved **directly or indirectly** from him. **Dutton v Poole** (£1,000 timber/daughter portion) + **Rockwood** (annuities to younger sons): indirect consideration → suit allowed — defendant's act "shut out the plaintiff from a certain benefit and substituted a future benefit." **Tweddle** distinguished: husband lost nothing, no benefit/detriment shift. **Here = Dutton:** defendant "gained a large estate", plaintiffs "lost the yearly sum the donor would otherwise have paid" → consideration indirectly moved → enforceable.
- **Kindersley J. (concurring):** "but for the **very wide definition**" of S. 2(d) ("promisee, **or any other person**") he'd have doubted; gift + Kararnama = **one transaction** → sufficient consideration.
- **Order: appeal dismissed with costs.**

Ratio: Under S. 2(d), **consideration may move from a stranger** ("any other person") — privity of consideration abolished; plaintiffs holding the promise may sue though the benefit flowed from another's act. (Plaintiffs were promisees — no privity-of-contract issue arose.)

Exam use: THE S. 2(d) stranger-consideration authority; master the Dutton–Rockwood–Tweddle triad + the two concurring routes; stress Kindersley J.'s "very wide definition" quote.

DU CASE 17 NON-PARTY BENEFICIARY ENFORCES CHARGED ALLOWANCE IN EQUITY

Nawab Khwaja Muhammad Khan v Nawab Husaini Begam, (1910) 37 IA 152 (PC — Ameer Ali J.)

Privity of contract (exception) | Question: **Can a daughter-in-law, no party to the agreement, enforce Rs 500/month kharch-i-pandan charged on property — despite leaving her husband?** | Answer: **Yes — sole beneficial owner under a property charge sues in equity (Tweddle inapplicable); no cohabitation condition; misconduct unproved. (Appeal dismissed; HC affirmed.)**

Facts (detailed)

- **Agreement (25 Oct 1877):** defendant (father-in-law) declared, pre-marriage (fixed 2 Nov 1877) and "in consideration of" it, to pay plaintiff **Rs 500/month "in perpetuity"** as **kharch-i-pandan** (betel-box expenses) from marriage/"reception", **charging specified properties**. Both spouses minors.
- **Cohabitation:** reception delayed to **1883** (minority); lived together till **1896**; plaintiff then left for **Moradabad** (visited frequently by husband; no restitution suit ever filed).
- **Defences:** (1) plaintiff **no party** → can't sue (*Tweddle v Atkinson*); (2) **misconduct + desertion** forfeit the allowance (pin-money analogy — husband-controlled, coverture-spent).
- **Below:** Subordinate Judge: unchastity "not legally proved" (but "not free from suspicion" — deprecated by PC); desertion proved → **suit dismissed**. HC (argued only on maintainability): **clear right to sue → reversed + decreed**. Appeal to Privy Council.

Issues

1. Can a non-party beneficiary enforce the agreement (Tweddle)?
2. Did leaving the husband forfeit kharch-i-pandan?

Father-in-law: Tweddle — non-party can't sue; kharch-i-pandan = pin-money (husband-controlled, payable only during cohabitation); desertion (+ suspected misconduct) forfeits it.

Plaintiff: sole beneficiary of an express property charge → equitable enforcement; allowance unconditional ("in perpetuity" from reception); misconduct unproved; husband never sought restitution.

Decision & reasoning (Ameer Ali J.)

- **Privity — exception:** *Tweddle* was **assumpsit** — its common-law rule "not applicable" here: agreement **"specifically charges immovable property"**; plaintiff "the only person beneficially entitled" → "clearly entitled to proceed **in equity** to enforce her claim." Policy: minors' marriages arranged by parents/guardians — Tweddle would cause "serious injustice."
- **Kharch-i-pandan ≠ pin-money:** customary personal allowance (Upper India Muslim families of rank), fixed pre/post marriage, **no husband-control/coverture-spending obligation** — different legal footing from social institutions.

- **No forfeiture:** defendant bound himself **"unreservedly"** — only condition was **commencement** (first entry, when matrimonial rights arise); no cohabitation-continuance term; contingency uncontemplated; defendant's Rampur-connection motive = suitable provision for her rank.
- **Evidence:** "suspicion" remark "unsatisfactory" — charge proved or not, no middle ground; husband's visits uncontradicted; no restitution step.
- **Order: appeal dismissed; HC affirmed.**

Ratio: (1) A **non-party beneficiary may enforce in equity** a contract creating a **charge/trust on property** for her sole benefit — India's leading **privity-of-contract exception**. (2) **Kharch-i-pandan is unconditional personal allowance**, not coverture-bound pin-money. (3) Forfeiture needs proof, not suspicion.

Exam use: THE privity-exception authority; contrast with Chinnaya (no privity issue there); quote "serious injustice" policy + "proceed in equity" holding.

PART J — VISUAL REVISION

Master flowcharts & comparison tables

Flowchart 1 — "Is the promise enforceable?" (consideration audit)

1. Consideration?
S. 2(d): desired + by anyone + bargain-linked + real?

→

2. If none → S. 25?
Love/registered? Past service? Time-barred debt?

→

3. Lawful?
S. 23 six bars?

→

4. Who sues?
Party? (privity) — or beneficiary exception?

Flowchart 2 — Subscription promises (the trilogy)

Kedarnath ✓
Subscriber knew liability would follow + it did → ENFORCEABLE

vs

Doraiswami ×
No request, liability pre-existing/independent → BARE PROMISE

vs

Abdul Aziz ×
Nothing done at all → GRATUITOUS, void (S. 25)

Table 1 — Five DU cases at a glance

Case	Section	One-line rule	Outcome
13. Kedarnath	2(d)	Subscription + known faith-liability = good consideration.	Reference: decree Rs 100
14. Doraiswami	2(d)	No request/bargain → expenditure ≠ consideration.	Revision allowed; suit dismissed
15. Abdul Aziz	25	Gratuitous promise + gratuitous office = void; no heir liability.	Both Rs 500 claims dismissed
16. Chinnaya	2(d)	Stranger's consideration suffices ("any other person").	Second appeal dismissed
17. Khusaini	Privity	Charged beneficiary sues in equity (Tweddle inapplicable).	Appeal dismissed; HC affirmed

Table 2 — Privity confusion-buster

Question	Answer	Case
Can consideration move from a stranger?	[YES] Yes — S. 2(d) "any other person".	Chinnaya
Can a stranger to the contract sue?	[NO] Generally no (Tweddle) — [YES] if charge/trust/equity exception.	Khusaini Begam
Were Chinnaya's plaintiffs strangers to the contract?	[NO] No — they held Kararnama A directly.	Chinnaya

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Question	Answer	Case
Was Husaini Begam party to the contract?	[NO] No — yet enforced via property charge.	Khusaini Begam

Table 3 — S. 25 exceptions checklist

Exception	Writing?	Registered?	Signed?	Extra
(1) Love & affection	[YES]	[YES]	—	Near relation + natural love
(2) Past service	—	—	—	Voluntary + already done
(3) Time-barred debt	[YES]	—	[YES]	Debt enforceable but for limitation

EXAMINATION QUESTION BANK // DU LL.B.

Previous Year Examination Questions (PYQs)

Q.01 15 marks Define consideration. Explain its essentials with illustrations.

◈ Refer website for detailed notes — makelaweasy.in ↗

Q.02 15 marks "A charity subscription is generally unenforceable." Discuss with Kedarnath, Doraiswami and Abdul Aziz.

Q.03 7 marks A subscribes Rs 5,000 for a school building after construction has begun on other funds. The school sues. Decide.

Q.04 10 marks Explain S. 23 — when are consideration and objects unlawful?

Q.05 15 marks "An agreement without consideration is void." Discuss the exceptions under S. 25.

Q.06 10 marks A, out of love, orally promises his nephew Rs 50,000. B promises in writing to pay a 10-year-old time-barred loan of Rs 20,000. C promises Rs 5,000 to one who saved his goods voluntarily. Advise.

Q.07 15 marks Distinguish privity of contract from privity of consideration. Can a stranger sue in India?

Q.08 7 marks A gifts property to B on condition B pays Rs 1,000/month to C. B defaults. Can C sue?

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MODULE 05 // DU LL.B. PAPER LB-102 DU Cases 18-20 · 6 Exam PYQs

Capacity to Contract — Minority, Unsoundness of Mind, Necessaries & Restitution

1 Capacity to Contract — Sections 10 & 11

Who may make a binding contract — and why the law shields the incapable.

S.10 — WHAT AGREEMENTS ARE CONTRACTS

"All agreements are contracts if they are made by the **free consent of parties competent to contract**, for a lawful consideration and with a lawful object, and are not hereby expressly declared to be void."

S.11 — WHO ARE COMPETENT TO CONTRACT

"Every person is competent to contract who is of the **age of majority** according to the law to which he is subject, and who is of **sound mind**, and is not **disqualified from contracting** by any law to which he is subject."

Capacity is the element that a person must be **legally able to enter** a binding relation. S.10 requires all contracting parties to be competent; S.11 then lists the **three cumulative conditions** of competence. If any one is absent, the person suffers a **legal disability to contract** and his agreement is **void** (not merely voidable).

1.1 The three limbs of competence (S.11)

(1) Age of majority
Must have reached majority under the law to which he is subject — in India the **Indian Majority Act, 1875** (age 18; **21** where a guardian has been appointed).

(2) Sound mind
Must be capable of understanding the contract and of forming a rational judgment about its effect on his interests (S.12) — excluding lunatics, idiots, the drunk, the delirious.

(3) Not otherwise disqualified by law
Certain persons are disqualified from contracting by particular statutes or status (alien enemies during war, foreign sovereigns, convicts, insolvents, corporations beyond their powers).

1.2 Persons under a legal disability to contract

Category	Disability	Basis
Minors	Agreement **void ab initio** (Mohori Bibee)	Want of age of majority — no capacity to contract at all
Persons of unsound mind	Agreement **void** if made while unsound (S.12); may contract in a lucid interval	Want of rational understanding
Lunatics / idiots	Same as unsound mind; an idiot is one wholly without understanding	Lack of capacity to judge interests
Alien enemy (during war)	Cannot contract with a subject/other enemy national	Disqualified by law / public policy
Foreign sovereign & ambassadors	May contract but cannot be **sued** without consent	Statutory immunity
Convicts (while imprisoned)	Cannot make binding contracts	Disqualification by law
Insolvents	Property vesting in the official receiver; limited contracting power	Insolvency law
Corporations / companies	Beyond the powers in their constitution (*ultra vires*) — void	Disqualified by law creating them

Exam framing: The syllabus phrase "person under legal disability" is the umbrella for all three categories the S.11 test captures — and of these the **minor** is the single most important for the DU paper, followed by **persons of unsound mind**.

2 Majority & the Legal Position of a Minor's Agreement

Who is a minor; and the settled consequences of a minor entering into an agreement.

2.1 Age of majority — Indian Majority Act, 1875

S.11 speaks of "the age of majority according to the law to which he is subject." In India that law is the **Indian Majority Act, 1875**:

INDIAN MAJORITY ACT, 1875 (9 OF 1875) — SUMMARY

A person attains majority at the age of **eighteen years**; but where a **guardian of his person or property has been appointed** under the Guardians and Wards Act, 1890 (or the Court of Wards has assumed superintendence of his property), he does not attain majority until he completes the age of **twenty-one years**.

- Thus a minor in the eye of contract law is a person under **18** (or under **21** where a guardian has been appointed).
- Both **Mohori Bibee** (where Dharmodas, aged between 18 and 21 with a certificated guardian, had not attained majority) and **Ajudhia Prasad** (defendants "more than 18 but under 21," a certificated guardian having been appointed) were minors precisely because a guardian had been appointed, extending majority to 21.
- The **date of the contract**, not of the suit, determines capacity — a person must be a major when he makes the agreement.

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2.2 Position: a minor's agreement is VOID AB INITIO

After much early divergence (whether a minor's contract was merely **voidable**), the Privy Council in **Mohori Bibee v. Dhurmodas Ghose** settled the law: a person who, by reason of infancy, is incompetent to contract under S.11 **cannot make a contract** within the meaning of the Act at all; the agreement is **void from the very beginning** (*void ab initio*) and cannot be recognised by law. The question whether an agreement is void or voidable **presupposes a contract**; in the case of an infant it **cannot arise**.

2.3 The rules flowing from a minor's incapacity

(1) No consideration & no personal liability
The minor cannot be made personally liable even for necessaries; S.68 creates a claim only **against his property**, not his person.

(2) No estoppel
A minor is **not estopped** from pleading minority, even after falsely representing himself to be a major (Khan Gul; S.115 Evidence Act read subject to the Contract Act).

(3) No ratification
A void agreement **cannot be ratified** on attaining majority; a fresh contract after majority is needed (Bindeshri Bakhsh Singh v. Chandika Prasad).

(4) Benefit may be enforced by the minor
A minor can enforce contracts for his **benefit** (e.g. sue for his share, on a settlement) — incapacity protects, not penalises, him.

(5) No liability in tort if the tort is really the contract
A minor is not liable where the claim is in substance *ex contractu* disguised as a tort; independent torts are actionable (Leslie v. Sheill; Liverpool Adelphi Loan Assn. v. Fairhurst).

(6) Property obtained by fraud — restitution
Traceable property obtained by fraudulent misrepresentation may be restored in equity; whether the minor can be made to **repay money** is the disputed point (Khan Gul *vs* Ajudhia Prasad).

2.4 Why the law protects a minor (the rationale)

- **Protection from exploitation:** a minor lacks mature judgment and can be taken advantage of, so the law shields him — even where occasionally a "juvenile knave" benefits (Lord Sumner: "It was thought necessary to safeguard the weakness of infants at large, even though here and there a juvenile knave slipped through").
- **Shield, not sword:** Lord Kenyon — the protection is "to be used as a **shield and not as a sword**." (Note how the judges in Khan Gul and Ajudhia Prasad debated this maxim.)
- **Consistency of the statute:** the Contract Act elsewhere assumes the minor cannot be bound — he cannot be an agent (Ss. 183–184), cannot be personally liable as a partner (Ss. 247–248), and even for necessaries only his property is answerable (S.68).



Fig 2.1 — The tripartite position: minor protected, contract void against him, but equity may order restitution in limited cases.

3 Persons of Unsound Mind — Section 12 (Lunatics & Idiots)

Soundness of mind at the time of contracting; lucid intervals; the burden of proof.

S.12 — WHAT IS A SOUND MIND FOR THE PURPOSES OF CONTRACTING

A person is said to be of sound mind for the purpose of making a contract if, **at the time when he makes it**, he is **capable of understanding it** and of **forming a rational judgment as to its effect upon his interests**.

A person who is **usually of unsound mind, but occasionally of sound mind**, may make a contract **when he is of sound mind**.

A person who is **usually of sound mind, but occasionally of unsound mind**, may not make a contract **when he is of unsound mind**.

Illustrations: (a) A patient in a lunatic asylum, who is at intervals of sound mind, may contract during those intervals. (b) A sane man, who is delirious from fever, or who is so drunk that he cannot understand the terms of a contract or form a rational judgment as to its effect on his interests, cannot contract whilst such delirium or drunkenness lasts.

3.1 The two-fold test of sound mind

1. **Understanding:** the person must be capable of **understanding** the contract; and
2. **Rational judgment:** capable of **forming a rational judgment as to its effect on his interests**.

Both must be judged **at the time of making the contract**, not generally over the person's life.

3.2 Soundness judged at the time of the contract — lucid intervals

- A **lunatic** is a person who has periods of unsoundness but may have **lucid intervals**. If he contracts during a lucid interval (usually sound at that moment), the contract is valid — S.12 Illustration (a) makes this explicit.
- A person **usually sane** who becomes temporarily insane (delirium from fever, intoxication, temporary mental derangement) cannot contract **during** such unsoundness — S.12 Illustration (b).
- Therefore the decisive enquiry is **the state of mind at the precise time of the agreement**.

3.3 Lunatics, idiots, and other states of mind — distinctions

Lunatic
A person with intermittent unsoundness of mind who may contract during **lucid intervals**.

Idiot
A person who is **congenital / permanently** without understanding — never capable of contracting; an extreme form of unsoundness.

Drunkard / delirious
Temporary unsoundness at the time of contracting renders the contract void for the duration (S.12 Ill. (b)).

Mere weakness of mind / old age
Not, by itself, incapacity — the test is inability to understand and judge, not weakness. Where a party is incapable of independent judgment, relief may come under **undue influence** (S.16) instead.

3.4 Effects of unsoundness & comparison with a minor

By parity of reasoning with Mohori Bibee, an agreement made by a person who is incompetent (unsound of mind) is **void ab initio**. The same protective consequences generally follow:

- The incapable person is not personally liable on the agreement.
- For **necessaries** supplied to him (or to persons he is bound to support), the supplier is reimbursed **from his property** under **S.68** — S.68 Illustration (a) is exactly a lunatic supplied with necessaries, Illustration (b) his wife and children.
- The burden of proving unsoundness at the time of the contract is on the person who alleges it (he who asserts incapacity must prove it); when the transaction is on its face grossly unconscionable, the burden may shift to the party in a dominating position (S.16(3)).

	Minor	Person of unsound mind
Source of rule	S.11 (age of majority) + Mohori Bibee	Ss. 11 & 12
Nature of agreement	Void ab initio	Void if made while unsound; valid in a lucid interval
Determining moment	Age at the date of contract	State of mind at the time of the contract
Necessaries (S.68)	Reimbursement from minor's property	Reimbursement from the incapable person's property
Ongoing benefit	May enforce contracts for his benefit	Same protective principle applies

Exam one-liner: "Sound mind under S.12 is tested at the moment of the contract — by understanding *plus* rational judgment as to its effect on the person's interests; lucid intervals allow contracting, delirium/drunkenness forbid it."

4 Liability for Necessaries Supplied to a Minor — Section 68

The one "contract-like" claim that survives a minor's incapacity — but only against his property.

S.68 — CLAIM FOR NECESSARIES SUPPLIED TO PERSON INCAPABLE OF CONTRACTING, OR ON HIS ACCOUNT

> "If a person, **incapable of entering into a contract**, or any one whom he is **legally bound to support**, is supplied by another person with **necessaries suited to his condition in life**, the person who has furnished such supplies is **entitled to be reimbursed from the property of such incapable person**."
>
> **Illustrations:** (a) A supplies B, a lunatic, with necessaries suitable to his condition in life. A is entitled to be reimbursed from B's property. (b) A supplies the wife and children of B, a lunatic, with necessaries suitable to their condition in life. A is entitled to be reimbursed from B's property.

4.1 The nature of the liability

S.68 is not a contract at all — a minor cannot contract — but a **quasi-contractual / statutory** claim created for the benefit of those who supply essentials to an incapable person. It is the direct statutory counterpart emphasised by the Privy Council in Mohori Bibee:

> *"[I]t is clear from the Act that [an infant] is not to be liable even for necessaries, and that no demand in respect thereof is enforceable against him by law, though a **statutory claim is created against his property**." — Mohori Bibee v. Dhurmodas Ghose*

So the claim runs **against the minor's property/estate**, **not against him personally** — an answer to a paper question on "Can a minor be made to pay for necessaries?"

4.2 Essential conditions to recover under S.68

1. **Person incapable:** the supply must be to a person incapable of contracting (a minor, a lunatic, an idiot) **or to one whom he is legally bound to support** (e.g. the wife/children of an incapable person — S.68 Ill. (b)).
2. **Necessaries:** the things supplied must be **necessaries** — i.e. suited to the condition (station) of life of the person. Not everything supplied is "necessary"; the test asks what is reasonably required for that person's needs and station.
3. **Furnished by another:** a supplier other than the incapable person provides the goods.
4. **Claim from property:** the remedy is reimbursement **from the property** of the incapable person, not a personal decree against him.

4.3 What counts as "necessaries suited to his condition in life"

- Food, clothing, shelter and such essentials as are appropriate to the minor's **station** — an **objective** test tempered by the person's position.
- Education and, in some cases, marriage expenses **may** count — **but** in **Ajudhia Prasad v. Chandan Lal** the marriage expenses for which money was lent were expressly held **not to be "necessaries"**, so S.68 had no application.
- Items of **mere luxury**, or already amply supplied, are not necessaries; the supplier must show the minor did not already possess an adequate supply.
- Follow the older English test (per Baron Parke): necessaries are things without which the person cannot reasonably exist, having regard to his condition in life.

4.4 Key limits and the exam contrast with Ss. 64/65

Remember: (i) S.68 is a claim against the **property**, not the person; (ii) it is confined to **necessaries suited to condition in life**; (iii) it is not a means to enforce the minor's void contract — so money lent to a minor for an ordinary (non-necessity) purpose cannot be recovered, as in Ajudhia Prasad. The lender who advances cash for wedding expenses (not "necessaries") gets **nothing** — neither on the contract nor under S.68.

Provision	What it does	Applies to minor?
S.68	Reimbursement from property for necessaries supplied to an incapable person	**Yes** — but only against property, only for necessaries
S.64	Restitution by a party who rescinds a **voidable** contract	**No** — presupposes a contract by competent parties (Mohori)
S.65	Restoration/compensation for advantage under an agreement **discovered to be void** or contract that becomes void	**No** — starts from a contract between competent parties (Mohori; Ajudhia Prasad)

5 Restitution in a Minor's Agreement — Ss. 64, 65 & SRA 1963 § 33

The contested question the three DU cases answer: can an adult who dealt with a minor recover what he gave when the contract is void?

5.1 The general statutory scheme

> S.64 — CONSEQUENCES OF RESCISSION OF VOIDABLE CONTRACT

When a person at whose option a contract is voidable rescinds it, the other party need not perform his part; and the party rescinding a voidable contract shall, if he has received any benefit thereunder from another party, **restore such benefit, so far as may be**, to the person from whom it was received.

S.65 — OBLIGATION OF PERSON WHO HAS RECEIVED ADVANTAGE UNDER VOID AGREEMENT, OR CONTRACT THAT BECOMES VOID

When an agreement is **discovered to be void**, or when a contract **becomes void**, any person who has received any advantage under such agreement or contract is **bound to restore it, or to make compensation** for it, to the person from whom he received it.

Read together, these sections make a party who took a benefit under a void(able) agreement restore it. The critical limitation — laid down in Mohori Bibee and followed in Ajudhia Prasad — is that **Ss. 64 and 65 presuppose an agreement or contract made by competent parties**:

> *"This section [S.65], like S.64, starts from the basis of there being an agreement or contract between competent parties; and has no application to a case in which there never was, and never could have been, any contract." — Privy Council in Mohori Bibee*

Because a minor's agreement is **void ab initio** — there never was a contract — neither S.64 nor S.65 can be invoked against him. To order a minor to repay money lent would be to **enforce the very contract the law declares void**.

5.2 The Specific Relief Act route — cancellation on terms

SPECIFIC RELIEF ACT, 1963, § 33 (FORMERLY SS. 38/39/41 OF SRA 1877) — CANCELLATION/RELIEF ON TERMS

On adjudging the **cancellation** of an instrument (or rescission of a contract), the Court **may require the party to whom such relief is granted** to make any **compensation to the other which justice may require**.

- Where a **minor sues as plaintiff** to have his void instrument (e.g. a mortgage) cancelled, the court — in its discretion — may grant the relief only **on terms**, e.g. that he refund the money actually received. This is the rule that "he who seeks equity must do equity."
- In Mohori Bibee itself, the Courts declined to order the return of the money because the **lender knew of the infancy**; the Privy Council saw no reason to interfere with that exercise of discretion under Ss. 38 & 41 (SRA 1877).
- The rationale (Lord Romer, quoted with approval): "A Court of equity cannot say that it is equitable to compel a person to pay any moneys in respect of a transaction which, as against that person, the Legislature has declared to be void."

5.3 The two competing Full-Bench positions — Khan Gul vs Ajudhia Prasad

Khan Gul v. Lakha Singh (Lahore FB, 1928)

On estoppel: a minor is **not estopped** from pleading minority (answered unanimously in the negative).
On restitution: the **majority** (Shadi Lal, C.J. & three others; Harrison, J. dissenting) held that a minor who obtained a benefit by falsely representing his age **may be compelled in equity to make restitution** — even when he is a **defendant** — because an infant cannot be allowed to take advantage of his own fraud. Shadi Lal, C.J.: the protection is a shield, not a sword, and restitution restores the *status quo ante* without enforcing the contract.

Ajudhia Prasad v. Chandan Lal (Allahabad FB, 1937)

Rejected the Khan Gul restitution-of-money view. Sulaiman, C.J.: S.65 does not apply to a minor; a minor **being sued** cannot be made to repay money (a personal money-decree would be almost an enforcement of the void contract) nor have his mortgaged property sold. Restitution is confined to cases where the minor is a **plaintiff** seeking equity; where he is a defendant he is merely using his minority as a **shield**, not a sword. This is the view approved as the mainstream/prevailing Indian law.

5.4 Reconciling the position — what a minor may be ordered to do

Situation	Can the minor be made to…	Basis
Restore **specific traceable property** obtained by fraud	Yes [YES]	Equitable restitution *in specie*; the property belongs to the other party and can be followed
Refund money obtained by fraud (minor is **defendant**)	No [NO] (prevailing view — Ajudhia Prasad)	Money cannot be traced; a money-decree enforces the void contract; majority position
Refund money where he is a **plaintiff** seeking to set aside his own deed	Yes [YES] (on terms)	"He who seeks equity must do equity" — SRA 1963 § 33 discretion
Be **estopped** from pleading minority after misrepresenting age	No [NO]	Khan Gul — estoppel cannot override a statutory incapacity
Be made personally liable for **necessaries**	No [NO]	Only property is liable (S.68)

by Ankur R. Upadhyay

Exam caution (the distinction that matters): The single most-quoted rule is that a minor is **not liable to make restitution of money** received, because to do so would indirectly enforce his void contract — yet he may be required to **restore specific property** that is still traceable, and if he comes to court as a **plaintiff** he may be put on terms to refund. Cite Mohori Bibee (foundation), Khan Gul (minority/equity view) and Ajudhia Prasad (prevailing view) precisely, and you will satisfy a full-mark answer.

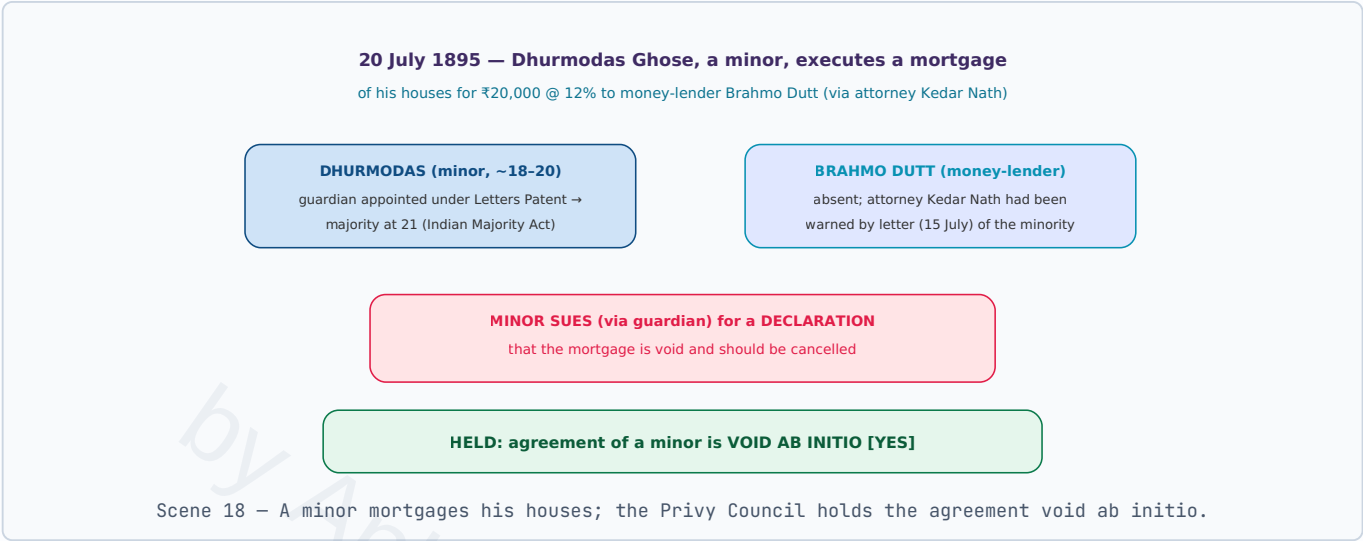
Full Case Digests — the 3 DU Cases on Capacity

Each digest is set out in the full DU format: Citation · Facts · Issues · Arguments of both sides · Decision · Principle evolved. Quotations are taken verbatim from the DU case material.

Case 18 · Mohori Bibee v. Dhurmodas Ghose

(1903) 30 I.A. 114 · Privy Council (Sir Ford North) · minor's contract void ab initio

Minor | Void ab initio | Mortgage | Ss. 11, 64, 65 | Estoppel | Restitution



Scene 18 — A minor mortgages his houses; the Privy Council holds the agreement void ab initio.

FACTS

On **20 July 1895**, the respondent **Dharmodas Ghose executed a mortgage** in favour of **Brahmo Dutt**, a Calcutta money-lender, to secure repayment of **₹20,000 at 12%** interest on certain houses belonging to him. At that time Dharmodas was an **infant**; he did not attain twenty-one until September following. A **certificated guardian** had been appointed for his person and property under the Letters Patent of the High Court. Throughout the transaction Brahmo Dutt was absent from Calcutta and the business was done by his attorney **Kedar Nath Mitter**, the money being found by **Dedraj**, the local manager.

On **15 July 1895**, a letter from **Bhupendra Nath Bose**, attorney for Dharmodas's mother and guardian (Jogendranundinee Dasi), gave notice to Kedar Nath that Dharmodas was still an infant and that anyone lending money to him did so at his own risk. Kedar Nath denied receiving it, but both Courts below held that he did personally receive it, the evidence being conclusive. On the day of execution Kedar Nath got the infant to sign a long **declaration** stating he had come of age on 17 June; both Courts found Kedar Nath **did not act upon, and was not misled by**, that statement and was **fully aware of the minority**.

On **10 September 1895** the infant, by his mother and guardian as next friend, sued Brahmo Dutt for a declaration that the mortgage was **void and inoperative** and should be cancelled. Brahmo Dutt pleaded that the plaintiff was of full age; that there was no notice of infancy; that the declaration as to age was **fraudulent** and disentitled the plaintiff to relief; and that the court should not grant relief without repayment. Jenkins, J. granted the declaration, and the Appellate Court affirmed. Brahmo Dutt appealed to the Privy Council (prosecuted after his death by his executors, Mohori Bibee & others).

ISSUES

1. Was the **knowledge of Kedar Nath** (the attorney) to be **imputed to** the defendant, Brahmo Dutt?
2. Was the infant **estopped** by S.115, Evidence Act, from setting up his minority?
3. Was a minor's agreement **void** (not merely voidable) under Ss. 2, 10 and 11 of the Contract Act?
4. Could the infant be refused relief, or made to **repay the money** advanced, under S.64, S.65 or the Specific Relief Act?

ARGUMENTS OF BOTH SIDES

Appellant (money-lender/executors): (i) Kedar Nath's knowledge was not the defendant's; the real representative was Dedraj who had no knowledge. (ii) The plaintiff was estopped by S.115 from denying he was of full age after the fraudulent declaration. (iii) In any event the Court ought not to have decreed in the respondent's favour without ordering him to **repay the ₹10,500** actually advanced — relying on **S.64** (and, on appeal, S.65), since the infant's contracts were (on the then-current Indian view) only **voidable**.

Respondent (minor): He was a minor when he executed the mortgage; the agreement was void and inoperative and should be delivered up and cancelled. Knowledge of minority was fixed on the lender through his agent, so no estoppel and no equity to compel repayment.

DECISION

The Privy Council **dismissed the appeal** and affirmed the declaration that the mortgage was void. The **knowledge of Kedar Nath was imputed** to the defendant — he stood in the place of the defendant and his acts and knowledge were the principal's; Dedraj himself had left the matter of minority in Kedar Nath's hands. On estoppel, their Lordships held **S.115 had no application** where the statement is made to a person who **knows the real facts and is not misled** (Nelson v. Stocker); a false representation to one who knows it false does not take away the privilege of infancy.

On the decisive point, re-argued before them, their Lordships held, from Ss. 2, 10 and 11, that the Act makes it essential that **all contracting parties be competent to contract**, and a person who by reason of infancy is incompetent **cannot make a contract** within the meaning of the Act. Considering Ss. 183–184 (agency), 247–248 (partnership) and 68 (necessaries), they concluded that an infant is not to be liable even for necessaries — only a statutory claim against his property exists. Accordingly:

- The question whether a contract is void or voidable **presupposes the existence of a contract**, which **cannot arise in the case of an infant** — so there is no **voidable** contract under **S.64**.
- **S.65**, like S.64, **starts from a contract between competent parties** and has no application where there never was, and never could have been, any contract.
- Under Ss. 38 & 41 of the Specific Relief Act (1877) the Court had a discretion, but the lower Courts rightly declined to order the return of money advanced **with full knowledge of the infancy**; the Privy Council saw no reason to interfere.

PRINCIPLE EVOLVED

> *An agreement made by a minor is **void ab initio** — the minor, being incompetent under S.11, cannot make a contract at all; the transaction cannot be recognised by law. Ss. 64 and 65 of the Contract Act do not apply to a minor because they presuppose a contract between competent parties, and a minor cannot be ordered to repay money lent to him with full knowledge of his minority. (Estoppel cannot run where the truth is known to the party relying on it.)*

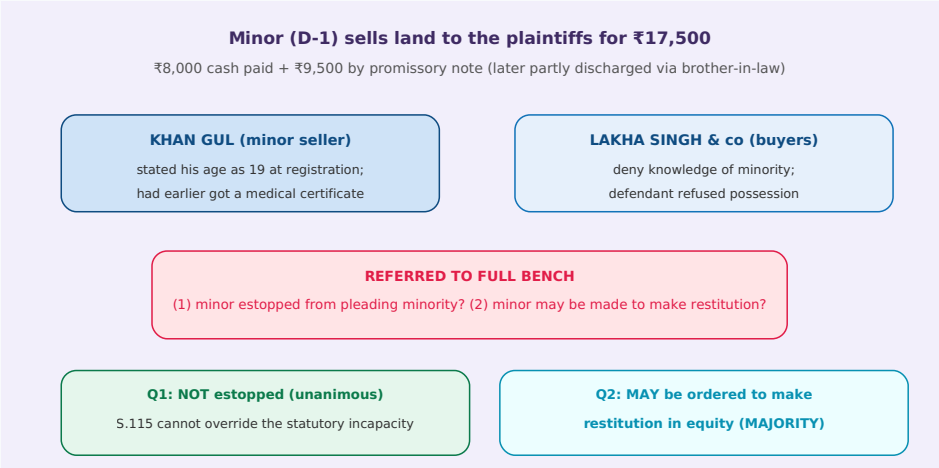
Why it matters: Mohori Bibee is the foundation of Indian law on a minor's agreement — it settled the void/voidable controversy and declared that restitution provisions (Ss. 64/65) cannot be used to make a minor repay money. Every later case (Khan Gul, Ajudhia Prasad) builds on or refines this foundation. It also supports the rule that a minor is **not estopped** and, even for necessaries, is liable only through his property (S.68).

by Ankur R. Upadhyay

Case 19 · Khan Gul v. Lakha Singh

AIR 1928 Lah. 609 · Lahore High Court, Full Bench (Shadi Lal, C.J.) · estoppel & restitution of a minor

Minor — misrepresentation of age | Estoppel (S.115) | Restitution in equity | Sale of land



Scene 19 — A minor sells land; the Full Bench rules he is not estopped but (majority) may be made to make restitution.

FACTS

The plaintiffs sued for possession of half a square which had been **sold to them by defendant 1 (Khan Gul) for ₹17,500**, of which **₹8,000 was paid in cash** before the Sub-Registrar and **₹9,500 was secured by a promissory note** payable on demand. The plaintiffs alleged the price was duly paid because the promissory note had been discharged by a fresh promissory note executed in favour of the defendant's brother-in-law, **Muhammad Hussain**, at the defendant's request; ₹5,500 had been paid to Muhammad Hussain and the balance was offered. Defendant 1 refused to deliver possession. The plaintiffs sought possession or, alternatively, a decree for ₹17,500 with interest/damages.

Defendant 1 **pleaded minority**; his wife (defendant 2) pleaded minority and a prior gift to her. The trial Court decreed possession, holding defendant 1 was **estopped** by falsely representing that he was of full age (following *Wasinda Ram v. Sita Ram*), that the consideration was discharged, and that the gift to the wife was void. Defendants appealed. The Division Bench (Dalip Singh, J.) found there was no evidence the plaintiffs knew the representation was false, but — because of the conflict between the Calcutta view (*Dhurmo Dass v. Brahmo Dutt*, later Mohori Bibee) and the Lahore view on estoppel of minors, and the difficulty of the restitution point — **referred two questions to a Full Bench**.

ISSUES (REFERRED TO THE FULL BENCH)

1. Whether a minor, who by **falsely representing himself to be a major** has induced a person to contract with him, is **estopped** from pleading his minority to avoid the contract.
2. Whether a party who, when a minor, entered into a contract by a false representation as to age — whether he be defendant or plaintiff in later litigation — can **refuse to perform the contract and yet retain the benefit** derived from it.

ARGUMENTS OF BOTH SIDES

Buyers (appellants before FB): S.115, Evidence Act, is general and its word "person" includes a minor; having induced them to contract by a false statement of full age, the minor should be estopped and (alternatively) compelled to refund the consideration received.

Minor: Being under 18 (and his incapacity governed by the Contract Act), he is not estopped; and, being a minor, he cannot be ordered to repay money — relying on Leslie Ltd. v. Sheill and Mahomed Syedol Ariffin v. Yeoh Ooi Gark (P.C.).

DECISION

On the first question (estoppel) — answered unanimously in the NEGATIVE: A minor is **not estopped** from pleading his minority. Shadi Lal, C.J. held that although the word "person" in S.115 is broad enough to include a minor, the general law of estoppel (a rule of evidence) must be read **subject to** the special law of contract which declares a minor incompetent; otherwise the protection deliberately created for minors would be taken away. He noted the English position (Levene v. Brougham) and that in every honest dealing there is an implied representation of capacity, so to apply estoppel would practically abolish the minor's protection.

On the second question (restitution) — answered by the MAJORITY in the AFFIRMATIVE: An infant, though not liable on the contract or in tort, **may in equity be required to return the benefit** he obtained by his false representation as to age. Shadi Lal, C.J. held that the minor is not liable on the contract or in tort if the tort is really the contract (Liverpool Adelphi Loan Assn.; Burnard v. Haggis), but a false representation of age raises an **equitable liability** — the Court, while relieving the infant, may restore the parties to the *status quo ante*. Where the benefit is traceable property it must be restored; where it is

money, the jurisdiction in equity (founded on "an infant cannot take advantage of his own fraud") may require repayment — he saw **no real difference** between restoring property and refunding money. He relied on the discretion under S.41, Specific Relief Act (1877), and distinguished Mohori Bibee (where restitution was refused because the **lender knew of the infancy**). He expressly rejected the distinction between minor-plaintiff and minor-defendant. **Tek Chand, J.** agreed the minor is not estopped and agreed with the Chief Justice on restitution; two other judges concurred. **Harrison, J. dissented** on restitution, holding (with Leslie Ltd. v. Sheill and Lord Sumner) that no suit in substance contractual can lead to an order for restitution by an infant-defendant.

PRINCIPLE EVOLVED

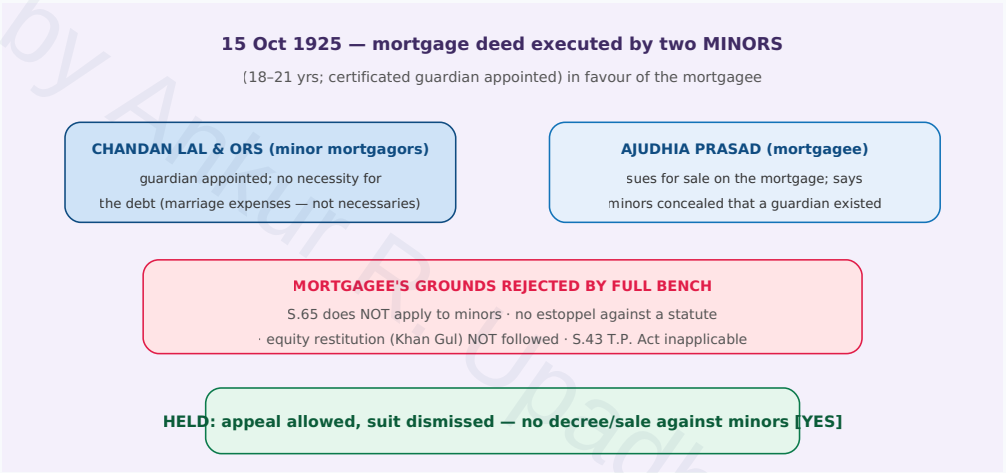
> *(i) A minor who falsely represents himself to be a major is **not estopped** from pleading his minority, for the general rule of estoppel (S.115, Evidence Act) cannot override the special statutory incapacity of a minor to contract. (ii) But the equitable doctrine of **restitution** applies: where a minor has, by fraudulently misrepresenting his age, obtained a benefit, he may — even when a defendant — be compelled in equity to restore the benefit (traceable property in specie, or money where justice requires), so that he does not take advantage of his own fraud. [Minority view of Harrison, J.: no restitution of money against an infant-defendant.]*

Exam pointer: Khan Gul is **not** the last word. Although the Lahore Full Bench majority allowed restitution against a minor-defendant, the **Allahabad Full Bench in Ajudhia Prasad (next case) rejected that money-restitution view**, and the mainstream Indian law follows Ajudhia Prasad. When answering, present Khan Gul as the pro-restitution (Lahore) view and Ajudhia Prasad as the prevailing view that a minor-defendant cannot be made to refund money.

Case 20 · Ajudhia Prasad v. Chandan Lal

AIR 1937 All. 610 · Allahabad High Court, Full Bench (Sulaiman, C.J.) · no restitution of money against a minor-defendant

Minors (18-21) | Ss. 65 & 68 inapplicable | Rejects Khan Gul | Mortgage of minors | No money-decree / sale



Scene 20 — A mortgagee cannot obtain a money-decree or sale against minor-mortgagors.

FACTS

The plaintiffs (mortgagee) sued for **sale on the basis of a mortgage deed dated 15 October 1925** executed by the defendants in their favour. The defendants pleaded that they were **minors** at the date of the mortgage, a **certificated guardian** having been appointed for them, and that there was no necessity for contracting the debt. The mortgagee denied the minority and asserted liability under **S.68**.

The trial Court found the defendants were more than 18 but under 21, and that there was no evidence of any representation by them or their father; it held S.68 did not apply. The lower appellate Court held the defendants were minors (under 21), that the **marriage expenses** were **not "necessaries"**, so S.68 had no application — but, finding that the defendants and their father concealed the appointment of the guardian (the father even declaring before the Sub-Registrar that his younger son was over 18), it treated this as a **fraudulent misrepresentation** and, **following the Lahore Full Bench in Khan Gul v. Lakha Singh**, decreed the claim with interest and, in default, for sale of the mortgaged property. The mortgagee's appeal came before the Allahabad Full Bench on the question whether such a decree could be made.

ISSUE (REFERRED TO THE FULL BENCH)

> *Where money has been borrowed by two minors under a mortgage deed at a time when they were minors (more than 18 but less than 21), under a fraudulent concealment of the fact that they were minors because a guardian had been appointed, can the mortgagee, in a suit*

by Ankur R. Upadhyay

*against them, get a decree for the **principal money under S.65** or under any other equitable principle, and can he also get a **decree for sale** of the mortgaged property?*

ARGUMENTS OF BOTH SIDES

Mortgagee: Claim based on several alternative grounds — (i) **S.65, Contract Act** (restoration/compensation for advantage under a void agreement); (ii) **estoppel** of the minors for concealing minority; (iii) the equitable principle of restitution recognised by the Lahore Full Bench in Khan Gul; (iv) **S.43, Transfer of Property Act** (feeding the estoppel by transferor).

Minors (defendants): The mortgage was made during minority and is **void ab initio** (Mohori Bibee); S.65 does not apply to them; there is no estoppel against a statute; and equity cannot be used to enforce a minor's void contract.

DECISION

Sulaiman, C.J. **answered the question in the negative — the appeal was allowed and the suit dismissed**. On each ground:

- **S.65 does not apply:** Following the clear pronouncement in Mohori Bibee, both Ss. 64 and 65 presuppose an agreement/ contract between **competent parties**; a minor's agreement is void ab initio, so S.65 cannot be invoked against him. To hold otherwise would make a minor personally liable and nullify S.68's protection (which confines even necessaries-liability to the property). The Legislature has not amended the section despite this settled construction.
- **No estoppel:** When the contract itself is void, the plea of estoppel fails — estoppel cannot be pleaded against a statute. S.115 cannot be used to prejudice a minor whom the law protects.
- **No equitable money-restitution against a minor-defendant:** The Allahabad Full Bench **declined to follow the majority restitution view in Khan Gul**. A Court of equity will not compel a person to pay money in respect of a transaction the Legislature has declared void (Lord Romer). The distinction between a minor as **plaintiff** and as **defendant** is well-recognised: restitution is ordered where the minor **seeks equity** (must do equity), not where he is being **sued** — there he merely uses his minority as a **shield**, not a sword. To pass a money-decree against him would be to enforce his void contract under the cloak of equity.
- **S.43, T.P. Act inapplicable:** It presupposes a transfer and estoppel, neither of which exists where a minor has made a void mortgage; a minor already owns the property, so no "subsequently acquired interest" can feed an estoppel.

PRINCIPLE EVOLVED

*Neither S.65 of the Contract Act nor any equitable principle entitles a lender to a money-decree (or a decree for sale) against a minor on a void mortgage made during minority, even where minority was fraudulently concealed. A minor's contract is void ab initio (Mohori Bibee); Ss. 64/65 do not apply; estoppel cannot run against the statutory incapacity; and restitution in equity is confined to the case where the minor is a **plaintiff** seeking to set aside his own transaction (where "he who seeks equity must do equity"), not where he is a **defendant** merely pleading his minority as a shield. In this respect the Allahabad Full Bench rejected the majority restitution view of Khan Gul.*

Exam link — the reconciliation: Mohori (PC) settled that the minor's agreement is void and Ss. 64/65 do not apply. Khan Gul (Lahore FB) added that the minor is not estopped but (majority) may be ordered in equity to make restitution. Ajudhia Prasad (All. FB) is the prevailing view that a minor-**defendant** cannot be made to repay money or lose his property on a void mortgage — restitution is only where the minor is the plaintiff or where specific traceable property is to be restored. State the three cases in this order for a complete, high-scoring answer.

6 Comparison Tables

Side-by-side tables that earn marks and make the doctrine easy to revise.

6.1 The three DU cases at a glance

Case	Court	Core holding	Estoppel?	Restitution against minor?
18 Mohori Bibee (1903)	Privy Council	Minor's agreement **void ab initio**; Ss. 64/65 inapplicable; no estoppel where truth known	No (facts — lender knew)	No (lender knew of infancy; no repayment ordered)
19 Khan Gul (1928)	Lahore FB	Minor **not estopped**; but (majority) may be compelled in **equity to make restitution** even as defendant	**No** (unanimous)	**Yes** — majority (Harrison, J. diss.)
20 Ajudhia Prasad (1937)	Allahabad FB	No money-decree / sale against a minor-defendant; **rejects Khan Gul** restitution-of-money view	No	**No** for money against minor-defendant (only where minor is plaintiff / specific property)

6.2 The three key dichotomies

Dichotomy	Position	Authority
Void vs voidable	Minor's agreement is **void ab initio**, not merely voidable	Mohori Bibee (overruling earlier Calcutta "voidable" view)
Minor as plaintiff vs defendant	Plaintiff seeking equity may be put on terms to refund; defendant merely pleads minority as a **shield** and cannot be made to repay money	Ajudhia Prasad (distinguishing Mohori)
Restitution of property vs money	Traceable property may be restored in specie; **money** cannot be claimed back from a minor-defendant (a decree would enforce the void contract)	Ajudhia Prasad (rejecting Khan Gul)

6.3 Provisions & their applicability to a minor

Provision	Content	To a minor
S.10	Agreements are contracts if by parties competent to contract…	No contract — minor not competent
S.11	Competence = majority + sound mind + no disqualification	Minor lacks the age requirement
S.12	Sound mind test; lucid intervals	Applies to unsound-mind persons (not minors)
S.64	Restitution on rescission of a voidable contract	**Not applicable** (Mohori) — no voidable contract of a minor
S.65	Restore advantage under agreement discovered to be void	**Not applicable** (Mohori; Ajudhia Prasad)
S.68	Reimbursement from property for necessaries to incapable person	**Applies** — against property only, for necessaries suited to condition in life
SRA 1963 § 33	On cancellation, Court may require compensation from the party given relief	Applies where minor is **plaintiff** (may be put on terms)
Indian Majority Act 1875	Age of majority = 18; 21 where guardian appointed	Determines whether one is a minor

6.4 Minor vs person of unsound mind vs mere weakness — quick test

Person	Can he contract?	Test
Minor (under 18/21)	No — agreement void	Age at date of contract
Lunatic in a lucid interval	Yes	Sound at the time of contract
Idiot	No — never capable	Permanent want of understanding
Drunk / delirious during contract	No	Unable to understand/judge at the time (S.12 Ill. b)
Mere weak-minded / old person	Yes (subject to undue influence)	Capable of understanding & judgment

EXAMINATION QUESTION BANK // DU LL.B.

Previous Year Examination Questions (PYQs)

Q.01 20 marks "An agreement by a minor is void ab initio." Explain with reference to Mohori Bibee v. Dhurmodas Ghose. What are the consequences of such an agreement?

◈ Refer website for detailed notes — makelaweasy.in ↗

Q.02 20 marks Discuss the doctrine of restitution as applicable to a minor's agreement. Can a minor be compelled to make restitution of the benefit obtained by him through misrepresentation of his age?

Q.03 20 marks "The doctrine of estoppel cannot be pleaded against a minor." Examine the statement with the help of decided cases.

Q.04 20 marks Explain who is competent to contract under the Indian Contract Act, 1872. Discuss the contractual position of (a) a minor and (b) a person of unsound mind.

Q.05 20 marks Is a minor liable for necessaries supplied to him? Discuss the scope of Section 68 of the Indian Contract Act with the help of decided cases.

Q.06 20 marks Can a mortgagee enforce a mortgage executed by a minor against him after he attains majority? Discuss with reference to Mohori Bibee, Khan Gul and Ajudhia Prasad.

MODULE 06 // DU LL.B. PAPER LB-102 DU Cases 21–24 · 8 Exam PYQs

Free Consent — Coercion, Undue Influence, Fraud, Misrepresentation & Mistake

PART A — ARCHITECTURE OF CONSENT

1. Consent (S. 13) & Free Consent (S. 14) — The Master Framework

Under **Section 10** of the Indian Contract Act, 1872, an agreement becomes a valid, enforceable contract only if it is made by the **"free consent of parties competent to contract"**. Indian contract jurisprudence draws a fundamental structural distinction between **complete absence of consent** (no *consensus ad idem* under Section 13, rendering the agreement **void ab initio**) and **vitiated or unfree consent** (consent exists, but was procured through improper pressure or deception under Section 14, rendering the contract **voidable** at the option of the aggrieved party).

STATUTORY TEXT — SECTIONS 13 & 14, INDIAN CONTRACT ACT, 1872

Section 13 ("Consent" defined): "Two or more persons are said to consent when they agree upon the **same thing in the same sense**."

Section 14 ("Free consent" defined): "Consent is said to be free when it is not caused by— (1) **coercion**, as defined in section 15, or (2) **undue influence**, as defined in section 16, or (3) **fraud**, as defined in section 17, or (4) **misrepresentation**, as defined in section 18, or (5) **mistake**, subject to the provisions of sections 20, 21 and 22. Consent is said to be so caused when it would not have been given but for the existence of such coercion, undue influence, fraud, misrepresentation or mistake."

THE "BUT-FOR" CAUSATION FILTER IN SECTION 14 (CLOSING CLAUSE)

The final sentence of Section 14 enacts a strict causal test: even if fraud, misrepresentation, coercion, or undue influence existed in the background, consent is vitiated **only if** it would *not have been given but for* that vitiating factor (echoed in the Explanation to Section 19: *"A fraud or misrepresentation which did not cause the consent to a contract of the party on whom such fraud was practised, or to whom such misrepresentation was made, does not render a contract voidable"* — e.g., *Horsfall v. Thomas* (1862), where the buyer never inspected the concealed defective plug in a cannon).

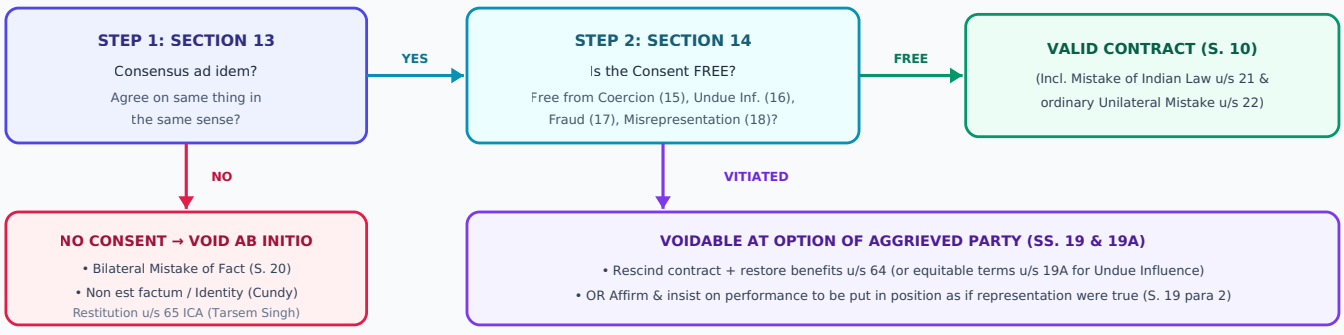


Figure 6.1 — Structural Dichotomy between Absence of Consent (Void u/s 13 & 20) and Vitiated Consent (Voidable u/ss. 14, 19 & 19A)

PART B — SECTION 15

2. Coercion (Section 15) — Penal Compulsion & Detention of Property

SECTION 15 — "COERCION" DEFINED

"'Coercion' is the committing, or threatening to commit, **any act forbidden by the Indian Penal Code (45 of 1860)**, or the **unlawful detaining, or threatening to detain, any property**, to the prejudice of any person whatever, with the intention of causing any person to enter into an agreement.

Explanation.—It is immaterial whether the Indian Penal Code (45 of 1860) is or is not in force in the place where the coercion is employed." (Illustration: A, on board an English ship on the high seas, causes B to enter into an agreement by an act amounting to criminal intimidation under the IPC; A has employed coercion even though the IPC was not in force on the high seas.)

- **Two Exhaustive Statutory Modes:** (i) Committing or threatening to commit an act *forbidden by the IPC* (now corresponding offences under the Bharatiya Nyaya Sanhita, 2023), or (ii) Unlawful detention or threat to detain *any property* (e.g., an agent refusing to hand over account books to the new agent unless released from liabilities — *Muthia v. Muthu Karuppa*, 1927 Mad; widow forced to adopt a boy before husband's corpse was allowed to be removed for cremation — *Ranganayakamma v. Alwar Setti*, (1889) 13 Mad 214).
- **Who From & Against Whom:** Unlike strict English common law duress, coercion under Section 15 **may proceed from a stranger** to the contract and **may be directed against any person whatever** (even a stranger, not merely the contracting party or near relatives), provided the intention is to cause any person to enter into the agreement.
- **Threat to Commit Suicide — *Chikkam Ammiraju v. Chikkam Seshamma*, ILR (1918) 41 Mad 33:** A husband threatened to commit suicide unless his wife and son executed a release deed in favour of his brother regarding family properties. **Majority (Wallis CJ & Oldfield J.):** Although completed suicide cannot be punished (as the offender is dead), *attempt* to commit suicide (S. 309 IPC) and *abetment* of suicide (S. 306 IPC) are punished solely because suicide itself is an act **"forbidden by the IPC"**; hence a threat to commit suicide amounts to coercion u/s 15! **Dissent (Seshagiri Aiyar J.):** Held suicide is not expressly forbidden by IPC, though relief would still lie under Section 16 (undue influence).
- **Threat to Prosecute / Strike / Economic Duress:** A bare threat to file a lawful civil suit or bona fide criminal complaint on true facts is *not* coercion because instituting legal proceedings is not forbidden by the IPC (*Askari Mirza v. Bibi Jai Kishori*). Threatening to strike under industrial law is governed by statutory industrial machinery, not IPC offences (*Workmen of Appin Tea Estate v. Industrial Tribunal*, AIR 1966 Assam 115). Modern commercial **economic duress** (e.g., *Universe Tankships*; *Atlas Express v. Kafco*; *Dai-Ichi Karkaria Pvt. Ltd. v. ONGC*, AIR 1992 Bom 309) is tested in India through unlawful property detention u/s 15, S. 72 restitution (*"money paid under coercion"*, which the Privy Council in *Kanhaya Lal v. National Bank of India*, (1913) 40 IA 56 held carries its ordinary popular sense of compulsion, wider than S. 15!), or public policy u/s 23 (*Brojo Nath Ganguly*).

PART C — SECTIONS 16 & 19A

3. Undue Influence (Section 16) — Subtle Domination of Will & The Three-Stage Test

Where coercion operates mainly through physical/penal or proprietary compulsion, **undue influence** (derived from English Equity — *Allcard v. Skinner* (1887) 36 Ch D 145, Lindley LJ) targets moral, psychological, relational, or fiduciary domination whereby a party's independent judgment is overborne.

SECTION 16 — "UNDUE INFLUENCE" DEFINED (THREE SUB-SECTIONS)

(1) Core Substantive Rule: A contract is said to be induced by "undue influence" where the relations subsisting between the parties are such that **one of the parties is in a position to dominate the will of the other** and **uses that position to obtain an unfair advantage** over the other.

(2) Deemed Position of Dominance: In particular and without prejudice to the generality of the foregoing principle, a person is deemed to be in a position to dominate the will of another—

(a) where he holds a **real or apparent authority** over the other (e.g., police officer–accused, master–servant, income-tax authority–assessee), or where he stands in a **fiduciary relation** to the other (solicitor–client, doctor–patient, spiritual guru–disciple [*Mannu Singh v. Umadat Pande*, (1890) 12 All 523], trustee–beneficiary, parent–child); or

(b) where he makes a contract with a person whose **mental capacity is temporarily or permanently affected by reason of age, illness, or mental or bodily distress** (*Lakshmi Amma v. T. Narayana Bhatta*).

(3) Reversal of Burden of Proof (Unconscionable Bargains): Where a person who is in a position to dominate the will of another, enters into a contract with him, and the transaction appears, **on the face of it or on the evidence adduced, to be unconscionable**, the burden of proving that such contract was not induced by undue influence shall lie upon the person in a position to dominate the will of the other. (Nothing in this sub-section affects S. 111, Indian Evidence Act, 1872 / S. 114 BSA.)

HIGH-YIELD EXAM RULE — THE MANDATORY THREE-STAGE SEQUENCE (RAGHUNATH PRASAD & SUBHAS CHANDRA)

Ankur R. Upadhyay

Both the Privy Council in ***Raghunath Prasad v. Sarju Prasad*** **(1923)** and the Supreme Court in ***Subhas Chandra Das Mushib v. Ganga Prasad Das Mushib*** **(1967)** laid down that courts **must strictly follow the sequential order of sub-sections (1), (2), and (3)** — reversing the order is a fatal error of law:
Stage 1 — Dominance of Will: Establish that the relations between the parties were such that the defendant was *in a position to dominate the will* of the plaintiff (aided by S. 16(2)(a)/(b)). *Mere blood relationship, old age, or urgent need for money (commercial distress) does NOT establish dominance of will!*
Stage 2 — Unconscionability / Issue of Unfairness: ONLY AFTER Stage 1 is affirmatively proved does the court examine whether the transaction appears, on the face of it or on the evidence adduced, to be **unconscionable** (one that shocks the conscience / no right-minded person would make and no honest person would accept).
Stage 3 — Onus Probandi Shifts u/s 16(3): Once BOTH Stage 1 (dominance) and Stage 2 (unconscionability) are established, the statutory presumption triggers and the **onus shifts to the dominant party** to prove affirmatively (e.g., via full disclosure, adequate consideration, and independent legal advice) that the contract was *not* induced by undue influence.

- **Relationships with NO Automatic Presumption of Dominance:** Husband and wife (unlike parent–child or solicitor–client, there is no automatic presumption of undue influence between spouses: *Mackenzie v. Royal Bank of Canada* [1934] AC 468; *Tungabai v. Yeshwant*, AIR 1945 PC 8), Landlord and tenant, Creditor and debtor / Money-lender and borrower (urgent need of money for litigation or business is *not* "mental distress" u/s 16(2)(b) — Illustration (d) to S. 16 & *Raghunath Prasad*), Grandparent gifting out of natural affection to grandchild (*Subhas Chandra Das Mushib*).
- **Protection of *Pardanashin* & Illiterate Women:** Drawn from equity and S. 111 Evidence Act, anyone dealing with a *pardanashin* woman (secluded from ordinary social/commercial intercourse — extended by courts to ignorant, illiterate, infirm rural women: *Mst. Kharbuja Kuer v. Jangbahadur Rai*, AIR 1963 SC 1203) bears the affirmative burden of proving that she executed the deed not merely physically, but with **intelligent comprehension of its nature, contents, and legal effect** (ideally after independent disinterested advice).
- **Consequences u/s 19A (Equitable Flexibility):** Unlike Section 19 (all-or-nothing rescission), Section 19A empowers the court to set aside a contract induced by undue influence **either absolutely OR, if the party entitled to avoid has received any benefit thereunder, upon such terms and conditions as to the court may seem just** (Illustration (b): money-lender advances ₹100 to village agriculturist and by undue influence induces a bond for ₹200 at 6% per month; court may set the bond aside ordering repayment of ₹100 with reasonable interest!).

Dimension	Coercion (Section 15)	Undue Influence (Section 16)
1. Nature of Pressure	Physical, penal, or proprietary compulsion (act forbidden by IPC or unlawful detention of property).	Subtle moral, psychological, fiduciary, or mental domination overbearing free agency.
2. Relationship Required?	**No prior relationship** needed between parties.	**Subsisting relationship** enabling dominance of will is mandatory (Stage 1).
3. Third-Party Involvement	Can be exercised **by or against a complete stranger** to the contract.	Must operate **between the parties** to the contract (dominant party vs weaker party).
4. Burden of Proof	Always rests on the party alleging coercion (no statutory presumption).	Shifts to dominant party u/s 16(3) once dominance + unconscionability are shown.
5. Statutory Consequence	Voidable u/s **19**; benefits restored strictly u/s **64** (plus S. 72 recovery).	Voidable u/s **19A**; court has wide equitable discretion to set aside *upon just terms*.

PART D — SECTIONS 17, 18 & 19

4. Fraud (Section 17) & Misrepresentation (Section 18) — Deceit, Silence & Innocent Falsehood

SECTION 17 — FIVE STATUTORY HEADS OF "FRAUD" + THE SILENCE RULE

"Fraud" means and includes any of the following acts committed by a party to a contract, or with his connivance, or by his agent, **with intent to deceive** another party thereto or his agent, or to induce him to enter into the contract:—
(1) ***Suggestio falsi*:** the suggestion, as a fact, of that which is not true, by one who does not believe it to be true;
(2) ***Suppressio veri*:** the active concealment of a fact by one having knowledge or belief of the fact;
(3) **Promissory Fraud:** a promise made without any intention of performing it (e.g., buying goods on credit intending to abscond; *Shireen Mall v. John James Taylor*);
(4) any other act fitted to deceive; and
(5) any such act or omission as the law specially declares to be fraudulent (e.g., S. 55(1)(a) Transfer of Property Act — seller omitting to disclose latent material defect in immovable property or title).
Explanation (Mere Silence Rule): "Mere silence as to facts likely to affect the willingness of a person to enter into a contract is **not**

> **fraud**, unless the circumstances of the case are such that, regard being had to them, it is the **duty of the person keeping silence to speak**, or unless his **silence is, in itself, equivalent to speech**."

- ***Derry v. Peek* (1889) 14 App Cas 337 (HL — Lord Herschell):** Company directors stated in a prospectus that their tramway company had statutory right to use steam/mechanical power, honestly believing Board of Trade consent was a mere formality. The Board refused consent and the company wound up. Held: **No deceit/fraud**! Fraud is proved only when a false representation is made (i) knowingly, or (ii) without belief in its truth, or (iii) recklessly, careless whether it be true or false. An honest belief in truth, however negligent or unreasonable, negatives *Fraud u/s 17(1)* — though in India such an unwarranted positive assertion falls squarely within **Misrepresentation u/s 18(1)** (and today also triggers statutory prospectus liability under the Companies Act, 2013)!
- **When Mere Silence DOES Become Fraud (Explanation to S. 17):** Ordinarily *caveat emptor* applies (Illustrations (a) & (d): selling an unsound horse at auction to a stranger without saying anything is *not* fraud; not disclosing private market intelligence is *not* fraud; *Shri Krishan v. Kurukshetra University*, AIR 1976 SC 376 — candidate's passive non-disclosure of attendance shortage where university authorities failed to scrutinize forms held not fraud). Silence becomes fraudulent in **four classic situations**:
  1. **Contracts *Uberrimae Fidei* (Duty to Speak — Illustration (b)):** Where parties stand in a fiduciary/confidential relation (e.g., father buying horse from daughter who just came of age), contracts of insurance (*LIC v. Asha Goel*, AIR 2001 SC 549), family settlements, marriage contracts (concealing prior marriage/insanity: *Kiran Bala v. Bhaire Prasad*), company prospectuses, and statutory disclosures (S. 55 TPA).
  2. **Silence Equivalent to Speech (Illustration (c)):** Buyer says to seller, *"If you do not deny it, I shall assume that the horse is sound."* Seller stays silent → silence = speech = fraud!
  3. **Half-Truths (Fragmentary Disclosure):** Stating something literally true that creates a misleading impression by suppressing qualifying facts (*Peek v. Gurney*; *R. v. Kylsant*).
  4. **Supervening Change of Circumstances (*With v. O'Flanagan* [1936] Ch 575):** Doctor represented his medical practice yielded £2,000 a year (true in January), but fell ill and receipts collapsed to £5/week before signing in May; failure to disclose the change rendered the continuing representation fraudulent!
- **Section 18 — Three Heads of Misrepresentation (Innocent / Non-Fraudulent Falsehood):**
  1. **S. 18(1) — Unwarranted Positive Assertion:** Positive assertion, in a manner not warranted by the information of the person making it, of that which is not true, *though he believes it to be true* (*Oceanic Steam Navigation Co. v. Soonderdas Dhurumsey* (1890) 14 Bom 241 — charterer positively asserted ship's tonnage was not over 2,800 tons based on hearsay when actual registered tonnage was 3,045 tons; rescinded u/s 18(1)). Mere hearsay statement qualified as opinion (*Bisset v. Wilkinson* [1927] AC 177) is excluded.
  2. **S. 18(2) — Breach of Duty Gaining Advantage (Constructive Fraud):** Any breach of duty which, without an intent to deceive, gains an advantage to the person committing it (or anyone claiming under him) by misleading another to his prejudice (*Oriental Bank Corporation v. John Fleming* (1879) 3 Bom 242 — signing release deed without reading it because defendant's manager innocently stated it covered only certain matters).
  3. **S. 18(3) — Innocently Causing Mistake as to Substance:** Causing, however innocently, a party to an agreement to make a mistake as to the *substance of the thing* which is the subject of the agreement.
- **Crucial Trap on the Exception to Section 19 ("Ordinary Diligence" Bar):** Under the Exception to Section 19, if consent was caused by **misrepresentation** OR by **silence fraudulent within the meaning of S. 17**, the contract is *not* voidable if the party whose consent was so caused **had the means of discovering the truth with ordinary diligence** (Illustration (b) to S. 19: factory advertised as producing 500 tons of indigo annually, whereas account books handed over for inspection clearly showed 400 tons). **CRITICAL EXAM POINT:** This "ordinary diligence" defence does **NOT** apply to **active fraud** under S. 17(1)–(5)! As Jessel MR famously held in *Redgrave v. Hurd* (1881) 20 Ch D 1 (followed in *Niaz Ahmad Khan v. Parsottam Chandra*, AIR 1931 All 154), a liar who commits active fraud cannot tell his victim: *"You ought not to have believed me; you could have checked!"*
- **Four Bars to Rescission (S. 19 & S. 27 SRA):** (1) **Affirmation** after discovering the truth; (2) **Lapse of reasonable time** without rescinding (*Leaf v. International Galleries* [1950] 2 KB 86); (3) Acquisition of rights in the subject-matter by a **bona fide third party for value without notice** (*Phillips v. Brooks* [1919] 2 KB 243); (4) Inability to restore parties to their original position (*restitutio in integrum*).

Basis of Distinction	Fraud (Section 17)	Misrepresentation (Section 18)
1. Intention to Deceive	**Essential** (*mens rea* / absence of honest belief — *Derry v. Peek*).	**Absent**; maker honestly believes statement to be true.
2. Action in Tort for Damages	Gives rise to BOTH contractual rescission (S. 19) **AND tortious damages for deceit**.	Gives rise **only to rescission / restitution** u/s 19 & 64 (no tort damages in India).
3. "Ordinary Diligence" Defence (S. 19 Exception)	**NOT available** in active fraud — only in fraudulent silence! (*Redgrave v. Hurd*).	**Complete defence**: contract is NOT voidable if truth was discoverable with ordinary diligence.

PART E — SECTIONS 20, 21 & 22

5. Mistake — Bilateral Mistake (S. 20), Mistake of Law (S. 21) & Unilateral Mistake (S. 22)

SECTIONS 20, 21 & 22 — STATUTORY TRIAD ON MISTAKE

Section 20 (Agreement void where both parties are under mistake as to matter of fact): "Where **both the parties** to an agreement are under a mistake as to a **matter of fact essential to the agreement**, the agreement is **void**.

Explanation.—An erroneous opinion as to the value of the thing which forms the subject-matter of the agreement, is not to be deemed a mistake as to a matter of fact."

Section 21 (Effect of mistakes as to law): "A contract is **not voidable** because it was caused by a mistake as to any **law in force in India**; but a mistake as to a **law not in force in India** has the same effect as a mistake of fact."

Section 22 (Contract caused by mistake of one party as to matter of fact): "A contract is **not voidable** merely because it was caused by one of the parties to it being under a mistake as to a matter of fact."

- **Three Cumulative Ingredients of Section 20 (Void + S. 65 Refund):** (i) *Both* parties must be mistaken (mutual/common bilateral mistake); (ii) Mistake must be of *existing fact* (not future expectation or mere valuation); (iii) The fact must be **essential to the agreement**. Categories of essential facts:
  - **Existence of Subject-Matter (*Res Extincta* — Illus. (a)–(c)):** Cargo of corn already fermented and sold at Tunis before contract (*Couturier v. Hastie* (1856) 5 HLC 673); horse dead at time of bargain; life assured already dead (*Scott v. Coulson*).
  - **Title / Ownership (*Res Sua*):** Agreeing to take a lease of a fishery which unknown to both already belonged to the lessee in equity (*Cooper v. Phibbs* (1867) LR 2 HL 149).
  - **Identity of Subject-Matter (Latent Ambiguity):** Buyer & seller contracting for cotton "to arrive ex *Peerless* from Bombay" when two ships named *Peerless* sailed in Oct and Dec respectively — no *consensus ad idem* u/s 13 (*Raffles v. Wichelhaus* (1864) 2 H & C 906).
  - **Area / Quantity / Physical Possibility:** Seller meaning *bighas* while buyer meant *kanals* (*Tarsem Singh v. Sukhminder Singh*, (1998) 3 SCC 471); land incapable of producing 50 tons of sisal hemp p.m. (*Sheikh Brothers Ltd. v. Ochsner* [1957] AC 136). Mere quality mistake without contractual condition does not avoid (*Bell v. Lever Brothers Ltd.* [1932] AC 161).
- **When Unilateral Mistake DOES Defeat Consent (Void ab initio u/s 13 despite S. 22):** Section 22 only says a contract is not voidable *merely* because of one party's mistake (e.g., miscalculating one's own bid price: *Tamplin v. James*). However, unilateral mistake prevents consent altogether u/s 13 in **two classic situations**:
  1. **Mistake as to Identity of Party Contracted With:** Where identity is of vital importance (*Boulton v. Jones*; *Said v. Butt*). Crucial distinction between **written contracts (*inter absentes*)** and **face-to-face contracts (*inter praesentes*)**:
     - **Written / Distance Dealings → VOID:** In *Cundy v. Lindsay* (1878) 3 App Cas 459 (HL) (and *Shogun Finance Ltd. v. Hudson* [2003] UKHL 62), rogue "Blenkarn" signed letters from 37 Wood Street imitating reputable firm "Blenkiron & Co." at 123 Wood Street, obtained linen, and sold it to innocent Cundy. Held: Plaintiffs intended to deal **only with Blenkiron & Co.**, never with Blenkarn; contract was **void ab initio** for lack of consent, so innocent buyer Cundy acquired **no title** and was liable in conversion!
     - **Face-to-Face Dealings → Strong Presumption of Contract with Physical Person Present (VOIDABLE for Fraud, NOT Void):** In *Phillips v. Brooks Ltd.* [1919] 2 KB 243 (rogue claimed to be "Sir George Bullough" inside jeweller's shop, took ring on cheque, pledged to innocent pawnbroker) and *Lewis v. Averay* [1972] 1 QB 198 (rogue impersonated actor Richard Greene to buy car), courts held the seller intended to contract with the *person physically standing before him* (mistaking only his creditworthiness/attributes, not identity). Hence contract was merely **voidable for fraud u/s 19** — and since an innocent third party bought before rescission, good title passed! (Compare narrow exception in *Ingram v. Little* [1961] 1 QB 31.)
  2. **Mistake as to Nature of Document Signed — *Non Est Factum* ("It is not my deed"):** Where an aged, blind, or infirm person, without negligence, is tricked into signing a document **radically / fundamentally different in character** from what they believed (e.g., *Foster v. Mackinnon* (1869) LR 4 CP 704 — elderly man induced to endorse a £3,000 bill of exchange believing it was an ordinary guarantee; held void!). Narrowed in *Saunders v. Anglia Building Society (Gallie v. Lee)* [1971] AC 1004: plea fails if signer was careless or if document was merely transferring to X instead of Y while having the same legal character of a property assignment.

DU CASE 21 FOUNDATION AUTHORITY ON SECTION 16(1)-(3)

Raghunath Prasad v. Sarju Prasad, (1923) 51 I.A. 101 : AIR 1924 PC 60 (Privy Council — Lord Shaw)

Section 16(1), (2), (3) ICA | Question: **Can a court presume undue influence merely because a mortgage carries unconscionable compound interest (24% p.a.), without first establishing that the lender was in a position to dominate the borrower's will?** | Held: **NO — Three-stage order is mandatory; borrower's mental distress due to criminal litigation with his father did NOT put a commercial money-lender in a position to dominate his will.**

Facts

- The defendant-respondent **Sarju Prasad** and his father owned vast joint Hindu family properties worth ~₹2–3 lakhs, but serious hostility erupted between father and son, culminating in **criminal proceedings** instituted by the father against the son.
- To defend the criminal litigation and meet urgent expenses, Sarju Prasad borrowed **₹10,000** on **27 May 1910** from the plaintiff-appellant money-lender **Raghunath Prasad** by mortgaging family properties at a steep rate of **2% per mensem (24% per annum) compound interest with yearly rests**. Over 11 years, the debt ballooned past ₹1,12,885.
- When the mortgagee sued to enforce the mortgage, Sarju Prasad pleaded that he was in severe mental distress due to his father's criminal prosecution, that the stipulation of 24% compound interest was unconscionable, and that the transaction was vitiated by **undue influence u/s 16**. The Trial Court (Subordinate Judge) and Patna High Court cut down the interest to 24% *simple* interest, jumping directly to unconscionability.

MORTGAGEE'S (APPELLANT'S) CONTENTION

Relationship was purely that of an independent commercial lender and borrower; borrower's quarrel with his own father was not created by the lender; under S. 16(3), unconscionability is wholly irrelevant until position to dominate will is first proved.

MORTGAGOR'S (RESPONDENT'S) CONTENTION

Facing criminal prosecution by his own father caused acute "mental distress" u/s 16(2)(b); 2% p.m. compound interest was ex facie extortionate and unconscionable, shifting burden u/s 16(3) to the lender.

Judgment & Classic Dictum (Lord Shaw of Dunfermline)

- **The Mandatory Three-Stage Order of Inquiry:** Reversing the High Court on the reduction of interest, Lord Shaw laid down the timeless rule governing Section 16(3):
  1. **In the first place**, the relations between the parties must be such that one is **in a position to dominate the will** of the other.
  2. **Once that position is substantiated**, the **second stage** has been reached — namely, the issue whether the contract has been induced by undue influence.
  3. **Upon the determination of this issue a third point emerges**, which is that of the ***onus probandi***: if the transaction appears, on the face of it or on the evidence adduced, to be **unconscionable**, the burden of proving that such contract was not induced by undue influence lies upon the person in a position to dominate the will of the other.
- **Fatal Error of Inverting the Order:** *"Error is almost sure to arise if the order of these propositions be changed. The unconscionableness of the bargain is not the first thing to be considered. The first thing to be considered is the relations of these parties."* Even though a rate of 2% per month compound interest may be high or harsh, Indian courts have no roving equitable jurisdiction (apart from statutory Usurious Loans Acts where applicable) to rewrite commercial interest rates when Stage 1 fails.
- **Holding on Facts:** Borrower failed at Stage 1 itself — an ordinary borrower in urgent need of money to fight criminal cases is *not* under the domination of the stranger money-lender's will (mirroring **Illustration (d) to Section 16**). Full compound mortgage decree restored!

DU CASE 22 GRANDFATHER'S GIFT, PLEADINGS & NATURAL LOVE VS UNDUE INFLUENCE

Subhas Chandra Das Mushib v. Ganga Prasad Das Mushib & Ors., AIR 1967 SC 878 (Supreme Court — G.K. Mitter J.)

Section 16 ICA · Order VI Rule 4 CPC | Question: **Does a gift of properties by an 86-year-old grandfather to his grandson (passing over his estranged/absent son) raise a presumption of undue influence?** | Held: **NO — Mere grandparenthood, old age, or active management by grandson raises no presumption; natural affection explains the gift; strict particulars must be pleaded under O. VI R. 4 CPC.**

Facts

- **Prasanna Kumar** (aged ~86 at execution, died 4 years later aged 90) owned ancestral lands in village **Balutola** and house properties in Bankura town. He had two sons (**Ganga Prasad** [plaintiff] and **Balaram**) and Balaram's son **Subhas Chandra** (defendant grandson).

- Plaintiff Ganga Prasad lived away in Bankura town seeking employment and rarely looked after the village lands, whereas Balaram and grandson **Subhas Chandra** lived with Prasanna and managed the Balutola agricultural properties.
- On **22 July 1944**, Prasanna executed a registered **deed of gift** conveying the entire Balutola properties (valued ~₹3,000) to his grandson Subhas Chandra out of natural love and affection, continuing himself to sell/deal with other Bankura properties cleanly in 1947 before dying in 1948. Four years after Prasanna's death (8 years after the deed!), Ganga Prasad sued to set aside the gift alleging undue influence.
- The Trial Court dismissed the suit (finding Prasanna retained sharp mental faculties until death), but the **Calcutta High Court** reversed it solely by presuming from Prasanna's advanced age (86) and Subhas's family relation that Subhas dominated his grandfather's will!

Supreme Court Holding & Ratio Evolved (Mitter J.)

- **Affirmation of *Raghunath Prasad* + Two Separate Inquiries:** The Supreme Court warned against confusing (i) *competence/mental capacity u/s 11–12* with (ii) *undue influence u/s 16*, and reaffirmed that Stage 1 (position to dominate will) must be proved **before** examining unconscionability.
- **Law of Gifts vs Commercial Contracts:** Simply because a grandfather of 86 makes a gift to one grandson passing over his elder son does **not** make the transaction "unconscionable" on the face of it! Unlike a commercial sale for grossly inadequate price, a gift by definition involves zero monetary return — where a grandson lives with and serves his grandfather while the elder son stays away, gifting village lands to that grandson is natural and expected (citing *Ismail Mussajee Mookerdum v. Hafiz Boo* (1906) 33 IA 86 and *Poosathurai v. Kannappa Chettiar* (1919) 47 IA 1: mere influence or persuasion by a relative is lawful unless it amounts to *"undue"* influence destroying free agency).
- **Strict Pleadings Rule (Order VI Rule 4 CPC):** Vague, general allegations of fraud or undue influence cannot be entertained; the plaintiff must plead **precise material particulars** of how the defendant stood in a dominating position and how he exercised it. High Court reversed; gift upheld!

DU CASE 23 CONTRAST CASE — INFIRM DONOR + EX-FACIE UNNATURAL SETTLEMENT SET ASIDE

Lakshmi Amma & Anr. v. Talengalanarayana Bhatta & Anr., (1970) 3 SCC 159 : AIR 1970 SC 1367 (Supreme Court — A.N. Grover J.)

Section 16(2)(b) & 16(3) ICA | Question: **When an ailing 75-year-old diabetic hospital patient executes a one-sided "settlement deed" transferring his entire estate exclusively to one grandson while virtually disinheriting his wife and daughters without independent advice, does the onus shift u/s 16(3)?** | Held: **YES — Both bodily/mental infirmity u/s 16(2)(b) and ex-facie unconscionability proved; grandson failed to discharge burden; deed declared void/set aside!**

Facts

- Executant **Narasimha Bhatta** (aged ~75) suffered from chronic advanced **diabetes, carbuncle, hypertension, extreme senile debility, and memory impairment**, and was admitted to a nursing home in Mangalore.
- While admitted in the nursing home in **September 1955**, a document styled a **Deed of Settlement (Ex. B-3)** was drafted in Mangalore, registered by calling the Sub-Registrar to his sickbed, transferring **the entirety of his immovable and movable properties exclusively to one grandson, T. Narayana Bhatta (Respondent 1)**!
- Shocking features on the face of Ex. B-3: (1) Two daughters and other grandchildren received **nothing at all**; (2) His aged wife **Lakshmi Amma** (Appellant 1) was given only scant bare maintenance with zero charge on properties; (3) Narasimha Bhatta **divested himself of every shred of property during his own lifetime** and barred himself from ever revoking or altering the deed; (4) Earlier Will had divided properties fairly; (5) Draftsman were procured by Respondent 1, and Lakshmi Amma was kept in the dark without independent advice. Before dying in Oct 1959, Narasimha himself executed a cancellation deed and sued to set Ex. B-3 aside.
- The Trial Court set aside Ex. B-3 for undue influence/lack of comprehension, whereas the Mysore High Court reversed it.

Supreme Court Holding & Ratio Evolved (Grover J.)

- **Distinguishing *Subhas Chandra* — Both Prongs of S. 16(2)(b) & S. 16(3) Satisfied:** Here, medical testimony proved Narasimha's physical and mental capacity was gravely enfeebled by diabetes and illness (squarely attracting **Section 16(2)(b)**), AND the terms of Ex. B-3 were **patently unnatural and unconscionable on their face** (stripping himself of all assets for life, disinheriting daughters, leaving aged wife at grandson's mercy, with no power of revocation).
- **Failure to Discharge Shifted Burden u/s 16(3):** Where an enfeebled old man executes an improvident, wholesale, irrevocable strip-all settlement in favour of the grandson attending his sickbed, a **heavy onus rests on the beneficiary grandson** to prove how the instructions originated, why the earlier fair Will was abandoned, and that the donor had independent, disinterested legal advice and full comprehension. Respondent 1 failed completely to explain how the draft materialized — Trial Court decree setting aside the deed restored!

DU CASE 24 BILATERAL MISTAKE OF AREA + NO FORFEITURE OF EARNEST MONEY + S. 65 REFUND

Tarsem Singh v. Sukhminder Singh, (1998) 3 SCC 471 : AIR 1998 SC 1400 (Supreme Court — S. Saghir Ahmad J.)

Sections 13, 20, 65 & 74 ICA | Question: **Where vendor understood land measurement in "bighas" and purchaser understood it in "kanals" under an agreement to sell per-unit land, is the agreement void u/s 20, and can vendor forfeit ₹77,000 earnest money?** | Held: **Agreement VOID u/s 13 & 20 (no consensus ad idem; essential bilateral mistake of fact); forfeiture clause dies with void contract; vendor MUST refund ₹77,000 u/s 65 ICA!**

Facts

- Petitioner **Tarsem Singh** (owner of 48 kanals 11 marlas of agricultural land in Punjab) entered into a written agreement on **20 May 1988** to sell the land to Respondent **Sukhminder Singh** @ ₹24,000 per unit, receiving **₹77,000 as earnest money**.
- Because Sukhminder had lived in Calcutta/Malaysia, a genuine linguistic/customary misunderstanding occurred over local Punjab land units (1 *kanal* is substantially larger than 1 *kachha bigha* — roughly 4 *bighas* ≈ 1 *acre* = 8 *kanals*): the **seller thought the price of ₹24,000 was per *bigha***, whereas the **buyer thought ₹24,000 was per *kanal***, creating a massive discrepancy in total sale consideration!
- When the balance was not paid on the seller's *bigha* calculation, Tarsem Singh refused to execute the sale deed AND claimed to **forfeit the ₹77,000 earnest money** under the forfeiture stipulation!
- The First Appellate Court (Additional District Judge) recorded a clear finding of fact that **both parties laboured under a genuine mistake regarding the unit of measurement (area & total price)** and therefore refused specific performance, yet allowed Tarsem Singh to retain part/all of the earnest money; the High Court ordered refund of ₹77,000.

Supreme Court Holding & Ratio Evolved (S. Saghir Ahmad J.)

- **1. Absence of *Consensus ad Idem* (S. 13) + Bilateral Mistake of Essential Fact (S. 20):** Reviewing Sections 10, 13, 14, 20, 21, and 22, the Court held three conditions activate Section 20: (i) *both* parties must be under a mistake; (ii) mistake must be of a *matter of fact*; and (iii) that fact must be *essential to the agreement*. The **unit of area measurement (bigha vs kanal)** directly determines both the extent of land and the total price — it goes to the very root and identity of the bargain, not a mere "erroneous opinion as to value" under the Explanation to S. 20! Hence, the agreement was **void ab initio under Section 20**.
- **2. Section 74 (Penalty / Earnest Forfeiture) Inapplicable to Void Agreements:** Tarsem Singh argued that earnest money was forfeitable on breach u/s 74. Rejecting this, the Supreme Court held that **Section 74 presupposes a valid, enforceable contract that has been broken**! Where the underlying agreement itself is *void u/s 20*, every ancillary stipulation inside it — including the earnest-money forfeiture clause — perishes with it.
- **3. Mandatory Equitable Restitution under Section 65 ICA:** When an agreement is **"discovered to be void"** (which squarely includes agreements void from inception due to bilateral mistake of fact discovered when parties attempt performance!), **Section 65** mandates that any person who has received any advantage under such agreement is **bound to restore it** to the person from whom he received it. Refund of the entire **₹77,000** with interest affirmed!

EXAMINATION QUESTION BANK // DU LL.B.

Previous Year Examination Questions (PYQs)

Q.01 Essay (20 marks) · S. 16 + Case 21 (Raghunath Prasad) What are the essential ingredients of "undue influence" under Section 16 of the Indian Contract Act, 1872? Explain the three sequential stages for deciding a plea of undue influence and shifting the burden of proof as expounded by the Privy Council in *Raghunath Prasad v. Sarju Prasad*.

◈ Refer website for detailed notes — makelaweasy.in ↗

Q.02 Essay (20 marks) · Ss. 13–19A + Cases 22 & 23 "A contract which is regular in all other respects may still fail if the consent of one of the parties is not free." Elucidate with the help of decided cases, contrasting *Subhas Chandra Das Mushib v. Ganga Prasad Das Mushib* and *Lakshmi Amma v. T. Narayana Bhatta*.

Q.03 Problem (20 marks) · Ss. 13, 20, 65 & 74 + Case 24 (Tarsem Singh) A agreed to sell his agricultural land in Punjab to B at ₹50,000 per unit and received ₹2,00,000 as earnest money. At the time of execution of the sale deed, it transpired that A intended the rate to be ₹50,000 per *bigha* while B genuinely understood it to be ₹50,000 per *kanal*. B sues for specific performance or, in the alternative, refund of ₹2,00,000; A claims forfeiture of the earnest money. Decide in the light of *Tarsem Singh v. Sukhminder Singh*.

Q.04 `Analytical (15 marks) · S. 17 Explanation + S. 19 Exception` "Mere silence as to facts likely to affect the willingness of a person to enter into a contract is not fraud." Critically examine this rule along with its statutory exceptions under Section 17, and explain when "means of discovering the truth with ordinary diligence" bars avoidance under the Exception to Section 19.

Q.05 `Distinction (15 marks) · S. 15 vs S. 16 + Chikkam Ammiraju` Distinguish clearly between "Coercion" (Section 15) and "Undue Influence" (Section 16). Does a husband's threat to commit suicide unless his wife and son execute a release deed in favour of his brother amount to coercion under Indian law?

Q.06 `Distinction & Problem (15 marks) · S. 17 vs S. 18 + Derry v. Peek` Distinguish between "Fraud" (Section 17) and "Misrepresentation" (Section 18) as to intention, defences, and remedies. How far does Section 18(1) of the Indian Contract Act modify the English rule in *Derry v. Peek*?

Q.07 `Analytical / Problem (15 marks) · Ss. 20 & 22 + Mistake of Identity` "A contract is not voidable merely because it was caused by one of the parties to it being under a mistake as to a matter of fact" (Section 22). Explain the exceptions where unilateral mistake as to the identity of the contracting party or the nature of the document (*non est factum*) renders an agreement void *ab initio*, contrasting *Cundy v. Lindsay* with *Phillips v. Brooks*.

Q.08 `Problem (10 marks) · S. 16(2)(b), S. 16(3) & S. 19A` An infirm 78-year-old widow suffering from acute diabetes and hospitalised under the exclusive care of her nephew executes an irrevocable gift/settlement of all her properties in the nephew's favour, leaving nothing for her daughters or her own maintenance. Advise the widow (or her legal heirs) on challenging the deed and the burden of proof under Section 16.

MODULE 07 // DU LL.B. PAPER LB-102 DU Cases 25–28 · 8 Exam PYQs

Limitations on Freedom of Contract — Unlawful Objects, Public Policy, Restraints & Wager

PART A — FOUNDATION

1. Freedom of Contract and why Sections 23–30 limit it

Starting point — S. 10, ICA: "All agreements are contracts if they are made by the free consent of parties competent to contract, for a **lawful consideration** and with a **lawful object**, and are **not hereby expressly declared to be void**." Topic 7 is the second half of S. 10: even if proposal + acceptance + capacity + free consent exist, the agreement still fails if (i) consideration/object is unlawful under **S. 23**, or (ii) it falls in the **expressly-void catalogue of Ss. 24–30** (read with Ss. 20–22 on mistake, S. 56 on impossibility, covered in other Topics).

▸ CONCEPTUAL HOOK FOR ANSWERS

Freedom of contract ("sanctity of contract is the basis of society" — *Gherulal*, para 23, DU p. 114) is the rule; voidness is the exception. Courts **enforce promises** unless a statute or a **clear, incontestable head of public policy** requires them to relieve the party. *Gherulal* states the classical/restrictive position; *Brojo Nath* (DU pp. 128–144) adds the modern/expansive correction for **unequal bargaining power, standard-form contracts and distributive justice**. In DU answers, always show **both** and reconcile them.

Ankur R. Upadhyay

1.1 The S. 10 → Ss. 23–30 pipeline

Agreement (S. 2(e): promise(s) forming consideration for each other)

↓

Competent parties? (S. 11) + Free consent? (Ss. 13–22) + Consideration? (S. 2(d), S. 25)

↓ yes

Is consideration/object **lawful** under S. 23? (forbidden by law? defeats law? fraud? injury? immoral? opposed to public policy?)

↓ yes ↓ no → **VOID (S. 23, last para)**

Is it **expressly declared void**? S. 24 (part unlawful) · S. 25 (no consideration) · S. 26 (marriage) · S. 27 (trade) · S. 28 (legal proceedings) · S. 29 (uncertainty) · S. 30 (wager)

↓ no ↓ yes → **VOID (to that extent / wholly)**

CONTRACT — enforceable by law (S. 2(h))

1.2 Key definitions you must quote (S. 2)

Provision	Text (substance) + Exam use
S. 2(g)	"An agreement **not enforceable by law** is said to be **void**." — Use for Ss. 23–30 outcomes.
S. 2(h)	"An agreement **enforceable by law** is a **contract**." — Use to conclude validity.
S. 2(i)	"Enforceable at the option of **one or more parties but not** of the other(s)" = **voidable contract** (Ss. 19, 19A: coercion, fraud, misrepresentation, undue influence).
S. 2(j)	"A contract which **ceases to be enforceable** becomes **void** when it ceases to be enforceable" (e.g., S. 56 supervening impossibility; S. 32 contingent event impossible).

PART B — CORE DISTINCTION

2. Void vs Voidable vs Illegal vs Unenforceable — the complete map

This distinction opens Topic 7 in the DU syllabus and is examined through **Case 28 — Dhurandhar Prasad Singh** (DU pp. 145–147). Master the table first, then the theory.

Dimension	VOID agreement (Ss. 23–30, S. 20)	VOIDABLE contract (Ss. 19, 19A)
Meaning	Void *ab initio* — never a contract; "not enforceable by law" (S. 2(g)).	Valid until avoided; enforceable at option of aggrieved party (S. 2(i)).
Cause	Unlawful object/consideration, no consideration, restraint, uncertainty, wager, mutual mistake, impossibility.	Consent caused by coercion, undue influence, fraud, misrepresentation.
Who can challenge?	**Anyone**; can be disregarded even in **collateral proceedings**; no declaration strictly necessary for wholly-without-jurisdiction type (Dhurandhar, Durayappah).	Only the **party whose consent was vitiated**; stands good **unless and until set aside** (Peachey: "remains good until set aside").
Effect of setting aside	Already a nullity — "you cannot continue a nullity" (*DPP v. Head*); subsequent orders also nullities; not admissible.	Avoidance needed (application to court); third-party rights acquired *bona fide* before avoidance may be protected (cf. S. 27, Sale of Goods; S. 178A ICA pledge).
Restitution	**S. 65**: person receiving advantage under void agreement/contract-becoming-void must restore it (Tarsem Singh link).	**S. 64**: rescinding party must restore benefits received.
Illustration	A agrees to pay B ₹1,000 to commit murder → void u/s 23. Wager on match → void u/s 30.	A threatens B to sell house → voidable at B's option u/s 19.

▸ DHURANDHAR'S THREE SHADES (DU P. 147 — QUOTE IN ANSWERS)

by Ankur R. Upadhyay

(i) Wholly without jurisdiction / *coram non judice* / void *ab initio* — no declaration needed; law takes no notice; can be disregarded collaterally.
(ii) Void as against one party (e.g., transaction against minor without next friend) — good against the world, but if the minor avoids it successfully, it becomes void **from the very beginning**.
(iii) Not a nullity but needs a declaration to avoid (e.g., forged document suit) — apparent state is real until proved otherwise; once declared, void from beginning. A transaction requiring setting aside and avoided only from date of setting aside = **voidable**. If legal effect cannot be taken away without setting aside, it is **voidable, not void**.

Is the flaw so grave it goes to root / lacks jurisdiction / is forbidden?

YES → **VOID**: nullity, anyone can ignore, no need to sue (but may sue for declaration — *Schroeder* via *Brojo Nath*)

NO, flaw is within jurisdiction / consent-defect → **VOIDABLE**: valid till avoided by aggrieved party via rescission/suit

▸ RELATED PAIR: "ILLEGAL" VS "VOID" (GHERULAL POINT)

Every **illegal** agreement is void, but every void agreement is **not** illegal. *Example:* wager is **void (S. 30) but not illegal** — hence **collateral** agreements (partnership to share wager losses, loan to pay wager) remain enforceable (outside Bombay) — *Gherulal*, DU pp. 106–118. If object were **illegal** (murder, fraud, crime), collateral transactions tainted by it also fail.

PART C — S. 23

3. Section 23 — What considerations and objects are lawful (the gateway)

▸ S. 23, INDIAN CONTRACT ACT, 1872 — FULL TEXT

"The consideration or object of an agreement is **lawful, unless** —
(i) it is **forbidden by law**; or
(ii) is of such a nature that, if permitted, it would **defeat the provisions of any law**; or
(iii) is **fraudulent**; or
(iv) **involves or implies injury to the person or property of another**; or
(v) the Court regards it as **immoral**, or **opposed to public policy**.

In each of these cases, the consideration or object of an agreement is said to be **unlawful**. **Every agreement of which the object or consideration is unlawful is void.**"

[YES] EXAM FORMULA FOR ANY S. 23 PROBLEM

Step 1: Identify **consideration** (S. 2(d) — what each party gives) and **object** (purpose of the agreement). Step 2: Test against the **5 heads** one by one. Step 3: Cite the **matching illustration (a)–(k)**. Step 4: Conclude **void** + consequence for collateral promises (S. 24 / *Gherulal* void-vs-illegal). Step 5: Add **severability** if partly lawful (S. 24, Ss. 57–58).

3.1 The five heads — each in depth

Head 1 — "Forbidden by law"

An act is "forbidden" when a statute or rule **prohibits** it and attaches a **penalty, prohibition or nullification** — e.g., committing a crime, selling liquor without licence, stifling prosecution (Ill. (h)), trafficking in public offices (Ill. (f)). **Test from *Gherulal* (DU pp. 110–112):** "forbidden" ≠ merely "void / unenforceable". A wager is **void u/s 30** but entering it is **no legal wrong** — no penalty, no prohibition — so it is **not "forbidden by law"** under S. 23(a). Contrast with Bombay (now Maharashtra/Gujarat) where the local Act **prohibited** wagers — there it *is* forbidden. Always ask: *does the law punish/prohibit, or merely refuse to enforce?*

Head 2 — "Would defeat the provisions of any law"

Covers **colourable devices** that formally comply but substantially evade a statute's purpose — e.g., Ill. (i): defaulter barred from repurchasing revenue-sale estate gets B to buy benami and reconvey — void because it **defeats the object of the law**. Other DU-citable examples: assignment to defeat insolvency law; transfer to evade land-ceiling / tenancy protection; agreement to give dowry (defeats Dowry Prohibition Act). The court looks at **substance, not form**.

Head 3 — "Fraudulent"

Any agreement whose object is to **deceive** — Ill. (e): division of gains acquired by fraud; Ill. (g): agent secretly paid to get lease from his own principal (fraud by concealment). Includes collusive decrees, sham sales to defeat creditors. If fraud is only **incidental motive** of one party unknown to the other, S. 23 is not attracted — the **common object** must be fraudulent.

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Head 4 — "Injury to person or property of another"

Agreements to commit **assault, defamation, trespass, destruction of property, restraint of personal liberty** — e.g., hiring goons, agreement to publish libel, to demolish neighbour's wall. "Involves **or implies**" — even where injury is a **necessary consequence**, not the stated object. Distinguish: lawful trade competition causing economic loss is **not** "injury" in this sense (*damnum sine injuria*).

Head 5(a) — "Immoral" (as the Court regards it)

DU position — *Gherulal*, paras 29–30 (DU pp. 116–117): in legal usage "immoral" is **restricted to sexual immorality** — concubinage settlements, hire for prostitution/brothel use, payment for future illicit cohabitation, marriage-for-consideration, agreements facilitating divorce. *Why restricted?* (i) juxtaposition with "public policy" — wide reading would make the two overlap; (ii) precedents confine it; (iii) "as the Court regards" makes it a **common-law branch governed by precedents**, not personal morality. Hence **wager is not "immoral"** u/s 23. Quote Authoritative Contract Precedent / Anson / Halsbury / settled contract authorities passages reproduced in DU material (p. 117). Hindu-law "pious obligation / vyavaharika vs avyavaharika debts" analogy was **rejected** — no authority to import it into S. 23.

Head 5(b) — "Opposed to public policy" — overview (full treatment in Part D)

The most litigated head. S. 23 deliberately **does not define** it. *Gherulal* (restrictive): apply only **established heads / analogy**; do not invent new heads; invoke only in **clear, incontestable harm** cases. *Brojo Nath* (expansive, DU pp. 142–144): heads are **capable of expansion**; courts **must** create a new head "in consonance with public conscience, public good, the Preamble, Fundamental Rights and Directive Principles" where needed — e.g., **unreasonable standard-form employment terms imposed by superior bargaining power**. DU expects you to **state both and reconcile**: Gherulal governs ordinary commercial bargains; Brojo Nath governs **mass, adhesive, State-employer** bargains.

3.2 All 11 illustrations (a)–(k) — decoded for exams

Ill.	Transaction	Holding + Head
(a)–(d)	House sale ₹10,000; surety/time-to-pay; marine insurance (ship wreck); child maintenance.	**Lawful** — ordinary lawful considerations. Cite to show "lawful" baseline.
(e)	Division of gains acquired by **fraud**.	**Void — fraudulent** object.
(f)	Payment for procuring **public employment** (trafficking in office).	**Void — public policy** (sale of public offices). Classic head.
(g)	Agent secretly paid to obtain lease from **his own principal's** land.	**Void — fraud** by concealment on principal.
(h)	Agreement to **drop robbery prosecution** for restoration of value (**stifling prosecution**).	**Void — forbidden by law + public policy** (compounding non-compoundable offence). Exception: compounding **compoundable** offences with court permission is lawful.
(i)	Benami repurchase by **revenue defaulter** barred from purchasing.	**Void — defeats provisions of law**.
(j)	Mukhtar paid to exercise influence with B in favour of C.	**Void — immoral** (and public policy: trafficking in influence).
(k)	Letting daughter on hire for **concubinage**.	**Void — immoral** (sexual immorality), though not punishable under IPC — shows void ≠ punishable.

› CONSIDERATION VS OBJECT — QUICK CLARITY

Consideration = the price/promise each party gives (S. 2(d)). **Object** = the **purpose** the agreement seeks to achieve. Either being unlawful voids the agreement. E.g., A pays B ₹1 lakh (consideration) **to beat C** (object) — both tainted. In Ill. (f), B's ₹1,000 is consideration for A's promise to procure a job — the **consideration/object** (sale of office) is unlawful.

PART D — PUBLIC POLICY

4. "Opposed to Public Policy" — the unruly horse, tamed two ways

S. 23 | Gherulal (DU 106-118) | Brojo Nath (DU 128-144)

4.1 Nature of the doctrine

Public policy = "some matter which concerns the **public good and public interest**" (*Brojo Nath*, para 92, DU p. 142). It is **not the policy of a particular government**. Classic descriptions collected in DU material: "**untrustworthy guide**", "**variable quality**", "**unruly horse**" (Burrough J. in *Richardson v. Mellish* (1824)); "**unsafe and treacherous ground**" (Lord Davey in *Janson v.*

by Ankur R. Upadhyay

Driefontein (1902)); "treacherous and unstable ground" (Authoritative Contract Precedent, quoted in *Gherulal*). Lord Denning's reply (quoted in *Brojo Nath*): "**With a good man in the saddle, the unruly horse can be kept in control. It can jump over obstacles**" (*Enderby Town FC v. Football Assn.*).

4.2 Two schools — you must present both

NARROW VIEW — GHERULAL (SUBBA RAO J.)

- Courts **expound, not expand**; apply established heads **directly or by analogy** only.
- No new heads: "not legitimate to invent a new head" (Authoritative Contract Precedent); judge must not speculate on community good (Parke B. in *Egerton v. Brownlow* (1853)).
- Invoke only where harm is **substantially incontestable**; "give the contract the benefit of the doubt" (Lord Atkin).
- Though heads "not closed", "advisable not to discover new heads in these days" for stability (para 23).
- **Applied:** wager — no established head; Hindu texts obsolete/unenforced; legislation tolerates (horse-racing, revenue); so **not opposed to public policy**.

BROAD VIEW — BROJO NATH (MADON J.)

- Common law **must grow**: Holdsworth — suppress new disguises of old evils on public-policy grounds.
- "If no head covers a case, the court **must** declare the practice opposed to public policy" guided by **public conscience, Preamble, FRs & DPSPs** (para 92).
- New head created: **unfair/unreasonable standard-form terms imposed by gross inequality of bargaining power** (esp. State as largest employer) = opposed to public policy → **void u/s 23**.
- Backed by: distributive justice, UCC §2-302 (unconscionability), UK Unfair Contract Terms Act 1977, Denning (inequality) + Diplock (fairness) in *Schroeder*.

[YES] RECONCILIATION LINE (WRITE THIS IN EVERY ANSWER)

"*Gherulal* states the **general caution** for ordinary negotiated bargains; *Brojo Nath* states the **constitutional correction** for adhesive, mass, employer-State bargains. The Court moves from **'expound only'** to **'expand when public conscience demands'** — from 19th-century laissez-faire freedom to **Art. 14 social-economic justice**. Both agree public policy is judged by **precedent + public good at the time**, not personal idiosyncrasy."

4.3 Recognised heads of public policy (with DU-citable examples)

Head	Content + Example
Trading with enemy	Contracts aiding wartime enemy — void.
Stifling prosecution	Ill. (h) S. 23; *Ouseph Poulo v. Cath. Syrian Bank* — dropping non-compoundable charge for money = void.
Maintenance & champerty (perverse)	Trafficking in litigation for extortionate share — void; but **fair litigation finance** allowed in India.
Trafficking in public offices / titles	Ill. (f), (j) — sale of jobs, honours, influence — void.
Restraints (Ss. 26–28)	Marriage/trade/legal-proceedings restraints — legislatively declared void as policy.
Fraud / breach of trust / injury	Ills. (e), (g); agreements to defraud creditors/revenue — void.
Interference with justice / administration	Bribing judges, witnesses, stifling evidence; *Rattan Chand v. Askar Nawaz Jung* (sale of decree — void).
Marriage brokerage / concubinage	Ill. (k); marriage for money; future separation/divorce facilitation — void (immoral + policy).
Unconscionable bargains by undue pressure	Money-lender vs illiterate agriculturist; pardanashin women — voidable/void per Ss. 16, 19A; *Ladli Prasad v. Karnal Distillery*.
Unfair standard-form terms (Brojo Nath head)	Rule 9(i) termination-at-will without reason/enquiry by State instrumentality — **void u/s 23**; extends to exemption clauses, "take-it-or-leave-it" livelihood contracts.

4.4 Foreign scaffolding used in Brojo Nath (DU pp. 130–141 — cite 3–4)

- **Adhesion contracts** (France *contrats d'adhésion* / US): standard terms dictated — "take it or leave it" (Lord Diplock in *Schroeder*).
- **UCC §2-302 (USA):** court may refuse to enforce **unconscionable** contract/clause, sever it, or limit its application — influential even in non-sales cases.
- **Law Commission (UK, 1975) + Unfair Contract Terms Act 1977:** exemption clauses enforceable only if **reasonable**; guidelines for reasonableness.

- **Lord Denning — inequality of bargaining power** (*Lloyds Bank v. Bundy* (1974)): relief where one party "grievously impaired by needs/ignorance/infirmity" and terms "very unfair", without independent advice — no proof of wrongdoing needed.
- **Lord Diplock — fairness test** (*Schroeder v. Macaulay* (1974)): "Was the bargain fair?" — restrictions must be **reasonably necessary** for promisee's legitimate interests and **commensurate** with benefits to promisor.
- ***Photo Production v. Securicor* (1980):** exemption clause upheld **between equal businessmen** — confirms the converse: courts *will* intervene where power is unequal.

PART E — S. 24

5. Section 24 — Agreements void if consideration/object unlawful in part

▸ S. 24 — TEXT

"If **any part of a single consideration** for one or more objects, or **any one or any part of any one of several considerations** for a single object, is unlawful, the agreement is **void**."

Illustration: A to superintend for B a **legal** indigo manufacture **and** an **illegal** traffic; B to pay ₹10,000 salary — the agreement is void, the object/consideration being **in part unlawful**.

5.1 Elements & rationale

- **Single consideration, tainted in part → whole fails.** The law refuses to apportion one lump price between lawful and unlawful parts — parties must not ask courts to "price the crime".
- **Several considerations for single object, one tainted → whole fails.** Same policy.
- Contrast **S. 57** (reciprocal promises: legal part = contract, illegal part = void agreement) and **S. 58** (alternative promise, one branch illegal — only legal branch enforceable). S. 24 applies where consideration is **indivisible/single**; Ss. 57–58 where promises are **divisible/severable**.
- **Severability test (write in answers):** (1) Can lawful part be **separated** without altering meaning? (2) Did parties intend **several** bargains or one? (3) Is consideration **apportionable**? If yes → enforce lawful part; if single/unapportionable → void wholly. S. 27 itself says "to that extent void" — a **statutory severance** invitation.

Is the unlawful part severable with apportioned consideration?

NO — single lump consideration → **WHOLE VOID (S. 24)**

YES — distinct lawful/unlawful promises → **LAWFUL PART ENFORCED** (Ss. 57–58; S. 27 "to that extent")

▸ ILLUSTRATION DRILL

Problem: A promises B ₹50,000 to (i) manage his lawful shop and (ii) smuggle gold. **Answer:** Single consideration ₹50,000 for two objects, one unlawful → **void u/s 24** (Ill. to S. 24). B cannot claim quantum meruit for shop work under the same bargain (though S. 65 restitution of advantage received may apply where applicable).

PART F — S. 25 CROSS-REFERENCE

6. Section 25 — Agreement Without Consideration, Void (Subject to Three Statutory Exceptions)

CROSS-REFERENCE TO MODULE 04 (CONSIDERATION)

Under **Section 25 ICA**, an agreement made without consideration is *void* unless: **(1) S. 25(1)** — expressed in writing and registered on account of natural love and affection between parties standing in a near relation (*Rajlukhy Dabee v. Bhootnath Mookerjee*); **(2) S. 25(2)** — a promise to compensate, wholly or in part, a person who has already voluntarily done something for the promisor, or something which the promisor was legally compellable to do; or **(3) S. 25(3)** — a written, signed promise to pay a time-barred debt. Explanations 1 & 2 preserve completed gifts and adequacy of freely-consented consideration. *(See Module 04, Part C for full analysis & DU Cases 13–15.)*

PART G — S. 26

7. Section 26 — Agreement in restraint of marriage, void

▸ S. 26 — TEXT

by Ankur R. Upadhyay

> "Every agreement **in restraint of the marriage of any person, other than a minor, is void.**"

- **Absolute in India: any** restraint — total or partial, for fixed time or conditional — on a **major's** marriage is void. English law voids only **general/unreasonable** restraints and upholds reasonable partial ones; **India rejects that distinction**.
- **Minor excepted:** "other than a minor" — a promise restraining a minor's marriage (e.g., parent promising child will not marry before majority / caste-custom arrangements consistent with Child Marriage Restraint law) is **not void under S. 26** (though it may fail on other grounds, e.g., public policy/child-marriage prohibition statutes). The exception exists because minors cannot contract (S. 11) and guardians may regulate.
- **Classic illustrations:** A promises B ₹5,000 if B never marries → void. A promises not to marry C on pain of forfeiting property → void. Mutual promise between two majors not to marry anyone except each other? DU view: a **promise to marry a particular person** (engagement) is **not** a restraint — it **promotes** marriage; but a penalty for marrying **anyone else** framed as restraint may be void — analyse wording.
- **Leading case:** *Lowe v. Peers* (1768, England) — promise not to marry anyone but defendant under penalty — void; Indian courts apply S. 26 more strictly. *Shrawan Kumar v. Nirmala* (service rule requiring permission to marry — tested on Art. 14/ policy, not pure S. 26).
- **Exam tip:** S. 26 is a **one-line section** — quote it verbatim, state "every restraint, even partial, void", apply, conclude. Add that earnest-money forfeiture tied to marriage restraint also fails.

PART H — S. 27 (HEART OF TOPIC 7)

8. Section 27 — Agreement in restraint of trade, void

S. 27 | Niranjan (DU 119-127) | Schroeder via Brojo Nath

▸ S. 27 — TEXT

"Every agreement by which any one is restrained from exercising a **lawful profession, trade or business** of any kind, is **to that extent void.**"

Exception 1 — Goodwill: One who **sells the goodwill** of a business may agree with the buyer to **refrain from carrying on a similar business, within specified local limits**, so long as the buyer (or his successor) carries on a like business therein — **provided such limits appear to the Court reasonable**, regard being had to the nature of the business.

(Exceptions 2 & 3 — partnership — repealed from ICA; now in Indian Partnership Act, 1932, Ss. 11, 36, 54, 55.)

8.1 Scope — wider than England

- **"Every agreement … to that extent void":** unlike English common law (which upholds **reasonable** restraints — *Nordenfelt v. Maxim Nordenfelt* (1894): reasonable in interest of parties + public), **Indian S. 27 voids every restraint**, reasonable or not — *Madhub Chunder v. Rajcoomar* (1874): agreement not to trade in Calcutta for a price, even with limits, held void. The Privy Council refused to read "reasonableness" into the absolute words.
- **"Lawful profession, trade or business of any kind"** — covers employment, vocation, calling. Includes negative covenants not to **serve a competitor**, not to **solicit customers**, not to **use skills**.
- **"To that extent"** = partial invalidity; lawful remainder survives (severance).
- **Burden:** party alleging restraint shows the clause restrains; party defending shows it falls in an **exception** or is **not a restraint at all** (e.g., operates during employment).

8.2 The Niranjan doctrine — during vs after employment (DU pp. 119-127)

▸ RATIO TO MEMORISE (SHELAT J., PARA 15, DU P. 126-127)

"**Negative covenants operative during the period of the contract of employment**, when the employee is bound to serve his employer **exclusively**, are **generally not regarded as restraint of trade** and therefore do not fall under S. 27. … unless the contract is **unconscionable or excessively harsh or unreasonable or one-sided**" (as in *W.H. Milsted & Son Ltd.* (1927 WN 233) / *Gopal Paper Mills v. Surendra Malhotra* (20-year bond + arbitrary termination)). **Post-employment** restraints (operate **after termination**) are prima facie in restraint of trade and void — tested, if at all, by strict necessity (*Herbert Morris v. Saxelby*; *Attwood v. Lamont*; *Commercial Plastics v. Vincent* — all distinguished in Niranjan).

Covenant type	S. 27 treatment	DU authority
Exclusive service during term (Cl. 6(b): devote whole time; not serve elsewhere) + negative covenant for unexpired term on breach (Cl. 17)	**Valid** — "essential to fulfilment" of service agreement; injunction may issue limited to **time + nature of duties + area**.	*Charlesworth v. MacDonald* (1903) 5 Bom LR 878; *V.N. Deshpande v. Arvind Mills* AIR 1946 Bom 423; **Niranjan**; S. 57 Specific Relief Act Ills. (c)-(d).

by Ankur R. Upadhyay

Covenant type	S. 27 treatment	DU authority
Confidentiality / trade secrets (Cl. 9: during + after)	**Valid** — perpetual bar on divulging **special processes/know-how** (distinct from general skill); no serious objection in Niranjan.	Niranjan para 17; AKU/VCF secrecy chain.
Post-termination non-compete (e.g., 3 years after leaving; 10-year wine-merchant ban)	**Void** — restraint of trade; English "reasonableness" cases cited only to be **distinguished**.	*Ehrman v. Bartholomew*; *Mason v. Provident Clothing* (1913 AC 724); *Herbert Morris*; *Commercial Plastics*.
One-sided / idleness-inducing term (compels idleness or forced service)	**Void** — unconscionable; court will not grant injunction that indirectly compels service.	*W.H. Milsted*; *Gopal Paper Mills* AIR 1962 Cal 61 (distinguished on 20-year facts).

8.3 Statutory exceptions — goodwill + partnership

- **S. 27 Exception 1 (goodwill):** seller of goodwill may covenant not to compete **similar business + specified local limits + while buyer carries on** — subject to **court's reasonableness** on area/nature. Only exception **inside** S. 27.
- **Partnership Act (outside S. 27 but examinable):** S. 11 — partners may agree **not to compete during partnership**; S. 36 — outgoing partner non-compete (similar business, specified period/area, reasonable); S. 54 — non-compete **on/after dissolution** (specified period/area, reasonable); S. 55 — goodwill sale on dissolution (like S. 27 Exc. 1).
- **Trade combinations:** *Haribhai v. Sharaf Ali*; agreements regulating (not restraining) trade — e.g., opening/closing hours, price lists — are **not** restraints if they **promote** business.

Does the clause restrain lawful profession/trade/business?

↓ yes

Does it operate **only during employment/partnership term** (exclusive service) and is it **not** unconscionable/one-sided?

YES → **NOT a restraint — VALID** (Niranjan; injunction possible)

NO — operates after / is harsh → **RESTRAINT → VOID u/s 27** unless goodwill/partnership exception (reasonable limits)

▸ SCHROEDER GLOSS (VIA BROJO NATH, DU PP. 137–138)

Lord Diplock: ask "**Was the bargain fair?**" — are restrictions **reasonably necessary** for promisee's legitimate interests and **commensurate** with benefits to promisor? In India this fairness test **does not save** a post-employment restraint (S. 27 is absolute), but it helps decide **injunction scope** for valid during-term covenants and supports **Brojo Nath's** public-policy head for harsh standard terms.

PART I — S. 28

9. Section 28 — Agreements in restraint of legal proceedings, void

▸ S. 28 — POST-1997 TEXT (ACT 1 OF 1997, W.E.F. 8-1-1997)

"**Every agreement** —
(a) by which any party is **restricted absolutely** from enforcing his rights under/in respect of any contract, by the **usual legal proceedings in the ordinary tribunals**, or which **limits the time** within which he may thus enforce his rights; **or**
(b) which **extinguishes the rights** of any party, or **discharges** any party from liability, under/in respect of any contract **on expiry of a specified period** so as to restrict any party from enforcing his rights — **is void to that extent**."

Exception 1: contract to refer **future disputes** (any subject/class) to **arbitration**, with only awarded amount recoverable — valid.
Exception 2: written contract to refer **already-arisen questions** to arbitration — valid (cf. Arbitration law).
Exception 3 (2013): written **bank/financial-institution guarantee** stipulating extinguishment/discharge on expiry of period **not less than one year** from occurring/non-occurring of specified event — valid.

9.1 Why the 1997 amendment matters (favourite DU question)

- **Pre-1997:** only clause (a)-type bars ("restrict absolutely ... or limit time") were void. Insurers/banks evaded it by drafting **extinguishment clauses**: "rights shall stand extinguished if claim not made/suit not filed within X months" — upheld in *Vulcan Insurance v. Maharaj Singh* (1976) and *Food Corporation v. New India Assurance* as not "limiting time to sue" but "extinguishing rights". This defeated S. 28's policy.

by Ankur R. Upadhyay

- **Post-1997 clause (b):** extinguishment/discharge-on-expiry clauses are **also void**. Now neither route survives — "to that extent" void. Limitation periods are governed by the **Limitation Act, 1963**, not private agreement.
- **Absolute vs partial:** "restricted **absolutely**" — a total ouster of courts is void; a **partial/conditional** arrangement (e.g., **exclusive jurisdiction** clause choosing one of several competent courts — *Hakam Singh v. Gammon*; *A.B.C. Laminart v. A.P. Agencies*) is **valid** if some court remains available. **Forfeiture of earnest/security** on breach is not S. 28 (it's Ss. 73–74).
- **Arbitration savings:** parties may **substitute** arbitration for courts (present + future disputes) — valid because an **alternative forum** remains. But a clause requiring **deposit/forfeiture as condition precedent** to arbitration that in substance bars remedy may still be void.
- **Bank-guarantee saving (Exc. 3):** balances commercial certainty (limiting evergreen guarantees) with S. 28 policy — minimum **one-year** claim window from trigger event; below one year → void.

▸ PROBLEM DRILL

Fire policy: "Claim unenforceable unless suit filed within 6 months; thereafter rights extinguished." **Answer:** Void **to that extent u/s 28(a) + (b)** (post-1997). Insurer liable per Limitation Act (3 years). Contrast: "Disputes to be referred to sole arbitrator at Delhi; courts at Delhi to have exclusive jurisdiction" → **valid** (Exc. 1 + partial jurisdiction).

PART J — S. 29

10. Section 29 — Agreements void for uncertainty

▸ S. 29 — TEXT

"Agreements, the meaning of which is **not certain, or capable of being made certain**, are **void**."

- **Test (two limbs):** void only if meaning is **neither certain nor capable of being made certain** by context, trade usage, surrounding circumstances, or agreed machinery (valuer, third party, samples).
- **All 6 illustrations — learn as pairs:** (a) "100 tons of oil" (no kind) → **void**; (b) 100 tons of **specified description known in commerce** → **valid**; (c) coconut-oil dealer's "100 tons of oil" → **valid** (trade indicates coconut oil); (d) "all grain in my granary at Ramnagar" → **valid** (ascertainable); (e) 1,000 maunds rice "at price to be fixed by C" → **valid** (machinery to make certain); (f) "white horse for ₹500 or ₹1,000" (no indication which) → **void**.
- **Judicial gloss:** courts **strain to uphold** (*ut res magis valeat quam pereat*) — refer to correspondence, negotiations, performance, custom. *Guthing v. Lynn* (extra £5 "if horse lucky") → void for vagueness. *Scammell v. Ouston* ("hire-purchase terms to be agreed") → void. But "fair rent / market price / to be fixed by arbitrators" → **capable of being made certain** → valid.
- **Distinguish S. 20 (mutual mistake)** — S. 29 is **vagueness on its face**; S. 20 is **meeting of minds on different things**. Both yield voidness; plead in alternative.

PART K — S. 30

11. Section 30 — Agreements by way of wager, void

S. 30 | Gherulal (DU 106-118)

▸ S. 30 — TEXT

"Agreements by way of **wager are void**; and **no suit shall be brought** for recovering anything alleged to be **won on any wager**, or **entrusted to any person to abide the result** of any game or other uncertain event on which any wager is made."

Exception — horse-racing: subscription/contribution/agreement for **plate, prize or money ≥ ₹500** to winner(s) of any **horse-race** is not unlawful under this section.

Saving: Nothing legalises transactions hit by **S. 294A IPC** (now BNS equivalent — keeping lottery offices).

11.1 Essentials of a wager (DU 5-point test)

1. **Two parties** (or sets) with **opposed views** on an **uncertain event** (past/present/future — e.g., election result, match, price movement).
2. **Mutual chances of gain or loss** — each may win or lose depending on the event's outcome.
3. **No other interest** except winning/losing the stake — neither party has an **independent proprietary/insurable interest** (this distinguishes insurance).
4. **No control** over the event — neither party can influence the outcome (distinguishes games of skill played by parties vs bets on them).
5. **Mutual promise to pay** the stake/difference — the **common intention** at inception decides; subsequent conduct is evidence. In commodity "difference" deals (*Gherulal*), proof that parties **never intended delivery**, only differences, = wager.

11.2 Gherulal's 6 propositions (para 20, DU p. 112 — reproduce in answers)

1. Common law of England: wager **valid** → primary + collateral both enforceable.

by Ankur R. Upadhyay

2. After **Gaming Act 1845 (S. 18)**: wager **void but not illegal** → primary void, **collateral enforceable**.
3. *Hill v. William Hill* (1949): substituted contract between **same parties** to pay wager debt also hit — no evasion by novation.
4. After **Gaming Act 1892**: wide words hit even **collateral** contracts (partnership etc.) — unenforceable.
5. **S. 30 ICA = S. 18 of 1845 Act**: wager void, **not forbidden by law** → collateral object **not unlawful u/s 23**.
6. **Partnership (S. 4, Partnership Act) for wager object is valid** — suit for accounts of dissolved firm maintainable (subject to S. 69 registration bar, avoided here by dissolution + S. 42).

11.3 Wager vs look-alikes (table DU examiners love)

Pair	Distinction
Wager vs Contingent contract (S. 31)	Wager: **void**; mutual win/lose; no independent interest. Contingent: **valid** (Ss. 32–36); e.g., "pay ₹10,000 if house burnt" — only one party's liability depends; promisee has insurable/other interest; event merely **collateral**.
Wager vs Insurance	Insurance: **indemnity**; assured has **insurable interest**; premium ≠ stake; event is **loss**, not game. Wager: no interest, pure gain/lose. (Life insurance has wagering element but validated by statute + interest.)
Wager vs Speculation / differences	Genuine forward contract with **intention/right to call delivery** = valid speculation, even if settled by differences later. Sham "differences only, no delivery ever" = **wager** (*Gherulal* test).
Wager vs Skill competitions	*State of Bombay v. R.M.D. Chamarbaugwala* AIR 1957 SC 699: **substantial-skill** prize competitions = trade/commerce (Art. 19(1)(g)); pure-chance lotteries/gambling = *extra commercium*. Horse-race prizes ≥₹500 expressly saved by S. 30 exception.

‣ EFFECTS OF S. 30 (PRECISE)

• Primary wager **void** — winner cannot sue. • **Stake-holder/deposit** to abide result — irrecoverable by winner's suit (second limb). • **Collateral** (partnership, loan to pay wager losses, agency) — **enforceable** (general India rule); **exception: Bombay/Maharashtra-Gujarat** — local Avoidance of Wagers Act makes them **illegal + void**. • S. 65 restitution does not revive a wager debt, but accounts of a **dissolved wagering partnership** can be taken (*Gherulal*).

DU CASE 25 MOST IMPORTANT

Gherulal Parakh v. Mahadeodas Maiya, AIR 1959 SC 781 (Subba Rao J.)

Ss. 23 + 30 ICA · Partnership Act Ss. 4, 42, 69 · CPC O.2 R.2 | Question: **Is a partnership to carry on wagering contracts unlawful u/s 23?** | Answer: **No — wager is void, not illegal/forbidden/immoral/opposed to public policy; partnership valid.**

Facts (DU pp. 106–107 — "lie in a small compass")

- **Parties:** Appellant Gherulal Parakh and Respondent Mahadeodas Maiya — **managers of two joint Hindu families**. They entered a **partnership** to carry on **wagering (forward difference) contracts** with two Hapur firms — **Mulchand Gulzarimull** and **Baldeosahay Surajmull**.
- **Terms:** contracts to be made in **respondent's name on behalf of the firm**; **profit/loss shared equally**. No intention to give/take delivery — only **differences on rise and fall of market**.
- **Performance:** Maiya entered **32 contracts** (Mulchand) + **49 contracts** (Baldeosahay); net **loss**; Maiya **paid the Hapur merchants in full**. Parakh **denied liability** for his half.
- **Earlier suit (O.S. 18/1937, Darjeeling):** Maiya + sons sued for half of Mulchand losses, reserving further claims; referred to **arbitration → award → decree ₹3,375**.
- **Present suit:** after final settlement with both merchants, Maiya sued for **₹5,300 + interest**; plaint **amended** to plead **dissolution** ("joint business dissolved; only accounts required") to meet S. 69 Partnership Act objection.
- **Trial Court (Subordinate Judge, Darjeeling):** agreement to enter wagers **void — forbidden by law + opposed to public policy**; partnership between **two joint families** impossible → S. 69 inapplicable; O.2 R.2 not barred (cause of action for balance arose later); **suit dismissed**.
- **High Court (Calcutta):** partnership between **two managers** (valid); single venture + **single season** → **dissolved** after season (S. 42) → **S. 69(1)-(2) not attracted** (suit for accounts of dissolved firm); object = dealing in differences = **wager → void u/s 30 but NOT unlawful u/s 23**; proved payment **₹7,615** (Baldeosahay); **decree ₹3,807-8-0** (half) + small item; **no interest** (accounts suit); other plaintiffs/defendants dismissed.

Issues before the Supreme Court

1. Was the partnership **dissolved** (S. 42) so that S. 69 Partnership Act does not bar the accounts suit? (Fact + S. 69.)
2. Were the Hapur transactions **wagering contracts** (no intention of delivery)?
3. **(i) Forbidden by law?** Is a wager "forbidden by law" under S. 23(a)? Is a collateral/partnership agreement for wager objects unlawful?

4. **(ii) Opposed to public policy?** Has any definite head invalidating wagers evolved in England/India; can the Court invent one (Hindu texts, welfare State)?
5. **(iii) Immoral?** Does "immoral" in S. 23 cover gambling (Hindu pious-obligation analogy)?
6. **(iv)** Is wager *extra commercium* so no "business"/partnership u/s 4 Partnership Act exists? (New plea — procedure.)

APPELLANT (PARAKH) — ARGUMENTS

- Dissolution finding unsupported by pleadings/ evidence; S. 69 bars unregistered-firm suit; O.2 R.2 bars split claim.
- Partnership object = wager = **forbidden by law** (S. 30) + **public policy** + **immoral** → unlawful u/s 23 → void.
- Post-independence **welfare-State policy + Sruti/ Smriti/Nibandha** condemn gambling — Court should evolve a **new head** of public policy.
- Hindu-law pious-obligation test of immoral (*avyavaharika*) debts should define S. 23 "immoral".
- *Chamarbaugwala*: gambling is *extra commercium* → no "business" → no partnership u/s 4.

RESPONDENT (MAIYA) — ARGUMENTS

- Facts sustain dissolution: venture limited to **specified persons + season** (Mar–Jun 1937); S. 42 auto-dissolution; accounts suit maintainable.
- Wager is **void, not illegal** — S. 30 = Gaming Act 1845 S. 18; **collaterals enforceable** (long line of English/ Indian cases).
- No precedent ever held wagers opposed to public policy; Hindu texts **obsolete**, never enforced by courts; legislature **tolerates** (horse-racing, revenue).
- "Immoral" = **sexual immorality only** (settled contract law authorities).
- *Extra commercium* plea never raised below — **prejudice**; not open in Supreme Court.

Decision (appeal dismissed; High Court decree affirmed)

- **Dissolution — yes.** Original plaint contained all sustaining facts (contracts Mar–Jun 1937, accounts after Jun 17, notice, denial); amendment merely made dissolution express. Conduct + nature of transactions + earlier-suit attitude prove **single adventure/season** → **S. 42 dissolves on completion** → S. 69 no bar.
- **Wager — yes.** Direct + circumstantial evidence: **no intention to deliver**, only differences → wagering contracts (law "well settled", para 6).
- **(i) Not forbidden by law.** S. 30 (like Gaming Act 1845) makes wager **void/unenforceable**, not **prohibited/punished**; entering a wager is **no legal wrong**. Contrast **Gaming Act 1892** (express wide words hit collaterals) and **Bombay Amendment** — Indian legislature **knew** of them and **chose not** to enact → policy = **sustain legality of wagers** (para 25). Six propositions (para 20) — see Part K.
- **(ii) Not opposed to public policy.** Paras 21–28: doctrine summarised (unruly horse; expound-not-expand; incontestable harm). **No English or Indian precedent** ever struck wagers on policy grounds (*4 QBD 685; 2 KB 696; 2 KB 351* negatived it; Privy Council *4 Moo Ind App 339* upheld). Gambling statutes **control, not prohibit** (private-house profit gaming + public gaming; S. 29A IPC for lotteries); **horse-racing + State revenue** show tolerance. Hindu texts: only succession/ marriage/religious usages + adoption/guardianship/gifts/partition administered (*Settled Mahomedan Law*); gambling tenets **obsolete, never enforced** — cannot import. No new head; if at all, **for legislature**, not judicial legislation.
- **(iii) Not immoral.** Paras 29–30: S. 23 inspired by **common law**; "immoral" **restricted to sexual immorality** (concubinage, brothel hire, illicit cohabitation, marriage-consideration, divorce facilitation); wide reading would overlap public policy; "as Court regards" = precedent-bound; **no case** extends beyond sex; Hindu pious-obligation analogy **rejected** (no authority, different domain).
- **(iv) *Extra commercium* — not allowed.** Para 31 + p. 118: never pleaded/issued/argued below or in certificate/statement of case; appellant's counsel in HC confined to S. 23; allowing now would cause **irreparable prejudice** (respondent lost chance to amend). **No opinion expressed.**

▸ PRINCIPLES EVOLVED (QUOTE-READY)

1) **Void ≠ illegal/forbidden** — test is penalty/prohibition vs mere unenforceability. 2) **S. 30 collaterals enforceable** (partnership/agency/loan for wagers) except where special statute (1892/Bombay) says otherwise. 3) **Public policy — restrictive canon**: precedents + analogy; incontestable harm; benefit of doubt to contract; no new heads for stability. 4) **Immoral = sexual immorality only** under S. 23. 5) **Hindu moral texts** unenforced/obsolete cannot ground S. 23. 6) **Procedure:** new jurisdictional pleas causing prejudice cannot be raised first in SC.

[YES] HOW DU EXAMINES GHERULAL

Essay: "Wagering agreements are void but not illegal — discuss with Gherulal." Problem: "A & B partner to bet on elections; A pays losses, claims half." → Apply Gherulal: wager void (S. 30); partnership valid (S. 23 not attracted on any of 3 grounds); accounts lie if dissolved. Add Bombay caveat if set in Maharashtra.

DU CASE 26 CORE S. 27 AUTHORITY

Niranjan Shankar Golikari v. Century Spinning & Manufacturing Co. Ltd., AIR 1967 SC 1098 (Shelat J.)

S. 27 ICA · S. 57 Specific Relief Act (negative covenants) | Question: **Is a negative covenant barring similar employment during the contract term a restraint of trade?** | Answer: **No — during-term exclusive-service covenants are generally valid; post-term restraints are void.**

Facts (DU pp. 119–121)

- **Technology chain:** 19-1-1961 — Dutch AKU + German VCF transfer **exclusive tyre-cord-yarn know-how** to Century Rayon (Kalyan) for **DM 1,40,000**; Cl. 4: Century to keep **secret till termination + 3 years** and take **corresponding secrecy undertakings** from employees.
- **Employment:** Golikari applies 3-12-1962; offer 1-3-1963 (Shift Supervisor, 5-year standard contract); accepts 5-3-1963; joins + executes **Ex. 28 on 16-3-1963** (term till **15-3-1968**).
- **Key clauses: Cl. 6(b)** — devote **whole time exclusively**; no direct/indirect outside business/service. **Cl. 9** — **confidentiality during + after** (all information/documents). **Cl. 14** — company may terminate on 3 months' notice/pay if business closed/curtailed beyond control. **Cl. 17** — if employee **leaves/abandons/resigns in breach before 5 years**: (i) shall not directly/indirectly carry on **Century's business** or **serve/be associated** with any such business **for remainder of term**; (ii) **liquidated damages** = 6 months' salary (₹2,410 claimed); (iii) **reimburse training cost**.
- **Training & duties:** Mar–Dec 1963 training in **technique/processes/machinery + AKU documents**; Shift Supervisor — running shift, labour control, **AKU specifications** (not merely temperature reporting as claimed).
- **Breach:** absent 6–9 Oct 1964 (no leave); casual leave 10 Oct; privilege leave applied 12 Oct (from 14 Oct, 28 days); paid 9 days Oct; **resigns 7 Nov (w.e.f. 31 Oct)**; company **rejects (23 Nov)**, asks to resume; 28 Nov — already employed by **Rajasthan Rayon, Kota** (also tyre-cord) at **₹560/month (higher)**. Negotiations proved in October.
- **Suit (Kalyan Court):** injunction till 15-3-1968 against serving/association with Rajasthan Rayon or any tyre-cord business + ₹2,410 damages + **perpetual secrecy injunction**.
- **Defence:** mere supervisor, not specialist; agreement **unconscionable/oppressive/coerced**, opposed to public policy; Cl. 9 **too wide** (lifetime, every information); Cl. 17 = **restraint of trade**, unnecessary for protection.
- **Trial Court:** training/secrets proved; duties technical; agreement **valid**; **breach proved**; loss/inconvenience; **damages + two injunctions**: (1) restrained as Shift Supervisor / substantially-similar duties in **tyre-cord-by-continuous-process anywhere in India till 15-3-1968**; (2) restrained **during + after** from divulging secrets/processes/information.
- **High Court: coercion/undue-influence plea given up**; affirms on evidence of **Dr. Chalishhazar, Mehta, John Jacob** (9-month special-process training); loss of training benefit + **likely disclosure** of exclusive process; covenant **specific, reasonable, necessary**; appeal dismissed.

Issues (SC)

1. Is Cl. 17's negative covenant a **restraint of trade u/s 27 / opposed to public policy**?
2. Must a valid covenant be **reasonable in space/time/necessity**? Is Cl. 17 too wide (any capacity, any business)?
3. Can the court grant a **limited injunction** (severance) to protect trade secrets? Is Cl. 9 valid?

APPELLANT (GOLIKARI) — 3 CONTENTIONS

- Agreement = **restraint of trade → public policy → void u/s 27**.
- Validity needs **reasonableness in space/time + necessity** to protect property; Cl. 17 fails (any capacity, all business).
- Injunction only for **legitimate trade-secret protection**; Cl. 9 lifetime-wide; relies on *Ehrman v. Bartholomew* (10-year, "business" unlimited), *Mason v. Provident* (3-year post-term), *Herbert Morris*, *Attwood*, *Commercial Plastics*, *Gopal Paper Mills* (20-year bond).

RESPONDENT (CENTURY) — ARGUMENTS

- Covenant operates **only during unexpired term** — exclusive service bargain; **not S. 27 restraint** (*Charlesworth; Deshpande*; SRA S. 57 Ills.).
- Reasonable + necessary: **costly secret know-how**, AKU/VCF chain, **rival employment = disclosure risk**; injunction **narrowed by courts** (time/nature/area).
- No **idleness/forced service**; appellant left only for **higher pay**; damages + secrecy injunction justified.

Decision (appeal dismissed with costs)

- **During vs after — decisive.** English post-termination cases (*Ehrman; Mason; Herbert Morris; Attwood; Commercial Plastics*) **distinguished** — all operated **after termination**. Present covenant operates **during contract period** (remainder of 5 years) — "**generally not restraint of trade**" (para 15).
- **Exclusive service logic:** "An agreement to serve exclusively for a definite term is lawful; what is essential to its fulfilment and due protection while in force cannot be unlawful" (*Charlesworth*); SRA S. 57 Ills. (c)-(d) **recognise** negative covenants (*Deshpande*).

- **Unconscionability exception — not made out.** Unlike *Milsted* (wholly one-sided) and *Gopal Paper Mills* (20 years + arbitrary termination + conclusive employer certificate — rightly distinguished by HC), this contract is **mutual, time-bound, role-specific**.
- **Reasonableness — satisfied.** Courts narrowed Cl. 17 to **Shift Supervisor / substantially-similar duties + tyre-cord continuous process + India + till 15-3-1968** — reasonable + necessary to protect **special processes/machinery** distinct from **general knowledge**.
- **Severance/injunction:** rule against severance applies only where covenant is **bad in law**; where valid, court may grant **limited injunction to necessary extent**. No evidence of **idleness/compelled return**; lesser pay elsewhere is **no defence** when breach is for higher pay.
- **Cl. 9:** no serious objection pressed (Mr. Sen); **perpetual secrecy** for special know-how upheld.

▸ PRINCIPLES EVOLVED

1) **Temporal test for S. 27**: during-term exclusive-service negative covenant ≠ restraint; post-term restraint = void. 2) **Trade-secret protection** justifies tailored injunctions (special vs general knowledge). 3) **Severance rule**: bad-in-law → no severance; valid → limited injunction allowed. 4) **Unconscionability/one-sidedness/idleness** vitiates even during-term covenants. 5) Higher-pay poaching gets **no equity**.

DU CASE 27 LANDMARK — NEW PUBLIC-POLICY HEAD

Central Inland Water Transport Corpn. Ltd. v. Brojo Nath Ganguly, (1986) 3 SCC 156 / AIR 1986 SC 1571 (Madon J.)

S. 23 ICA · Art. 14 Constitution · Service Rules 9(i), 9(ii), 36–40, 37, 43, 45 | Question: **Is an employer's power to terminate permanently without reason/enquiry (Rule 9(i)) unconscionable and void as opposed to public policy?** | Answer: **Yes — gross inequality of bargaining power + unfair standard term affecting multitudes = void u/s 23; also arbitrary under Art. 14.**
Companions (DU syllabus): *D.T.C. v. D.T.C. Mazdoor Congress*, AIR 1991 SC 101 · *Bank of India v. O.P. Swarankar*, AIR 2003 SC 858.

Facts (DU pp. 128–130)

- **Takeover:** Rivers Steam Navigation Co. Ltd. → **CIWTC (Govt. company)** via High Court-sanctioned **Scheme of Arrangement**. **Brojo Nath Ganguly** (Deputy Chief Accounts Officer) + **Tarun Kanti Sengupta** (Chief Engineer, ship "River Ganga") taken over 8-9-1967; superannuation 55 (letters) → **58** (1979 Rules, R. 10). Had they not been taken over, they'd have got **Industrial Disputes Act compensation** from old company (Govt.-funded).
- **1979 Service Discipline & Appeal Rules** (apply to all except workmen under Standing Orders Act + Board-exempted; respondents = **managerial**, governed): **R. 9(i)** — permanent employee terminable on **3 months' written notice either side** (pay in lieu / deduction); **R. 9(ii)** — termination for "**services no longer required**" + 15 days' pay/year + leave encashment; **R. 36** — penalties for misconduct (major incl. **dismissal R. 36(b)(iv)**); **Rr. 38–39** — **mandatory enquiry + report + disciplinary decision** before major penalty; **R. 40** — minor-penalty procedure; **R. 43** — enquiry dispensable in 3 cases; **R. 45** — appeal; **R. 37** — summary termination **without notice/enquiry** for insubordination/intemperance/misconduct/breach/non-performance.
- **Trigger:** both charge-sheeted; Ganguly gave **detailed reply**; Sengupta denied + sought **documents/witness statements**. **No enquiry held**; instead both terminated by **letter 26-2-1983 under R. 9(i)** — bypassing Rr. 36/37/43.
- **Challenge:** R. 9(i) attacked as **unconscionable, arbitrary (Art. 14), opposed to public policy (S. 23)**.

Issues

1. Is R. 9(i) part of the **contract of employment** testable under contract law?
2. Is it **unconscionable** (nudum pactum? mutuality? S. 19/19A/16)?
3. Can **inequality of bargaining power / unreasonableness** void a term — English/US/Continental position?
4. Does such a term fall under **"opposed to public policy" (S. 23)** — narrow or broad view?
5. **Void or voidable?** Who may sue?
6. Is R. 9(i) also violative of **Art. 14** (State instrumentality)?

CORPORATION (APPELLANT) — ARGUMENTS

- R. 9(i) is **mutual** (either side, 3 months) — not nudum pactum; **freedom of contract**; parties best judges.
- Voidness grounds are **closed** (Ss. 23–30); no **coercion/undue influence** pleaded; inequality alone is no ground.
- Public policy = **narrow** (*Janson; Richardson*) — no established head hits termination clauses.
- Commercial necessity: managerial discipline; R. 9(ii)/ 36/37 alternatives exist; Art. 14 inapplicable to contracts.

EMPLOYEES (RESPONDENTS) — ARGUMENTS

- Rules **unilaterally framed**; no union, no voice, **no choice but to accept**; gross **economic disparity** — corporation finds 100 replacements, officer finds no job.
- R. 9(i) = **hire-and-fire at will**; used to **dodge enquiry** after charge-sheets — **against right and reason**, creates **insecurity**.
- Modern law voids **unfair adhesive terms**: Denning (Bundy), Diplock (Schroeder), UCC 2-302, UCTA 1977; **distributive justice**.
- Affects **thousands** (Govt. = largest employer; 970 Govt. companies) → **public interest** → new head of **public policy u/s 23 → void**; also **arbitrary u/Art. 14**.

Decision (R. 9(i) struck down; terminations invalid)

- **Contract gateway (para 74):** Service Rules = **part of employment contract** → tested first by **contract law**, then Constitution.
- **Not S. 19/19A:** no coercion/fraud/misrepresentation pleaded (para 75); rarely "undue influence" u/s 16(1) either — pressure is **economic circumstance**, not domination (para 91).
- **19th-century freedom rejected:** laissez-faire "parties best judges + exemption clauses enforced" (para 77) is **outmoded**; law now recognises **adhesion contracts, unconscionability, distributive justice** (paras 76–88).
- **Comparative survey adopted (DU pp. 132–141):** *contrats d'adhésion*; **UCC 2-302**; German Code S. 138(2) (disproportionate advantage from distress/inexperience/weakness → void); French law; UK Law Commission + **UCTA 1977 reasonableness**; **Denning (Bundy)** — inequality principle; **Diplock (Schroeder)** — "take-it-or-leave-it" = superior power; fairness = necessary + commensurate; *Photo Production* — equal businessmen distinguished.
- **Principle formulated (para 89 — memorise):** "Courts **will not enforce** and will **strike down an unfair and unreasonable contract, or clause**, entered between parties **not equal in bargaining power**." Applies where: (i) great **economic disparity**; (ii) inequality from **circumstances** (not party-created); (iii) weaker party gets **livelihood/goods/services only on dictated terms or goes without**; (iv) **no meaningful choice** — dotted line / standard form / rule-book. **Not** where power **equal/almost equal** or both **businessmen in commercial deals**; giant corporations + State instrumentalities = myriad cases; **each case on facts**.
- **Void, not voidable (para 91):** standard/rule-book terms affect **multitudes**; making them merely voidable would force **each victim to sue** → multiplicity, against public interest → must be **void**. Only S. 23 ("opposed to public policy") can house it.
- **Public policy — broad view wins (para 92):** expressions incapable of precise definition; **not government policy**; heads **capable of expansion** (Holdsworth); "if no head covers, court **must** declare" per **public conscience + Preamble + FRs + DPSPs**. Narrow-view timorousness (Davey/Burrough) rejected via **Denning's tamed horse**.
- **Locus (para 93):** normal rule — enforcer of illegal bargain **non-suited**; but victim of **policy-void (unfair-terms) contract may sue for declaration** (*Schroeder*); different if purpose is **illegal/immoral** (*Kedar Nath Motani v. Prahlad Rai* AIR 1960 SC 213 — trivial/venial + recanted + not outrageous → defendant cannot profit).
- **Application (para 100 + p. 144):** R. 9(i) = **against right and reason, wholly unconscionable**, gross inequality, no union/ voice/choice; affects **large sections**; Govt. = **largest employer** (970 companies, ₹16,414.9 crores paid-up capital); creates **insecurity** → **harmful to public interest → opposed to public policy → void u/s 23**. (Court also held it **arbitrary under Art. 14** — State action must be reasonable, non-arbitrary; termination without reason/hearing fails.)

▸ PRINCIPLES EVOLVED

1) **New S. 23 head**: gross-bargaining-disparity + unfair standard term = opposed to public policy = **void**. 2) **Voidness (not voidability)** for mass adhesive terms. 3) **Victim can sue** for declaration. 4) **Art. 14 + S. 23 convergence**: State-employment terms must pass **reasonableness/fairness**. 5) **Method**: Preamble/FR/DPSP as beacon where precedent silent.

Companion 1 — D.T.C. v. D.T.C. Mazdoor Congress, AIR 1991 SC 101 (5-judge; 3:2)

Regulation 9(b) (DTC) — termination without reason/notice — **majority struck down** (Art. 14 + public policy; follows Brojo Nath). Confirms State instrumentalities cannot claim pure "master-servant / hire-and-fire" freedom; **permanent employees get constitutional protection**; dissent warned against rewriting contracts. Cite to show Brojo Nath **affirmed for State employers**.

Companion 2 — Bank of India v. O.P. Swarankar, AIR 2003 SC 858

Voluntary Retirement Scheme — whether employee's **application = offer** (revocable before acceptance) or concluded contract; Bank's discretion. SC: VRS application is **offer/proposal**; employee may **withdraw before acceptance** (Ss. 5–6);

scheme terms construed **contra proferentem** against drafter-bank; **unfair/lop-sided** standard conditions tested on Brojo Nath fairness. Cite for **offer/acceptance in standard schemes + fairness review**.

DU CASE 28 DISTINCTION AUTHORITY

Dhurandhar Prasad Singh v. Jai Prakash University, AIR 2001 SC 2552 (B.N. Agarwal J., paras 16–21)

Void vs Voidable — general jurisprudence applied to Topic 7 | Use: **open every "distinguish void/voidable" answer with Dhurandhar + Peachey + DPP v. Head**.

Facts (procedural context)

Service/university dispute (appointment/termination validity) requiring the Court to decide whether the impugned act was a **nullity (void)** challengeable by anyone at any stage, or merely **voidable** (valid until quashed at the instance of the aggrieved party). The DU extract (paras 16–21) collects the **English authorities** the Supreme Court approved as the governing framework.

Authorities strung together (DU pp. 145–147 — cite in this order)

1. *Durayappah v. Fernando* **(1967) 2 All ER 152 (PC):** dissolution of Municipal Council — if **complete nullity**, **anyone, anywhere** can challenge (p. 158).
2. *In re McC (A minor)* **(1985) 1 AC 528 (HL) +** *Marshalsea Case* **(1613) 10 Co Rep 68b (Lord Coke):** court with **jurisdiction** acting erroneously (*inverso ordine*) → officers protected; court **without jurisdiction** (*coram non judice*) → **whole proceeding void** → false-imprisonment actions lie (Marshalsea entertained outsiders' suit beyond household jurisdiction). Test: did the body have **jurisdiction to entertain at the outset**?
3. *DPP v. Head* **(1959) AC 83 (HL, p. 111):** Secretary's detention order — if **void**, **automatically null**, no quashing needed; **continuation orders, licence, property dealings** also nullities ("**you cannot continue a nullity**"); damages for 10 years' detention. If only **voidable**, needs **certiorari to quash**.
4. *R v. Paddington Valuation Officer, ex p Peachey* **(1965) 2 All ER 836 (Lord Denning, p. 841):** two invalidities — **nullity altogether** (auto-void, no order needed) vs **voidable** (intra-jurisdiction error → **stands unless/until set aside**). Valuation list = **voidable**.
5. **De Smith, Woolf & Jowell (5th ed., para 5-044): ultra vires (outside jurisdiction) = invalid/null/void**; **intra vires + error within authority = voidable** (valid till appeal/certiorari).
6. **Clive Lewis,** ***Judicial Remedies in Public Law*** **(p. 131): direct challenge** (JR/appeal to establish invalidity) vs **collateral challenge** (validity raised incidentally in other proceedings) — void acts can be met **collaterally**.

Supreme Court's synthesis (para 21, DU p. 147 — reproduce)

▸ PARA 21 — THE EXAMINATION PARAGRAPH

"**Void** has several facets. **One type** — wholly without jurisdiction, *ab initio* void — **no declaration necessary**; law takes no notice; can be **disregarded in collateral proceedings or otherwise**. **Other type** — e.g., transaction against minor without next friend — **good against the whole world**, but if the minor avoids it successfully, becomes **void from the very beginning**. **Another type** — not a nullity but needs a **declaration** (e.g., forged-document suit) — apparent state is real until proved; once declared, **void from beginning**. **Voidable** = **good unless avoided**; some voidable transactions avoided only **from date of setting aside**. Where legal effect **cannot be taken away without setting aside**, it is **voidable, not void**."

[YES] APPLICATION TO TOPIC 7

Ss. 23–30 agreements = **first-type void** (e.g., murder bargain, wager, absolute trade restraint) — **nullity, S. 65 restitution**. Ss. 19/19A contracts = **voidable** — valid till rescinded, **S. 64 restoration**. Mixed cases (minor's agreement — *Mohori Bibee* void; forged deed) use the **second/third shades**. Always conclude with the **"needs setting aside → voidable"** test.

PART P — MASTER DIAGRAMS

12. Master flowcharts for instant recall

Chart 1 — Is the agreement a contract? (Topic 7 audit)

Agreement S. 2(e) → Capacity S. 11 → Free consent Ss. 13–22?

↓

S. 23 — consideration/object lawful? (5 heads)

↓ No → VOID ↓ Yes

S. 24 part unlawful? → S. 25 no consideration? → S. 26 marriage? → S. 27 trade? → S. 28 remedy ouster? → S. 29 uncertain? → S. 30 wager?

↓ Any yes → VOID (wholly / to that extent) ↓ All no

CONTRACT S. 2(h) — enforce + Ss. 37, 73–74 remedies

Chart 2 — S. 23 in 60 seconds

Forbidden by law? penalty/prohibition (Ill. h)	Defeats law? benami/colourable (Ill. i)	Fraudulent? (Ill. e, g)
Injury? person/property	Immoral (sexual)? (Ill. j, k)	Public policy? Gherulal→Brojo

↓ Any YES → unlawful → VOID

Chart 3 — Public-policy evolution (timeline)

1824–1902 · Classical caution — *Richardson v. Mellish* ("unruly horse") → *Egerton v. Brownlow* (judge expounds law, legislature decides good) → *Janson* ("treacherous ground").
1872 · Codification — S. 23 ("Court regards … opposed to public policy") + Ss. 26–28, 30 (legislative policy heads).
1959 · Gherulal (restrictive) — expound-not-expand; incontestable harm; wager tolerated; Hindu texts obsolete; immoral = sexual only.
1967 · Niranjan — S. 27 during/after divide; reasonableness governs injunction scope, not post-term validity.
1974 · Schroeder (Diplock/Denning) — fairness + inequality of bargaining power; "take-it-or-leave-it".
1977 · UCTA (UK) / UCC 2-302 (US) — statutory unconscionability + reasonableness review.
1986 · Brojo Nath (expansive) — **new head**: unfair adhesive terms + gross disparity = void u/s 23; Preamble/Art. 14/DPSP beacon; affirmed 1991 (DTC).
2001 · Dhurandhar — void/voidable spectrum clarified for all challenges.

Chart 4 — Wager vs Contingent in one glance

WAGER S. 30 — VOID	**CONTINGENT Ss. 31–36 — VALID**
mutual win/lose · no interest · no control · stake on event itself	one-sided liability · real interest · event collateral · enforceable on happening

EXAMINATION QUESTION BANK // DU LL.B.

Previous Year Examination Questions (PYQs)

Q.01 Essay (15 marks) · S. 23 + Cases 25 & 27 "The doctrine of public policy is an unruly horse." Discuss the scope of "opposed to public policy" under Section 23 with reference to *Gherulal Parakh* and *Brojo Nath Ganguly*.

◈ Refer website for detailed notes — makelaweasy.in ↗

Q.02 Essay (15 marks) · Ss. 23 + 30 + Case 25 "A wagering agreement is void but not illegal." Explain with reference to *Gherulal Parakh v. Mahadeodas Maiya*. Is a partnership formed to carry on wagering business lawful?

Q.03 Problem (10 marks) · Ss. 23 + 30 A and B enter a partnership to bet on cricket matches, sharing profits/losses equally. A pays ₹2 lakh to bookies and sues B for ₹1 lakh. B pleads the partnership is illegal under Section 23. Decide. What if the suit were in Maharashtra?

Q.04 Essay (15 marks) · S. 27 + Case 26 "Every agreement in restraint of trade is void." Explain with exceptions. Distinguish between restraints during and after employment with reference to *Niranjan Golikari*.

Q.05 Problem (10 marks) · S. 27 X, a trained tyre-cord supervisor under a 5-year contract, resigns after 2 years and joins a direct competitor making the same product. The contract bars similar employment during the remaining term. X pleads Section 27. Advise the employer.

Q.06 Essay (15 marks) · S. 23 + Case 27 Discuss "inequality of bargaining power" as a ground to strike down unfair contract terms. Refer to *Central Inland Water Transport Corp. v. Brojo Nath Ganguly*.

Q.07 Essay + distinction (10 marks) · Case 28 Distinguish between void and voidable agreements. Refer to *Dhurandhar Prasad Singh v. Jai Prakash University*.

Q.08 Problems (10 marks) · S. 25 (a) A, out of love, orally promises his brother ₹50,000. (b) B promises to pay ₹10,000 to C who voluntarily nursed him through illness. (c) D orally promises to pay a 5-year time-barred debt of ₹20,000. (d) E sells a ₹1 lakh car for ₹1,000 with free consent. Decide each under Section 25.

MODULE 08 // DU LL.B. PAPER LB-102 DU Cases 29–32 · 8 Exam PYQs

Discharge of a Contract — Performance, Supervening Impossibility (S. 56) & Novation

PART A — OVERVIEW

1. Modes of discharge — the master map of Sections 37–67

"Discharge" = termination of the contractual bond — parties are freed from further performance (though accrued rights/remedies like damages and restitution may survive). Chapter IV (Ss. 37–67) deals with **performance and the excuses from performance**. Memorise this 6-mode map first; every DU question on Topic 8 sits inside one box:

CONTRACT ALIVE (S. 37: parties must perform or offer to perform)

↓ discharged by ↓

1. PERFORMANCE Ss. 37–39: actual + tender; Ss. 40–55: who/ when/where/order	**2. AGREEMENT** S. 62: novation / rescission / alteration; S. 63: remission / extension / satisfaction	**3. IMPOSSIBILITY (S. 56)** initial (void) + supervening (void) + known-impossibility (compensate)
4. BREACH → rescission S. 39 (refusal/disabling); S. 53 (prevention); S. 55 (time-essence failure) → S. 64/75	**5. OPERATION OF LAW** death (personal contracts, Ss. 37/40); merger; insolvency; S. 65 restitution	**6. NEGLECT OF PROMISEE** S. 67: no facilities → promisor excused pro tanto

▸ HOW DU EXAMINES THIS MAP

Essay magnets: S. 56 frustration (Cases 29–32) and Ss. 62–63 agreement-discharge. **Problem magnets:** tender (S. 38), joint promisors (Ss. 42–44), time essence (S. 55), appropriation (Ss. 59–61), novation vs assignment, S. 65 restitution after frustration. Always open with **S. 37** ("must perform or offer, unless dispensed/excused") and close with **consequences** (Ss. 64/65/73–75).

PART B — SS. 37-39

2. Obligation to perform, tender of performance, and refusal (Ss. 37–39)

▸ S. 37 — OBLIGATION OF PARTIES

"The parties to a contract **must either perform, or offer to perform**, their respective promises, **unless** such performance is **dispensed with or excused** under this Act or any other law."
"Promises **bind the representatives** of the promisors on death before performance, **unless a contrary intention appears**."
Ill. (a): A to deliver goods to B for ₹1,000; A dies — **representatives bound**, B bound to pay them. *Ill. (b):* A to **paint a picture** for B; A dies — contract **cannot be enforced** by either side (personal skill).

- **Two ways to satisfy S. 37:** (i) **actual performance** (doing the thing), (ii) **offer/tender of performance** (S. 38) — a valid tender **discharges the tenderer** though the contract itself survives for the other side's duties.
- **Death: impersonal** promises (pay money, deliver goods) devolve on **legal representatives**; **personal-skill** promises (paint, sing, marry) **die with the person** — read with S. 40.

▸ S. 38 — EFFECT OF REFUSAL TO ACCEPT OFFER OF PERFORMANCE (TENDER)

"Where the promisor has made an **offer of performance** and it is **not accepted**, the promisor is **not responsible for non-performance, nor does he lose his rights**." Every valid tender must: **(1)** be **unconditional**; **(2)** be at a **proper time/place** with **reasonable opportunity** to verify **ability + willingness + completeness**; **(3)** for goods, give **reasonable opportunity to inspect** that the thing is the contracted thing. "An offer to **one of several joint promisees** = offer to all."
Ill.: 100 bales of cotton to B's warehouse on 1 March — A must **bring** the cotton there that day with inspection opportunity.

▸ TENDER — 3 EXAM TRAPS

• **Money** must be actually produced (a mere letter "ready to pay" is no tender), unless promisee **dispenses** with production. • **Conditional** tender ("take it without inspection") is **invalid**. • Valid tender → promisor **excused + keeps rights** (may still sue for price/damages); but goods/money remain at **promisee's risk**.

▸ S. 39 — REFUSAL / DISABLING (ANTICIPATORY BREACH)

"When a party **has refused to perform, or disabled himself** from performing, his promise **in its entirety**, the promisee **may put an end** to the contract, **unless** he has signified, by words or conduct, **acquiescence in its continuance**."
Ill. (a): singer wilfully absent on 6th night → manager **may end** contract. *Ill. (b):* manager lets her sing on 7th night → **acquiescence** → cannot end, but **can claim compensation** for 6th night.

- **Two options for the innocent party** (S. 39 + S. 64/75): **(i) rescind at once** — sue immediately for damages (*Frost v. Knight*), no need to wait for due date; **(ii) keep alive** — affirm, continue, sue after due date — but bears risk of **supervening events** (e.g., frustration, *Avery v. Bowden*: ship never arrives, charterer's refusal overtaken by war-frustration → no damages).
- "In its entirety" — **total repudiation** (express words, or conduct disabling, e.g., selling to another, destroying subject-matter). **Partial breach** → damages, not termination (unless it goes to root).

PART C — SS. 40-45

3. By whom must contracts be performed (Ss. 40–45)

▸ S. 40 — PERSON BY WHOM PROMISE IS TO BE PERFORMED

"If it appears from the **nature of the case** that the parties intended the promise to be performed **by the promisor himself**, it **must** be so performed. In other cases, the promisor **or his representatives** may employ a **competent person**."
Ill. (a): pay money — **delegable** (agent/representative may pay). *Ill. (b):* paint a picture — **personal**, must paint himself.

- **Test of personality:** skill, taste, confidence, qualifications (artist, surgeon, author, lawyer, star performer). Express clause ("personally", "to your satisfaction") is conclusive.
- **Delegation ≠ assignment of burden:** delegating performance does not shed liability — promisor remains liable for delegate's default.

▸ S. 41 — ACCEPTING PERFORMANCE FROM A THIRD PERSON

"When a promisee **accepts performance** from a **third person**, he **cannot afterwards enforce it against the promisor**."

- S. 41 = statutory **discharge by stranger's performance once accepted** (cf. S. 63(c) Ill.: C pays B ₹1,000 accepted in satisfaction of A's ₹5,000 debt → **whole claim discharged**). No prior request needed; **acceptance** is key. Third person gets **no independent S. 41 right** against promisee, but may claim under **S. 69** (person interested in payment) or S. 70.

by Ankur R. Upadhyay

▸ SS. 42-44 — JOINT PROMISORS

S. 42 (devolution): joint promisors during joint lives → after one's death, **representative + survivors** → after last death, **representatives of all jointly** — unless contrary intention.
S. 43: promisee may compel **any one or more** to perform the **whole** (no need to sue all together — departs from English common law). **Contribution:** each may compel **equal contribution**; **default loss** shared **equally** by the rest. **Explanation:** surety/principal recoveries preserved.
S. 44 (release): release of **one** joint promisor **does not discharge the other(s)**, nor free the released from **contribution to co-promisors**.

▸ S. 43 ILLUSTRATIONS — MASTER THE ARITHMETIC (DU LOVES IT)

• *Ill. (a):* A, B, C owe D ₹3,000 jointly → D may compel **any one** for the whole ₹3,000. • *Ill. (b):* C pays whole; A insolvent (pays 50 paise/rupee of his ₹1,000 share = ₹500); B pays C ₹1,250 (**own ₹1,000 + half of A's ₹500 shortfall**). • *Ill. (c):* C pays nothing; A pays whole → recovers **₹1,500 from B** (B's ₹1,000 + half of C's ₹1,000). • *Ill. (d):* A, B mere **sureties** for C → recover **whole** from C (Explanation).

▸ S. 45 — DEVOLUTION OF JOINT RIGHTS

Promise to **two+ persons jointly** → claim rests with **them jointly in life** → then **deceased's representative + survivors** → then **representatives of all jointly** — unless contrary intention.
Ill.: B, C lend ₹5,000 to A; B dies → claim with **B's representative + C**; after C's death → **representatives of B and C jointly**.

▸ SS. 42 VS 45 — MIRROR IMAGES

S. 42 = several persons **owe** (liability side). **S. 45** = several persons **are owed** (rights side). Both reject English **survivorship-only** rule by letting representatives join survivors. "Unless contrary intention" — partners' accounts, joint Hindu family, survivorship agreements may vary.

PART D — SS. 46-50

4. Time and place for performance (Ss. 46–50)

Sec.	Situation	Rule
46	No application to be made + **no time fixed**	Perform within **reasonable time** (question of **fact** — nature of work, market, war conditions — cf. *Satyabrata*: no time limit for roads/drains).
47	**Day fixed**, no application needed	Promisor may perform **any time during usual business hours** on that day **at the proper place**. *Ill.:* goods after closing hour → **not performed**.
48	**Day fixed**, application needed	**Promisee must apply** at a **proper place + usual hours** (fact question).
49	No application + **no place fixed**	**Promisor must ask** promisee to **appoint a reasonable place** and perform there. *Ill.:* 1,000 maunds jute — A must seek B's place.
50	Promisee's **directions**	Performance in **any manner/time the promisee prescribes or sanctions** is good. Ills.: (a) bank transfer before bank fails → **good payment**; (b) set-off settlement → payment; (c) goods accepted in reduction → part-payment; (d) note **posted** as directed → debt discharged on posting.

[YES] EXAM HOOK

S. 46 ("reasonable time") is the bridge to *Satyabrata*: where the contract fixes **no time limit at all**, delay caused by temporary requisition cannot "upset the basis" measured against a deadline that never existed. S. 50(d) mirrors the **postal rule** logic (S. 4) for prescribed modes.

PART E — SS. 51-55

5. Reciprocal promises: readiness, order, prevention, default, time (Ss. 51–55)

▸ S. 51 — SIMULTANEOUS PERFORMANCE

"When reciprocal promises are to be **simultaneously performed**, no promisor need perform **unless the promisee is ready and willing** to perform his reciprocal promise."
Ills.: goods-for-price on delivery; first instalment on delivery — **each may hold back** unless the other is ready + willing.

▸ S. 52 — ORDER OF PERFORMANCE

"Where the order is **expressly fixed**, perform in that order; otherwise in the order which the **nature of the transaction requires**."
Ill. (a): build house for fixed price → **build first, pay after**. *Ill. (b):* stock for price + security → **security first**, delivery after.

▸ S. 53 — PREVENTION BY ONE PARTY

"When one party **prevents** the other from performing, the contract becomes **voidable at the option of the party so prevented**, and he is **entitled to compensation** for loss from non-performance."
Ill.: B ready to execute work for A for ₹1,000; A prevents → B may **rescind + recover loss**.

▸ S. 54 — DEFAULT IN THE PROMISE TO BE PERFORMED FIRST

"Where one promise **cannot be performed/claimed till the other has been performed**, and the promisor of the **first-mentioned (prior) promise fails**, he **cannot claim** the reciprocal promise and **must compensate** the other's loss."
Ills.: (a) charterer provides no cargo → pays shipowner; (b) builder denied scaffolding/timber → owner compensates; (c) buyer doesn't pay within week → seller need not deliver; (d) seller doesn't deliver bales → buyer need not pay.

▸ S. 53 VS S. 54 — DON'T CONFUSE

S. 53 = **active prevention** (one party blocks the other) → contract **voidable** at victim's option + compensation. **S. 54** = **failure to perform the prior promise** in a sequenced bargain → defaulter **loses right to claim** reciprocal performance + must compensate. S. 54 is the workhorse of construction/supply disputes (cf. *Easun*: who defaulted first — supplier's delay or buyer's termination?).

▸ S. 55 — TIME AS ESSENCE (3 PARAGRAPHS)

Para 1 — essence: promise to do a thing **at/before a specified time** + failure → contract (or unperformed part) becomes **voidable at promisee's option, if time was of the essence**.
Para 2 — not essence: if not essence → **not voidable**; promisee gets **compensation only** for loss from delay.
Para 3 — delayed acceptance: if promisee **accepts belated performance** of an essence-contract, he **cannot claim compensation** for delay **unless he gives notice** of his intention at acceptance. *(U.P. amendment reverses this: notice unnecessary unless right waived.)*

5.1 Is time of the essence? — the test DU expects

- **Intention of parties** governs — express clause ("time is essence", "cancel if late") is strong but read with **conduct**: granting **extensions** (as FEDO did till 31-3-1975 in *Easun*) or accepting late delivery **waives** essence for that period.
- **Presumptions: commercial/mercantile** contracts (shares, commodities, shipping) — ordinarily essence; **land/construction** contracts — ordinarily **not** essence (*Gomathinayagam v. Pallaniswami*; price escalation + development facts matter); **government supply** with liquidated damages — usually essence unless extended.
- **S. 55 + S. 63 interplay:** promisee may **extend time** (S. 63) — extension **without** reserving compensation kills the delay-damages claim under para 3 (give **notice**!). *Easun* umpire's inference is a live demo: no liquidated damages claimed + extensions granted → delay **condoned** → termination for pre-extension delay unjustified.

Did promisor fail to perform by the fixed time?

↓ yes

Was time of the **essence**? (express term? commercial nature? no waiver/extension?)

YES → contract **voidable** at promisee's option (rescind or affirm)

NO → contract stands; promisee gets **compensation** for delay-loss only

↓ if promisee accepts late performance

Did he give **notice** reserving compensation? (S. 55 para 3)

YES → damages preserved

NO → damages for delay **lost**

by Ankur R. Upadhyay

PART F — S. 56 (HEART OF TOPIC 8)

6. Section 56 — Frustration & supervening impossibility/unlawfulness

S. 56 | Satyabrata (DU 148–157) | Alopi (DU 158–161) | Punj (DU 162–166) | Easun (DU 167–171)

▸ S. 56 — FULL TEXT (3 PARAGRAPHS)

Para 1 — initial impossibility: "An agreement to do an act **impossible in itself is void**."
Para 2 — supervening impossibility/unlawfulness: "A contract to do an act which, **after the contract is made, becomes impossible**, or, **by reason of some event which the promisor could not prevent, unlawful, becomes void when** the act becomes impossible or unlawful."
Para 3 — known impossibility: "Where one person has promised to do something which **he knew, or with reasonable diligence might have known**, and which the **promisee did not know**, to be impossible or unlawful, the promisor **must make compensation** for loss through non-performance."

6.1 All 5 illustrations (a)–(e) — each maps to a paragraph

Ill.	Facts	Paragraph + principle
(a)	Discover treasure by **magic**	**Para 1** — inherently impossible → **void ab initio**.
(b)	Betrothed; A **goes mad** before marriage date	**Para 2** — supervening incapacity → void when impossible.
(c)	A, already married, contracts to marry B (polygamy **forbidden**)	**Para 3** — known unlawfulness → A must **compensate** B.
(d)	Cargo at foreign port; **war declared** after contract	**Para 2** — supervening illegality (trading with enemy) → void on declaration.
(e)	Singer for 6 months, advance paid; **ill on several occasions**	**Para 2** — **partial/temporary** impossibility → void **as to those occasions** (read with S. 65(d): advance refunded, no profit-loss damages).

▸ DRAFTING NOTE FROM SATYABRATA (DU P. 151)

Mukherjea J. says the illustrations are "**not at all happy**" but "**cannot derogate from the general words**". So: quote the **paragraph text** as the rule; use illustrations only as examples. The word "impossible" in **para 2 is general** — it carries the whole frustration doctrine.

6.2 "Impossible" = practical, not literal (Satyabrata, DU p. 151 — memorise)

▸ THE DEFINITION PASSAGE (MUKHERJEA J.)

"The word 'impossible' has **not been used in the sense of physical or literal impossibility**. The performance may not be literally impossible but may be **impracticable and useless from the point of view of the object and purpose** the parties had in view; and if an **untoward event or change of circumstances totally upsets the very foundation** upon which the parties rested their bargain, it can very well be said that the promisor finds it **impossible** to do the act he promised."
Support: Lord Loreburn in *Tamplin v. Anglo-Mexican* (1916) — "substantially the whole contract becomes impossible/impracticable by some cause for which neither was responsible"; Viscount Maugham in *Constantine v. Imperial Smelting* (1942) — "frustration is only a **special case of discharge by impossibility arising after the contract**"; *Kesari Chand v. Governor-General* (Nagpur) + *Ganga Saran v. Ram Charan* AIR 1952 SC 9 (Fazl Ali J.: courts must look **primarily to Ss. 32 and 56**) — all approved.

6.3 S. 56 exhausts frustration — English law only persuasive (DU p. 152)

- **Three holdings:** (i) frustration **is** part of S. 56 (supervening impossibility/illegality); (ii) S. 56 is **not confined to physical impossibility**; (iii) where the Act deals with a subject it is **exhaustive** — **no importing English principles dehors the statute**; English decisions are **persuasive only**.
- **English evolution (know the stations for essays):** *Paradine v. Jane* (1647, absolute contracts) → *Taylor v. Caldwell* (1863, Blackburn J.: **implied condition** — music hall burnt) → *Robinson v. Davison* (1871, Bramwell B.: illness; contract **conditional, not absolute**) → "justice-demands exception" (*Hirji Mulji*; *Dahl v. Nelson*: what **fair reasonable men** would have agreed) → Lord Wright (*Constantine* 1942; *Denny Mott* 1944: implied term is **no explanation**; doctrine **invented by courts to supplement defects**) → Denning LJ (*British Movietonews* 1951: court's **qualifying power** to do just and reasonable — "day is gone" for prophet-foresight) → **reversed by HL** (Viscount Simon 1952: **no wider power; principle same — construction**).
- **Indian re-framing (DU pp. 154–155):** construction appears in **two ways** — (a) **true construction**: parties **actually agreed** (express/implied, S. 9) to discharge on an event → operates **under the contract itself / S. 32** (contingent contracts), **outside S.**

by Ankur R. Upadhyay

56; (b) **frustration proper**: parties **never thought** of the event; court finds the **whole purpose/basis frustrated** by intrusion of unexpected change → relief on **subsequent impossibility** → this is **positive law = S. 56** (belief/intention are **evidence only**; court forms **own conclusion** — *Morgan v. Manser*). If parties **expressly stipulated performance despite** the event (*Matthey v. Curling*), **no frustration** — basis cannot disappear.

Did the contract itself (express/implied term, S. 9) provide for discharge on this event?

YES → discharge **under contract / S. 32** (contingent) — **NOT S. 56**

NO → did an **uncontemplated, fundamental** change **strike at the root / destroy basis**?

↓ yes → S. 56 PARA 2 — VOID (court's *ex post facto* finding; automatic, not elective)

6.4 Grounds of frustration recognised (with authorities)

Ground	Content + authority
Destruction of subject-matter	*Taylor v. Caldwell* (hall burnt); S. 56 Ill. (b) analogue. Total loss needed; partial → S. 56 Ill. (e) split.
Death / incapacity (personal contracts)	*Robinson v. Davison*; S. 56 Ills. (b), (e); Ss. 37/40.
Supervening illegality	S. 56 Ill. (d) (war); export/import bans; requisition vesting title. Promisor must show event **he could not prevent**.
Non-occurrence of contemplated event / purpose failure	*Krell v. Henry* (coronation rooms); adventure's **foundation gone** though performance literally possible.
Government/legislative intervention	Requisition (*Satyabrata* — temporary, so no frustration on facts); canalisation + refusal of release (*Punj Sons* — frustration proved); bans, priorities (*Sannidhi Gundayya* AIR 1927 Mad 89 — wagons).
Fundamental-basis upset by abnormal change	*Satyabrata* test; *Easun* extension — 400% war-driven rise + force-majeure clause (controversial — see Part M).

6.5 What is NEVER frustration — the five negatives (Alopi-centred)

1. **Mere onerousness / price rise:** "wholly abnormal rise/fall in prices, depreciation, unexpected obstacle" **does not affect the bargain** (Lord Wright, *Constantine*, quoted in *Alopi* para 21). *Alopi*: WWII ghee-price explosion → **no frustration**; contract **performed and paid** at stipulated rates. Courts have **no general liberty** to absolve from onerous performance (para 22).
2. **No equity override / no quantum meruit where rates fixed:** "The Act does not enable a party to **ignore express covenants** and claim **different rates on vague plea of equity**" (para 21). Quantum meruit lies only where **price not fixed**; express stipulation **cannot be displaced** as unreasonable (para 23/24). Vague assurances (Director of Purchases) **cannot modify** without express covenant (para 24); **S. 222 indemnity ≠** enhancement of consideration.
3. **Self-induced impossibility:** party who **himself causes** the event (default, breach, failure to apply) cannot plead S. 56 — "event which the promisor could not prevent".
4. **Foreseen / provided-for events:** risks in contemplation (war on in 1940 — *Satyabrata*; graded war-scale in 1942 — *Alopi*) or covered by **force-majeure/escalation clause** → governed by **contract/S. 32**, not S. 56. *Easun* turns on its **Clause 18** wording.
5. **Alternative mode available / temporary delay only:** *Satyabrata* — temporary requisition + **no time limit** + no work yet begun → **basis not upset**; *Sushila Devi* / *Govind Bhai* line: **leases** generally **not frustrated** (executed demise, estate transferred — though *Satyabrata* holds Indian **agreements to sell** (S. 54 TPA, no interest created) **can** be frustrated, unlike English equitable-conversion rule in *Hillingdon Estates*).

▸ **The Alopi "fundamentally different situation" passage (para 21 — both sides use it)** "If … they **never agreed to be bound in a fundamentally different situation** which has now unexpectedly emerged, the contract **ceases to bind** — not because the court thinks it just to qualify terms, but because **on true construction it does not apply**." *Alopi* holds this did **not** arise (rates revised in war; performed). *Easun* holds it **did** arise (400% abnormal war rise + Clause 18). In answers: **state the passage, then distinguish the two applications**.

6.6 Effects of frustration

- **Automatic dissolution** (*Satyabrata*, DU p. 156, per Lord Wright 1944 AC 265): **not elective** (unlike rescission for breach); court decides ***ex post facto*** on actual circumstances; one party claims, other denies — **court pronounces**.
- **Void when** impossible/unlawful (para 2) — future performance excused; **no damages** for non-performance thereafter.
- **Restitution — S. 65:** advantage received under contract-becoming-void must be **restored/compensated** (advance price, part deliveries — Ills. (b), (d)). **Para 3 compensation** only where promisor **knew/ought to have known** of impossibility unknown to promisee.

by Ankur R. Upadhyay

- **Denning's "qualifying power" rejected:** court **cannot rewrite** terms to suit new situation (HL in *Movietonews*; *Alopi* para 22) — it either holds the contract **applies** (enforce as written) or **does not apply** (void).

PART G — SS. 57-58

7. Reciprocal and alternative promises mixing legal + illegal (Ss. 57–58)

▸ S. 57 — RECIPROCAL PROMISES: LEGAL + ILLEGAL

"Where persons reciprocally promise, **firstly**, to do certain things which are **legal**, and **secondly**, under specified circumstances, to do certain other things which are **illegal**, the **first set is a contract, the second a void agreement**."
Ill.: sell house for ₹10,000 (contract) + pay ₹50,000 if used as gambling house (void).

▸ S. 58 — ALTERNATIVE PROMISE, ONE BRANCH ILLEGAL

"The **legal branch alone can be enforced**."
Ill.: pay ₹1,000 for **rice or smuggled opium** → valid for rice, void as to opium.

▸ SEVERANCE TRIO: S. 24 VS SS. 57-58

S. 24 (Topic 7): **single indivisible consideration** tainted in part → **whole void**. **Ss. 57–58**: promises **divisible into sets/ branches** → **legal part saved**. Test: can the lawful promise stand alone with its own consideration? If yes → enforce; if the price is one lump for both → S. 24 kills all.

PART H — SS. 59-61

8. Appropriation of payments — whose debt does money discharge? (Ss. 59–61)

Where a debtor owes **several distinct debts** to one creditor and pays a sum, which debt stands discharged? The Act gives a **3-tier priority** (the Indian codification of *Clayton's Case* (1816)):

Tier 1 — S. 59: DEBTOR'S choice
Express intimation or implied circumstances → creditor, **if he accepts**, must apply accordingly.
Ills.: (a) ₹1,000 on promissory-note due date → to that note; (b) ₹567 sent against demanded sum → to that debt.

↓ **if debtor silent**

Tier 2 — S. 60: CREDITOR'S discretion
Creditor may apply to **any lawful debt actually due and payable — even if time-barred**.

↓ **if neither appropriates**

Tier 3 — S. 61: LAW'S order
Order of time (oldest first), whether barred or not; if **equal standing → proportionately**.

- **S. 59 illustrations drill:** payment matching a **unique due amount/date** = implied intimation. Creditor who wants to reject the earmarking must **refuse the payment**, not accept-and-divert.
- **S. 60 scope:** "lawful debt actually due and payable" — includes **time-barred debts** (expressly!). Creditor may even apply to the **most precarious** debt. But **not** to disputed/unadjudicated claims or before due date.
- **S. 61 = Clayton's rule:** first-in-first-out; pari passu if simultaneous. Applies to running accounts (banker-customer) unless contrary agreement.
- **Exam tip:** appropriation questions are **arithmetic + tier-tracing** — identify (i) distinct debts, (ii) any intimation, (iii) creditor's election, (iv) default order. Distinguish **S. 50(b) set-off** (mutual debts settled by agreement).

PART I — SS. 62-67

9. Contracts which need not be performed: novation, rescission, alteration, remission (Ss. 62–67)

▸ S. 62 — NOVATION, RESCISSION, ALTERATION

"If the parties **agree to substitute a new contract** for it, or to **rescind or alter** it, the **original contract need not be performed**."
Ill. (a) — novation by change of debtor: A owes B; A, B, C agree B accepts **C as debtor instead of A** → A's debt ends, C's begins. *Ill. (b) —*

by Ankur R. Upadhyay

new contract: ₹10,000 debt replaced by **₹5,000 mortgage** → old extinguished. *Ill. (c) — no novation without assent:* B orders A to credit C, **C does not assent** → B still owes C; no new contract.

9.1 Novation — the 4 essentials (DU favourite)

1. **Subsistence** of an old valid contract capable of discharge.
2. **Agreement of ALL parties** (including the new party / continuing party) — Ill. (c) fails here. A bilateral deal cannot novate away a third party's rights.
3. **Substitution** — new contract (new debtor, new creditor, or new terms) in place of old. Change may be of **parties** (Ill. a) or **terms** (Ill. b).
4. **Intention to extinguish** (*animus novandi*) — old contract **dies**; no residual liability. Mere variation/supplement without extinction = **alteration**, not novation.

▸ NOVATION VS ASSIGNMENT VS ALTERATION

Novation (S. 62): old contract **extinguished**, new one born — needs **all parties' consent**; burden can pass. **Assignment:** transfer of **benefit only** (burden cannot be assigned without novation) — debtor's consent unnecessary for benefit-transfer, but assignee takes **subject to equities**. **Alteration (S. 62):** parties **vary terms** of same contract (material change needs writing/proof); original obligation survives as modified. *Easun* side-note: FEDO's purchase-order **amendments** (3-3/7-3-1973) = alteration, not novation.

▸ S. 63 — PROMISEE MAY REMIT / DISPENSE / EXTEND / ACCEPT SATISFACTION

"Every promisee may **dispense with or remit, wholly or in part**, performance … or **extend the time** … or **accept instead any satisfaction** he thinks fit." **No consideration needed** for remission (departs from English *Foakes v. Beer* / *Pinnel's Case*).
Ills.: (a) forbid painting → discharged; (b) accept ₹2,000 for ₹5,000 debt → **whole discharged**; (c) accept ₹1,000 from **C** for A's ₹5,000 → whole discharged (cf. S. 41); (d) unascertained sum → accept ₹2,000 → discharged whatever the amount; (e) composition 8 annas/rupee → payment discharges.

- **Remission needs no consideration** — but needs **promisee's assent** (express or implied from acceptance). Part-payment **accepted as full satisfaction** kills the balance — Ill. (b) is the exam one-liner.
- **Extension of time (S. 63)** interacts with **S. 55 para 3** (notice for delay damages) and **S. 135** (giving time to principal debtor **discharges surety** unless surety assents) — always cross-cite in surety problems.
- **Accord and satisfaction: accord** (agreement to accept X instead) + **satisfaction** (actual X) — Ills. (b)–(e) are all accord-and-satisfaction; **executory accord alone** (promise to accept later) does not discharge till performed.

▸ S. 64 — CONSEQUENCES OF RESCINDING A VOIDABLE CONTRACT

"When the party **at whose option** a contract is voidable **rescinds** it, the **other party need not perform**. The **rescinding party must restore**, so far as may be, any **benefit received** thereunder." (Cf. S. 75 — rightfully rescinding party also gets **compensation**.)

▸ S. 65 — ADVANTAGE UNDER VOID AGREEMENT / CONTRACT-BECOMING-VOID

"When an agreement is **discovered to be void**, or a contract **becomes void**, any person who has **received any advantage** thereunder is bound to **restore it or compensate**."
Ills.: (a) ₹1,000 for marrying dead C → **repay**; (b) 130/250 maunds retained → **pay for them**; (c) singer rescinded after 5 nights → theatre pays for **5 nights sung**; (d) ₹1,000 advance, singer ill → **refund advance**, but **no profit-loss damages**.

▸ S. 64 VS S. 65 — CLASSIC DU DISTINCTION

S. 64 = **voidable** contract **rescinded** by aggrieved party → **rescinder restores** benefits (only rescinder bound; other side merely excused + S. 75 damages). **S. 65** = **void ab initio discovered** OR **contract becoming void** (S. 56 frustration, S. 32 contingency failure) → **whoever received advantage restores** (both sides symmetrically). S. 65 **does not** apply where the agreement was **known to be void/illegal from the start** (*Kedar Nath Motani* limits; *in pari delicto*) — "discovered to be void" implies initial belief in validity. After frustration, S. 65 gives **restitution, not expectation damages** (Ill. (d)).

▸ S. 66 + S. 67 — MODE OF RESCISSION; PROMISEE'S NEGLECT

S. 66: rescission of voidable contract is **communicated/revoked** like a **proposal** (Ss. 3–6): complete against proposer on despatch, against acceptor on knowledge.
S. 67: promisee who **neglects/refuses reasonable facilities** excuses the promisor **pro tanto** (to the extent caused). *Ill.:* B won't point out repair spots → A excused for resulting non-performance. (Distinct from S. 53 **prevention** (voidable + damages) and S. 38 **refusal of tender**.)

by Ankur R. Upadhyay

DU CASE 29 THE FOUNDATION AUTHORITY ON S. 56

Satyabrata Ghose v. Mugneeram Bangur & Co., AIR 1954 SC 44 (Mukherjea J.)

S. 56 ICA · S. 32 (contingent) · S. 54 Transfer of Property Act | Question: **Did wartime requisition of development-scheme land frustrate the plot-sale contract?** | Answer: **No — temporary requisition + no time limit + war contemplated = basis not upset; contract subsists. (Appeal allowed; HC reversed.)**

Facts (DU pp. 148–150 — "for the most part uncontroverted")

- **Scheme:** Mugneeram Bangur & Co. owned a **large tract near Dhakuria Lakes, Greater Calcutta**; floated **Lake Colony Scheme No. 1** (residential development); divided land into **plots**, invited offers.
- **Business model:** agreements with purchasers taking only **small earnest** upfront; company to **construct roads and drains** to make land buildable; purchaser then called to **complete conveyance** on balance payment.
- **Contract (5-8-1940):** Bejoy Krishna Roy (defendant 2 / pro forma respondent) agreed to buy **~5 cottahs in Plot 76** (20 & 30 ft. road, Southern Block) at **₹1,000/cottah**; paid **₹101 earnest**. Receipt terms: conveyance within **one month from completion of roads** on balance payment (**time essence**; default → cancellation + **forfeiture**); tenure **Mokarari Mourashi**; payment: **one-third at registration, balance within 6 years @ 6%**.
- **Nomination/assignment (30-11-1941):** Bejoy made appellant **Satyabrata Ghose his nominee** — held by trial + first appellate courts to be really an **assignee** of Bejoy's rights.
- **Requisitions:** Collector, 24-Parganas, order **12-11-1941 under R. 79, Defence of India Rules** (portion for military purposes); **second part 20-12-1941**; **balance later** — eventually **whole scheme area** requisitioned.
- **Company's letter (Nov 1943):** considerable portion in Government possession, **no knowing how long** retained; roads/drains **impossible during war + possibly years after** → treats agreement **cancelled**; option: (a) **take back earnest within one month**, or (b) **complete conveyance within one month** on full balance, taking land **as-is**, roads/drains later "as circumstances permit" after war; silence → **deemed cancellation + forfeiture**. Bejoy passed it to Satyabrata; lawyer correspondence followed.
- **Plaintiff's stand: rejected both alternatives**; company **bound, cannot resile**.
- **Suit (18-1-1946):** two-fold declaration — (1) **contract of 5-8-1940 still subsists**; (2) plaintiff entitled to **conveyance on payment** per agreement terms.
- **Lower courts: Trial (10-10-1947): decree** — all defences overruled. **District Judge, 24-Parganas (25-2-1949): affirmed**. **High Court (Das Gupta + Lahiri JJ): reversed** — sole question frustration; held **requisition frustrated** the contract; suit dismissed. **Supreme Court (Art. 133(1)(c) certificate): appeal allowed; HC set aside; decrees below restored.**

Issues

1. Does **English frustration law** apply in India, or only **S. 56**? What is S. 56's scope?
2. Does frustration apply to **contracts for sale of land** at all?
3. On facts, did requisition **take away the basis / render performance impossible** (S. 56 para 2)?

APPELLANT (SATYABRATA) — ATTORNEY-GENERAL'S 3-FOLD CASE

- **(1)** English frustration **inapplicable** — only **S. 56** governs (statutory, exhaustive).
- **(2)** Even in England, frustration **does not apply to land-sale contracts** (English judges' own view).
- **(3)** On facts, **no frustrating event** — basis intact, performance not impossible in any sense.

RESPONDENT (COMPANY) — DEFENCES

- Requisition made a **material part** (roads/drains + delivery) **impossible** for an **indefinite/unknowable period** → contract **discharged by frustration**.
- Time factor: bargain contemplated reasonably prompt development; endless wartime delay **upsets commercial object**.
- Offered fair alternatives (refund / as-is conveyance); plaintiff's insistence keeps company bound **forever to an unperformable scheme**.

Decision (Mukherjea J. — appeal allowed)

- **Point 1 — S. 56 governs; English law persuasive only:** S. 56 (Ch. IV, performance) = **excuse-ground making contract void**. **Para 1** (initial impossibility) = same as England. **Para 2** = supervening impossibility/illegality — **general wording**; unhappy illustrations **cannot cut it down**. "Impossible" = **practical** (impracticable/useless; foundation totally upset — DU p. 151). Frustration = **special case of post-contract impossibility** (*Tamplin; Constantine; Kesari Chand; Ganga Saran*). Holdings (DU p. 152): doctrine **within S. 56**; **not confined to physical** impossibility; Act **exhaustive** — **no English import dehors statute**. English theories marched through: *Taylor; Robinson* (implied condition) → justice-exception (*Hirji Mulji; Dahl*) → Lord Wright (*Constantine; Denny Mott* — implied term **no explanation**, court-made supplement) → Denning (*Movietonews* CA — **qualifying power**) → **HL reversal** (Viscount Simon — **construction only**). Indian synthesis (DU pp. 154–155): **true agreed term → S. 32/contract itself (outside S. 56)**; **unthought-of fundamental change → court pronounces frustration = S. 56 positive law** (*Morgan v. Manser*; intention = evidence only). Express "perform despite event" clause (*Matthey v. Curling*) **negatives** frustration. Extreme contention (English frustration **wholly outside** S. 56) **rejected**.

- **Point 2 — land-sale contracts CAN be frustrated in India:** English rule (*Hillingdon Estates v. Stonefield*) rests on **equitable conversion** (buyer = equitable owner; seller = trustee for purchase money) — frustration kills **pure contract**, not accrued **estate**. India: **S. 54 TPA — agreement to sell creates NO interest** → obligations = ordinary contract → **no reason to exclude**; contention **fails**.
- **Point 3 — NO frustration on facts:** (i) Frustration = **automatic**, **not elective**; decided ***ex post facto*** (Lord Wright 1944 AC 265). (ii) Contract = **integral development scheme** (not ordinary plot sale): company to develop vast area; buyer to get **developed, buildable** land. (iii) **No time limit whatsoever** for roads/drains (Alipore DJ finding; **no understanding** either); **15 months** passed before first requisition with **no work done**. (iv) **War already on** at contracting; requisitions + material scarcity + restrictions **normal, in contemplation** — hence no deadline, left to company's convenience. (v) Requisition = **temporary** by nature (authority = **licensee**); might last through war + after, or be **withdrawn early**; work **not yet commenced** → **nothing interrupted**, only **commencement delayed**. Delay vs **non-existent deadline** cannot "upset the basis". (vi) HC relied **entirely on time factor** — but parties contemplated only a **reasonable period** given magnitude + war; requisition did not **vitally affect or strike at roots**. **Contract NOT frustrated; subsists.**

▸ PRINCIPLES EVOLVED (THE S. 56 CHARTER — QUOTE IN EVERY ANSWER)

1) Frustration ⊂ **S. 56 para 2**; S. 56 **exhaustive**; English law **persuasive only**. 2) "Impossible" = **practical/foundation** test. 3) **S. 32 vs S. 56 divide**: agreed contingency-term → S. 32; unthought fundamental change → S. 56. 4) **Automatic + *ex post facto*** dissolution. 5) Indian **land-sale agreements frustrable** (S. 54 TPA). 6) **Foreseen + no-deadline + temporary + not-yet-begun** delay ≠ frustration. 7) Court **cannot rewrite** (HL *Movietonews* preferred over Denning).

DU CASE 30 ONEROUSNESS ≠ FRUSTRATION; NO EQUITY OVERRIDE

M/s. Alopi Parshad & Sons Ltd. v. Union of India, AIR 1960 SC 588 (Shah J.)

S. 56 ICA · Quantum meruit · S. 222 (agency indemnity) | Question: **Can a supplier ignore fixed rates and claim enhanced payment because war made performance onerous?** | Answer: **No — altered/onorous ≠ impossible; no equity jurisdiction to rewrite rates; award set aside. (Appeal dismissed.)**

Facts (DU pp. 158–159)

- **Agency (3-5-1937, w.e.f. 1-10-1937):** Alopi Parshad appointed **agents of Governor-General in Council** to **purchase ghee for Army personnel**. **Cl. 12:** Government to pay **actual expenses** (ghee cost, empty tins, railway clearance, export/land-customs, octroi, terminal/local rates) + **specified charges** (establishment, contingencies, buying remuneration, mandi, financing).
- **War (Sept 1939): enormous increase** in Government ghee demand.
- **Revision by mutual consent (20-6-1942)** — nearly **3 years into war**: flat **Re. 0-14-6 per 100 lbs** (establishment/contingencies) → **graded scale** (first 5,000 tons: 0-14-6; next 5,000: 8 annas; beyond 10,000: 4 annas); **remuneration also graded**. Agents thus **knew the altered circumstances** when re-agreeing.
- **Demand (6-12-1943):** +25% buying remuneration, +20% establishment/contingencies, **+112% mandi/financing** — peace-time rates "**entirely superseded by totally altered war conditions**". **No immediate reply**; Agents **continued supplying till May 1945**.
- **Termination (17-5-1945):** Government exercised **Cl. 9 option**, ended agreement.
- **Claim (1-3-1954):** supplementary agreement of 1942 **void / not binding**; **Chief Director of Purchases** (duly authorised) gave **repeated verbal assurances** (Dec 1943 + after) that enhancements would be **favourably considered**; relying on them, Agents supplied with "**heavy extra expenditure**". Disputes → **arbitration**.
- **Award → High Court → Supreme Court:** arbitrators **ignored express rates**, awarded on **quantum meruit / S. 222 indemnity** basis; **High Court set aside** (error apparent); **Supreme Court affirmed** — appeal **dismissed with costs** (para 26).

Issues

1. Was the contract **frustrated** because war-time circumstances "entirely displaced" the 1937 conditions?
2. Can arbitrators/courts **ignore express rate covenants** and award **quantum meruit / equitable enhancement** for onerous performance?
3. Do **verbal assurances** or **S. 222 agency indemnity** sustain the extra claim?

AGENTS (MR. CHATTERJEE) — ARGUMENTS

- War **entirely displaced** 1937 circumstances; bargain made for peace **cannot bind in war** — frustration / fundamentally different situation.
- Modern English rule (Denning LJ, *Movietonews* 1951) lets courts **qualify literal terms** for uncontemplated turns — do what is **just and reasonable**.
- Government's authorised officer **assured enhancements**; Agents relied, spent heavily → estoppel/quantum meruit; **S. 222** indemnifies agents' lawful-act consequences.
- Arbitrators rightly awarded **reasonable compensation** beyond stipulated rates.

UNION OF INDIA — ARGUMENTS

- **Denied assurances** and reliance; rates were **re-fixed in war (1942)** with open eyes — no uncontemplated change thereafter.
- Contract **actually performed + paid** — performance was never **impossible or unlawful**; onerousness ≠ frustration.
- No jurisdiction to **rewrite express covenants** on vague equity; **quantum meruit excluded** where price fixed; S. 222 covers **indemnity for acts**, not **rate enhancement**.
- Award suffers **error apparent** — liable to be set aside.

Decision (Shah J. — appeal dismissed)

- **Frustration — "untrue in fact, unsupportable in law" (para 20):** revision was **June 1942, ~3 years after war began** — Agents **fully aware** of altered circumstances when agreeing graded scales. And in law, "a contract is **not frustrated merely because circumstances are altered**".
- **Performed, not impossible (para 21):** ghee **actually supplied**, stipulated remuneration **received**. "The Act does not enable a party to **ignore express covenants and claim different rates on vague plea of equity**." Lord Wright (*Constantine*) quoted: abnormal price/currency/obstacle **does not affect the bargain** — unless terms, construed in original circumstances, show parties **never agreed to be bound in the fundamentally different situation** (then it ceases to bind **by true construction**, not judicial discretion).
- **No general absolution for onerousness (para 22):** "**No general liberty** to absolve from liability merely because performance became **onerous**" — law of **India and England**. Denning's *Movietonews* view **negatived by HL (1952 AC 166)**; based on **misreading of *Parkinson v. Commissioners of Works*** (1949 — which only **implied a term capping additional work** on true interpretation, no general principle). Codified Indian law **never** permits departing from express terms while holding parties bound.
- **Quantum meruit rejected (para 23):** arbitrators **not justified** in discarding rates for quantum meruit. Rule (para 24/25): quantum meruit = **reasonable compensation on implied promise** where **price not fixed**; for work under a contract **fixing consideration**, it **cannot be awarded**; express stipulation **cannot be displaced as unreasonable**.
- **S. 222 + assurances rejected (para 24):** claim was **enhancement of agreed consideration**, not **indemnity for lawful-act consequences**. **Vague assurances**, absent **express modifying covenant**, **cannot modify** the governing contract.

▸ PRINCIPLES EVOLVED

1) **Altered/onerous ≠ frustrated**; war-known re-agreement kills the plea. 2) **No equity rewrite** of express rates; **no quantum meruit where price fixed**. 3) **Denning's qualifying power rejected in India** (HL view adopted). 4) **Vague assurances ≠ modification**; **S. 222 ≠ rate enhancement**. 5) "**Fundamentally different situation**" test stated — but **not satisfied** here (contrast *Easun*).

DU CASE 31 CANALISED-ITEM IMPOSSIBILITY; IMPLIED TERM

Punj Sons Pvt. Ltd. v. Union of India, AIR 1986 Del. 158 (R.N. Aggarwal J.)

S. 56 para 2 ICA · Implied conditional obligation · Arbitration (non-speaking award, damages) | Question: **Where tin ingots (canalised, unprocurable without Government release) are essential to a supply contract, and release is refused despite efforts, is the contract frustrated?** | Answer: **Yes — beyond promisor's control → void u/s 56 para 2; award quashed (also: no valid risk purchase + baseless damages = misconduct).**

Facts (DU pp. 162–164 — correspondence chronology matters)

- **Contract (1-5-1969):** Punj Sons (New Delhi) ↔ Union of India — supply **8,420 milk containers, 20 litres**, per **spec. IND/GS/1182** mandating **"hot dip tin coating"** with **tin ingots**.
- **Quota efforts: 13-5-1969** — request to **Director General of Supplies & Disposals (DGS&D)** for quota certificate; **2-6-1969** — request to **Director General of Technical Development (DGTD)** for release of **5 MT tin ingots**; DGS&D **recommended** to DGTD; correspondence continued — **DGTD/M.M.T.C. never released**.
- **Amendment plea (21-8-1970):** release possible only if **A/T amended** to provide for it → request amendment. **Reply (24-9-1970): no stipulation in A/T** for tin assistance; **ex gratia** consideration only with **price reduction**; without prejudice to purchaser's rights. **Rejoinder (15-10-1970):** raw-material/labour prices **up** → no reduction possible; please issue quota.
- **Cancellation (28-11-1970):** "failed to supply → **cancelled at your risk and expense**; extra repurchase cost to follow; without prejudice."

- **Risk-purchase saga:** Dec 1970 tender — petitioner's **₹65/container (lowest)** + one similar offer → **not accepted** (petitioner wouldn't drop "inconvenient terms" / furnish **10% advance security**); fresh tender — **Can Manufacturing, Bombay @ ₹70** → also **did not mature**. **1975 rate-fishing:** DGS&D circular (21-11-1975) asking 1970 rates for **IK E-0306**; single reply — **Delhi Brass & Metal Works (6-12-1975): ₹90** "for information, **without commitment**" (note: A/T item is **IK-F-0306**; no purchase/sale evidence; no actual transaction).
- **Claim (13-2-1976): ₹3,13,224 damages** → denied (24-4-1976) → arbitration (**Dr. Bakhshish Singh**, Addl. Legal Adviser) → **non-speaking award of ₹3,13,224** to UOI → **objections u/Arbitration Act** before Delhi HC.
- **Admitted facts:** UOI's reply + **Khan affidavit (9-7-1984)** admit **tin ingots not available in market**; petitioner's canalisation assertion (MMTC issue **only on UOI recommendation**) **undisputed**. UOI witness **Jaishi Ram**: **no actual loss; no repurchase**.

Issues

1. Did the contract stand **frustrated (S. 56 para 2)** for non-availability of essential canalised tin ingots **beyond promisor's control**?
2. Can a **supply/release term be implied** though the A/T is silent?
3. Was the **₹3,13,224 award** sustainable (risk purchase? evidence? misconduct)?

PETITIONER-OBJECTOR (PUNJ SONS, MR. CHANDHIOK) — ARGUMENTS

- Tin ingots **essential** (hot-dip spec); **canalised**, **unavailable openly**; procurable **only via Government release**.
- **Earnest, prompt endeavours** (May–June 1969 onward); DGS&D tried but **failed to secure release**; amendment refused → impossibility **beyond control** → **frustrated, void** (S. 56 para 2).
- **No valid risk purchase** → **no loss** (Jaishi Ram) → no damages; ₹3,13,224 **baseless** — single 1975 "information-only" letter, **wrong item code**, no transactions → **serious misconduct**.

CLAIMANT-RESPONDENT (UNION OF INDIA) — ARGUMENTS

- **No condition/stipulation/understanding** in tender/A/T to arrange **release orders/import licences**; supplier **bound to deliver in time** regardless.
- Ingots' non-availability **admitted**, but claimant **not obliged to make them available**.
- Risk-purchase tenders failed on **objector's terms/security default**; Can Mfg. ₹70 order placed but **not a valid risk purchase** → **general damages** claim legal; award valid.

Decision (Aggarwal J. — objections allowed; award quashed)

- **Crucial question = frustration (para 11). Undisputed** (para 12): hot-dip tin coating **essential**; tin ingots **canalised**; **not in open market**; MMTC issue **only on UOI recommendation**; immediate + repeated requests; DGS&D efforts **failed**; amendment **refused**.
- **Implied term (para 13):** UOI's "no stipulation" contention **rejected** — parties **knew at contracting** tin was needed and canalised → "**condition of supply of tin ingots can be implied from the nature of the contract**". Release never obtained → performance **impossible beyond promisor's control** → "**clearly hit by paragraph 2 of Section 56**".
- **Support (para 15):** *Sannidhi Gundayya v. Illoori Subbaya* AIR 1927 Mad 89 (Div. Bench) — rice + **railway wagon restrictions** (known war measure): "law does not imply absolute obligation to do what law forbids; seller agreed **if, after best endeavours, he could secure wagons**" → obligation **impliedly conditional**. Same logic here (best endeavours + canalisation).
- **Void (para 16):** contract "**become impossible ... rendered void**"; award suffers **legal infirmity**.
- **Damages misconduct (paras 17–19):** sole basis = 6-12-1975 "information-only" letter (wrong code IK E vs IK-F, **no actual transactions**, 5 years after breach) → "**serious misconduct**"; Jaishi Ram: **no actual loss, no repurchase** → award **bad, unsustainable** (para 20).

▸ PRINCIPLES EVOLVED

1) **Canalised-essential-input + known-to-both + release refused despite best efforts = S. 56 para 2 frustration**. 2) **Supply term implied from nature of contract** though A/T silent. 3) **No valid risk purchase + no loss → no damages**; hypothetical 5-year-late rate fishing = **misconduct**. 4) Government as **buyer-cum-canaliser** cannot both withhold release and demand performance/damages.

by Ankur R. Upadhyay

DU CASE 32 FORCE MAJEURE + 400% RISE; ALOPI DISTINGUISHED

Easun Engineering Co. Ltd. v. The Fertilizers & Chemicals Travancore Ltd., AIR 1991 Mad. 158 (Abdul Hadi J.)

S. 56 ICA · Force-majeure Clause 18 · S. 55 (time/liquidated damages) · Arbitration (error apparent; specific question of law) | Question: **Did a 400% war-driven transformer-oil rise under a firm-price contract with a force-majeure clause justify price variation and defeat termination?** | Answer: **Yes — "fundamentally different situation" (Alopi's own passage) + Clause 18 + condoned delay → umpire's award upheld; FEDO's set-aside petition dismissed.**

Facts (DU pp. 167–169)

- **Contract:** FEDO (FACT Engineering & Design Organisation) **purchase order 5-2-1973** (+ amendments **3-3/7-3-1973**) with EASUN — **supply + install 18 power transformers** at Cochin. Only **6 supplied** → dispute → **Umpire (2nd respondent)** via High Court order **19-9-1977** (Appl. 2785/1977 in C.S. 366/1975).
- **Claims:** EASUN — **Annexure A ₹13,07,417 + B ₹10,30,716 + C ₹3,06,000 = ₹26,44,243**. FEDO **counter-claim ₹12,33,325.75**.
- **Contract terms (award): firm price** — no escalation till complete execution/delivery; delivery to **commence 10th month, complete 14th month**; **time essence**; FEDO entitled to **liquidated damages** for delay — **except delay from "force majeure"**; FEDO may **terminate + reassign** if EASUN fails to conform to fabrication schedule **without sufficient cause**.
- **Termination (3-9 / 18-9-1975):** FEDO ends contract. EASUN: **unilateral, unjustified**; obligations discharged; FEDO in breach → damages. FEDO: EASUN **breached schedule**; termination the **only alternative** → counter-damages.
- **Schedule vs actual:** delivery due **commence 19-10-1973, complete 19-2-1974**; erection/commissioning by **19-6-1974**. Actual: 6 units **14-6-1974 → 17-3-1975** (value **~₹17 lakh ≈ two-thirds** of total); **12 unsupplied** (4 tested July/Sept 1974).
- **EASUN's force-majeure plea:** prevented by **strikes, power cuts, phenomenal transformer-oil rise (war etc.)**. **Extensions granted till 31-3-1975** on repeated requests → umpire: FEDO **cannot rely on pre-31-3-1975 delay**. **Oil +400%** (Middle-East war + **GOI excise ordinance**) — documentary + oral evidence. **Liquidated damages never claimed** in counter-claim; written statement **silent on why** → umpire infers **force majeure + condonation**.
- **Clause 18 (quoted verbatim):** "Neither supplier nor FEDO in **default** so long as performance is **prevented or delayed because of** strikes, war, hostilities, revolution, civil commotion, epidemics, accidents, fire, wind, flood, **law/proclamation/regulation/ordinance**, Act of God, or **any other cause beyond the control** of parties affected."

Issues

1. Is a **400% war-driven oil rise** a **force-majeure condition** under Clause 18 though it **raised cost** rather than literally "preventing/delaying"?
2. Does *Alopi Parshad* (firm price + war rise → no relief) **bar** price variation here?
3. Was FEDO's **termination** justified, given **extensions + no liquidated-damages claim**?
4. Is the award vitiated by **error of law apparent**? Was a **specific question of law** referred (*Tarapore v. Cochin Shipyard* AIR 1984 SC 1072)?

FEDO (PETITIONER, OP 72/1980) — ATTACK ON AWARD

- Contract is **firm price** — umpire's price variation = **error apparent**. *Alopi*: war-driven abnormal rise → **no equitable enhancement**; express rates govern.
- Clause 18 covers only **prevented or delayed** performance — cost rise **neither prevented nor delayed** supply → **outside force majeure**.
- EASUN **defaulted on schedule** → termination + counter-claim justified. No **specific question of law** was referred, so **incidental legal error is correctable**.

EASUN (AWARD-HOLDER) — DEFENCE

- 400% rise was **unexpected, unforeseen, beyond control** (war + excise ordinance) → **deemed force majeure**; umpire rightly allowed **variation for oil**.
- *Alopi* itself contains the **"fundamentally different situation"** passage — **applies here**; *Alopi*'s actual denial rested on **vague equity plea** on its facts.
- Delay **extended/condoned** (till 31-3-1975); FEDO claimed **no liquidated damages** → termination **unjustified**; FEDO in breach.
- *Tarapore*: **specific question of law** referred → even erroneous decision **uncorrectable**.

Decision (Abdul Hadi J. — OP 72/1980 dismissed; decree in terms of award + 12% interest)

- **Umpire's award (12-4-1979, DU p. 169):** rise **not marginal but 400%**, war-caused → **force-majeure condition**; EASUN **did not fail without sufficient cause**; FEDO's termination **unjustified**. **Annexure B disallowed**. **Annexure A allowed:** ₹3,68,120 (IEMA-formula variation for 6 delivered, non-oil) + ₹2,36,584 (oil rise on 6) + ₹1,56,210 (10% retention) + **12% from 13-11-1976**. **Annexure C allowed: ₹1,91,000** (non-transformer supplies + engineer wages + 100% overheads) + 12%. FEDO's counter-claim **disallowed** (breach by FEDO); FEDO gets only **₹26,961** (facilities/services) + 12% from 19-1-1977.
- ***Alopi* applied, not just distinguished (DU p. 170):** FEDO relied on *Alopi*'s "no vague equity" line — Court answers with *Alopi*'s **own second passage**: "never agreed to be bound in a **fundamentally different situation** … contract **ceases to bind … on true construction**." Here the rise is **not normal trade fluctuation** but **very much abnormal (400%,**

unexpected war) → fundamentally different situation **unexpectedly emerged** → contract ceases to bind at that point. *Alopi*'s denial turned on its **facts (vague equity plea)**.

- **S. 56 "impossible" (DU pp. 170–171):** *Satyabrata* para 9 quoted (impracticable/useless; foundation totally upset) + *Tamplin* + *Sushila Devi* AIR 1971 SC 1756 + *Govind Bhai* AIR 1977 SC 1019 → abnormal war rise = **untoward change totally upsetting foundation** → EASUN "**finding itself impossible** to supply". **No error apparent.**
- **Clause 18 construction:** umpire treated 400% war/ordinance-driven rise as within "war … ordinance … **any other cause beyond control**" — upheld (cost-explosion so extreme it **prevented** conforming to schedule **with sufficient cause**).
- **Termination:** extensions till 31-3-1975 + **no liquidated-damages claim/pleading** → pre-cutoff delay **condoned** (S. 55 para 3 / S. 63 logic) → termination for that delay **unjustified**; FEDO in breach.
- **Arbitration law point:** *Tarapore* (specific pure question of law referred → error uncorrectable) **distinguished** — here the reference was **whether termination was justified + whether EASUN's claim lay**; law decided only **incidentally** → **error apparent correctable** — but **none found**.

▸ PRINCIPLES EVOLVED + CRITICAL NOTE (WRITE BOTH FOR FULL MARKS)

Holding: abnormal (400%) war-driven rise + wide force-majeure clause + condoned delay → **variation justified; termination unjustified; Alopi's "fundamentally different situation" passage applied**. **Critical note:** *Easun* is a **Single-Judge High Court** decision stretching *Alopi* (SC) — orthodox position remains "**price rise, however abnormal, ≠ frustration**" unless it **destroys the foundation** on facts + contract language permits. DU model answers: **apply Easun where (i) force-majeure clause exists, (ii) rise is extreme + war/statutory, (iii) delay condoned; otherwise apply Alopi**.

PART N — MASTER DIAGRAMS

10. Master flowcharts & comparison tables

Chart 1 — S. 56 frustration audit (use for every problem)

Contract valid at formation? (if initially impossible → **void ab initio, para 1**)

↓

Did a **post-contract event** occur making performance **impossible or unlawful** (para 2)?

↓ yes

Was the event **beyond promisor's control / not self-induced**, and **not provided for** by express term (→ S. 32, not S. 56)?

↓ yes

Does it **totally upset the foundation** (impracticable/useless purpose) — not mere **onerousness/price rise**?

NO (Alopi: performed, onerous, foreseen) → **contract STANDS**; enforce as written; no equity rewrite

YES (Punj: canalised essential; Satyabrata-test met) → **VOID automatically**; *ex post facto*; **S. 65 restitution** (no expectation damages)

Chart 2 — The four DU cases on one spectrum

Satyabrata '54 (SC)
temporary requisition + no deadline + war foreseen → **NO frustration**
charter: S.56 exhaustive; practical impossibility; S.32/S.56 divide

Alopi '60 (SC)
war price explosion, performed + paid → **NO frustration**
onerous ≠ impossible; no equity/quantum-meruit rewrite

Punj '86 (Del)
canalised essential input, release refused → **FRUSTRATED**
implied conditional term; beyond control

Easun '91 (Mad)
400% war rise + Clause 18 + condoned delay → **RELIEF**
fundamentally different situation; single-Judge stretch

by Ankur R. Upadhyay

Chart 3 — Discharge by agreement (Ss. 62–63) vs by promisee's conduct

S. 62 NOVATION	S. 63 REMISSION	S. 55+63 EXTENSION
all parties + new contract + extinction intent Ill. (a)(b) yes; (c) no (C silent)	promisee alone; **no consideration** accept ₹2,000 for ₹5,000 → whole gone	extends time; **give notice** to keep delay damages

Chart 4 — S. 64 vs S. 65 vs S. 73 (consequences grid)

Situation	Restore advantage?	Damages?
S. 64 — voidable contract rescinded	**Rescinder** restores benefits received	Rescinder gets **compensation** (S. 75) for breach-loss
S. 65 — void discovered / contract becomes void (S. 56, S. 32)	**Whoever received** restores/ compensates	**No** expectation damages (Ill. (d): refund advance only)
S. 56 para 3 — known impossibility	—	**Promisor compensates** promisee's loss (knew/ ought to have known)

Chart 5 — Frustration jurisprudence timeline

1647–1871 · English roots — *Paradine v. Jane* (absolute) → *Taylor v. Caldwell* (implied condition) → *Robinson v. Davison* (conditional).
1872 · Codification — S. 56 (3 paras) + S. 32 (contingent) + Ss. 62–65 (agreement/restitution).
1916–1952 · English refinement — *Tamplin* (impracticable) → *Constantine* (special case) → *Denny Mott* (implied term rejected) → *Movietonews* CA (Denning qualifying power) → **HL reversal** (construction only).
1954 · Satyabrata (SC) — S. 56 charter: exhaustive, practical impossibility, S.32/S.56 divide, automatic; land-sale frustrable; no frustration on facts.
1960 · Alopi (SC) — onerousness ≠ frustration; no equity/quantum-meruit rewrite; fundamentally-different-situation test stated but not met.
1971–77 · Lease line — *Sushila Devi; Govind Bhai*: executed leases generally survive (estate transferred).
1986 · Punj (Del) — canalised essential input + implied term → frustrated.
1991 · Easun (Mad) — 400% war rise + Clause 18 → Alopi's passage applied to grant relief; termination unjustified.

EXAMINATION QUESTION BANK // DU LL.B.

Previous Year Examination Questions (PYQs)

Q.01 Essay (15 marks) · S. 56 + Case 29 Discuss the doctrine of frustration under Section 56 of the Indian Contract Act with reference to *Satyabrata Ghose v. Mugneeram Bangur*.

◈ Refer website for detailed notes — makelaweasy.in ↗

Q.02 Essay (15 marks) · S. 56 + Case 30 "A contract is not frustrated merely because performance has become onerous." Discuss with reference to *Alopi Parshad v. Union of India*.

Q.03 Problem (10 marks) · S. 56 + Case 31 P contracts to supply milk cans requiring "hot dip tin coating". Tin ingots are canalised and unavailable openly; P promptly seeks Government release but the quota is refused. The buyer cancels at P's risk and claims damages. Advise P.

Q.04 Problem (10 marks) · S. 56 + Case 32 E agrees to supply transformers at firm price with a force-majeure clause covering "war ... ordinance ... any cause beyond control". War + excise hikes raise oil prices 400%. The buyer extends delivery, claims no liquidated damages, then terminates for delay. E claims price variation. Decide.

Q.05 Essay (15 marks) · Ss. 62-63 Explain novation, rescission and alteration under Section 62 and remission under Section 63. Distinguish novation from assignment.

Q.06 Distinction (10 marks) · Ss. 64-65 Distinguish between Sections 64 and 65 of the Contract Act. Can damages be claimed under Section 65?

Q.07 Problems (10 marks) · Ss. 38-39, 55 (a) S offers goods to B after shop hours with no inspection allowed; B refuses. (b) A singer misses one show; the manager lets her perform the next night, then ends the contract. (c) A land-sale deed says "time is essence" but the seller accepts late instalments twice. Advise.

Q.08 Problems (10 marks) · Ss. 42-44, 59-61 (a) A, B, C jointly owe D ₹30,000. D sues only A for the whole; A pays and B is insolvent. (b) X owes Y three loans (2019, 2021, 2023) and pays ₹10,000 saying nothing; Y says nothing. Which debt is discharged?

MODULE 09 // DU LL.B. PAPER LB-102 DU Cases 33-39 · 8 Exam PYQs

Remedies for Breach of Contract — Remoteness, Measure, Liquidated Damages & Penalty

PART A — THE LANDSCAPE

Remedies for breach — the master map

Breach of contract is the **failure, without lawful excuse, to perform** a contractual obligation (including anticipatory breach, S. 39). The victim (aggrieved party) is not helpless — the law gives a **menu of remedies**, of which **damages under Ss. 73–75 ICA** is the primary and default remedy. This Topic covers damages in depth; the other remedies are mapped here so you can place damages in context.

1. Contract broken
(actual or anticipatory breach, S. 39) → **2. Victim elects remedy**
(may combine compatible ones) →

3. Court grants relief
to protect expectation + reliance

Remedy	What it gives	Governing law	When available
(1) Damages / compensation	Money putting the victim (as far as money can) in the position performance would have: **expectation loss** + foreseeable consequential loss.	**Ss. 73–75 ICA** (this Topic)	**Always available as of right** on proof of breach + loss. The default remedy.
(2) Rescission + damages	Victim puts an end to the contract and claims compensation for non-fulfilment (S. 75); must restore benefits (S. 64/65).	Ss. 39, 64, 65, 75 ICA	On breach going to the root / anticipatory breach accepted.
(3) Specific performance	Court orders the promisor to **actually perform** (e.g. convey the land).	Specific Relief Act, 1963	Discretionary; classically where damages inadequate (land, unique goods).
(4) Injunction	Court orders the promisor **not to breach** a negative stipulation (e.g. not to sing elsewhere).	Specific Relief Act, 1963	Negative covenants; balance of convenience.
(5) Quantum meruit	Payment for **work already done / benefit conferred** under a contract that is discharged or void.	Ss. 65, 70 ICA (quasi-contract)	Part performance accepted; contract void/discovered void.
(6) Restitution	Return of **money/property paid** under the contract (e.g. advance, deposit refund — Maula Bux).	Ss. 64, 65, 72 ICA	On rescission/voidness; subject to S. 74 set-off of reasonable compensation.

Exam anchor: DU questions on this Topic almost always test **S. 73 (remoteness/measure)** or **S. 74 (penalty/earnest)**. Open every answer by stating the governing section verbatim, then apply its elements one by one to the facts, then cite the matching DU case (Hadley / Jamal / Karsandas for S. 73; Maula Bux / Hanuman for S. 74; Ghaziabad for interest & mental agony).

Terminology: ICA uses **"compensation"**, not "damages" — in answers use "compensation/damages" interchangeably but quote the section's word "compensation". **Liquidated damages** = sum fixed in advance by parties; **unliquidated** = assessed by court (Ghaziabad, para 5).

PART B — THE COMPENSATION SECTION

S. 73 — Compensation for loss or damage caused by breach

S. 73, ICA (verbatim core). "When a contract has been broken, the party who suffers by such breach is entitled to receive, from the party who has broken the contract, compensation for **any loss or damage caused to him thereby, which naturally arose in the usual course of things from such breach, or which the parties knew, when they made the contract, to be likely to result from the breach of it.**"

"Such compensation is **not to be given for any remote and indirect loss or damage** sustained by reason of the breach."

Second para (quasi-contract): failure to discharge an obligation "resembling those created by contract" (Ss. 68–72) attracts the same compensation as breach.

Explanation (mitigation): "In estimating the loss or damage arising from a breach of contract, **the means which existed of remedying the inconvenience** caused by the non-performance of the contract **must be taken into account.**"

Elements the plaintiff must establish (checklist for answers)

1. Contract broken
by defendant (actual/anticipatory)

→

2. Plaintiff suffered
loss/damage *caused thereby* (causation)

→

3. Loss is recoverable
Limb 1 (natural) OR Limb 2 (contemplated)

→

4. Not remote
remote/indirect loss excluded

→

5. Mitigation adjusted
Explanation: deduct avoidable loss

The two limbs of S. 73 (= Hadley's two rules)

Limb	Test	Knowledge needed	DU illustration / case
Limb 1 — "naturally arose in the usual course of things"	Objective: would this loss **ordinarily** follow such a breach, in the great multitude of cases? (Hadley: "in all probability".)	**None special** — deemed knowledge of ordinary consequences.	Ill. (a) saltpetre: contract–market difference. Ill. (l) builder (rent + rebuild). **Hadley** (Limb 1 failed on facts).
Limb 2 — "parties knew … likely to result"	Subjective: did **both parties know at the time of contracting** that this loss was a likely result of breach?	**Special circumstances communicated** to the defendant **when the contract was made**. Belated knowledge useless (Karsandas).	Ill. (j) (C told of B-contract → Rs 20,000 profit); Ill. (l) (A informed of B–C letting). **Karsandas** (Limb 2 failed — no disclosure in July 1952).

▸ **Two classic exam traps:** (1) Knowledge must exist **"when they made the contract"** — information given *after* contracting (Karsandas: October despatch instructions) cannot fix liability for special loss. (2) **Ordinary vs special loss:** a plaintiff who suffers an extraordinary loss without having disclosed the special facts recovers only ordinary (often nil) damages — Hadley recovered nothing beyond the £25 in court; Karsandas recovered nothing at all.

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S. 73 illustrations (a)–(r) — grouped for memory

Group + rule	Illustrations	Takeaway
Sale-of-goods market rule	(a) saltpetre; (c) rice repudiation; (d) ship; (e) jute carrier delay; (g) ship hire; (h) iron refused; (o) saltpetre re-sale profit ignored	Measure = **contract price vs market price at date of breach/due date**. A sub-sale at extra profit the defendant did not know of is ignored (o) — Limb 2 needs communication.
Mitigation (Explanation)	(b) chartered ship — A must use available substitute conveyance, recovers only trouble/expense	Plaintiff must take reasonable available steps; only **unavoidable** loss recoverable. See Jamal + Part D.
Defective performance	(f) house repairs not to contract → cost of making conform	Cost of cure is the natural loss.
Communication decides	(i) carrier told mill stopped → mill profits yes, Govt contract no; (j) C told of B-contract → lost profit yes; (k) machinery + undisclosed third-party contract → substitute difference yes, third-party compensation no; (l) builder informed of letting → rent + compensation yes; (m) warranty chain → indemnity yes	**(k) is the Karsandas situation verbatim** (SC said so); (j)/(l) show Limb 2 working when disclosure made; (i) shows even communicated plaintiffs can't recover *uncommunicated sub-parts* (Govt contract).
Too remote — barred	(n) late money → ruin: only principal + interest; (p) mill closed, defendant knew nothing of business; (q) late cloth for seasonal caps: price difference yes, lost cap profits + prep expenses no; (r) late ship: deposit + detention + extra fare yes, Sydney lost sum no	Conventional rule for money (n → Ghaziabad interest); no liability for claimant's undisclosed business model (p)/(q).

How to use illustrations in answers: DU examiners love "as in Illustration (k) to S. 73". Memorise: **(b)=mitigation, (i)=Hadley-with-notice, (j)=disclosure works, (k)=Karsandas, (l)=full disclosure, (n)=money rule, (o)=unknown sub-sale ignored, (q)=seasonal profits too remote.**

PART C — REMOTENESS

Remoteness of damages — the Hadley rule inside S. 73

Remoteness = the legal filter deciding **which losses are too distant** from the breach to be compensated. S. 73's last line ("not … for any remote and indirect loss") codifies the rule laid down by Alderson B in **Hadley v Baxendale (1854)** — DU Case 33. The Privy Council in **Jamal** holds S. 73 "but declaratory" of this common-law right to damages.

Alderson B's rule (memorise): damages "should be such as may fairly and reasonably be considered as **either arising naturally, i.e., according to the usual course of things**, from such breach of contract itself, **or such as may reasonably be supposed to have been in the contemplation of both parties at the time they made the contract** as the probable result of the breach of it." — **Rationale:** "had the special circumstances been known, the parties might have specially provided for the breach … and of this advantage it would be very unjust to deprive them."

Q1: Natural loss?
Arises in usual course? → Recoverable (Limb 1)

→

Q2: If special loss:
Were special facts communicated & known to BOTH parties **at contracting**?

→

Yes → recoverable
(Limb 2; Ill. j, l)

+

No → too remote
Excluded (Hadley; Karsandas; Ill. k, p, q)

by Ankur R. Upadhyay

Refinements from the DU cases

Refinement	Authority in DU material	Exam use
Only communicated facts count — carrier knew merely "broken mill shaft + plaintiffs are millers"; consistent with spare shaft / other defects, so mill-stoppage profits not contemplated.	Hadley (Alderson B's counterfactuals)	Apply to any "carrier/delay" problem: list what defendant actually knew at contracting.
Time of knowledge = time of contract. October 1952 hint of export requirement was "belated"; liability depends on July 1952 knowledge. Plaint's vague "to the knowledge of defendant" + "very fancy price" letter = too slender.	Karsandas, paras 9–12	Kill Limb 2 wherever disclosure came after formation or was vague.
Contemplation = parties', not defendant's foresight of every consequence. Ill. (i): carrier told mill stopped → mill profits recoverable, but undisclosed Government contract still remote.	Ill. (i); Hadley "both parties"	Even with partial notice, uncommunicated sub-contracts stay remote.
Conventional rules (money/land) sit inside the same rule — both parties presumed to contemplate the conventional measure.	Hadley (money/title exceptions absorbed)	Links to Ill. (n) and Ghaziabad on interest.
Sub-sale profits unknown to defendant ignored; market price at breach date governs.	Ill. (o); Jamal (market price at 30 Dec 1911 conclusive)	Bridge to Part D (measure).

S. 73 second limb vs Hadley second limb: wording differs slightly ("knew … likely to result" vs "contemplation … probable result") but Indian courts treat them as identical — Karsandas applies S. 73 using Hadley reasoning, and Jamal treats Rodocanachi/Williams v Agius as good law for S. 73.

PART D — QUANTIFICATION

Measure of damages — date of breach, market rule & mitigation

1. The assessment date: market value at the date of breach

For sale of goods/securities the measure is **contract price minus market price at the date of breach** (Ills. (a), (c), (d), (e), (g)). **Jamal** makes the date conclusive: loss = Rs 1,84,125-10 (contract) minus Rs 74,906-4 (23,500 shares @ 4s 3d on **30 December 1911**) = Rs 1,09,218-12 — **even though the seller later re-sold higher** in a rising market.

> **Lord Wrenbury (Jamal):** "If the seller holds on to the shares after the breach, **the speculation as to the way the market will subsequently go is the speculation of the seller, not of the buyer** … the seller cannot recover from the buyer the loss below the market price at the date of the breach if the market falls, **nor is he liable to the purchaser for the profit if the market rises.**"

Breach date fixed
(30 Dec 1911: tender + refusal) → **Market price taken THEN**
(4s 3d; Rodocanachi / Williams v Agius) →

Later sales irrelevant
(seller's own speculation) → **Buyer can't have it both ways**
(benefit of rises requires burden of falls — "impossible")

2. Mitigation — the duty to take reasonable steps (S. 73 Explanation)

"Undoubted law that a plaintiff who sues for damages **owes the duty of taking all reasonable steps to mitigate the loss** ... and cannot claim ... any sum which is due to his own neglect" (Jamal) — but "the loss to be ascertained is **the loss at the date of the breach**":

Mitigation principle	Authority	Meaning in practice
Mitigate at/around breach; defendant gets benefit of it	Ill. (b) (use substitute ship); Staniforth v Lyall (cited in Jamal)	Plaintiff must act reasonably (cover purchase/ sale); proven mitigation reduces damages.
No duty to bet on post-breach market for defendant's benefit	Jamal (later re-sales at higher prices ignored)	Mitigation is judged at breach date; later windfalls/ losses are plaintiff's own.
Collateral benefits don't reduce damages	Yates v Whyte; Bradburn v GWR; Jebsen (all cited in Jamal)	Benefit of an *independent* contract/insurance the plaintiff happens to hold is not credited to the defendant.
Optional resale clause ≠ election	Jamal (auction-sale clause; 30 Dec/2 Jan letters not an election; no auction ever held)	A contractual *option* to liquidate damages by resale, if not exercised, leaves the general market-price measure intact.

3. Special measures to quote

Situation	Measure	Source
Buyer refuses goods	Contract price minus market price at breach (Ills. c, d, h).	S. 73 ills.; Karsandas (nil where controlled prices equal)
Seller fails to deliver	Market price at due date minus contract price (Ills. a, e); vendor of land: market value at completion minus price.	S. 73 ills.; Ghaziabad para 6 (Chitty)
Delay in land conveyance	Value of use for delay period, usually **rental value**.	Ghaziabad para 6
Breach to pay money	Principal + interest only — ruin/consequential collapse too remote.	Ill. (n); Ghaziabad (interest)
Defective performance	Cost of making performance conform (Ill. f); builder: rebuild + lost rent + third-party compensation where disclosed (Ill. l).	S. 73 ills. (f), (l)

▸ **Karsandas nil-damages logic (very examinable):** contract Rs 100/ton (≈ Rs 70 controlled price + Rs 30 incidentals); controlled price identical in July 1952 and Jan 1953 → plaintiff could have covered at the same price → **natural loss = nil**, and special (export) loss unrecoverable for want of Limb-2 knowledge → suit dismissed though breach proved. **Breach without recoverable loss = no compensation.**

PART E — THE PENALTY SECTION

S. 74 — Compensation where penalty stipulated (most litigated)

S. 74, ICA (subs. Act 6 of 1899 — quote first para verbatim): "When a contract has been broken, **if a sum is named in the contract as the amount to be paid in case of such breach, or if the contract contains any other stipulation by way of penalty**, the party complaining of the breach is entitled, **whether or not actual damage or loss is proved** to have been caused thereby, **to receive from the party who has broken the contract reasonable compensation not exceeding the amount so named** or, as the case may be, **the penalty stipulated for.**"

Explanation: "A stipulation for **increased interest from the date of default** may be a stipulation by way of penalty."

Exception (public bonds): bail-bonds, recognizances, bonds for public duties → **whole sum** payable. **Explanation:** a contract *with Government* does not *necessarily* undertake a public duty (so Maula Bux's Govt supply contracts stayed under the main section).

Illustrations: (a) Rs 1,000 for default on Rs 500 → reasonable compensation ≤ Rs 1,000; (b) surgeon-in-Calcutta Rs 5,000 → reasonable ≤ Rs 5,000; (c) recognizance Rs 500 → whole penalty (Exception); (d) 12% jumping to **75%** on default → penalty; (e) 10 maunds → **20 maunds** on default → penalty; (f) loan instalments: whole becomes due on one default → **NOT penalty**, enforceable; (g) Rs 100 loan bonded as Rs 200 payable in instalments, whole due on default → penalty.

The Fateh Chand v Balkishan Dass (1964) 1 SCR 515 doctrine (via Maula Bux & Hanuman)

S. 74 deals with **two classes**: (i) sum named to be paid on breach; (ii) **"any other stipulation by way of penalty"** — which **"comprehensively applies to every covenant involving a penalty**, whether it is for payment on breach ... of money or delivery of property in future, **or for forfeiture of right to money or other property already delivered**." Consequences:

Fateh Chand rule	Effect
S. 74 covers forfeiture of amounts already paid, not just sums to be received — old HC view (Natesa Aiyer; Singer Mfg; Manian Pattar) overruled.	Security deposits, advances, instalments forfeited on breach all fall under S. 74 (Maula Bux).
Duty statutorily imposed on courts: never enforce the penalty — award only reasonable compensation ≤ named sum/penalty.	Court must assess reasonableness; cannot award the whole sum mechanically (Maula Bux: HC's Rs 18,500 award set aside).
Applies whoever sues — jurisdiction doesn't turn on "the accidental circumstance of the party in default being plaintiff or defendant."	Defaulter suing for refund (Maula Bux, Hanuman) equally gets S. 74 protection.
Genuine earnest money is outside S. 74 (Fateh Chand: Rs 1,000 earnest forfeited; Rs 24,000 balance judged under S. 74).	Characterisation (earnest vs security/part-payment) decides everything — see Part F.

"Whether or not actual damage or loss is proved" — the Maula Bux clarification

> **Shah Ag. CJ (Maula Bux, para 8):** the phrase "is intended to cover different classes of contracts ... **In case of breach of some contracts it may be impossible for the Court to assess compensation** arising from breach, while in other cases compensation can be calculated in accordance with established rules. **Where the Court is unable to assess the compensation, the sum named** by the parties **if it be regarded as a genuine pre-estimate may be taken** into consideration as the measure of reasonable compensation, **but not if the sum named is in the nature of a penalty. Where loss in terms of money can be determined, the party claiming compensation must prove the loss suffered by him."**

Can money loss be determined?
(e.g. cover purchases at market rates)

→ **YES → must PROVE loss**
No evidence = no retention (Maula Bux: Gov proved nothing → refund Rs 18,500)

/

NO (impossible to assess) → genuine pre-estimate may be taken
as reasonable compensation — unless it's a penalty

Liquidated damages vs penalty — working test

Indicator	Genuine pre-estimate (liquidated damages) ✓	Penalty ✗
Relation to likely loss	Rough, honest forecast of probable loss at contracting (e.g. Ill. b — surgeon clause; delay per-day charges tied to rent).	Extravagant/unconscionable vs conceivable loss; terrorising sum to coerce performance (Ills. a, d, e, g).
Single lump sum for varied breaches	—	Same huge sum for trivial or grave breaches suggests penalty.
Legal result under S. 74	Still only a **cap** — court awards **reasonable compensation ≤ sum**; where assessment impossible, the sum may be taken as the measure (Maula Bux).	Never enforced; court awards only proved/ reasonable compensation (Maula Bux).
Name given by parties	Not conclusive — court looks at substance ("penalty" / "liquidated damages" labels don't decide).	

BY ANKUR R. UPADHYAY

Model S. 74 answer skeleton: (1) Quote S. 74 + identify class (i) sum named / class (ii) penalty stipulation incl. forfeiture (Fateh Chand). (2) Characterise the amount — earnest (outside S. 74, Part F) or security/advance (inside). (3) Apply Maula Bux proof rule: loss determinable? → evidence needed; impossible? → genuine pre-estimate may be taken. (4) Conclude: reasonable compensation ≤ cap; excess refunded (with interest — Maula Bux 3%).

PART F — CHARACTERISATION BATTLE

Earnest money vs security deposit vs part-payment

Everything turns on **character**: reasonable earnest forfeited on the vendee's default is **outside S. 74** (Hanuman; Fateh Chand); a **security deposit or advance/part-payment** forfeited on breach is **inside S. 74** and only reasonable compensation can be retained (Maula Bux).

Classic definitions: Earl Jowitt — earnest is "a nominal sum (e.g. a shilling) as a token that the parties are in earnest." **Chiranjit Singh v Har Swarup, AIR 1926 PC 1:** "Earnest-money is **part of the purchase price when the transaction goes forward: it is forfeited when the transaction falls through by reason of the fault or failure of the vendee.**"

The Hanuman Cotton five principles of earnest (para 21, Vaidialingam J.) — memorise

#	Principle	Applied in Hanuman
1	Earnest is paid **at the time of the contract** as a pledge/ guarantee that the contract will be fulfilled.	Rs 2,50,000 = exactly **25% under cl. 9**, expressly "as earnest money", **no interest**, "adjusted in the final bills"; **cl. 10(b)** gives "unconditional" forfeiture on default + cancellation + resale rights. Held: **entirely earnest → forfeiture lawful → suit dismissed with costs.** "Balance payable that day itself" language couldn't override express cls. 9–10 (Chiranjit Singh analogy: Rs 20,000 of Rs 1,65,000 treated as earnest).
2	It represents a **guarantee for due performance** — primarily a security for performance.	
3	It is **part of the purchase price when the transaction is carried out** (adjusted against price).	
4	It is **forfeited when the transaction falls through by default/failure of the purchaser**.	
5	**Unless contrary terms**, the seller is entitled to forfeit on buyer's default (no need to prove loss).	

Three-way comparison (Maula Bux + Hanuman + Fateh Chand)

Feature	Earnest money ✓ forfeitable	Security deposit (S. 74)	Part-payment / advance (S. 74)
Paid by / purpose	Purchaser, as **token of earnestness** + performance guarantee (Hanuman cl. 9).	Contractor, as **guarantee of due performance**, liable to forfeiture on default (Maula Bux cl. 8).	Purchaser, as **instalment of price** (Fateh Chand Rs 24,000; Hanuman's failed contention).
Link to price	Becomes part of price **only if transaction goes through**.	Independent of price; held as security.	Price paid early, always adjustable.
Amount	Traditionally **nominal/ reasonable** (Maula Bux; Fateh Rs 1,000). Hanuman: 25% upheld **because reasonableness was never pleaded/proved** — SC expressly reserved the point (paras 29, 31).	Any amount; retention capped at **reasonable compensation** (S. 74).	

by Ankur R. Upadhyay

Feature	Earnest money ✓ forfeitable	Security deposit (S. 74)	Part-payment / advance (S. 74)
On buyer's default	**Forfeited without proof of loss** (unless penalty/unreasonable — plead + prove).	**Only reasonable compensation retainable**; balance refunded (Maula Bux: Rs 18,500 + 3%).	
Pleading burden	Challenger must **plead + lead evidence** of unreasonableness/ penalty (Hanuman paras 28–29: appellants led no evidence → contention failed).	Claimant must **prove loss** where determinable (Maula Bux para 8).	

Step 1: Read the contract
What does the clause CALL it + DO with it?

→

Step 2: Earnest?
Token at formation + adjustable only on completion + forfeiture on default?

→

Yes → outside S. 74
Forfeit (if reasonable; challenger proves otherwise)

/

No → S. 74
Retain only reasonable compensation; refund rest

▸ **Maula Bux trap:** the HC called the contractor's deposits "earnest money" — the SC rejected this: a contractor's **performance security is not a purchaser's earnest**. And a sum "genuine pre-estimate" in name still needs **proof of loss** where loss is determinable — judicial notice of "1947–48 rising prices" couldn't substitute for evidence of cover rates.

PART G — S. 75, INTEREST, FEELINGS

S. 75, interest on refunds & mental agony

S. 75: "A person who **rightfully rescinds** a contract is entitled to compensation for any damage which he has sustained **through the non-fulfilment** of the contract." **Illustration:** singer absent on 6th night → manager rescinds → compensation for non-fulfilment. — Links rescission (Ss. 39, 64–65: restore benefits) with damages.

Ghaziabad Development Authority v UOI, AIR 2000 SC 2003 — three holdings

Question	Holding (Lahoti J.)	Reasoning to quote
(i) Mental agony compensation?	**NO — Rs 50,000 award set aside.**	Settled contract law: "Normally, **no damages in contract for injury to feelings, mental distress, anguish, annoyance, loss of reputation**" — exception only for contracts **to provide peace of mind / freedom from distress**, or contemplated nervous shock/breakdown. Ordinary commercial/plot-allotment contracts excluded ("wrongfully dismissed employee" analogy).
(ii) Interest with no contract clause?	**YES — in equity.**	Sovintorg (1999): S. 34 CPC not directly applicable but "based upon **justice, equity and good conscience**" authorises fora to grant interest; "interest may also be awarded **in lieu of compensation or damages**." The brochure's **no-interest clause applies only where the claimant itself caused the refund** — here the Authority was at fault.
(iii) Rate?	**12% p.a.** (18% → reduced; Sovintorg's 15% distinguished — winding-up there).	"Neither too high nor too low"; no evidence led on ideal rate; 12% just and proper.

Supporting principles (Ghaziabad paras 5–6, 8)

- **Brochure = invitation to offer**; application = offer; acceptance per priority rules = contract. Performance/breach then governed by **Contract Act + Specific Relief Act**.
- **Object of damages:** "to put the aggrieved party monetarily in the same position … as if the contract would have been performed" + **remoteness filter** (contemplation at contracting).
- **Land contracts:** vendor in breach → market value at completion minus price; purchaser's special-use profit only with actual/ imputed knowledge; **delay → rental value**.

- **Lucknow DA v M.K. Gupta (Rs 10,000 mental harassment) distinguished:** liability fixed under **administrative law** (malafide/capricious exercise of power, recovery from officers' salary) — not contract law; no such pleading/finding here.

Link to III. (n), S. 73: late money → principal + interest only. Ghaziabad extends this to statutory-forum refunds: interest (12%) substitutes for unprovable damages. Also note the Article 14 point: HC held the one-sided no-interest term "unconscionable and arbitrary" — useful in unconscionability answers.

DU CASE 33 THE REMOTENESS RULE ITSELF — QUOTED IN EVERY S. 73 ANSWER

Hadley v Baxendale, (1843–60) All ER Rep 460 (Court of Exchequer — Alderson B.)

S. 73 ICA (both limbs) | Question: **Can millers recover lost mill profits for a carrier's 7-day delay in delivering a broken crankshaft?** | Answer: **No — profits neither natural consequence nor within parties' contemplation; special facts never communicated. (Rule nisi; new trial ordered.)**

Facts (detailed)

- **Parties & breakdown:** Plaintiffs, millers/mealmen of **City Steam Mills, Gloucester**, worked their mill with a steam engine whose **crankshaft broke**, stopping the engine. They ordered a new shaft from **W. Joyce & Co., Greenwich** — but the **broken shaft had to be sent to Greenwich as a pattern/model** so the new one would fit.
- **Carriage contract:** Defendants, common carriers (**Pickford & Co.**), Gloucester→Greenwich, accepted the shaft. **Count 1:** promised delivery on the **second day** after receipt; **Count 2:** within a **reasonable time**. Carriage paid: **£2 4s**. Plaintiffs' servant told the clerk "the **mill was stopped and the shaft must be sent immediately**"; clerk said goods sent by noon reach Greenwich next day; a special entry to hasten delivery was offered.
- **Breach & loss:** Delivery delayed **7 days** by neglect → new shaft delayed **5 days** → mill idle: lost flour/sharps/bran profits, had to **buy flour** for customers, paid **idle wages**. Claimed **£300**.
- **Trial:** Defendants denied Count 1, **paid £25 into court** on Count 2. Crompton J. left everything to the jury, which awarded **£25 more**. Defendants obtained **rule nisi for new trial on misdirection**, objecting the profit loss was **too remote**.

Issues

1. What is the **proper rule** for estimating damages on breach of contract to direct the jury?
2. Were the **lost mill profits** recoverable on the facts communicated to the carrier?

Plaintiffs (millers): the delay *caused* the stoppage and the profit loss; carrier knew the mill was stopped and urgency was stressed; jury's award should stand.

Defendants (carriers): profit loss **too remote**; never told the mill had no spare shaft or that this shaft was the pattern for replacement; liable only for ordinary delay consequences (covered by £25 in court).

Decision & reasoning (Alderson B.)

- **The rule** (see Part C box): natural-consequence limb OR contemplation-of-both-parties limb; jury left without a definite rule produces "the greatest injustice" (Blake v Midland Rail; Alder v Keighley cited).
- **Application:** only communicated facts = **"broken shaft of a mill" + "plaintiffs were the millers."** The famous **counterfactuals**: suppose plaintiffs had **another shaft** up/being put up and sent this one back to its maker; or the mill was **defective in other respects** — delay then causes no profit loss. In "the great multitude of cases" of millers sending shafts, stoppage would "not, in all probability" occur. **Special circumstances were never communicated**, so loss of profits "cannot reasonably be considered" within contemplation.
- **Money/title "exceptions"** absorbed: parties presumed to contemplate the conventional rule — still the same principle.
- **Order:** judge ought to have told the jury **not to consider loss of profits at all** → **new trial**.

Ratio / principle evolved: Recoverable contract damages = (1) loss **naturally arising in the usual course**, or (2) loss **reasonably in contemplation of both parties at contracting** — with the **communication rule**: undisclosed special circumstances cannot ground special damages. Codified in **S. 73 ICA**.

Exam use: cite Hadley for (i) the two-limb test, (ii) "contemplation of *both* parties *at contracting*", (iii) the spare-shaft counterfactual technique in carrier/delay problems, (iv) justification for S. 73's remoteness bar.

by Ankur R. Upadhyay

DU CASE 34 ASSESSMENT DATE + MITIGATION — THE MARKET-PRICE RULE

A.K.A.S. Jamal v Moolla Dawood, Sons & Co., (1915) 20 CWN 105 (Privy Council — Lord Wrenbury)

S. 73 ICA + Explanation | Question: **Is the seller's damages fixed at the market price on breach date, or reduced by later profitable re-sales?** | Answer: **Fixed at breach-date market price (Rs 1,09,218-12); later re-sales are the seller's own speculation. (Appeal allowed.)**

Facts (detailed)

- **Six contracts, Apr–Aug 1911:** appellant (seller) agreed to sell respondents (buyers) **23,500 shares** (British Burma Petroleum Co.) for aggregate **Rs 1,84,125-10**; delivery **30 December 1911**. Contract notes gave the seller an **option on buyer's default: resell by auction** ("at the Exchange at the next meeting") and recover any loss.
- **Breach, 30 Dec 1911:** shares had "fallen largely"; seller **tendered shares, demanded price**, warning of public-auction resale "on or about the 2nd proximo … responsible for all losses." Buyers didn't pay; claimed a **set-off** on another transaction, sent cheques for **Rs 75,925-10** and demanded transfer. **2 Jan 1912:** seller repudiated set-off, gave notice of intended resale + suit.
- **Negotiations till 26 Feb 1912:** seller demanded **Rs 1,09,219-6** = contract price minus value @ **4s 3d/share** (Rs 74,906-4). Suit 22 March 1912 for **Rs 1,09,218-12** (same computation, trifling variance).
- **Actual re-sales:** from 28 Feb 1912 seller sold all shares — one lot below 4s 3d (4s), one at 4s 3d, **all others higher**. Courts below **credited buyers with the excess** over breach-date market price, reducing damages. Seller appealed.

Issue

For sale of negotiable securities: is the measure **contract-minus-market-price at breach date** (mitigation judged then), or must the seller **credit post-breach profitable re-sales**?

Seller (appellant): loss crystallised 30 Dec 1911; resale clause a mere **option to liquidate damages**, never exercised (no auction ever held; Dec/Jan letters no election); later sales his own affair.

Buyers (respondents): seller's duty to mitigate means actual profitable re-sales **reduced his loss**; damages should reflect loss "generally".

Decision & reasoning (Lord Wrenbury)

- **Resale clause:** only an option to "liquidate the damages by ascertaining the value … at the date of the breach by an auction sale"; seller selling his **own** shares, no duty to account. Letters of 30 Dec/2 Jan = **no election**; no auction ever held → **"Nothing turns upon this provision."**
- **Core holding:** measure = difference at **date of breach**; seller bound to get best price **at that date** but **not bound to reduce damages by subsequent sales** — else buyer must also bear subsequent **losses**, which is "impossible". **Post-breach market speculation is the seller's, not the buyer's.**
- **Mitigation doctrine:** duty to take "all reasonable steps" undoubted — but **"the loss to be ascertained is the loss at the date of the breach"** (Staniforth v Lyall). Collateral benefits (Yates v Whyte; Bradburn; Jebsen) not credited. Lower courts "begged the question" by reading "loss" as loss generally.
- **Rodocanachi v Milburn** (market value at breach decisive; aff. Williams v Agius) applies equally to **buyer's** breach; **"S. 73 is but declaratory"** of this right.
- **Order:** appeal allowed; judgment for plaintiff as per plaint; respondents pay costs below + appeal.

Ratio: (1) Damages for sale contracts = **contract–market difference at breach date**; post-breach price movements belong to the goods' holder. (2) Mitigation is judged **at breach date**; later windfalls needn't be credited. (3) An **unexercised contractual option** to measure damages by resale doesn't displace the general rule.

Exam use: cite Jamal for (i) assessment-date rule, (ii) "seller's speculation" quote, (iii) mitigation-at-breach + collateral-benefits rule, (iv) optional resale/cover clauses, (v) S. 73 declaratory of common law.

by Ankur R. Upadhyay

DU CASE 35 BELATED KNOWLEDGE + CONTROLLED PRICES = NIL DAMAGES

Karsandas H. Thacker v Saran Engineering Co. Ltd., AIR 1965 SC 1981 (Raghubar Dayal J.)

S. 73 ICA; Ill. (k); Iron & Steel (Scrap Control) Order, 1943 | Question: **Can a buyer recover export-market losses where the seller never knew at contracting that goods were for export?** | Answer: **No — belated/export knowledge fails Limb 2; controlled prices equal → natural loss nil. (Appeal dismissed with costs.)**

Facts (detailed)

- **Main contract (correspondence, June–July 1952):** appellant agreed to buy **200 tons scrap iron @ Rs 100/ton** from respondent. **No disclosure** that scrap was for export — appellant acted "principal to principal".
- **Sub-contract (25 Oct 1952):** appellant meanwhile agreed to supply 200 tons to **Export Corporation, Calcutta** for export. First indirect hint to respondent came **late October 1952** (despatch to Export Corporation). Appellant admitted in cross-examination he spoke of Export Corporation only **after negotiations closed 25 July 1952**.
- **Breach (30 Jan 1953):** respondent expressed inability to deliver. Export Corporation **covered from the open (export) market** and recovered the difference from appellant, who sued respondent for **Rs 20,700** (difference between Export Corporation's cover price and his contract price).
- **Defence:** no completed contract; no damages — **controlled price identical** (July 1952 = 30 Jan 1953); export purpose never disclosed.
- **Below:** Trial Court decreed; High Court reversed (completed contract 25 Oct 1952 but breach excused by appellant's laches + no damages as controlled prices equal); certificate under **Art. 133(1)(a)** → SC.

Issues

1. Did the Scrap Control Order / controlled price apply to **export** sales?
2. Was the appellant entitled to export-market difference as damages under S. 73?

Appellant: Control Order covered only domestic sales (relied on 1954 Controller letters: "no statutory price for export"); his loss = Export Corp. cover difference; respondent knew of export ("very fancy price" letter of 9 June 1952; Oct 1952 despatch; plaint para 7).

Respondent: export purpose never disclosed at contracting; controlled price same at both dates → no loss; principal-to-principal purchase.

Decision & reasoning (Raghubar Dayal J.)

- **Control Order applied** (paras 4–8): nothing in Defence of India Rules r. 81, Essential Supplies Act S. 3(1), the Order, or Notification SRO 1007 (30-6-1951) excluded exports; **cl. 8(4)** barred *any person* selling/acquiring above notified prices — even from uncontrolled sources. 1954 letters spoke of 1954, not 1952, and conceded export needed permission.
- **Quantum — Limb 2 fails** (paras 9–12): export-basis damages require respondent's knowledge **"at the time it entered into the contract"**; October inference was **"belated"**; plaint para 7 didn't fix the *time* of knowledge; "very fancy price" offer merely meant a good price **within the control ceiling** ("lowest prices" asked) — "very remote and slender basis". Appellant's own evidence destroyed his case.
- **Limb 1 = nil** (para 13): Rs 100 ≈ Rs 70 controlled + Rs 30 incidentals; appellant could have covered at the same controlled price → "he did not stand to pay a higher price ... therefore he could not have suffered any loss." Export-contract loss was not naturally arising.
- **Ill. (k) "apt"** (para 14): substitute-difference recoverable, third-party compensation not — without disclosure. Formation/breach issues left undecided (para 16).
- **Order:** appeal dismissed with costs.

Ratio: (1) Under S. 73, **special-circumstance knowledge must exist at formation**; later-acquired knowledge is irrelevant. (2) Where **cover was available at the same price, natural damages are nil** — breach alone doesn't create compensation. (3) Ill. (k) governs undisclosed sub-sale losses.

Exam use: the go-to authority for (i) "knowledge when they made the contract", (ii) belated/vague disclosure, (iii) nil natural loss via equal cover price, (iv) quoting Ill. (k).

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DU CASE 36 S. 74 PROOF-OF-LOSS RULE — SECURITY DEPOSIT ≠ EARNEST

Maula Bux v Union of India, AIR 1970 SC 1955 (Shah Ag. CJ)

S. 74 ICA; Fateh Chand v Balkishan Dass | Question: **Can Government forfeit Rs 18,500 security deposits without proving any loss?** | Answer: **No — deposits were security (not earnest) under S. 74; determinable loss must be proved; none was. (HC set aside; refund Rs 18,500 + 3%.)**

Facts (detailed)

- **Contracts (20 Feb 1947):** plaintiff agreed to supply **potatoes** (and under parallel contracts **poultry, eggs, fish**) at **Military Headquarters, U.P. Area**; deposited **Rs 10,000 (potato) + Rs 8,500 (poultry)** "as security for due performance". **Cl. 8:** on rescission for neglect/delay/failure, "my/our security deposit (or such portion thereof as the officer ... shall consider fit) shall stand forfeited" + Government may recover **extra expense** of cover purchases.
- **Default:** plaintiff persistently failed "regular and full supplies" → Government **rescinded and forfeited** the deposits.
- **Suit:** Civil Judge, Lucknow — refund Rs 20,000 + 6%. **Trial Court decreed:** rescission justified but **no evidence at all of loss** → no forfeiture. **Allahabad HC modified:** awarded only Rs 416.25 + 3% — held S. 74 inapplicable to "not unreasonable" security forfeiture (earnest-money analogy; Fateh Chand didn't overrule the "trend"); alternatively Rs 10,000/Rs 8,500 were "not exceeding reasonable compensation" — taking **judicial notice** of 1947–48 rising prices, scarcity, daily inconvenience.
- Plaintiff appealed by **special leave**.

Issues

1. Were the deposits **earnest money** (outside S. 74) or **security** attracting S. 74?
2. Could Government retain them as **genuine pre-estimate / reasonable compensation** without proving loss?

Plaintiff: no loss proved → forfeiture penal → refund under S. 74 (Fateh Chand).

Union: deposits = earnest; alternatively **genuine pre-estimates** covered by "whether or not actual damage ... proved"; HC's judicial-notice assessment was fair.

Decision & reasoning (Shah Ag. CJ)

- **Not earnest** (para 4): earnest = purchaser's nominal token toward price (Jowitt; Chiranjit Singh). Contractor's **performance security** "cannot be regarded as earnest-money."
- **S. 74 applies to forfeiture of deposits** (paras 5–6): old English-coloured view (Natesa Aiyer; Singer; Manian Pattar) "no longer good law" after **Fateh Chand** — "any other stipulation by way of penalty" covers **forfeiture of money already delivered**; courts have a **statutory duty** to award only reasonable compensation.
- **Earnest exception stated** (para 7): forfeiture of **reasonable** earnest (Chiranjit; Roshan Lal; Habibullah; Bishan Chand) "does not amount to imposing a penalty" — but penalty-natured forfeiture attracts S. 74.
- **"Whether or not proved" construed** (para 8): only dispenses proof where assessment is **impossible** (then genuine pre-estimate may be taken, unless penal); **where money loss determinable, it must be proved**. Government could have proved cover rates + incidentals but "no such attempt was made" (para 9).
- **Order:** HC decree set aside; UOI to pay **Rs 18,500 + 3% from suit till payment**; each party to bear own costs (plaintiff was in breach; military inconvenience real).

Ratio: (1) Performance **security deposits are not earnest money**; their forfeiture is judged under S. 74. (2) **"Whether or not actual damage proved" ≠ licence to retain without evidence** — where loss is determinable, proof is mandatory. (3) Judicial notice can't substitute for cover-rate evidence.

Exam use: cite Maula Bux for (i) earnest-vs-security test, (ii) Fateh Chand's S. 74 scope, (iii) the proof rule — the single most-quoted S. 74 proposition, (iv) refund + interest outcome.

DU CASE 37 EARNEST-MONEY CHARTER — 25% FORFEITURE UPHELD

Shri Hanuman Cotton Mills v Tata Air Craft Ltd., 1969 (3) SCC 522 (Vaidialingam J.)

S. 74 ICA; earnest-money principles; Fateh Chand distinguished | Question: **Was Rs 2,50,000 (25%) earnest money forfeitable on the buyer's admitted breach, or part-payment/penalty under S. 74?** | Answer: **Earnest under express cls. 9–10; unconditionally forfeitable; S. 74 not attracted. (Appeal dismissed with costs.)**

Facts (detailed)

- **The deal (Nov 1946):** Appellants (dealers in new/second-hand machinery) answered respondent's newspaper ad for **aero-scrap**. After discussion, respondent's **18 Nov 1946** letter confirmed sale of the **entire lot in Dump No. 1, Panagarh**

(~4,000 tons) for **Rs 10,00,000**, acknowledging **Rs 2,50,000 by cheque**, balance "that day itself" + sales tax — expressly incorporating the **Company's Terms of Business**.

- **Acceptance with instalments:** Appellants' same-day reply confirmed but offered balance in two instalments (**Rs 2,50,000 by 22 Nov + Rs 5,00,000 by 14 Dec 1946**), delivery after full payment. Respondent's **20 Nov** letter accepted the modification, other terms as before.
- **Repudiation (22 Nov 1946):** Appellants claimed the deal closed **without inspection** on assurance of ~4,100 tons, now doubting quantity — sought **cancellation + refund**. Respondent repeatedly demanded payment/delivery; appellants refused → respondent **forfeited Rs 2,50,000 as earnest money, cancelled, and resold** (claiming Rs 42,499 further loss).
- **Key clauses: Cl. 9 (Deposits):** buyer deposits **25%** "as earnest money", adjusted in final bills, **no interest**. **Cl. 10(b):** on payment default the Company may **"forfeit unconditionally the earnest money"**, cancel, resell, recover loss/storage/ expenses; resale profit belongs to Company.
- **Suit 2745/1947 (Calcutta Original Side):** refund + 6%. Plaintiffs pleaded no concluded contract / misrepresentation / defendants not ready and willing / money had and received. **Before the HC all pleas were conceded or given up** (breach admitted; concluded contract via 18–20 Nov letters admitted) — only **2 surviving questions**: (1) part-payment or earnest deposit? (2) right to forfeit? Single Judge + Division Bench: **earnest → forfeitable → suit dismissed**.

Issues (as argued in SC)

1. Was Rs 2,50,000 **part of the price** or **earnest deposit**?
2. If earnest, does **S. 74** (sum named / penalty stipulation) limit forfeiture to reasonable compensation — is **25% unreasonable**?

Appellants (Maheshwari): (1) "against which ... balance" language shows **part-payment**. (2) Rs 2.5 lakh is a **sum named / penalty stipulation** → only reasonable compensation under S. 74 (Fateh Chand; Maula Bux); **25% is unreasonable** for earnest.

Respondents (Attorney-General): (1) Correspondence + cls. 9–10 expressly say **"earnest money"**; earnest = part of price *when performed*, forfeited *when vendee defaults*. (2) **S. 74/penalty/unreasonableness never pleaded or evidenced** below (appellants led no evidence) — can't be raised now; no unreasonableness question arises on contractual earnest forfeiture anyway.

Decision & reasoning (Vaidialingam J.)

- **Earnest — contention 1 fails** (paras 22–26): cl. 9's three markers ("as earnest money", no interest, adjusted in final bills) + 25% = earnest; "balance that day" language can't override incorporated Terms (accepted in reply); **Chiranjit Singh** (Rs 20,000 of Rs 1,65,000 treated as earnest) supports substance over receipt language. With breach conceded, **cl. 10(b) entitled respondents to forfeit**.
- **S. 74 — contention 2 not entertainable** (paras 27–31): penalty/unreasonableness **never pleaded, never evidenced** — respondents had no chance to meet it. Court **"expresses no opinion"** on whether unreasonableness can ever attach to earnest forfeiture or its factors. **Maula Bux distinguished:** there the deposits were **not earnest at all**, so S. 74 necessarily applied; Maula Bux "had no occasion" to test earnest reasonableness.
- **Fateh Chand distinguished** (paras 32–34): there Rs 1,000 earnest **was allowed to be forfeited** and only the non-earnest Rs 24,000 went to S. 74 — "[i]n the case before us the **entire amount ... is earnest money** and therefore the above decision does not apply."
- **Order:** appeal dismissed with costs.

Ratio: (1) The **five earnest principles** (Part F table) — amount expressly deposited "as earnest" under cl. 9-type terms is forfeitable on buyer's default without proof of loss. (2) **Plead-and-prove rule:** penalty/unreasonableness attacks on earnest must be **pleaded with foundation + proved by evidence**; courts won't entertain them for the first time in appeal. (3) **Maula Bux and Fateh Chand apply only to non-earnest sums.**

Exam use: cite Hanuman for (i) the 5 earnest principles, (ii) "entire amount earnest → S. 74 doesn't apply", (iii) the pleading/evidence burden — perfect against afterthought S. 74 pleas, (iv) distinguishing Maula Bux (security) from earnest cases.

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DU CASE 38 INTEREST IN EQUITY + NO MENTAL-ANGUISH DAMAGES IN CONTRACT

Ghaziabad Development Authority v Union of India, AIR 2000 SC 2003 (Lahoti J.)

Damages object + remoteness; S. 34 CPC (equity); | Questions: **(i) Mental-agony compensation? (ii) Interest without contract? (iii) Rate?** | Answers: **(i) No (Rs 50,000 set aside); (ii) Yes, in equity; (iii) 12% p.a. (18% reduced).**

Facts (detailed)

- **Batch appeals:** GDA (U.P. Urban Planning & Development Act, 1973, S. 4) floated plot/flat schemes; allottees complained of **failure/unreasonable delay** before the **MRTP Commission, Consumer Fora**, and (2 cases) the **Allahabad HC (Art. 226)**. All fora found GDA in breach and ordered **refund + interest**.
- **Flashpoints:** (a) Brochure term: **no interest** if applicant withdraws/surrenders — HC struck it as **unconscionable, arbitrary, Art. 14-violative**, awarding **12%**. Other fora awarded **18%**. (b) In **C.A. 8316/1995 (Brijesh Mehta — Indirapuram Scheme, 35 sq.m plot, Rs 4,20,000)**, MRTP Commission added **Rs 50,000 for "mental agony"** for non-delivery after "unavoidable reasons"/incomplete development.

Issues

1. Can compensation be awarded for **mental agony**?
2. Can **interest** be awarded absent any contract/promise/statute?
3. If so, at what **rate**?

GDA: no contract/statute supports interest; mental-anguish damages unknown to contract law; brochure bars interest; 18% excessive.

Claimants: relied on **Sovintorg v SBI (1999)** (12%→15% by SC) + **S. 34 CPC** (bank commercial rates) for interest; on **Lucknow DA v M.K. Gupta (Rs 10,000 mental harassment)** for anguish damages.

Decision & reasoning (Lahoti J.)

- **Contract framework** (para 5): **brochure = invitation to offer**; application = offer; acceptance per priority = contract; breach governed by **Contract Act + Specific Relief Act**. Damages = liquidated (pre-fixed) or unliquidated (assessed); object = put victim "in the same position ... as if performed"; **remoteness** = contemplation at contracting; liable party compensates **directly flowing** losses.
- **(i) No mental-anguish damages** (paras 5, 7–8): **Settled contract law** — no contract damages for "feelings, mental distress, anguish, annoyance, reputation" except **peace-of-mind contracts** or contemplated nervous shock/breakdown; Court of Appeal refuses them to wrongfully dismissed employees / "ordinary commercial contract". Rs 50,000 set aside. **Lucknow DA distinguished:** that award rested on **administrative law** (malafide/capricious power, recovery from officers' salaries) — no such pleading/finding here.
- **Land measures noted** (para 6): vendor's breach → **market value at completion minus price**; special-use profit only with knowledge; **delay → rental value**.
- **(ii)–(iii) Interest 12% in equity** (paras 9–10): no express/implied interest contract; no enabling provision cited; S. 34 CPC **not directly applicable** — but per **Sovintorg**, its basis in **"justice, equity and good conscience"** authorises interest, including **"in lieu of compensation or damages"**. Sovintorg's 15% distinguished (winding-up there). No evidence on ideal rate → **12% "just and proper ... neither too high nor too low"**. No-interest brochure clause **only where claimant itself caused the refund**; here the Authority was at fault.
- **Orders:** Rs 50,000 mental-anguish award set aside; all 18% directions → **12% p.a.**; appeals + contempt petitions disposed.

Ratio: (1) **No damages for mental distress in ordinary/commercial contracts** (peace-of-mind contracts excepted). (2) **Interest may be awarded in equity** (S. 34 CPC's equitable basis; in lieu of damages) even without contract — 12% as the just default. (3) **One-sided no-interest clauses don't protect a defaulting authority.**

Exam use: cite Ghaziabad for (i) object of damages + remoteness restatement, (ii) Settled contract mental-anguish bar + Lucknow DA distinction, (iii) equitable interest reasoning, (iv) brochure/offer/acceptance analysis, (v) land-damage measures.

DU CASE 39 S. 74 PRE-ESTIMATED LIQUIDATED DAMAGES WHERE PROOF OF LOSS IS IMPOSSIBLE

Oil & Natural Gas Corporation Ltd. v. Saw Pipes Ltd., (2003) 5 SCC 705 : (2003) 4 SCALE 92 (Supreme Court — M.B. Shah & Arun Kumar JJ.)

Sections 73 & 74 ICA · S. 34 Arbitration & Conciliation Act, 1996 | Question: **Where a contract for specialised offshore oil-exploration casing pipes stipulates genuine pre-estimated liquidated damages (1% per week, max 10%) and time is expressly of the essence, must ONGC prove actual monetary loss when delay makes exact loss calculation impossible?** | Held: **NO — Genuine pre-estimated liquidated damages are recoverable u/s 74 without strict proof of actual rupee loss where loss is inherently difficult/impossible to assess; onus lies on the party in breach to prove no loss could possibly have occurred!**

Facts

- Respondent **Saw Pipes Ltd.** contracted to supply specialised casing pipes to **ONGC** for offshore oil exploration by **14 November 1996**. The contract explicitly declared **time to be of the essence** and contained an express **liquidated damages clause** empowering ONGC to recover **1% of the contract price of delayed supplies per week (or part thereof) up to a ceiling of 10%** as *"agreed and genuine pre-estimate of damages and not by way of penalty"*.
- Due to a general strike of steel-mill workers in Europe, Saw Pipes sought an extension; ONGC granted extension expressly **subject to recovery of liquidated damages**, and eventually deducted **US $3,04,970.20 and ₹15,75,559** from Saw Pipes' bills.
- The Arbitral Tribunal ordered ONGC to refund the deducted liquidated damages solely on the ground that ONGC failed to prove specific monetary loss resulting from the delayed supply; Bombay High Court upheld the award.

Supreme Court Holding & Ratio Evolved (M.B. Shah J.)

- **Synthesising *Fateh Chand* & *Maula Bux* on Proof of Loss u/s 74:** Reading Sections 73 and 74 harmoniously: (1) Terms of the contract must be given full effect before awarding compensation; (2) If the stipulation is by way of **penalty**, reasonable compensation cannot exceed the named amount and actual loss (where assessable) guides quantification; (3) However, if the stipulated sum represents a **genuine pre-estimate of damages agreed by commercial parties knowing delayed public/utility project losses cannot be accurately computed** (as already foreshadowed in *Maula Bux*: *"in case of breach of some contracts it may be impossible for the court to assess compensation"*), the aggrieved party **need NOT lead strict proof of actual loss**!
- **Burden Shifts to Defaulting Contractor:** Where clear, unambiguous words stipulate genuine pre-estimated liquidated damages for breach of a time-essence contract, the court awards that named sum as "reasonable compensation" *unless* the party in breach proves that the estimate was unreasonable/penal or that **no loss whatsoever** was likely to occur. Award set aside as patently illegal u/s 34(2)(b)(ii) (public policy of India); ONGC's deduction upheld!

PART N — VISUAL REVISION

Master flowcharts & comparison tables

Flowchart 1 — Any S. 73 damages problem (5 steps)

1. Breach?
Who broke what obligation?

→

2. Causation?
Loss "caused thereby"?

→

3. Limb 1?
Natural in usual course? → allow

→

4. Else Limb 2?
Special facts known to BOTH at contracting? → allow, else remote

→

5. Mitigation?
Deduct avoidable loss (Explanation); assess at breach date (Jamal)

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Flowchart 2 — Any S. 74 / forfeiture problem (4 steps)

1. Characterise
Earnest? (Hanuman 5 tests) → outside S. 74, forfeit if reasonable

→

2. Else S. 74
Sum named or penalty stipulation (incl. forfeiture — Fateh Chand)?

→

3. Loss provable?
Yes → claimant MUST prove (Maula Bux); No → genuine pre-estimate may be taken

→

4. Award
Reasonable compensation ≤ cap; refund excess (+ interest)

Table 1 — Six DU cases at a glance

Case	Section	One-line rule	Outcome
33. Hadley	S. 73	Natural OR bilaterally-contemplated loss only; undisclosed specials excluded.	New trial; profits excluded
34. Jamal	S. 73 + Expl.	Contract–market at **breach date**; post-breach speculation is seller's; mitigate then.	Appeal allowed; Rs 1,09,218-12
35. Karsandas	S. 73, Ill. (k)	Knowledge must exist **at formation**; equal cover price → **nil** natural loss.	Appeal dismissed
36. Maula Bux	S. 74	Security ≠ earnest; **determinable loss must be proved**; no evidence → refund.	Refund Rs 18,500 + 3%
37. Hanuman	S. 74 (outside)	Express **earnest forfeitable** without proof; penalty attack needs **pleading + evidence**.	Appeal dismissed; forfeiture upheld
38. Ghaziabad	Damages/ interest	**No mental-anguish** damages in ordinary contracts; **12% interest in equity**.	Rs 50,000 set aside; 18%→12%

Table 2 — S. 73 vs S. 74

Point	S. 73 (unliquidated)	S. 74 (liquidated/penalty)
Trigger	Breach simpliciter; court assesses loss.	Breach + **sum named / penalty stipulation** (incl. forfeiture clauses).
Measure	Natural or contemplated loss; remote excluded; mitigation adjusted.	**Reasonable compensation ≤ named sum/penalty**; never the penalty as such.
Proof	Plaintiff proves loss + causation + (for specials) communication.	"Whether or not proved" helps only where assessment **impossible**; else proof needed (Maula Bux).
Cap	No cap (full recoverable loss).	Capped at named sum/penalty.
Lead cases	Hadley, Jamal, Karsandas.	Maula Bux, Hanuman, Fateh Chand.

Table 3 — Remoteness outcomes (predict any problem)

Loss type	Disclosed at contracting?	Result	Authority
Ordinary market difference	Not needed	[YES] Recoverable (Limb 1)	Ills. (a)–(h); Jamal
Sub-sale / special-use profit	Yes, to both parties	[YES] Recoverable (Limb 2)	Ills. (j), (l)
Sub-sale / special-use profit	No / belated / vague	[NO] Too remote	Hadley; Karsandas; Ills. (k), (o), (p), (q)
Third-party compensation paid	Yes	[YES] Recoverable	Ills. (l), (m)
Third-party compensation paid	No	[NO] Too remote	Ill. (k); Karsandas
Mental distress / ruin from late money	—	[NO] Barred (money: principal + interest only)	Ill. (n); Ghaziabad

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EXAMINATION QUESTION BANK // DU LL.B.

Previous Year Examination Questions (PYQs)

Q.01 10 marks State and explain the rule in Hadley v Baxendale. How far is it embodied in S. 73 of the Indian Contract Act?

◈ Refer website for detailed notes – makelaweasy.in ↗

Q.02 10 marks A consigns a broken machine part to a carrier for urgent delivery to the manufacturer, saying only that "the factory is closed for want of it." Delivery is delayed; A loses a lucrative government order. Advise the carrier.

Q.03 10 marks "The loss to be ascertained is the loss at the date of the breach." Discuss with reference to Jamal v Moolla Dawood.

Q.04 7 marks B agrees to supply goods to A at Rs 100/unit. B defaults. A had secretly contracted to resell at Rs 150/unit. A claims Rs 50/unit lost profit. Decide.

Q.05 10 marks Discuss the duty to mitigate under the Explanation to S. 73. Is a plaintiff bound to accept a substitute offer from the defendant himself?

Q.06 7 marks A builder delays a house A knows B will let to C; B loses rent and pays C compensation. What can B recover?

Q.07 15 marks Explain S. 74. Distinguish liquidated damages from penalty. What is "reasonable compensation"?

Q.08 10 marks The Government forfeits a contractor's Rs 50,000 security deposit on breach but leads no evidence of loss, relying on "whether or not actual damage or loss is proved." Decide.

MODULE 10 // DU LL.B. PAPER LB-102 DU Cases 40–42 · 8 Exam PYQs

Quasi-Contracts (Ss. 68–72 ICA) & Electronic Contracts (IT Act, 2000 Ss. 3–17)

PART A – FOUNDATIONS (TOPIC 10)

Quasi-contracts — concept, basis & classification

Quasi-contract ("as if contract") = an obligation **imposed by law** — not by the parties' agreement — where justice demands that one who has received a benefit pay for it. ICA Chapter V is headed **"Of certain relations resembling those created by contract"**: there is **no offer, no acceptance, no consensus** — the law *invents* a contractual-type duty to prevent **unjust enrichment** ("What S. 70 prevents is unjust enrichment" — *Mondal*, para 21).

Real contract
Agreement (offer + acceptance) → obligation

vs

Quasi-contract
No agreement → law imposes obligation (benefit + justice)

vs

No obligation
Officious/gift/gratuitous acts → no recovery

Classification — the five statutory species (Ss. 68–72)

Section	Situation	Liability imposed	DU anchor
S. 68	**Necessaries** supplied to a person **incapable of contracting** (minor, lunatic) or his dependants.	Reimbursement **from the property** of the incapable person (not personal liability).	Ills. (a)–(b); *Mohori Bibee* link; minor excluded from S. 70 (*Mondal* para 21).
S. 69	Person **interested** in payment of money which **another is bound by law to pay**, pays it.	Reimbursement by the other.	Zamindar-lease illustration; "bound by law" + "interested" tests.
S. 70	Person **lawfully** does/delivers something for another, **not gratuitously**, and the other **enjoys the benefit**.	**Compensation or restoration**.	*B.K. Mondal* — the charter case (Parts C–D).
S. 71	**Finder of goods** takes them into custody.	**Same responsibility as a bailee** (Ss. 151–152, 168–169).	Duty of care; no reward except offered (S. 168).
S. 72	Money paid / thing delivered **by mistake or under coercion**.	**Must repay/return** it.	Ills. (a)–(b); mistake of law included; coercion wider than S. 15.

Why "resembling" matters (Mondal, para 14): Chapter V "does not deal with rights or liabilities accruing *from* contract" — so a S. 70 plaintiff **cannot sue for specific performance or breach damages**; only **compensation/restoration for accepted benefit**. The cause of action is **voluntary acceptance + enjoyment**, not any promise.

Exam opener for any quasi-contract answer: "A quasi-contract is not a contract at all — it is a duty fastened by law on a party unjustly enriched at another's expense. The five instances are codified in Ss. 68–72, ICA..." Then apply the specific section's elements.

PART B — CHAPTER V, ICA (VERBATIM + ELEMENTS)

Ss. 68–72 — the five obligations in detail

S. 68 — Claim for necessaries supplied to person incapable of contracting

Text: "If a person, **incapable of entering into a contract**, or any one whom he is **legally bound to support**, is supplied by another person with **necessaries suited to his condition in life**, the person who has furnished such supplies is entitled to be **reimbursed from the property** of such incapable person." **Ill. (a):** A supplies B, a lunatic, with necessaries — reimbursed from B's property. **Ill. (b):** A supplies the **wife and children** of B, a lunatic — reimbursed from B's property.

Element	Detail (exam points)
"Incapable of contracting"	Minor (S. 11) or **unsound mind** (S. 12: lunacy, idiocy, drunkenness). His *agreements are void* (*Mohori Bibee*) — S. 68 is the statute's **substitute remedy** for suppliers.
"Legally bound to support"	Wife, children, and (by personal law) aged parents/dependants. Ill. (b) covers wife + children.
"Necessaries suited to condition in life"	Two-fold test: (i) **capable of being necessary** (food, clothing, lodging, education, medical care, legal defence) — question of law; (ii) **actually needed** in the person's rank/circumstances — question of fact. Luxury goods, racing debts, diamonds for an infant already stocked = not necessaries.
"From the property" only	**No personal liability** — decree only against the minor's/lunatic's estate. If no property, supplier recovers nothing. (Contrast: adult's liability is personal.)
Relation to S. 70	Minor is **outside S. 70** — "his case has been specifically provided for by S. 68" (*Mondal* para 21, citing *Bankay Behari v Mahendra Prasad*); voluntary acceptance — S. 70's foundation — can't fairly be imputed to a minor.

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S. 69 — Reimbursement of person paying money due by another

Text: "A person who is **interested in the payment of money which another is bound by law to pay**, and who therefore pays it, is entitled to be **reimbursed** by the other." **Illustration:** B holds land on lease from zamindar A; A's **revenue arrears** put the land up for Government sale, which would **annul B's lease**; B pays A's dues to save his lease → **A must make good** the amount.

Element	Detail
"Bound by law to pay"	The other's liability must be a **legal** duty (statute, decree, revenue law) — not merely moral. Bona fide belief tested on facts; payment under a **disputed but enforced** demand still qualifies where law compels.
"Interested in the payment"	Payer must have a **legal interest to protect** (B's lease; a surety; a co-sharer; a buyer of equity of redemption) — a mere volunteer/officious payer gets nothing. Interest must exist **at the time of payment**.
Payment, not promise	S. 69 requires **actual payment**; undertaking to pay is insufficient. Reimbursement = amount actually paid (with interest where equity allows).
Classic applications	Tenant paying landlord's revenue; mortgagor's dues paid by puisne mortgagee; surety paying creditor (also S. 145); co-defendant paying decretal sum.

S. 70 — Obligation of person enjoying benefit of non-gratuitous act

Text (memorise): "Where a person **lawfully does anything for another person, or delivers anything to him, not intending to do so gratuitously**, and such other person **enjoys the benefit thereof**, the latter is bound to **make compensation** to the former in respect of, or **to restore**, the thing so done or delivered." **Ill. (a):** tradesman leaves goods at B's house **by mistake**; B treats them as his own → must pay. **Ill. (b):** A saves B's property from fire — **no compensation if done gratuitously**.

The three requisites (G.K. Mitter J., approved in *Mondal*): **(i) lawfully done/delivered; (ii) not intended gratuitously; (iii) benefit enjoyed.** Full master analysis — *Mondal* principles, "lawfully", voluntariness, Government liability — in **Part C**.

S. 71 — Responsibility of finder of goods

Text: "A person who finds goods belonging to another, and **takes them into his custody**, is subject to the **same responsibility as a bailee**." — Read with **Ss. 151–152** (ordinary prudent care; no liability for loss without negligence), **S. 168** (may sue for **specific reward offered**; may retain goods as lien till reward paid) and **S. 169** (may sell if commonly saleable and owner untraceable, or goods perishable, or lawful charges = ⅔ value).

Point	Detail
No duty to pick up	S. 71 bites only if the finder **takes custody** — he may walk away. Custody = deemed bailment.
Duties	Reasonable care (S. 151); reasonable efforts to find owner; no use, no mixing, no denial of title.
Rights	No general reward — only **reward specifically offered** (S. 168) + lien till paid; right of sale in stated cases (S. 169).

S. 72 — Liability of person paid by mistake or under coercion

Text: "A person to whom **money has been paid, or anything delivered, by mistake or under coercion, must repay or return it.**" **Ill. (a):** A and B jointly owe C Rs 100; A pays; B, **not knowing**, pays again → C must repay B. **Ill. (b):** railway refuses goods except on **illegal excess charge**; consignee pays to get goods → recovers the **excess**.

Point	Detail
"Mistake" = fact or law	S. 72 covers **both** — since *Seth Kanhaya Lal v National Bank* / sales-tax refund line (*STO v Kanhaiya Lal Mukundlal Saraf*, AIR 1959 SC 135: tax paid under unconstitutional levy recoverable). Contrast S. 21 (mistake of law no excuse *for the promisor*) — S. 72 protects the *payer*. Money paid with **full knowledge** (without protest, "voluntary") is not recoverable.
"Coercion" wider than S. 15	Not confined to IPC-offence/detention threats — any **compulsion of circumstance**: illegal levy to release goods (Ill. b), excess freight, payment under protest to avoid seizure. Paid **voluntarily with knowledge** = no recovery.

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Point	Detail
Must repay/return	Restitution of the **exact sum/thing**; bona fide purchaser for value without notice and change-of-position equities may defend (general restitution principles).
Burden	Plaintiff proves (i) payment/delivery, (ii) mistake or coercion. Defendant may show voluntary informed payment.

▸ **S. 68 vs S. 70 (favourite trap):** supplier of necessaries to a minor sues under **S. 68 (property only)** — S. 70 is **unavailable** against minors. Government, conversely, **is** under S. 70 though it enjoys no S. 68-type shield (*Mondal* para 21: minor analogy rejected — S. 175(1) gives Government contracting power; only the *manner* is regulated).

PART C — THE HEART OF TOPIC 10

S. 70 master analysis — the Mondal principles

State of West Bengal v B.K. Mondal is the **charter on S. 70**. Gajendragadkar J. (majority) + Sarkar J. (concurring) settle its elements, its relation to Government contracts (S. 175(3), GOI Act 1935 — now **Art. 299, Constitution**), and its limits. Learn this Part as 8 propositions.

Proposition 1 — The three requisites (G.K. Mitter J., approved)

(i) Lawfully done/delivered
not forbidden by law; lawful relationship born on acceptance

+

(ii) Non-gratuitous
doer did not intend a gift (trade, estimate, prompt bill = proof)

+

(iii) Benefit enjoyed
other party voluntarily accepts/uses it

=

Compensation or restoration

Proposition 2 — Cause of action = acceptance + enjoyment, NOT any contract/promise

"The alternative claim is based on the assumption that the contract ... was ineffective and ... **amounted to no contract at all**" (para 15). The doer **cannot compel acceptance** (Government could have ordered demolition), **cannot claim specific performance or breach damages** — "in the very nature of things claims for compensation are based on the footing that **there has been no contract**" (para 18). Compensation under S. 70 "may not mean the same thing as ... damages for breach of contract" (para 19) — it is **quantum meruit for benefit enjoyed**, not the contract price as of right.

Proposition 3 — "Lawfully": the Straight J. test rejected

Chedi Lal v Bhagwan Das (Straight J.): "lawfully" needs a pre-existing relation entitling the doer to look for compensation. **SC (para 17):** rejected — "if one person is entitled by reason of [such] relationship ... S. 70 would be **hardly necessary**." Correct view: "after something is delivered or done ... and that thing is **accepted and enjoyed**, a **lawful relationship is born** between the two which ... gives rise to a claim for compensation." "Lawfully" is not surplusage — thing must not be done **fraudulently, dishonestly, officiously** (para 18) — but mere absence of a valid contract doesn't make the doing "unlawful".

Proposition 4 — Voluntariness is the safeguard against officious claims

"S. 70 is not intended to entertain claims ... by persons who **officiously interfere** ... or who impose on others services not desired" (para 18). The defendant "**always has the option not to accept** the thing or to return it" (para 14) — citing Jenkins CJ (*Suchand v Balaram*): courts must be "guarded and circumspect ... and not countenance acts or payments that are really **officious**" (para 23). Test Jenkins' warning + Ill. (b) (gratuitous fire rescue) in every answer.

Proposition 5 — No conflict with S. 175(3) (now Art. 299): separate fields

S. 175(3) / Art. 299
deals with CONTRACTS: how Government must contract (written, executed, expressed in Governor's name)

≠

S. 70 ICA
deals with NO-contract cases: compensation where benefit voluntarily enjoyed

→

"S. 70 supplements S. 175(3)"
(para 20) — no nullification

by Ankur R. Upadhyay

Reasoning (paras 15, 19–20): (a) building without a valid contract **contravenes nothing** — S. 175(3) forbids invalid *contracts*, not the *doing of work*; III. (a) (goods left by mistake with "B = Government") proves A contravenes nothing. (b) An **invalid request is in law no request at all** (para 19) — "request is not an element of S. 70 at all". (c) Policy: petty/emergency Government business is routinely done without strict form; denying S. 70 "may even ... **bring to a standstill the efficient working of Government**". The Advocate-General himself confessed a **moral obligation** — "converted into a legal obligation" by S. 70 (Bachawat J., para 24).

Proposition 6 — Government is under S. 70 (minor analogy rejected)

Mr. Sen: Government, unable to contract except under S. 175(3), is like a minor (outside S. 70). **Rejected** (para 21): (i) S. 175(1) **confers** contracting power — only manner regulated; (ii) minor excluded because **S. 68 specially provides** for him (*Bankay Behari* FB); (iii) voluntary acceptance can't be imputed to a minor; (iv) "What S. 70 prevents is **unjust enrichment and it applies as much to individuals as to corporations and Government**."

Proposition 7 — Sarkar J.'s concurrence: no agreement at all + no tacit officer contract

- **Narrower route:** findings showed **no agreement whatever** — officers had no authority **to the respondent's knowledge** (Mitter J.: plaintiff "never had any doubt"; Bachawat J.: "no agreement either express or implied ... no agreement which is void or discovered to be void"). So the Court **need not decide** S. 70-under-invalid-Government-contract in the abstract (para 35) — distinguishing *89 Cal LJ 342*.
- **Officers' personal liability?** Requests in personal capacity could in theory imply a **tacit promise** (the classic ferryman illustration, para 37) — but only if "a man of business and experience would consider it reasonable" (para 38; Authoritative Contract Precedent quoted). Here officers expressly said **payment by Government after sanction**; respondent always looked to Government, never officers → **no tacit promise, no officer contract** (paras 39–40). Reserved: whether a contractor with a personal remedy against officers could *also* sue Government (para 36 — "grave doubts").
- **Requisites satisfied** (para 42): benefit taken (urgent need, prompt use); non-gratuitous (trade = construction for payment, estimates + prompt bills, prior paid jobs, Government knew); lawful (para 44 — no law forbids Government taking benefit of work done without any contract; S. 175(3) assumed arguendo to taint only *invalid-contract* work).
- **English law unnecessary** (para 45; also Ramanandi Kuer, para 12): S. 70's words are clear — "framed ... to avoid the niceties of English law" (classic commentaries); S. 175(3) governs only **consensual contracts**, not law-implied/quasi-contracts.

Proposition 8 — Limits: what S. 70 does NOT do

Limit	Authority
No specific performance / breach damages — compensation or restoration only.	Para 14, 18
No claim against a **minor** (S. 68 covers him).	Para 21
No claim for **officious/unwanted/ gratuitous** acts; defendant must have had a real option to refuse.	Paras 14, 18, 23; III. (b)
Compensation ≠ contract price necessarily; quantum = value of benefit (here undisputed).	Para 19, 24
S. 65 distinguished: S. 65 needs an **agreement discovered void / contract becoming void**; where there was **never any agreement**, only S. 70 fits (trial court; Bachawat J.).	Para 4; para 34

DU CASE 40 THE S. 70 CHARTER — GOVERNMENT LIABILITY FOR NON-GRATUITOUS WORK

State of West Bengal v B.K. Mondal & Sons, AIR 1962 SC 779 (Gajendragadkar J. + Sarkar J. concurring)

S. 70 ICA; S. 175(3), GOI Act 1935 (now Art. 299) | Question: **Can a contractor recover under S. 70 for Government-enjoyed works done without a valid Art.299-type contract?** | Answer: **Yes — three requisites satisfied; S. 70 supplements (not nullifies) S. 175(3); Government bound like anyone. (Appeal dismissed.)**

Facts (detailed)

- **First (paid) job:** 8 Feb 1944 offer → 12 Feb 1944 acceptance: temporary storage godowns at **Arambagh (Hooghly)** for Civil Supplies Dept.; bill **Rs 39,476 paid July 1944**.

Ankur R. Upadhyay

- **Disputed works:** (a) 7 Apr 1944: SDO Arambagh sought estimate for **kutcha road, guard room, office, kitchen, clerks' room**; 20 Apr 1944: Addl. Deputy Director allegedly instructed proceeding; bill **Rs 2,322/8** (27 Apr 1944). (b) 18 Apr 1944: Asst. Director asked respondent to proceed with **storage sheds at Khanakul**; bill **Rs 17,003**. **Total suit claim: Rs 19,325** (both bills unpaid).
- **Pleading:** claim (i) on **contract**, alternatively (ii) under **S. 70** (lawful, non-gratuitous, benefit enjoyed). Defence: requests **invalid/unauthorised**, no S. 175(3)-compliant contract, **no privity**; vague written statement.
- **Trial (G.K. Mitter J., 5 issues):** no valid contract (for State); **S. 70 applies** (for respondent); not time-barred; Bengal liability **devolved on West Bengal** under the Indian Independence (Rights, Property & Liabilities) Order, 1947; **S. 65 inapplicable** → decree for respondent.
- **Appeal (S.R. Das Gupta & Bachawat JJ., separate concurring):** confirmed; certificate refused → **special leave** to SC. Sole SC question: **applicability of S. 70**.

Issues

1. Are S. 70's three requisites satisfied on these facts?
2. Does awarding S. 70 compensation **circumvent mandatory S. 175(3)**?
3. Is Government, like a minor, **outside S. 70's purview**?

State (Mr. Sen): (1) Compensating = treating an invalid contract as valid — circumvents S. 175(3). (2) "Lawfully" (read with S. 23) excludes work outside S. 175(3); *Chedi Lal*: no pre-existing compensable relation. (3) Government = minor (no capacity except as statute permits; *Mohori Bibee*; *Bankay Behari*) → outside S. 70. (4) English cases (*Young*, not *Lawford*) govern statutory contravention; no implied/quasi-contract possible with Government.

Contractor: works done for urgent Government need, accepted and used; claim assumes *no* contract — rests on **voluntary acceptance + enjoyment**; all three requisites proved; quantum never disputed; Government morally bound (A-G's confession).

Decision & reasoning

- **Gajendragadkar J. (paras 12–24):** interpret S. 70 on its own clear words (*Ramanandi Kuer* — no English-law detour). Three requisites stated (para 14); defendant always had **refusal option** (could have ordered demolition). Circumvention argument fails: cause of action is **acceptance/enjoyment**, not the invalid contract; Ill. (a)-with-Government hypothetical; **invalid request = no request**; separate fields — **S. 70 supplements S. 175(3)**; policy of petty/emergency Government business (para 20). *Chedi Lal* rejected (para 17). Minor analogy rejected (para 21). Jenkins CJ warning adopted (para 23). Quantum + acceptance undisputed below; A-G's moral-obligation confession noted (para 24).
- **Sarkar J. concurring (paras 26–45):** there was **no agreement whatever** (officers unauthorised, to respondent's knowledge) — so the abstract invalid-contract question needn't be decided; **no tacit officer contract** (ferryman test fails — payment expressly to come from Government after sanction); requisites satisfied (trade, estimates, prompt bills, prior paid jobs, urgent need, prompt use); "lawfully" satisfied (no law forbids taking benefit without contract); English law otiose; S. 175(3) covers only consensual contracts.
- **Order:** appeal dismissed (claim decreed).

Ratio / principles evolved: (1) S. 70's gist = **lawful + non-gratuitous + voluntarily enjoyed benefit → compensation/restoration**, with cause of action in acceptance, not contract. (2) **"Lawfully" = lawful relationship born on acceptance** (Chedi Lal overruled in effect). (3) **S. 70 and S. 175(3)/Art. 299 occupy separate fields** — Government liable under S. 70 like any person. (4) Minor-analogy and English-law arguments rejected. (5) No tacit contract inferred unless a reasonable businessman would infer it.

Exam use: cite Mondal for (i) 3 requisites, (ii) "lawfully" meaning, (iii) officiousness safeguard + Jenkins warning, (iv) S. 70 vs Art. 299, (v) Government/minor distinction, (vi) S. 65 vs S. 70 (never-any-agreement → S. 70), (vii) compensation ≠ breach damages.

PART E — FOUNDATIONS (TOPIC 11)

E-Contracts — nature, scope, types & formation

E-contract = a contract **formed, communicated or performed through electronic means** — email, websites, EDI, e-auctions, click-wrap. Two statutes combine: the **ICA (substance)** — proposal, acceptance, consideration, capacity, consent, lawful object (S. 10) — and the **IT Act, 2000 (medium)** — legal recognition of electronic records/signatures and rules of attribution, acknowledgement, despatch and receipt. **S. 10A, IT Act** is the bridge: e-formed contracts "shall not be deemed to be unenforceable **solely** on the ground that ... electronic form or means was used."

ICA (what makes a contract)
S. 10: agreement + consideration + capacity + free consent + lawful object

+

IT Act (how electronics count)
Ss. 4–5 (recognition), 10A (validity), 11–13 (attribution, ack, time/place)

=

Enforceable e-contract
if ICA substance + IT Act medium both satisfied

Types of e-contracts (scope — quote with examples)

Type	How formed	Validity notes
Email contracts	Offer/acceptance exchanged by email (commercial offers, purchase orders).	Fully valid — *Timex v Vedanta*: unconditional email acceptance = concluded contract; S. 7 ICA applies.
E-auctions / e-tenders	Bids invited and accepted online; acceptance emailed.	Valid — *P R Transport*: emailed acceptance completes contract at addressee's place of business (S. 13(3)).
Click-wrap ("I Agree")	User clicks acceptance of displayed terms (software, checkouts).	Valid if terms **reasonably notified** + **unequivocal act** of assent; S. 7–8 ICA read with S. 10A.
Browse-wrap	Terms hyperlinked; use deemed agreement.	Weak — enforceable only with **actual/constructive notice**; no assent without knowledge.
Shrink-wrap	Terms inside package; opening/retaining = acceptance.	Valid if buyer may **return for refund** on rejecting terms (notice + choice).
EDI / automated systems	Computers transact per pre-programmed instructions (e.g. stock, supply chains).	Attributed to originator under **S. 11(c)** (auto-programmed system); S. 12 ack rules apply.

Formation mapped: ICA × IT Act

Formation step	ICA rule	IT Act overlay
Proposal	Ss. 3–9: must be communicated; invitation ≠ proposal (website displays usually invitations).	S. 10A: proposal "expressed in electronic form" valid; S. 11: attributed to sender/auto-system.
Acceptance	Ss. 3–9: absolute + unqualified (S. 7), communicated (S. 3–4), prescribed manner.	S. 10A validates e-acceptance; S. 12 (acknowledgement) + S. 13 (time/place of receipt) fix **when/where** complete.
Communication complete	S. 4: acceptance complete **as against proposer when put in transmission**; as against acceptor **when it comes to proposer's knowledge** (postal rule vs receipt rule).	S. 13(2): receipt = entry into **designated computer resource** (or retrieval); S. 13(3): deemed received at **addressee's place of business** — *P R Transport* holds emailed acceptance completes contract there.
Revocation	Ss. 4–6: before communication of acceptance complete.	S. 10A covers revocation "expressed in electronic form"; S. 13 fixes timing.
Writing / signature	ICA rarely needs writing; special statutes do.	S. 4 (e-record = writing if accessible for subsequent reference) + S. 5 (e-signature = signature).
Consideration, capacity, consent, object	Ss. 10–30 apply unchanged (minors clicking "agree" still minors!).	— (IT Act doesn't dilute ICA substance.)

Legislative lineage & exclusions

- **UNCITRAL Model Law on E-Commerce (1996)** is the IT Act's parent — principles of **non-discrimination** (no denial of effect for electronic form), **functional equivalence** (e-record ≈ writing; e-signature ≈ signature), and **technology neutrality**.
- **First Schedule (IT Act does NOT apply):** (1) **negotiable instrument** (other than a cheque); (2) **power of attorney**; (3) **trust**; (4) **will** / testamentary disposition; (5) **contract for sale or conveyance of immovable property** or interest therein. Favourite short-note/exam trap.
- **2008 amendments (Act 10 of 2009):** "digital signature" → technology-neutral **"electronic signature"**; new **S. 3A** (reliable ES techniques, Second Schedule); new **S. 10A** (e-contract validity); Ss. 14–16 updated to ES.

Model formation answer: (1) Identify proposal/acceptance in the electronic exchange. (2) Test S. 7 ICA (absolute, unqualified — *Timex*). (3) Apply S. 10A (no unenforceability for electronic form). (4) Fix time/place via S. 13 (*P R Transport*). (5) Check remaining S. 10 ICA elements + First Schedule exclusion.

PART F — THE LEGISLATIVE FRAMEWORK

IT Act, 2000 — Ss. 3–5, 10–17 in detail

Gateway definitions (S. 2(1)) — learn functionally

Term	Meaning (substance)
Electronic record — S. 2(1)(t)	Data/record/image/sound **generated, sent, received or stored** in electronic form (incl. microfilm, computer printouts).
Electronic signature — S. 2(1)(ta)	Authentication of an e-record by a **subscriber** by technique in the **Second Schedule** (incl. digital signature).
Originator — S. 2(1)(za)	Person who **sends, generates, stores or transmits** an e-record (excludes **intermediary** — S. 2(1)(w): one who merely receives/stores/transmits on behalf of another).
Addressee — S. 2(1)(b)	Person **intended** by originator to receive the e-record (excludes intermediary).
Computer resource — S. 2(1)(k)	Computer, communication system, network, data, software — the "designated computer resource" of S. 13 (e.g. notified email inbox/server).
Subscriber / Certifying Authority / Controller	Subscriber (S. 2(1)(zg)): holder of a signature certificate. CA (S. 2(1)(g)): licensed issuer of certificates (S. 24+). Controller (Ss. 17–25): regulator of CAs.

Chapter II — Authentication & legal recognition (Ss. 3–5)

S. 3 — Authentication of electronic records (digital signatures). (1) A subscriber may authenticate an e-record by affixing his **digital signature**. (2) Authentication effected by **asymmetric crypto system + hash function** enveloping/transforming the record (hash = one-way algorithm; same input → same hash; computationally infeasible to reverse or to find two records with same hash). (3) Anyone may **verify with the subscriber's public key**. (4) Private + public keys are **unique to the subscriber** (functioning key pair).

S. 3A — Electronic signature (2008, technology-neutral). A subscriber may authenticate by any **reliable** ES technique specified in the **Second Schedule**. Reliable = (a) signature-creation data **linked to signatory alone**; (b) under **his sole control** at signing; (c) later alterations to **signature detectable**; (d) later alterations to **information detectable**. Government may prescribe ascertainment procedure; notifications laid before Parliament.

S. 4 — Legal recognition of electronic records. Where any law requires **writing / typewritten / printed form**, the requirement is satisfied if matter is (a) **rendered in electronic form** and (b) **accessible for subsequent reference**.
S. 5 — Legal recognition of electronic signatures. Where any law requires **authentication by signature**, an **electronic signature affixed per Government rules** satisfies it.

S. 10 & S. 10A — rulemaking + e-contract validity

S. 10 — Power to make rules re electronic signature. Central Government may prescribe (a) **type** of ES; (b) **manner/format** of affixing; (c) **identification** procedure; (d) **integrity/security/confidentiality** controls; (e) any other matter giving legal effect to ES.
S. 10A — Validity of contracts formed through electronic means (2008) . "Where in a contract formation, the **communication of proposals, the acceptance of proposals, the revocation of proposals and acceptances** … are expressed in electronic form or by means of electronic records, such contract **shall not be deemed to be unenforceable solely on the ground** that such electronic form or means was used."

S. 10A decoded: (i) It validates the **medium**, not a bad bargain — ICA S. 10 substance still needed. (ii) "Solely" = e-form can't be the *only* ground of attack (minor, no consideration, etc. still kill). (iii) Covers the **whole formation cycle**: proposal →

by Ankur R. Upadhyay

acceptance → revocation of either. (iv) Pair with *Timex* (concluded e-contract) + *P R Transport* (e-acceptance completes contract).

Chapter IV — Attribution, acknowledgement, despatch (Ss. 11–13)

S. 11 — Attribution. An e-record is attributed to the originator if sent (a) **by himself**; (b) by a person **authorised** to act for him; or (c) by an **information system programmed by/on behalf of the originator to operate automatically**.
S. 12 — Acknowledgment of receipt. (1) Unless a particular form/method stipulated, ack may be by **any communication (automated or otherwise)** or **any conduct** showing receipt. (2) If originator stipulated **binding-only-on-ack**, then without ack the record is **deemed never sent**. (3) Otherwise, if no ack within specified/agreed/**reasonable time**, originator may **notice + fix reasonable time**, and then (after notice) treat it as **never sent**.
S. 13 — Time and place of despatch and receipt . (1) **Despatch** = when record enters a computer resource **outside originator's control**. (2) **Receipt**: (a) designated resource → **entry into it** (non-designated resource → **retrieval** by addressee); (b) no designated resource → **entry into addressee's resource**. (3) **Place**: deemed despatched at **originator's place of business**, received at **addressee's place of business**. (4) Applies though the computer resource sits **elsewhere**. (5) Multiple business places → **principal** one; none → **usual residence** (body corporate: place of registration). All "save as otherwise agreed".

Who sent it?
S. 11: self / agent / auto-system

→

Ack needed?
S. 12: stipulated? → binding only on ack; else notice + reasonable time

→

When received?
S. 13(2): designated entry / retrieval

→

Where received?
S. 13(3): addressee's place of business → contract complete there

Chapter V — Secure records & signatures; Controller (Ss. 14–17)

S. 14 — Secure electronic record. Where a **security procedure** is applied at a specific time, the record is **deemed secure** from then till verification.
S. 15 — Secure electronic signature. An ES is deemed secure if (i) signature-creation data was under **exclusive control** of signatory at affixing; (ii) stored/affixed in the **prescribed exclusive manner**. (Secure ES/records attract **presumptions** under the Bharatiya Sakshya Adhiniyam, 2023 — formerly Evidence Act Ss. 85B–C.)
S. 16 — Security procedures and practices. Central Government may **prescribe** them for Ss. 14–15, having regard to **commercial circumstances, nature of transactions** and related factors.
S. 17 — Appointment of Controller. Central Government may appoint (by Gazette) a **Controller of Certifying Authorities** + Deputy/Assistant Controllers, officers, staff; Controller functions under Government's general control; qualifications/terms prescribed; offices + seal as specified. (Ss. 18–25 detail functions, recognition of CAs, licences, etc.)

Section-trio memory hooks: 3–5 = "Authenticate–Recognise" (how to sign + writing/signature equivalence) · **10–10A = "Rules–Validity"** · **11–13 = "Who–Ack–When/Where"** · **14–16 = "Secure–Secure–Procedures"** · **17 = Controller**.

DU CASE 41 E-ACCEPTANCE COMPLETES CONTRACT WHERE RECEIVED (S. 13 IT ACT)

P R Transport Agency v Union of India, AIR 2006 All 23 (Allahabad HC — Harkauli & Pandey JJ., 24 Sept 2005)

S. 13 IT Act; S. 28 ICA; Art. 226 | Questions: **(i) Where is an emailed tender-acceptance received? (ii) Can an ouster clause kill Art. 226? (iii) Was belated cancellation lawful?** | Answers: **(i) At addressee's place of business — U.P. courts have jurisdiction; (ii) No — ouster clauses touch civil courts only; (iii) No — concluded contract + estoppel + natural justice. (Writ allowed; coal to be delivered.)**

Facts (detailed)

- **E-auction:** Respondents 2–3 (State coal entities) e-auctioned coal lots. Petitioner's bid — **4,000 MT from Dobari Colliery @ Rs 1,625/MT** — accepted; **acceptance letter emailed 19 July 2005** to petitioner's email address.
- **Performance:** Acting on acceptance, petitioner deposited **Rs 81,12,000 by cheque (28 July 2005)**, which respondent 3 **accepted and encashed**.

by Ankur R. Upadhyay

- **Cancellation:** Respondent 4 emailed **10 Aug 2005**: sale + auction "cancelled due to some **technical and unavoidable reasons**" — challenged in this writ (Annexure I). Interim order 13 Sept 2005 preserved the coal. Real reason (counsel, on instructions): a **slightly higher third-party bid** was lost to a **computer/programme/data-feeding flaw**; the third party never challenged anything and wasn't before Court.
- **Preliminary objections (Madhur Prakash):** (1) no cause of action in U.P.; (2) none pleaded; (3) **cl. 10.5** ousts jurisdiction to **Jharkhand HC** ("any dispute … shall be subject to jurisdiction of Jharkhand HC"). Petitioner filed a **second supplementary affidavit** (partnership deed 7 July 2000): principal place of business **Chandauli**, only other place **Varanasi** — both in U.P.; acceptance received by email there.

Issues

1. Is the supplementary affidavit admissible?
2. Where is emailed acceptance "received" — and does part of the cause of action arise in U.P.?
3. Does cl. 10.5 oust Allahabad HC's Art. 226 jurisdiction?
4. Was the cancellation valid on merits?

Petitioner (Manish Goyal): acceptance received by email at Chandauli → **contract complete in U.P.** (S. 13(3) IT Act) → part of cause of action in U.P.; ouster clause can't touch **Art. 226**; concluded contract + money deposited → cancellation illegal.

Respondents (Madhur Prakash): no U.P. cause of action pleaded; supplementary affidavit belated (facts always known); cl. 10.5 confines disputes to Jharkhand; cancellation justified by the lost higher bid (computer flaw).

Decision & reasoning

- **(1) Supplementary affidavit allowed** (para 5): the "known-facts" objection exists only for **review (O.47 R.1(a))**, **additional evidence in appeal (O.41 R.27(1)(aa))**, and **readiness/willingness amendments (S. 16(1)(c), Specific Relief Act)** — "we are not aware of any other principle" barring additional facts in writs.
- **(2) S. 13(3) fixes receipt** (paras 6–10): Settled common law rule (telephone/telex/fax: contract complete when/where acceptance received) needs **fixed terminals**; email has **no fixed point** (transmitted from anywhere → server anywhere → retrieved anywhere). S. 13(3) solves it: deemed received at **addressee's place of business** → Varanasi/Chandauli → **contract complete in U.P.** → part of cause of action → territorial jurisdiction.
- **(3) Ouster clause fails twice** (paras 11–20): (a) S. 28 ICA + *ABC Laminart*: confining jurisdiction needs **"alone/only/exclusive"** or *expressio unius*; cl. 10.5 ("subject to Jharkhand HC") doesn't oust. (b) Deeper: ouster clauses restrain **parties from approaching other civil courts**; but **Art. 226 judicial review is a basic feature** (*L. Chandra Kumar*) exercisable even **suo motu** — "cannot be curtailed … by an agreement between litigants." Ouster clauses oust **civil courts only**.
- **(4) Merits** (paras 21–27): concluded contract (acceptance + encashed Rs 81.12 lakh); **promissory estoppel** (petitioner altered position to its disadvantage); respondents are **State (Art. 12)**; belated cancellation **without hearing violates natural justice**. Third party's absence kills the defence.
- **Order:** writ allowed; 10 Aug 2005 communication + decision set aside; respondents 2–3 to **hand over the coal without delay**.

Ratio: (1) **Emailed acceptance is deemed received at the addressee's place of business (S. 13(3))**, completing the contract there for jurisdiction/cause of action. (2) **Forum-ouster clauses cannot exclude Art. 226**. (3) Accepted e-auction bids + acted-upon consideration = concluded contract; State cancellation needs hearing.

Exam use: the lead authority for (i) S. 13 time/place of e-receipt, (ii) "no fixed point" email reasoning, (iii) S. 28/ABC Laminart ouster tests, (iv) Art. 226 vs contract clauses, (v) e-auction concluded contracts + estoppel.

DU CASE 42 CONCLUDED CONTRACT + ARBITRATION CLAUSE THROUGH EMAILS ALONE

Timex International FZE Ltd., Dubai v Vedanta Aluminium Ltd., (2010) 3 SCC 1 (SC — Sathasivam J., Arb. Pet. 10/2009, 22 Jan 2010)

Ss. 4, 7 ICA; S. 7 + S. 11(6), Arbitration Act 1996 | Question: **Did email exchanges conclude a binding bauxite contract (with arbitration clause) without a signed formal agreement?** | Answer: **Yes — unconditional 16 Oct 2007 email acceptance concluded all essential terms; S. 11 petition maintainable. (Arbitrator — Justice B.N. Srikrishna — appointed; venue Mumbai.)**

Facts (detailed — sequence is everything)

- **15 Oct 2007:** Timex (Dubai mineral trader) emailed a **commercial offer** to Vedanta (India) for bauxite supply — option of **2–5 shipments**, all essential commercial terms + **arbitration clause (Cl. 6)**; offer **valid till noon 16 Oct 2007**.

- **16 Oct 2007:** first response carried a **rider (cancellation after 2 shipments)** = conditional. On request, Vedanta emailed at **3:06 p.m.**: **"we confirm the deal for five shipments"** — unconditional, unqualified. Timex's Mr. Swaminathan opened it → "irrevocable contract concluded".
- **17 Oct 2007:** Timex acted: back-to-back **Rio Tinto (Australia) supply deal + Oslo charter-party**.
- **8 Nov 2007:** Vedanta sent a **formal draft agreement with detailed arbitration clause (Cl. 29)**; Timex accepted **same evening with minor changes**. Draft never formally signed.
- **1 Sept 2008:** Timex invoked arbitration claiming losses; Vedanta replied: **no concluded contract, no arbitration agreement** — still negotiating. Timex filed **S. 11(6) petition** in SC.

Issues

1. Did the 15–16 Oct emails conclude a binding contract though no formal agreement was signed?
2. Was there a valid **arbitration agreement "in writing"** (S. 7, Arbitration Act)?
3. Maintainability of S. 11(6) appointment.

Timex: 3:06 p.m. email = **absolute, unconditional acceptance** (S. 7 ICA) of an offer containing all essentials + arbitration (Cl. 6); knowledge via opening (S. 4 ICA); acted upon (charter + supply); 8 Nov draft merely **records** the concluded deal (Cl. 29 accepted); emails = "agreement in writing" (S. 7, Arbitration Act); minimal interference (*Great Offshore*).

Vedanta (C.A. Sundaram): emails only **preliminary/ negotiation-stage**; material terms unsettled; unsigned 8 Nov draft (subject to changes) proves **no consensus ad idem**; unclear clauses can't "stand on footing" to found arbitration; S. 11 not maintainable without concluded contract.

Decision & reasoning (Sathasivam J.)

- **Concluded contract on 16 Oct 2007:** commercial offer = valid offer; first conditional reply cured by the **unconditional 3:06 p.m. confirmation** — S. 7 ICA's "absolute and unconditional" mandate **fulfilled**; S. 4 satisfied on opening. Later performance (charter 17 Oct) corroborates concluded intent.
- **Unsigned formality irrelevant:** "in the absence of signed agreement ... possible to infer [contract] from ... **exchange of emails, letter, telex, telegrams and other means of telecommunication**" (para 60). 8 Nov draft = record of concluded deal; minor changes don't negate consensus.
- **Arbitration agreement exists:** Cl. 6 (offer) + Cl. 29 (draft, accepted) exchanged in emails = **"agreement in writing" under S. 7, Arbitration Act**; Vedanta's precedents "not germane" against clear email materials (para 61).
- **Relief:** S. 11(6) petition maintainable and allowed; **Justice B.N. Srikrishna appointed sole arbitrator**; venue Mumbai; fees shared.

Ratio: (1) **Unconditional email acceptance of an offer containing all essential terms concludes a binding contract** — absence of a signed formal agreement is irrelevant. (2) **Arbitration clauses travel through email exchanges** and satisfy "in writing" (S. 7, Arbitration Act). (3) Subsequent acting-upon + record-drafts confirm consensus; minor modifications don't undo it.

Exam use: cite Timex for (i) e-contract formation/concluded-contract test, (ii) S. 7 absolute-acceptance via email (conditional → unconditional cure), (iii) unsigned-draft irrelevance, (iv) email arbitration clauses, (v) pairing with S. 10A IT Act.

PART I — VISUAL REVISION

Master flowcharts & comparison tables

Flowchart 1 — Any S. 70 problem (Mondal method)

1. Lawfully?
Not fraudulent/dishonest/forbidden? (No pre-existing relation needed)

→

2. Non-gratuitous?
Trade/estimate/bill/protest? (Ill. b kills gifts)

→

3. Enjoyed voluntarily?
Had a real option to refuse/return? (Officious → fail)

→

4. Who is defendant?
Minor → S. 68 only · Govt/corp/individual → S. 70 ✓

→

5. Relief
Compensation (benefit value) or restoration — NOT breach damages

Flowchart 2 — Any e-contract problem

1. ICA substance?
Proposal + absolute acceptance (S. 7) + consideration + capacity + consent

→

2. First Schedule?
Immovable sale/will/trust/POA/NI → IT Act can't save

→

3. S. 10A
E-form alone can't defeat validity

→

4. S. 11–13
Attribution? Ack? Time/place of receipt → where complete?

Table 1 — Ss. 68–72 at a glance

Section	Trigger (one line)	Remedy	Key authority
68	Necessaries to incapable person/dependants.	Reimbursement **from property**.	Ills. (a)–(b); *Mohori Bibee*
69	Interested person pays another's **legal dues**.	Reimbursement.	Zamindar illustration
70	Lawful + non-gratuitous + **enjoyed** act/delivery.	Compensation or restoration.	*Mondal*; Ills. (a)–(b)
71	Finder takes custody of goods.	Bailee duties (Ss. 151–2, 168–9).	Bailment chapter
72	Payment/delivery by **mistake/coercion**.	Repay/return.	Ills. (a)–(b); tax-refund line

Table 2 — S. 70 vs S. 65 vs breach damages

Point	S. 70	S. 65	S. 73 (breach)
Needs an agreement?	**Never any** (or none relied on).	Agreement **discovered void / becoming void**.	**Valid contract broken**.
Basis	Voluntary acceptance of benefit.	Restoration of advantage received.	Loss from breach.
Measure	Benefit value / restoration.	Advantage restored.	Natural/contemplated loss.

Table 3 — IT Act Ss. 3–5, 10–17 map

Section	Function	One-line content
3 / 3A	Authenticate	Digital signature (asymmetric crypto + hash) / reliable ES techniques (Second Schedule).
4 / 5	Recognise	E-record = writing (accessible for later reference); ES = signature.
10 / 10A	Rules / Validity	Govt. ES rules; e-formed contracts not unenforceable for e-form alone.
11 / 12 / 13	Who / Ack / When-Where	Attribution (self/agent/auto-system); acknowledgement; despatch/receipt time + deemed places.
14 / 15 / 16	Secure	Secure e-record; secure ES (exclusive control); Government security procedures.
17	Regulate	Controller of Certifying Authorities (+ deputies, offices, seal).

Table 4 — Three cases at a glance

Case	Provision	One-line rule	Outcome
40. Mondal	S. 70	Lawful + non-gratuitous + enjoyed → Government pays; S. 70 supplements Art. 299.	Appeal dismissed; Rs 19,325 decreed
41. P R Transport	S. 13 IT Act	Emailed acceptance received at addressee's business place; ouster ≠ Art. 226.	Writ allowed; coal delivered
42. Timex	S. 7 ICA / S. 7 Arb. Act	Unconditional email acceptance = concluded contract + written arbitration clause.	S. 11 allowed; Srikrishna J. appointed

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EXAMINATION QUESTION BANK // DU LL.B.

Previous Year Examination Questions (PYQs)

Q.01 15 marks What are quasi-contracts? Classify the obligations resembling those created by contract under Ss. 68–72, ICA.

◈ Refer website for detailed notes — makelaweasy.in ↗

Q.02 15 marks State and explain the requisites of S. 70 with the help of State of W.B. v B.K. Mondal.

Q.03 10 marks "S. 70 supplements S. 175(3) of the Government of India Act." Discuss.

Q.04 10 marks A, a contractor, repairs a Government building at an officer's oral request, knowing the officer awaits sanction. Government uses the building but refuses payment citing Art. 299. Advise A.

Q.05 7 marks Distinguish S. 68 from S. 70. Can a minor be sued under S. 70?

Q.06 Write short notes on: (a) S. 69, (b) S. 71, (c) S. 72 — mistake of law. (3×5 marks)

Q.07 15 marks Discuss the nature and formation of e-contracts with reference to the ICA and the IT Act, 2000.

Q.08 10 marks Explain Ss. 11, 12 and 13 of the IT Act, 2000.

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